

STRATEGIC MANAGEMENT

PGDHR-103

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

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STRATEGIC MANAGEMENT



Knowledge Management and
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ROLE OF SELF INSTRUCTIONAL MATERIAL IN DISTANCE LEARNING

The need to plan effective instruction is imperative for a successful distance teaching repertoire. This is due to the fact that the instructional designer, the tutor, the author (s) and the student are often separated by distance and may never meet in person. This is an increasingly common scenario in distance education instruction. As much as possible, teaching by distance should stimulate the student's intellectual involvement and contain all the necessary learning instructional activities that are capable of guiding the student through the course objectives. Therefore, the course / self-instructional material are completely equipped with everything that the syllabus prescribes.

To ensure effective instruction, a number of instructional design ideas are used and these help students to acquire knowledge, intellectual skills, motor skills and necessary attitudinal changes. In this respect, students' assessment and course evaluation are incorporated in the text.

The nature of instructional activities used in distance education self-instructional materials depends on the domain of learning that they reinforce in the text, that is, the cognitive, psychomotor and affective. These are further interpreted in the acquisition of knowledge, intellectual skills and motor skills. Students may be encouraged to gain, apply and communicate (orally or in writing) the knowledge acquired. Intellectual-skills objectives may be met by designing instructions that make use of students' prior knowledge and experiences in the discourse as the foundation on which newly acquired knowledge is built.

The provision of exercises in the form of assignments, projects and tutorial feedback is necessary. Instructional activities that teach motor skills need to be graphically demonstrated and the correct practices provided during tutorials. Instructional activities for inculcating change in attitude and behavior should create interest and demonstrate need and benefits gained by adopting the required change. Information on the adoption and procedures for practice of new attitudes may then be introduced.

Teaching and learning at a distance eliminates interactive communication cues, such as pauses, intonation and gestures, associated with the face-to-face method of teaching. This is particularly so with the exclusive use of print media. Instructional activities built into the instructional repertoire provide this missing interaction between the student and the teacher. Therefore, the use of instructional activities to affect better distance teaching is not optional, but mandatory.

Our team of successful writers and authors has tried to reduce this.

Divide and to bring this Self Instructional Material as the best teaching and communication tool. Instructional activities are varied in order to assess the different facets of the domains of learning.

Distance education teaching repertoire involves extensive use of self-instructional materials, be they print or otherwise. These materials are designed to achieve certain pre-determined learning outcomes, namely goals and objectives that are contained in an instructional plan. Since the teaching process is affected over a distance, there is need to ensure that students actively participate in their learning by performing specific tasks that help them to understand the relevant concepts. Therefore, a set of exercises is built into the teaching repertoire in order to link what students and tutors do in the framework of the course outline. These could be in the form of students' assignments, a research project or a science practical exercise. Examples of instructional activities in distance education are too numerous to list. Instructional activities, when used in this context, help to motivate students, guide and measure students' performance (continuous assessment)



PREFACE

We have put in lots of hard work to make this book as user-friendly as possible, but we have not sacrificed quality. Experts were involved in preparing the materials. However, concepts are explained in easy language for you. We have included many tables and examples for easy understanding.

We sincerely hope this book will help you in every way you expect.

All the best for your studies from our team!



STRATEGIC MANAGEMENT

Contents

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

UNIT 1 STRATEGIC PLANNING AND STRATEGIC MANAGEMENT

Introduction, Strategic Planning, Evolution of Strategic Planning, Levels of Strategic Planning, Dimensions of Strategic Decisions, the Concept of Strategic, Elements of a Strategic, Strategies Vs Tactics, Past Approaches to Strategy, Current Trends in Business Policy, The Indian Scenario, Strategy Vs Policy, Strategic Management, Modes of Strategic Management

UNIT 2 THE STRATEGIC MANAGEMENT PROCESS

Introduction, Purposes of Strategic Management Process, Steps in the Strategic Management Process, Strategy Formulation, Strategy Implementation, Strategic Intent: Vision, Mission and Objectives, Corporate Social Responsibility

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY

UNIT 1 ENVIRONMENTAL AND INDUSTRY ANALYSIS

Introduction, The Organization's Environment, External and Internal Environment, Components of External Environment, Components of Internal Environment, Environmental Scanning, Industry Analysis

UNIT 2 COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS

Introduction, Internal Analysis, Resource-Based Strategy (Grant), The Resource Based View (RBV), Resources, Organisational Capabilities and Competitive Advantage, Approaches to Internal Analysis , Terminology, Primary Activities , Support Activities , Conducting a Value Chain Analysis, The concept of Synergy.

UNIT 3**CORPORATE LEVEL STRATEGY**

Corporate Level Strategy, Acquisition, Restructuring and Cooperative Strategies, Takeovers, Cooperative Strategies

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES**UNIT 1 PROJECT MANAGEMENT**

Introduction, Business Level Strategy, Business Level Strategic Analysis, Contingency Strategies

UNIT 2 STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES

Strategy Implementation: Structural Issues, Behavioral Issues in Strategy Implementation, Operational Strategy, Operations Management, Formulating operations Strategy

UNIT 3 FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE

Financial Strategy, Marketing Strategy, Strategic Analysis and Choice

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY**UNIT 1 STRATEGIC LEADERSHIP AND CONTROL**

Strategic Leadership, Leadership Theories, Hersey's Situational Leader Model, Power and Politics, Organizational conflict, Organizational Politics

UNIT 2 HUMAN RESOURCES STRATEGY

The Rise of Human Resource Management (HRM) , The issue of Strategic Human Resource Management (SHRM), Business strategy, The Guest Mode, The Organisational Outcomes, Integration of HR Systems as Strategy, Human Resource Strategy, Role of HRM ,Human Resource Planning , Recruitment, Training and Development, Executive Development Programmes, Job Knowledge ,Performance Appraisal , HR Strategy in a Dynamic Environment,



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PGDHR-103

STRATEGIC MANAGEMENT

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

UNIT 1

STRATEGIC PLANNING AND STRATEGIC MANAGEMENT	03
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UNIT 2

THE STRATEGIC MANAGEMENT PROCESS	36
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BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

Block Introduction

Strategic planning is the most important key for solving strategic tasks; it is the process of developing, controlling and maintaining a strategic balance between organizational goals and resources in the market environment

In this block we are going to study about the strategic planning and strategic management a strategic plan is a set of activities that are geared towards an organizations growth and success.

Unit one discusses about the strategic management refers to the art of business planning at the highest possible level implemented by the company's leader or leaders and is focused on building a solid underlying foundation for a company. Strategic planning is an organizational management activity that is used to set priorities, focus energy and resources, strengthen operations, ensure that employees and other stakeholders are working toward common goals, establish agreement around intended outcomes/results, and assess and adjust the organization's direction in response to a changing environment. It is a disciplined effort that produces fundamental decisions and actions that shape and guide what an organization is, who it serves, what it does, and why it does it, with a focus on the future. Effective strategic planning articulates not only where an organization is going and the actions needed to make progress, but also how it will know if it is successful.

Unit two explains about the term 'Strategic Management Process' which refers to the steps by which management converts a firm's mission, objectives and goals into a workable strategy. In a dynamic environment each firm needs to tailor its strategic management process in ways that best suit its own capabilities and situational requirements. Strategic planning provides an overall strategic direction to the management of the organization and gives a specific direction to areas like financial strategy, marketing strategy, organizational development strategy and human resources strategy, to achieve success. These other kinds of planning, some of which are confused with strategic planning are intended for parts of the organization, or specific functions or processes within the organization. All of these other types of planning should be guided and informed by the strategic plan.

Block Objective

After learning this block, you will be able to understand:

- The Evolution of Strategic Planning
- The concept and elements of strategy
- About Strategic Intent
- About Vision , Mission and its objectives
- The Current Trends in Business Policy
- About Strategic management and modes of the strategic management

Block Structure

Unit 1: Strategic Planning and Strategic Management

Unit 2: The Strategic Management Process

UNIT 1: STRATEGIC PLANNING AND STRATEGIC MANAGEMENT

Unit Structure

- 1.0 Learning Objectives**
- 1.1 Introduction**
- 1.2 Strategic Planning**
- 1.3 Evolution of Strategic Planning**
- 1.4 Levels of Strategic Planning**
- 1.5 Dimensions of Strategic Decisions**
- 1.6 The Concept of Strategy**
- 1.7 Elements of a Strategy**
- 1.8 Strategies vs. Tactics**
- 1.9 Past Approaches to Strategy**
- 1.10 Current Trends in Business Policy**
- 1.11 The Indian Scenario**
- 1.12 Strategy vs. Policy**
- 1.13 Strategic Management**
- 1.14 Modes of Strategic Management**
- 1.15 Let Us Sum Up**
- 1.16 Answers for check your progress**
- 1.17 Glossary**
- 1.18 Assignment**
- 1.19 Activities**
- 1.20 Case study**
- 1.21 Further Readings**

1.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Levels of Strategic Planning.
- The Dimensions of Strategic Decisions.
- The difference between Strategies and Tactics.
- The Current Trends in Business Policy.
- About Strategic management and modes of the strategic management.

1.1 Introduction

Planning has always been a part and parcel of the business activity as there was common objective of attaining profit. The larger the profit, bigger and complex was the task of planning as it posed new challenges. There felt the necessity of addressing this issue strategically by giving it a status of “War of Existence” among the stiff competitors and widening market demands. Now a days each firm tries to chalk out its unique strategy or game plan based on its own internal strength and weaknesses in terms of, which products or services to pursue, which investments to make, which human resource policy to implement and which organizational structure to adopt. The whole exercise is meant to find how to effectively compete, against whom, when, where and for what, so that the firm can generate successful performance over an extended period time. The essence of strategy lies in striking a harmonious balance between a firm’s distinctive skills and capabilities and the external environment in which it operates. When the firm is able to perform activities more effectively than its rivals, it stays ahead in the race and emerges as a leader. Strategic planning and strategic management enables a firm to formulate and implement such winning game plans over a period of time. Strategic Planning can be defined as management task which is concerned with the growth and long term prospects of business.

1.2 Strategic Planning

The necessity for planning arises because of the fact that business organizations have to operate, survive and progress in a highly dynamic environment where change is the rule, not the exception. The change may be sudden and extensive, or it may be slow and almost imperceptible.

Change Drivers: The General Shape of Things to Come

Alvin and John Naisbitt and other researchers have identified one hundred different trends that are reshaping the global economy and summarized them down to nine change drivers:

1. **A maturing population:** There will be greater emphasis on sophistication, realism and responsibility in the days ahead.
2. **Society as a diverse mosaic:** Racial, ethnic diversity will increase. A multinational and multilingual workforce will emerge. Products and services will be customized to suit individual tastes. Women will enjoy a greater share of executive positions.
3. **Shifting societal roles:** The boundaries between public and private sectors will collapse; all sorts of government services will be subcontracted to profit-making firms.
4. **An information-based economy:** A dizzying array of information technologies such as computers and computer networks, telecommunication systems, broadcast and entertainment systems, document reproduction systems, satellite communication systems will drive the world. More accessible information will change traditional patterns of work, giving rise to troubling privacy issues. Robots will be everywhere; at road crossings, shop counters, offices, restaurants and even in the cockpit of an aircraft. Highly developed user interface will allow such robots to talk to human beings and build their knowledge dynamically.
5. **Communications:** The demand for information and communication will grow exponentially. Media will converge with greater force, and more versatile communication devices will see the light of the day. Geographical distance would become meaningless and the cost of communication will ape the trend in information technology.
6. **Globalisation:** The world is shrinking in all major respects. Now-a-days people, goods, capital and information are moving around the globe as never before. In fact companies like Visual Soft Technologies, Infosys, Hughes

Software, Mastek, Satyam Computers earn more than 85 per cent of their revenues from exports only. Over the years, companies like Reliance, Ranbaxy, Moser Baer, Essel Pro Pack, Cipla have become global players.

7. **Emphasis on quality of life:** Issues concerning personal health and environmental protection will gain importance so that the public policy and business practices will be reshaped accordingly. Biotechnology will open up a world of endless possibilities to mankind. Diseases that traumatize and kill people today will become a thing of the past. Surgery may be replaced with non-intrusive techniques that don't just repair, but grow new cells to heal. This, in turn will have a dramatic impact on the productivity and efficiency of the workforce.
8. **A restructured economy:** Global competition and new technologies will force companies to be lean and flexible and more responsive to rapidly changing circumstances. Small firms will be continued to mushroom. The services sector will continue to grow. Whole new industries will emerge, while others will move to low-wage countries (e.g. Software service providers, Call Centre businesses moving to India and other low-wage countries in the late 90s).
9. **A redefinition of home and family:** paid outsiders will handle traditional family chores. A diverse collection of households (single-person homes, childless couples, unmarried couples, single parents, dual-income families) may emerge. Thanks to modern information technology, more people will be able to shop, bank and work in their own homes.
10. **Renewed social activism:** The phrase, 'think globally, act locally' will assume importance as people tackle tough local issues like drug abuse, homelessness, AIDS, pollution etc. Business leaders may be compelled to respond ethically, creatively and generously to community problems (e.g. Narayan Murthy, Azim Premji, Ratan Tata, Adi Godrej, have already taken the lead in India in this regard). Non-profit organizations will grow in importance as they supplement over-burdened government agencies in offering social services.

The rapid advances in technology, global competition, changing preferences of customers, changing policies of government, have multiplied the problems of managers all over the globe. Most of these changes are thrust on managers and they are forced to adjust their activities (customer service, teamwork, speed, product/service quality, productivity improvement have become the new corporate mantras!) in order to take full

advantage of favourable developments or to minimize the adverse effects of unfavourable ones. Successful managers try to visualize the problems before they turn into emergencies. Successful managers deal with foreseen problems, and unsuccessful manager's struggle with unforeseen problems. The difference lies in planning (Terry). Managers charged with the responsibility of achieving definite targets do not wait for the future. They make the future (Drucker). They introduce original initiatives by removing present difficulties; anticipating future problems; changing the goals to meet internal and external challenges; experimenting with creating ideas; attempting to shape the future and creating a more desirable environment.

Planning is the process of deciding in advance what should be accomplished and how it should be realized. It involves selecting objectives and how to achieve them. Strategic planning involves an extended time-frame, the deployment of a large percentage of the resources of an organization, a wide spectrum of activities and a major eventual impact.

Concerns of Strategic Planning:

Strategic Planning is concerned with:

- 1 Future [Long term effects].
- 2 Environment [The adaptability of business to the Changing environment]
- 3 Growth [Pace, expansion, Direction and time]
- 4 Portfolio of business [Product – Market Scope, and Position like
- 5 First mover advantage Core Competencies [Increasing organizational capability]

Check Your Progress 1

1. The necessity for planning arises because of the fact that business organizations have to :
 - a. to operate
 - b. survive and
 - c. progress in a highly dynamic environment where change is the rule
 - d. all of the above

2. Strategic Planning is concerned with:

- a. Future and Environment
- b. Growth and portfolio of business
- c. core competencies
- d. all of the above

1.3 Evolution of Strategic Planning

The first three decades of the twentieth century witnessed significant changes in business activity. Firms focused their energies on increasing production of standardized goods to derive the economies of scale. They were more comfortable working with day-to-day operational plans. Whatever came into the market, got readily absorbed? Large volumes, standardized products, ever-increasing demand, characterized this era.

After the 1930s, firms witnessed increased environmental turbulence. Competition became intense with the emergence of new players; technological changes were swift and government policies restricted the economic freedom of the firms in most countries. Consumer tastes and preferences changed radically. New products with novel features made headlines and to sustain demand, firms had to promote products heavily and spend significant amounts on market segmentation. They had to commit their resources carefully, assessing various alternatives offered by the external environment from time to time. The reactive, adhoc responses rarely yielded results, forcing firms to change their orientation (from short-term to long-term) and look beyond the four walls of the organization more closely.

The 1950s saw dramatic changes in technology; new products emerged rapidly; competition became cut-throat; multinational corporations began to dominate global markets and governmental policies encouraged free market forces. The environmental complexities literally compelled the firms to come out with proactive steps by pinning their hopes on roadmaps provided by strategic plans. They had to be lean and flexible so that they could remain solvent and move fast. They had to almost undo existing styles, systems and standards, looking at internal as well as external environments from a strategic perspective (Ramaswamy, p.3-6).

Why Strategic Planning?

1. No business firm can afford to get ahead without a clear map of where it wants to go and why. Strategic planning provides the roadmap for the firm. It serves as a comprehensive guide; it provides the big picture for all employees of an organization. By defining the mission of the organization in specific terms, it helps managers provide direction and purpose to organizational efforts. The organization is able to function better as a result and becomes more responsive to a dynamic environment. It helps in identifying opportunities early and exploits the same vigorously. It helps decide where and when to use the available resources in an optimal way. Additionally, it provides a complete and broad base for judging each executive's contributions. The resources in the organization are something that an organization owns, controls or has access to on a semi-permanent basis
2. Targets are clarified and the means to follow are outlined. As the future unfolds, adequate controls can be established to see whether the right course of action is adopted or not and whether the results are satisfactory or not. Strategic planning also minimizes the chances of mistakes and unpleasant surprises, because goals, strategies are subjected to careful examination. There are less chances for committing mistakes and decisions arrived at can ultimately stand the test of time. There are stakeholders in strategic planning which are defined as an individual or group with an interest in the organization's activities and who seeks to influence them.

Benefits of Strategic Planning

- It provides the roadmap for the firm; it shows the way for achieving targets.
- It helps the firm utilize its resources in the best possible manner. It allows more effective allocation of time and resources for identifying opportunities.
- The firm can respond to environmental changes in a better way – by exploiting opportunities to its advantage and avoiding costly mistakes in investment decisions.
- It minimizes the chances of mistakes and unpleasant surprises. It seeks to prepare the firm to confront future challenges through certain proactive steps and even shape the future to its advantage. As rightly pointed out by FR David, strategic planning “allows an organization to initiate and

influence (rather than just respond to) activities, and thus exert control over its own destiny”.

- It creates a framework for internal communication among personnel. It helps to integrate the behaviour of individuals into a total effort. It provides a basis for the clarification of individual responsibilities. It gives encouragement to forward thinking. It encourages a favourable attitude towards change. It provides a cooperative, integrated and enthusiastic approach for tackling problems and realizing opportunities (Greenley).

Pitfalls

Strategic planning is laborious and time-consuming. There are very few satisfactory short-cuts. Immediate results are rarely obtained. Further, establishing and maintaining a formal system involves many expenses. Sophisticated strategic planning systems are a luxury for a small-scale organization.

Again, it should be remembered that trying to reach 100 per cent perfection is an ideal, a pious intention that can never be satisfied through strategic planning.

Many executives, enthralled by strategic planning, tend to overdo the fact-gathering job. Much time and effort is wasted thus in collecting all sorts of data that is not fully put to fruitful use.

Strategic planning, quite often, restricts the organization and executives to the more rational and risk-free options. Managers are wedded to a philosophy of adopting those strategies or objectives that bear the weight of careful scrutiny and detailed analysis. In the process, many attractive opportunities may be lost since they are characterized by a high degree of risk and uncertainty.

Check Your Progress 2

1. In the context of strategic management resources can be defined as:
 - a. The knowledge and skills within the organization
 - b. Something that an organization owns or controls that cannot be copied
 - c. Something that an organization owns, controls or has access to on a semi-permanent basis
 - d. The physical assets of the organization

2. In the context of strategic management, stakeholders can be defined as:
- An individual or group with a financial stake in the organization
 - An external individual or group that is able to impose constraints on the organization
 - Internal groups or individuals that is able to influence strategic direction of the organization
 - An individual or group with an interest in the organization's activities and who seeks to influence them

1.4 Levels of Strategic Planning

Many organizations develop strategies at three different levels: corporate, business and functional

- Corporate-level Strategic Planning:** It is the process of defining the overall character and purpose of the organization, the business it will enter and leave and how resources will be distributed among those businesses. Strategy at this level is typically developed by top management (The Board of Directors, CEO etc.). The decisions are broad-based, carry greater risk and affect most parts of the organization (e.g. the type of business that the organization should enter, changes required in growth strategy, acquisition and diversification decisions etc.).
- Business level Strategic Planning:** It is the planning process concerned primarily with how to manage the interests and operations of a particular unit within the organization, commonly known as a strategic business unit (SBU). A strategic business unit is a distinct business with its own set of competitors that can be managed reasonably independently of other businesses within the organization. Generally, the heads of the respective business units develop business strategies, with the approval of top management. Strategies at this level are aimed at deciding the competitive advantage to build, determining responses to changing market situations, allocating resources within the business unit and coordinating functional-level strategies developed by functional managers.
- Functional-level Strategic Planning:** It is the process of determining policies and procedures for (relatively narrow levels of activity) different functions of an enterprise like marketing, finance, personnel etc. These are

developed by functional managers and are typically reviewed by business unit heads.

Check Your Progress 3

1. Organizations develop strategies at three different levels:
 - a. corporate
 - b. business
 - c. functional
 - d. all of the above

1.5 Dimensions of Strategic Decisions

Typically, strategic issues have the following dimensions (Pears and Robinson):

- **Top Management Involvement:** Strategic issues require the CEO to carefully assess the likely impact on various divisions, allocate resources thereafter and oversee the implementation process closely. At every stage, strategic decisions require consistent support and continued blessings from top management.
- **Allocation of Large doses of Resources:** As mentioned above, strategic decisions require commitment of large doses of internal as well as external resources over an extended period.
- **Effect on Long-term Prosperity of the Firm:** Strategic decisions have long-term effects on firms – for better or worse. Once a firm embraces a particular strategy, its image and competitive advantages are invariably linked to that strategy. It gains recognition in certain markets, for certain products with certain technologies. The firm would seriously jeopardize all its previous gains if it shifts focus from these markets, products or technologies by adopting a radically different strategy. For example, the Rs. 1,000 crore NEPC Group once known for its dominance in wind energy business shifted focus from its core business and ventured into paper, airlines, agro foods, tea, textiles etc. and got wiped out completely from the industrial map of India.

- **Future-Oriented:** Strategic decisions are built around forecasts. The emphasis is on selecting a suitable course of action from the available alternatives and moving ahead with confidence. In a turbulent environment, a firm will succeed only if it takes a proactive stance toward change. For example, visualizing the demand for television content in the late 1990s Ekta Kapoor of Balaji Telefilms moved ahead of others and came out with stunningly popular television serials. Balaji is now rated as the most popular television content provider and has become the darling of the FIIs in the stock market as well.
- **Multi-functional or Multi-business Consequences:** Strategic decisions have complex implications for most areas of the firm. They impact various strategic business units especially in areas relating to product-mix, customer-mix, organization structure, competitive focus etc.
- **Focus on External Groups:** In order to successfully position a firm in a competitive environment, strategists must look beyond its operations. They must keep in mind how the other stakeholders (competitors, customers, suppliers, creditors, government, and labour) are likely to react to its own strategic moves from time to time.

Check your progress 4

1. At every stage, strategic decisions require consistent support and continued blessings from top management.
 - a. True
 - b. False
- 2 Strategic decisions require commitment of large doses of internal as well as external resources over an extended period.
 - a. True
 - b. False

1.6 The Concept of Strategy

Strategy is the overall plan of a firm deploying its resources to establish a favourable position and compete successfully against its rivals. Strategy describes a framework for charting a course of action. It explicates an approach for the company that builds on its strengths and is a good fit with the firm's external environment. It is basically intended to help firms achieve competing advantage. Competitive advantages allow a firm to gain an edge over rivals when competing. Competitive advantage comes from a firm's distinctive competence or unique ability here implies, those special capabilities, skills, technologies or resources that enable a firm to distinguish itself from its rivals and create competitive advantage (such as superior quality, design skills, low –cost manufacturing, superior distribution etc.). The term 'terrain' is highly relevant in explaining the concept of strategy more clearly. From a business sense, terrain refers to markets, segments and products used to win over customers. The essence of strategy is to match strengths and distinctive competence with terrain in such a way that one's own business enjoys a competitive advantage over rivals competing in the same terrain. The basic premise of strategy, as things stand now, is that an adversary can defeat a rival – even a larger, more powerful one – if it can manoeuvre a battle or engagement onto a terrain favourable to its own capabilities. The term 'capability' refers to the ability or capacity of a bundle of resources deployed by a firm to perform an activity (Pitts and Lie).

Check Your Progress 5

1. The term 'terrain' is highly relevant in explaining the concept of strategy more clearly as it refers to:
 - a. markets, segments and products used to win over customers
 - b. people in the management
 - c. both a and b
 - d. none of the above

1.7 Elements of a Strategy

Any coherent strategy (as the above expert opinions reveal) should have four important elements (Saloner et al.):

- a) **Goals:** A strategy invariably indicates the long-term goals toward which all efforts are directed. For example long-term goals might be to ‘dominate the market, to be the technology leader or to be the premium quality firm’. Such enduring goals help employees give their best in a unified manner and enable the firm to specify its competitive position very clearly to its rivals. A recent advertisement from Maruti Suzuki for example, claims: “we don’t just sell more cars than No.2. We sell more cars than the entire competition put together”. Maruti’s commitment to being number one (sales, distribution network, lowest cost producer, highest resale value, one stop solution provider etc.) or two in the markets it serves sends clear signals to its rivals in more than one way. Some firms do not do strategic planning because of laziness. The long term goals have to be set to achieve long term objectives.
- b) **Scope:** A strategy defines the scope of the firm that is, the kind of products the firm will offer, the markets (geographies, technologies, processes) it will pursue and the broad areas of activity it will undertake. It will, at the same time, throw light on the activities the firm will not undertake.
- c) **Competitive Advantage:** A strategy also contains a clear statement of what competitive advantages the firm will pursue and sustain. Competitive advantage arises when a firm is able to perform an activity that is distinct or different from that of its rivals. Firms build competitive advantage when they take steps that help them gain an edge over their rivals in attracting buyers. These steps vary, for example, making the highest quality product, offering the best customer service, producing at the lowest cost or focusing resources on a specific segment or niche of the industry.
- d) **Logic:** This is the most important element of strategy. For example, a firm’s strategy is to dominate the market for inexpensive detergents by being the low-cost, mass-market product. Here the goal is to dominate the detergent market. The scope is to produce low-cost detergent powder for the Indian mass market. The competitive advantage is the firm’s low cost. Yet this example does not explain why this strategy will work. Why the firm will get ahead of others by limiting its scope and by being the low cost producer (competitive advantage) in the detergent industry. The ‘why’ is the logic of the strategy? To see how logic is the core of a strategy, consider the

following expanded version of a strategy: ‘our strategy is to dominate the Indian market for inexpensive detergent powder by being the low cost producer selling through mass-market channels. Our low price will generate high volumes. This, in turn, will make us a high volume, low-cost producer. The economies of scale would help us improve our bottom-line even with a low price’.

Some Definitions and Views of Strategy

- **A Chandler:** “The determination of the long-term goals of an enterprise, and the adoption of courses of action and the allocation of resources necessary for carrying out these goals”.
- **G Saloneret al:** Strategy provides a framework for guiding the choice of actions. It is a broad articulation of the kinds of products the organization will produce, the basis on which its products will compete with those of its competitors, and the types of resources and capabilities the firm must have or develop to implement the strategy successfully.
- **Mintzberg:** “Strategy represents a fundamental congruence between external opportunity and internal capability”.
- **T Ansoff:** “Strategic decisions are primarily concerned with external rather than internal problems of the firm and specifically with the selection of the product mix the firm will produce and the markets to which it will sell”.
- **Boston Consulting Group:** “Strategy is a deliberate search for a plan of action that will develop a business’s competitive advantage and compound it. The objective is to enlarge the scope of your advantage, which can only happen at someone’s expense”.
- **M Porter:** According to Porter the threat to a firm’s profits come not only from its competitors but also from its suppliers, buyers, potential new entrants etc. So to earn above average returns, a firm should invariably try to establish a superior competitive position as compared to its rivals through its strategies.
- **Resource-based View:** An evolving set of strategic management ideas that place great emphasis on the firm’s ability to distinguish itself by means of investing in hard-to-imitate and specific resources (e.g. technologies, skills, capabilities, assets etc.)

Check Your Progress 6

1. Which of these is not a reason why some firms do no strategic planning?
 - a. Laziness
 - b. Competitive leadership
 - c. Honest difference of opinion
 - d. Poor reward structures
2. The means by which long-term objectives will be achieved are
 - a. Mission statements
 - b. Strategies.
 - c. Vision statements.
 - d. Long-term goals.

1.8 Strategies vs. Tactics

It is useful to draw the distinction between strategies and tactics at this stage. Strategy is a comprehensive plan designed to ensure that the basic objectives of an enterprise are achieved. It includes determination of a specific course of action that is capable of meeting competition as well as fulfilling an enterprise's objectives. It is action-based and more specific than objectives.

To achieve clarity, managers now-a-days talk about four types of strategies:

1. Master or grand strategies that cover the entire pattern of an organization's objectives, policies and specific resources deployment. Grand strategies are derived from a careful situational analysis of the organization and its environment.
2. Programme strategies are more specific and are concerned with the deployment of resources to achieve basic organizational objectives.
3. Sub-strategies are more detailed than programme strategies and focus on the attainment of specific objectives.
4. Tactics are the action plans of specific, step-by-step methods by which strategies are executed. Tactics convert the philosophy of management into practice and force the enterprise to go down to the nuts and bolts of its operations. Tactics are formulated at the supervisory level and their primary

focus is on implementing policy decisions taken at the top level. They are short-term in nature and mainly concentrate on people and their actions.

Check Your Progress 7

1. There are four types of strategies :
 - a. Master or grand strategies
 - b. Programmed strategies
 - c. Sub-strategies and tactics
 - d. all of the above

1.9 Past Approaches to Strategy

“Why are some firms able to perform better than others in profitability over a sustained period time?” Over the years, researchers have answered the question in three different ways:

1. **The Design Approach:** In early 60s, Alfred Chandler (1962) proposed that structure follows strategy. Top managers generally formulate strategy after a careful analysis of opportunities in the environment and the strengths and weaknesses in the organization. Managers decide initially what industry the organization will enter, how it will compete, where it will be located, and the kind of organization it will be, who will be the top managers, and who will directly influence the organization structure. Alfred Chandler has clearly shown the close relationship between the strategy a business adopts and the structure of its organization. After carrying out intensive case studies of four of the largest United States concerns (Sears Roebuck, General Motors, Standard Oil and Du Pont) he concluded that changes in corporate strategy will precede and cause changes in organization structure. He found that all the companies studied had shifted their designs from a simple centralized pattern to a more elaborate divisionalised pattern, following changes in population, national income, technological innovations, expanding product lines etc. The strategy chosen by the manager is the primary explanatory variable for organizational structure in all the cases. The influence of strategy on structure may be expressed thus:

- Strategy determines organizational tasks.
- Strategy influences the choice of technology and people appropriate for accomplishment of those tasks – and these, in turn, influence the appropriate structure.
- Strategy determines the specific environment within which the organization will operate.

The Harvard scholars, (Kenneth Andrews and others) after conducting a large number of case studies, have given a concrete shape to Chandler's prescriptions by proposing, "Strategy basically represents a fundamental congruence between external opportunity and internal capability" (Mintzberg). To be successful, managers have to align the actions of various departments in such a way as to reach the overall organizational objectives. They have to scan the environment for opportunities and threats: look into internal strengths and weaknesses and achieve the best 'fit' between these. Firms that achieve the best fit between internal and external factors taste success quickly and get ahead of others.

2. **The Analytical Approach:** Igor Ansoff (1965), a leading proponent of the analytical approach, tried to weave a firm garment out of the loose threads developed by Harvard researchers. He tried to examine two things basically: (i) whether strategy had a distinct context of its own (ii) whether it can be described in a structured way. Ansoff felt that strategy can be examined from several angles: institutional, corporate, business and functional level.

Corporate level	What business should we be in?
Business level	How to function in a business once selected
Functional level	How to manage internal operations such as manufacturing, marketing, finance, personnel, R&D etc.
Institutional level	How to manage external relationships in an ever changing dynamic, political world

Ansoff felt that strategy can be divided into certain inter-related, complementary components aimed at managing growth through diversification. Ansoff, in this regard, stated thus, "strategic decisions are primarily concerned with external rather than internal problems of the firm

and specifically with the selection of the product-mix that the firm will produce and the markets to which it will sell”.

3. **The Positioning Approach:** During the 1970s, the diversification moves of many large companies have failed to deliver the anticipated synergies. The oil crisis, competition from Japanese and European firms compounded the problem further. In place of diversification and growth, firms started putting more emphasis on achieving competitiveness. Michael Porter around this time proposed that a firm’s profitability is dependent on five important forces: i.e. supplier power, buyer power, threat from new entrants, threat from substitutes and intensity of rivalry within an industry. The goal of a competitive strategy for a firm should be to find a position in the industry from which it can best defend itself against these competitive forces or can influence them to its advantage. According to Porter, the analysis of the above five forces should shape the formulation of business strategy. For example, a firm can earn above average returns in industries characterized by high barriers to entry and by weak competitors, weak substitutes, weak buyers and weak suppliers. Of course, few industries have all of these features, but the important issue in strategy formulation is to focus on the particular opportunities and constraints in the industry. Porter suggested three strategies to gain competitive advantage:
 - a. **Overall Cost Leadership:** Here the firm works hard to achieve the lowest costs of production and distribution so that it can price lower than its competitors and win a large market share. (Examples include Moser Baer in data storage products, Jubilantorganosys in specialist and fine chemicals, Hindustan Inks and Resins Ltd. in printing inks etc.)
 - b. **Differentiation:** Here the firm tries to offer something different or unique to its customers – that is distinct from that of its rivals. The key assumption behind such a strategy is that, customers are willing to pay a high price for a product that is distinct (or at least perceived as such) in some important way.
 - c. **Focus:** Here the firm focuses its effort on serving a few market segments well rather than going after the whole market.
 - d. **Resource-based View:** During the 1990s, there has been a surge of interest (Barney, Pandian, Peterlaf, Collins) in the role of a firm’s resources and capabilities as an important basis for strategy and the primary determinants of a firm’s profitability. In a world where

customer preferences are volatile and the identity of customers and the technologies for serving them are fast changing, a market-focused strategy may not enable a firm to find an advantageous position for its own survival and growth. Therefore, the focus must shift to its own internal strengths and defend its strategy in terms of what it is capable of doing better than its rivals. The key to profitability is not doing the same as other firms – locating in the most attractive industries and pursuing the appropriate generic strategy – but exploiting the differences among firms.

Check Your Progress 8

1. The influence of strategy on structure may be expressed thus:
 - a. Strategy determines organizational tasks.
 - b. Strategy influences the choice of technology and people appropriate for accomplishment of those tasks
 - c. Strategy determines the specific environment within which the organization will operate
 - d. all of the above
2. Which are the types of approaches to strategy?
 - a. Design Approach
 - b. Analytical Approach
 - c. Positioning Approach
 - d. all of the above

1.10 Current Trends in Business Policy

The four paradigms of business policy throw light on how the discipline has developed over the years. The story does not seem to end here. The approaches and methods of analysing business processes have not yet coalesced into a theory of how to manage the show. But certain visible trends revealing how strategic issues get resolved can be outlined thus (Christensen et al).

- **Top Management Prerogative:** Business policy puts lot of emphasis on top management functions and responsibilities, such as defining objectives, specifying action plans, providing direction to enterprise activities, ensuring

control, balancing the concerns of internal and external groups and ensuring the success of a firm in a changing environment.

- **General Management Bias:** Business policy tries to look at the 'jungle rather than the trees'. Instead of examining issues from a functional angle, policy makers tend to view all key issues from a broader perspective – i.e. assessing the overall impact of a decision on the entire business. This, of course, involves choosing a right path, keeping organizational capabilities and environmental pressures in the background.
- **Resource Focus:** Business policy is chiefly concerned with the mobilization of various resources in order to achieve the goals of an enterprise in an effective way in the face of severe competition or adverse circumstances. Also top management functions and responsibilities are prime concern to them.

Check your progress 9

1. Business policy puts lot of emphasis on_____functions and responsibilities.
 - a. Top Management
 - b. General Management
 - c. Resource Focus

1.11 The Indian Scenario

Sea Change in Indian Business Scenario:

Due to the introduction of economic policies post-independence and awareness about management education, the business environment in India started changing rapidly .It posed a new set of challenges for them and all of a sudden strategic planning and formulation gained importance. The business environment started becoming more conducive post liberalisation era and there developed a cause -effect relationship between the business environment and liberalisation phase.

The following diagram1.1 would illustrate the impact of New Economic Policy it's on business environment:

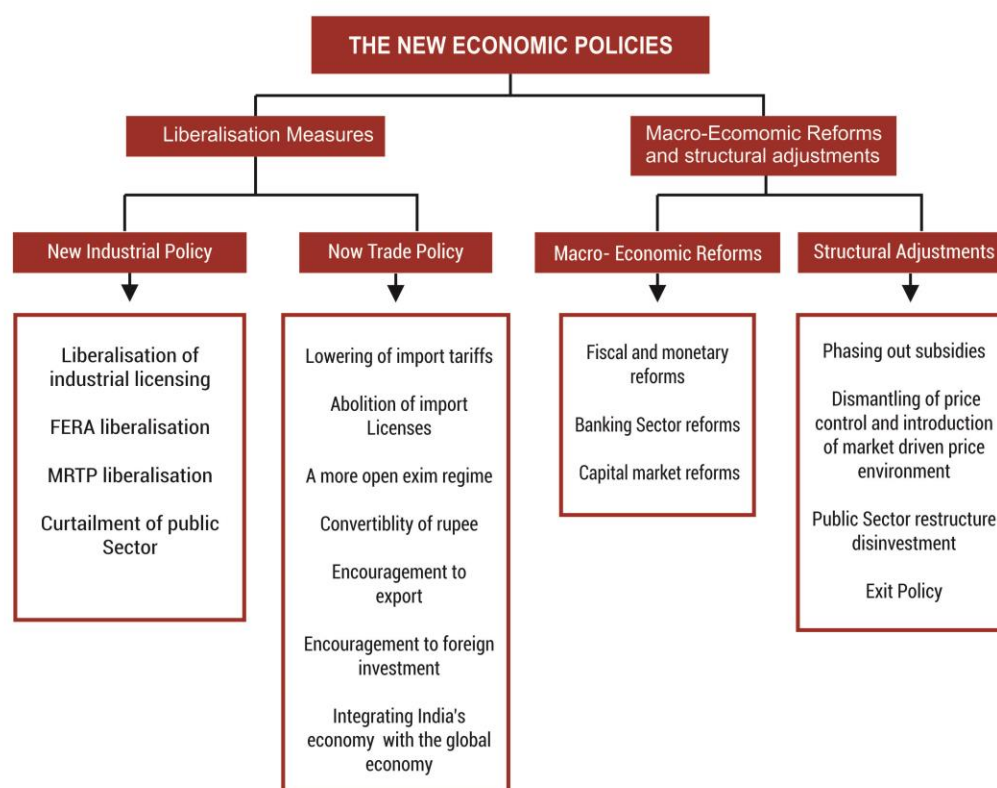


Fig 1.1 New Economic Policies

Indian Business scenario went a total change in 1991. The role of public sector was also curtailed. The era of licensed raj was over. Following Diagram 1.2 gives the clear picture where the impact of New Industrial Policy and LPG Era was shown.

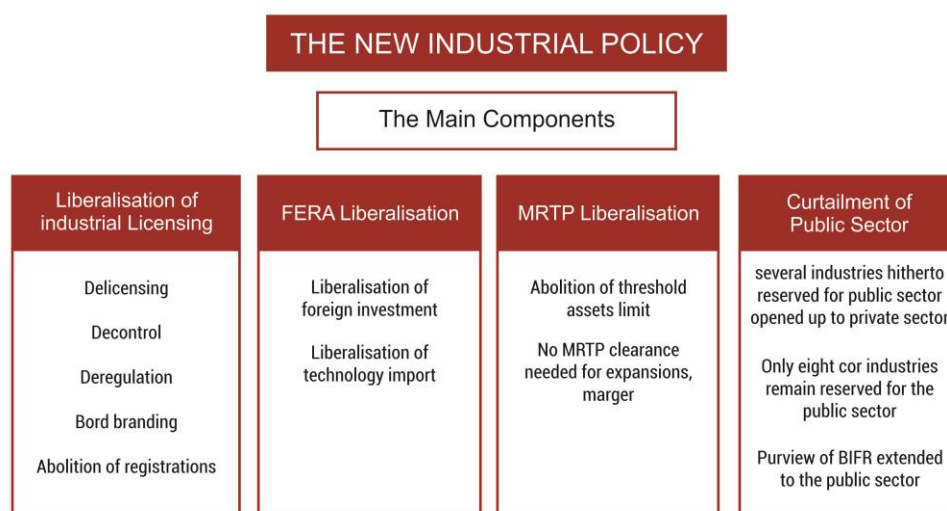


Fig 1.2 New Industrial Policies

Emphasis was given more on Trade policy in which Imports were liberalised, tariffs were reduced and licences were abolished and exports received an encouragement along with boost to foreign investment.

The efforts were made to integrate India's economy with the global economy which gave rise to many Joint Ventures initiatives. Entrepreneurial Ventures were given encouragement. There was diversification rush seen by many MNCs. The spate of mergers and acquisitions remained much active

Banking sector also received a boom due to many private players came in the scene. NBFCs also registered a rapid growth due to alliances with the global finance companies.

Check Your Progress 10

1. Due to the introduction of economic policies post-independence following things happened :
 - a. business environment in India started changing rapidly
 - b. business environment started becoming more conducive post liberalization era
 - c. developed a cause -effect relationship between the business environment and liberalization phase
 - d. all of the above

1.12 Strategy vs. Policy

Strategies define the overall character, mission and direction of an enterprise. They focus on an organisation's long-term relationship with its external environment. They specify what an organization will be doing in future, reflecting the kind of enterprise the managers envision. Strategies are formulated and implemented with a view to achieve specific goals. An appropriate strategy will give managers an advantage over their opponents or competitors; it will enable them to Marshall their resources so that they will be more effectively utilized. In other words, the basic purpose of a strategy is to deploy human as well as physical resources in order to maximize the chances of achieving a selected objective in the face of difficulties. It is an important offensive device in the hands of aspiring David's to combat corporate Goliaths.

A policy, on the other hand, tells people what they should and should not do in order to contribute to the achievement of corporate goals. It says something about how goals will be attained. It is a helpful guide that makes the strategy of the business explicit and provides direction to subordinates.

Strategy vs. Policy

Strategy	Policy
Deals with strategic decisions that decide the long-term health of an enterprise. It is a comprehensive plan of action designed to meet certain specific goals	It offers guidelines for managers to take appropriate decisions
It is a means of putting a policy into effect within certain time limits	It is a general course of action with no defined time limits
Deals with those decisions which have not been encountered before in quite the same form, for which no predetermined and explicit set or ordered responses exist in the organization and which are important in terms of the resources committed or the precedents set	It is a guide to action in areas of repetitive activity provides guidance to subordinates
Deals with crucial decisions whose implementation requires constant attention of top management .also it deals with the deployment of humans and resources in order to maximize the chances of achieving the selected objectives.,	Once policy decisions are formulated, these can be delegated and implemented by others independently

Check your progress 11

1. The basic purpose of a _____ is to deploy human as well as physical resources in order to maximize the chances of achieving a selected objective in the face of difficulties.
 - a. Strategy
 - b. Policy
2. _____ is a helpful guide that makes the strategy of the business explicit and provides direction to subordinates.
 - a. Policy
 - b. Strategy

1.13 Strategic Management

Evolution

Till 1930s most firms were happy focusing attention on their day-to-day, short-term activities. In an environment characterized by very little competition, a functional orientation supported by budgeting and control systems guided the fortunes of firms. The adhoc policy making yielded ground to planned policy formulation and by 1940 the emphasis shifted to the integration of functional areas in the context of environmental demands. The period between 1960s and 1980s, was characterized by rapid environmental changes and increased complexity of business functions necessitating long range planning and comprehensive business policies aimed at placing a firm in an advantageous relationship to its environment. During the 1980s and early 1990s, interest in the role of strategy in building competitive advantage resulted in a shift of interest toward the internal aspects of the firm (Hofer et al.). Strategic management is currently the core of business policy discipline everywhere. Grant has summarized these developments thus:

The Evolution of Strategic Management

Strategic planning
and strategic
management

Period	1950s	1960s	1970s	Late 1970s to early 1980s	Late 1980s to early 1990s	Mid to late 1990s
Dominant Theme	Budgetary planning and control	Corporate planning	Corporate strategy	Analysis of industry and competition	The quest for competitive advantage	Strategic innovation
Main Issues	Financial control through operating budgets	Planning growth	Portfolio planning	Choice of industries, markets, and segments and positioning with them	Sources of competitive advantage within the firm	Strategic and organizational advantage
Principal Concepts and Techniques	Financial budgeting investment planning, Project appraisal	Forecasting investment planning models	Synergy SBU's Portfolio planning matrices Experience curves Returns to market share	Analysis of industry structure Competitor analysis PIMS analysis	Resource analysis Analysis of core competences	Dynamic sources of competitive advantage Control of standards Knowledge and learning
Organisational Implications	Financial management the key	Rise of corporate planning departments and five-year formal plans	Diversification Multidivisional structures, Quest for global market share	Greater industry and market selectivity Industry restructuring Active asset management	Corporate restructuring and business process reengineering Refocusing and outsourcing	The virtual organization, The knowledge based firm Alliances and networks, The quest for critical mass

Strategic management is the process by which organizations try to determine what needs to be done to achieve corporate objectives and more importantly, how these objectives are to be met. Ideally, it is a process by which senior management examines the organization and the environment in which it operates and attempts to establish an appropriate and optimal 'fit' between the two to ensure the organisation's success. Strategic planning is usually done over three to five year time horizons by senior management or when some important event impacts the organization, such as a merger or acquisition, or its environment.

Definitions of Strategic Management

- It is a continuous process of effectively relating the organisation's objectives and resources to the opportunities in the environment (Schellen Berger and Boseman)
- It is a process of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives (F R David)

Elements of Strategic Management

The above definitions clearly reveal four important elements of strategic management: (a) Strategic analysis (b) Strategic choice, (c) Strategy implementation and (d) Strategy evaluation.

- **Strategic Analysis:** This is concerned with the strategic situation of the organization. Here the organization looks into issues such as changes in the organizational environment and its likely impact on the organization, assessment of its resources and strengths and weaknesses in the light of changes in environment. It is formulation of suitable course of action. A vigilant and proactive organization always tries to get ahead of competition through a constant re-examination of its position in the marketplace in terms of its products, services, strategies etc.
- **Strategic Choice:** Strategic analysis provides a basis for strategic choice. This is basically concerned with the formulation of suitable courses of action, their evaluation and the choices between them. The relevant issues include deciding what new businesses to enter, what businesses to abandon, how to allocate resources, whether to expand operations or diversify, whether to enter international markets, whether to merge or form a joint venture and how to avoid a hostile takeover etc. Since an organization has to utilize its resources judiciously, it must decide which alternative strategies will benefit the firm the most.

- **Strategy Implementation:** This is the action stage of strategic management. Implementation means mobilizing employees to translate formulated strategies into concrete action. This step requires a firm to (a) establish annual objectives, (b) devise policies, (c) motivate employees, (d) allocate resources, (e) develop a strategy of supportive culture (f) create an effective organization structure (g) channel marketing efforts (h) prepare budgets (i) develop and utilize information systems and (j) link employee rewards to organizational performance. Often, successful strategy implementation hinges upon a manager's ability to motivate people.

Check your progress 12

1. _____ is concerned with the strategic situation of the organization.
 - a. Strategic Analysis
 - b. Strategic Choice
 - c. Strategy Implementation
 - d. None of the above
2. Strategic analysis is basically concerned with the formulation of suitable courses of action, their evaluation and the choices between them.
 - a. True
 - b. False

1.14 Modes of Strategic Management

Modes of strategic management are the approaches adopted by managers in formulating and implementing strategies. They address the issues of who has the major influence in the strategic management process and how the process is carried out. Managers generally use one of three major approaches to strategic management: entrepreneurial, adaptive and planning (Mintzberg, 1973).

- **Entrepreneurial Mode:** In the entrepreneurial mode, strategy is developed mainly by a strong visionary chief executive who actively searches for new opportunities, is heavily oriented toward growth, and is willing to make bold decisions or to shift strategies whenever necessary. The entrepreneurial mode is generally found in organizations that are young or small, have a

strong leader, or are in such serious trouble that bold moves are their only hope. The vision and dynamism of the top leaders, who enjoy absolute power, shape the future of the organization.

- **Adaptive Mode:** This is an approach to strategy formulation that emphasizes taking small, incremental steps, reacting to problems rather than seeking opportunities, and attempting to satisfy a number of organizational power groups. The adaptive mode is characterized, thus, by some familiar features:
 - The focus is on solving problems of immediate concern, rather than developing long-term strategies.
 - Instead of meeting problems head-on in a bold way, the executives try to follow a reactive approach.
 - This approach is used by managers in established organizations that face a rapidly changing environment and yet have several coalitions or power blocks that make it difficult to obtain agreement on clear strategic goals and associated long-term plans (Mintzberg).
 - The emphasis is on taking small, incremental steps aimed at appraising powerful coalitions within the organization. Since power gets distributed, it is always not possible to develop major goals, take bold initiatives and get ahead in a unified way.

Check Your Progress 13

1. Managers generally use one of three major approaches to strategic management:
 - a. entrepreneurial
 - b. adaptive
 - c. planning
 - d. all of the above

1.15 Let Us Sum Up

In this unit we studied about the strategic planning and its importance. It explains us the necessity for strategic planning. Core competence, portfolio of business, growth, environment and future are the areas that strategic management is concerned with. Evolution of strategic management is mentioned. It is described that organizations develop strategies at three different levels like corporate, business and functional level.

It is discussed that strategic issues have the dimensions like top management involvement, allocation of large doses of resources, effect on long-term prosperity of the firm etc. There are four elements for the strategy like goals, scope, competitive strategy and logic. Four types of strategies are discussed Master or grand strategies, Programme strategies, Sub-strategies and Tactics. Approaches to strategy are also discussed namely design, positional and analytical approach. The Indian scenario with respect to new economic policy has been mentioned in detail. Differentiation between strategy and policy has been mentioned. Three major approaches to strategic management entrepreneurial, adaptive and planning are discussed in detail.

1.16 Answers for Check Your Progress

Check your progress 1

Answers: (1-d), (2-d)

Check your progress 2

Answers: (1-c), (2-d)

Check your progress 3

Answers: (1-d)

Check your progress 4

Answers: (1-a), (2-a)

Check your progress 5

Answers: (1-a)

Check your progress 6

Answers: (1-a), (2-d)

Check your progress 7

Answers: (1-d)

Check your progress 8

Answers: (1-d), (2-d)

Check your progress 9

Answers: (1-a)

Check your progress 10

Answers: (1-d)

Check your progress 11

Answers: (1-a), (2-a)

Check your progress 12

Answers: (1-a), (2-a)

Check your progress 13

Answers: (1-d)

1.18 Glossary

1. **Benchmarking** - An analysis of competitor strengths and weaknesses; used to evaluate a firm's relative competitive position, opportunities or improving, and success/failure in achieving such improvement.
2. **Best Practices** - The business methods and procedures utilized by firms considered the leader in an industry.

3. **Business Model** - A company's business model is management's storyline for how the strategy will be a money maker.
4. **Company Culture** - The mix of important assumptions shared by members of an organization; may be explicit or implicit, usually determined by the business environment of a firm's industry; the prior experience of employees in other firms, professions, communities, etc.; and the experiences that the employees share in their everyday work environment within the firm.
5. **Company Mission** - The unique purpose of a firm that sets it apart from firms of its type; identifies scope of operations including markets, customers, products, distribution, technology, etc. in manner that reflects values and priorities of the firm's strategies.
6. **Competitive Advantage** - Advantages that a firm has over its competitors.
7. **Competitive Position** - The position that a firm has or wishes to achieve within its industry as measured against its competition.
8. **Strategic Management** - To the art of business planning at the highest possible level implemented by the company's leader or leaders and is focused on building a solid underlying foundation for a company
9. **Strategic Management Process** - To the steps by which management converts a firm's mission, objectives and goals into a workable strategy.
10. **Planning** - The process of deciding in advance what should be accomplished and how it should be realized

1.19 Assignment

1. Define strategic management and bring out its distinguishing features.
2. Distinguish between:
 - Strategic Planning and Operational Planning
 - Strategy vs. Tactics
 - Strategy vs. Policy
3. In your opinion, what is the single major benefit of using a strategic management approach to decision-making? Justify your answer.

1.20 Activities

1. Write short notes on:
 - Modes of strategic management
 - The resource-based view of a firm
 - Strategic decisions
 - Business policy
 - Tactics

1.21 Case Study

New skills for MATRIX

Vijay shook his head when he saw the client getting restless as Parkas bungled again trying to complete a sales transaction on the new MATRIX software system. Vijay Dhir is the manager of the Menswear store of Fortune Group well known for their world class retail store chains. Vijay was selected as a management trainee by Fortune at the MBA campus three years ago and is now one of the younger group managers having over 25 full-time and part-time employees including two supervisors for the two units - Leisure wear and Formal wear. Prakash a commerce graduate is 5 years older than Vijay with about that many years more experience than Vijay in retail trade. After years of hard work as a sales representative, Prakash was rewarded for his excellent people skills and promoted as the supervisor of Leisure wear unit a year ago.

Six months ago Fortune began a systems migration program to replace the existing decentralized store based computer and information software with MATRIX, an enterprise wide integrated system. As a result of this migration there were major changes required in each employee's work, especially those in sales. They had to learn operating the new system and complete all transactions at point of sale while the customer waited across the counter. As the implementation date of MATRIX approached an extensive 3 days training program was organized; first for managers and supervisors and then for the other sales representatives. Vijay and Prakash attended the training together. The trainers demonstrated and explained every process and transaction in detail, each participant was given time to practice and a basic user manual provided to each participant. Vijay was happy as Prakash who had not worked much with computers approached the training with enthusiasm.

It is now over a month since MATRIX was introduced. Vijay is disappointed because in spite of the training and time spent on demo terminals, Prakash has not mastered the new system and it is affecting his performance as well as the store's customer service. Initially Prakash sought his assistance many times to complete the same set of transactions. When Vijay asked Prakash to refer to the user manual, Prakash said it was not very useful and he had misplaced it. Vijay frequently observed Prakash getting stuck and using a trial and error process or seeking help from other sales associates.

Vijay is now sensing that Prakash is feeling uncomfortable and stressed. He is not seeking Vijay's help anymore. Prakash's discomfort with the system has added additional burden on other employees besides affecting customer service. Vijay knows he has to take action quickly. He wants to help but thinks that Prakash also has to take some initiative and show progress or he may be forced to take some drastic action.

Case Study Questions

- Is this a training or learning problem? What do you think?
- What can Vijay do to help Prakash?
- What should be Vijay's line of action for the next few weeks?

1.22 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
3. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions »RS Kaplan, DP Norton - Accounting Horizons, 2001.
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UNIT 2: THE STRATEGIC MANAGEMENT PROCESS

Unit Structure

2.0 Learning Objectives

2.1 Introduction

2.2 Purposes of Strategic Management Process

2.3 Steps in the Strategic Management Process

2.4 Strategy Formulation

2.5 Strategy Implementation

2.6 Strategic Intent: Vision, Mission and Objectives

2.6.1 Introduction

2.6.2 The Hierarchy of Strategic Intent

2.6.3 Vision

2.6.4 Mission

2.6.5 Characteristics of Objectives

2.6.6 Critical Success Factors (CSFs)

2.7 Corporate Social Responsibility

2.7.1 Causes of Growing Concern for Social Responsibilities

2.8 Let Us Sum Up

2.9 Answers for Check your progress

2.10 Glossary

2.11 Assignment

2.12 Activities

2.13 Case study

2.14 Further Readings

2.0 Learning Objectives

After learning this unit, you will be able to understand:

- The strategic management process.
- The purposes of Strategic management process.
- The steps in strategic management process.
- Strategy formulation and implementation.
- Corporate Social Responsibility.

2.1 Introduction

The term ‘Strategic Management Process’ refers to the steps by which management converts a firm’s mission, objectives and goals into a workable strategy. In a dynamic environment each firm needs to tailor its strategic management process in ways that best suit its own capabilities and situational requirements. Viewed broadly, the strategic management process has two parts: an information process and a decision process. The information process involves collecting and analysing information about the external and internal environments. External factors are taken into account to find major opportunities and threats that now or will confront the organization. To survive and grow, every organization, invariably, must find how the situational factors have affected its past and current performance. This must be followed by an internal analysis to affect its past and current performance. This must be followed by an internal analysis to determine the organization’s strategic direction. Strategists carry out internal analysis to have a ‘feel’ of where their organization has been and where it now is, particularly with regard to internal strengths and weaknesses. Information about the organization’s strengths and weaknesses, when combined with information about strategic direction. The decision process covers four important steps: development of alternatives, choice, implementation and assessment. Based on the external and internal analysis, strategists first identify possible strategic alternatives and pick up those that help the organization reach its mission and objectives. In the next step, the planners decide how and when to translate strategic choices into action, followed by an evaluation of the effectiveness and efficiency of the strategic direction the organization has followed.

2.2 Purposes of Strategic Management Process

Strategic management basically aims at formulating and implementing effective strategies. Effective strategies, of course, are those that help a superior 'fit' between the organization and its environment and the achievement of strategic goals (Andrews). Strategies necessarily change over time to suit environmental changes but, to remain competitive, organizations develop strategies that focus on core competence, develop synergy and create value for customers.

- **Core Competence:** An organization's core competence is something it does not exceptionally well in comparison to its competitors. It reflects a distinct competitive advantage (like superior research and development, mastery of a technology, distribution channel, and manufacturing efficiency or customer service) that provides the firm (a) access to variety of products/markers (b) contributes greatly to customer benefits in the end products and easily copied by competitors.
- **Synergy:** When organizational parts interact to produce a joint effort that is greater than the sum of the parts acting alone, synergy occurs. Some call this the $1+1 = 3$ effect. In strategic management, managers are urged to achieve as much market, cost, technology and management synergy as possible when arriving at strategic decisions (such as mergers, acquisitions, new products, new technology etc.). When one product or service strengthens the sales of one or more other products or services, market synergy occurs. Wal-Mart's new Supercentres and Super K marts that put a discount store and a grocery store under one huge roof (Crossroads, Mumbai; Spencer's in Chennai) are a good example of market synergy in action. Cost synergy can occur in almost every dimension of organized effort. When two or more products can be designed by the same engineers, produced in the same facilities, distributed through the same channels, or sold by the same sales persons, overall costs will be lower than if each product received separate treatment. In Europe, today, banks and insurance companies are linking up in an effort to market a wide array of financial products that each would have trouble selling on its own (Wall Street Journal). Technology synergy involves transferring technology from one application to another, thus opening up new markets. In management synergy also a similar kind of technology transfer is needed. Management synergy would be achieved, for example, if a software product company with weak roots in training and education line hires a new CEO with strong academic and training

credentials. Ideally the new CEO would transfer his technical skills to good effect.

- **Value Creation:** Exploiting core competencies and achieving synergy help organizations create value for their customers. Value is the sum total of benefits received and costs paid by the customer in a given situation. Ideally, the purpose of a strategy should be to create a lasting value that is greater than the cost of resources that are used to create the same.

Check Your Progress 1

1. Organizations develop strategies that focus on
 - a. core competence
 - b. develop synergy
 - c. create value for customers
 - d. all of the above

2.3 Steps in the Strategic Management Process

Dynamic in nature, the strategic management process (Fig 2.1) is the full set of commitments, decisions and actions needed for a firm to achieve strategic competitiveness and earn above average returns. Strategic competitiveness is achieved when a firm successfully formulates and implements a value creating strategy. When a firm implements such a strategy that other firms are unable to duplicate or find too costly to imitate, this firm has a suitable competitive advantage. By achieving strategic competitiveness and successfully exploiting its competitive advantage, the firm is able to achieve above average returns which are returns in excess of what an investor expects to earn from other investments with a similar amount of risk. 'Risk' here refers to an investor's uncertainty about the economic gains or losses that will result from a particular investment (Hitt et al.). Strategic management offers benefits like providing an objective view of management problems, encouraging a favourable attitude and maximizing the effects of adverse conditions and changes. The strategic management process is the full set of commitments, decisions and actions needed for a firm to achieve strategic competitiveness and earn above average returns

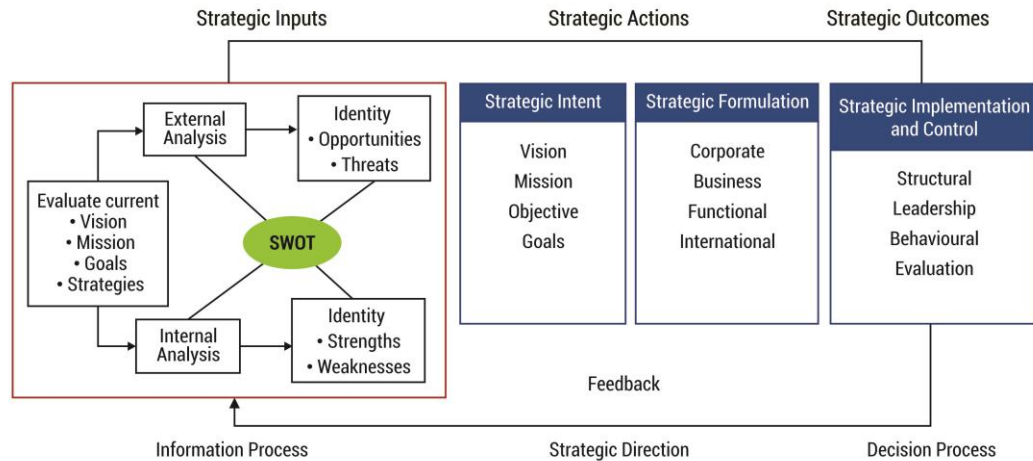


Fig 2.1 The Strategic Management Process

Check your progress 2

1. Strategic management offers all of these benefits except that
 - a. It provides an objective view of management problems.
 - b. It creates a framework for internal communication among personnel.
 - c. It encourages a favorable attitude toward change.
 - d. It maximizes the effects of adverse conditions and changes
2. The strategic management process is the full set of commitments, decisions and actions needed for a firm to achieve strategic competitiveness and earn above average returns.
 - a. True
 - b. False

2.4 Strategy Formulation

Corporate level strategy formulation

Corporate level strategy pertains to the organization as a whole and the combination of business units and product lines that make up the corporate entry.

It addresses the overall strategy that an organization will follow. The process generally involves selecting a grand strategy and using portfolio strategy approaches to determine the types of businesses in which the organization should be engaged.

Grand strategy is the general plan of major action by which a firm intends to achieve its long-term goals. It provides basic direction for the strategic actions of a firm. Grand strategies fall into four general categories: growth/expansion, stability, retrenchment and combination (explained later).

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Fig 2.2 Generic Strategies

1. **Growth/Expansion Strategy:** Organizations generally seek growth in sales, market share or some other measure as a primary objective. When growth becomes a passion and organizations try to seek sizeable growth (as against slow and steady growth), it takes the shape of an expansion strategy. The firm tries to redefine the business, enter new businesses that are related or unrelated or look at its product portfolio more intensely. The firm can have as many alternatives as it wants by changing the mix of products, markets and functions. Thus, the growth opportunities may come internally or externally. Internal growth possibilities may be exploited through intensification or diversification. External growth options include mergers, take-overs and joint ventures.
2. **Stability Strategy:** A stability strategy involves maintaining the status quo or growing in a methodical, but slow, manner. The firm follows a safety-oriented, status-quo-type strategy without effecting any major changes in its present operations. The resources are put on existing operations to achieve moderate, incremental growth. As such, the primary focus is on current

products, markets and functions, maintaining the same level of effort as at present.

3. **Retrenchment Strategy:** It is a corporate level; defensive strategy followed by a firm when its performance is disappointing or when its survival is at stake. When a firm is confronted with a precipitous drop in demand for its products and services, it is forced to effect across-the-board cuts in personnel and expenditures. Retrenchment strategy, as such, is adopted out of necessity, not by deliberate choice.
4. **Combination strategies:** Large, diversified organizations generally use a mixture of stability, expansion or retrenchment strategies either simultaneously (at the same time in various businesses) or sequentially (at different times in the same business). For example, growth could be achieved by an organization through acquisition of new businesses or diverging itself of unprofitable ventures. Depending on situational demands, therefore, an organization can employ various strategies to survive, grow and remain profitable.

Strategy Formulation

Multi business firms would require strategy at two levels:

One is corporate level and other is business level. Both the strategies are interdependent.



Fig 2.3 Strategy Formulation

Corporate level strategy Formulation: It would cover the corporation as a whole and all its businesses and is concerned with best utilisation of resources

Business Level Strategy Formulation

Business level strategy deals with how a particular business competes. The principal focus is on meeting competition, protecting market share and earning profit at the business unit level. The strategies of growth, stability and retrenchment, discussed above, apply at the business level as well as the corporate level, but they are accomplished through competitive actions rather than by the acquisition or divestment of other businesses. It is also concerned with competition in the market.

Functional Level Strategy Formulation

Functional strategies are formulated by specialists in each area of a business such as marketing, production, finance, human resources and research and development. Functional strategies outline the action plans that must be put into practice to execute business level strategy. Business level and functional specialists must coordinate their activities to ensure that the strategies pursued by them are consistent and lead to achievement of overall goals.

- **Research and Development Strategy:** Businesses cannot grow and survive without new products. It is the role of R&D specialists to generate new product ideas, nurture them carefully and develop them fully into commercially viable propositions. Where innovation proves to be a costly exercise, imitation could also be tried as a fruitful option. Many Japanese electronics companies were quite successful in copying American technology and by avoiding R&D costs, improved their competitive strength significantly (Certo and Peter).
- **Operations Strategy:** This strategy outlines steps to keep costs under check and improve operational efficiency. The focus is on arriving at decisions regarding plant layout, plant capacity, production processes, inventory management etc.
- **Financial Strategy:** It deals with financial planning, evaluating investment proposals, securing funds for various investments and controlling financial resources. Thus raising funds, acquiring assets, allocating funds to operations, using funds efficiently etc. are all part of this strategy.
- **Marketing Strategy:** It deals with strategies relating to product, pricing, distribution and promotion of a company's offerings. Important issues here cover what type of products, at what prices, through which distribution channel and by the use of which promotional tool and sales force etc.

- **Human Resource Strategy:** HR Strategy deals with hiring, training, assessing, developing, rewarding, motivating and retaining the number and types of employees required to run the business effectively. Internal (union contracts, productivity indices, labour turnover, absenteeism, accidents etc.) and external factors (labour laws, sons of the soil, reservation, equal employment opportunity, employment of children and women etc.) need to be carefully evaluated while formulating HR strategies.

Check Your Progress 3

1. The principal focus of business strategy is on
 - a. meeting competition
 - b. protecting market share
 - c. Earning profit at the business unit level.
 - d. all of the above
2. Grand strategies fall into four general categories:
 - a. growth/expansion and stability
 - b. retrenchment and combination
 - c. both a and b
 - d. only b
3. The focus of operations strategy is on arriving at decisions regarding
 - a. plant layout and capacity
 - b. production processes
 - c. inventory management
 - d. all of the above

2.5 Strategy Implementation

Strategy implementation is the process of translation of strategies and policies into action through the development of programmes, budgets and procedures. It is typically conducted by the middle and lower level management but is reviewed by the top management. However, programmes and procedures are simply more detailed plans for the eventual implementation of strategy. Unless

the corporation is appropriately organized, programmes are adequately staffed and activities are properly directed, these operational plans fail to deliver the goods. To be effective, a strategy must be implemented through the right organization structure and appropriate management practices. In addition, management must also ensure that there is progress towards objectives according to plan by instituting a rigorous process of control over important activities. The following figure would help in understanding the process of strategy implementation.

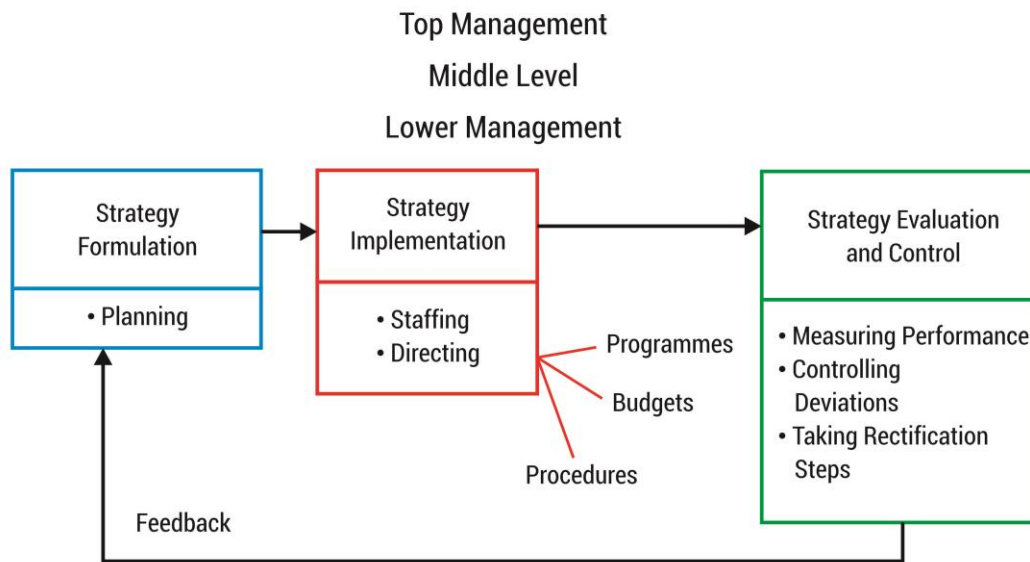


Fig 2.4 Process of strategy implementation

Organising:

In a classic study of large American Corporations (Du Pont, General Motors, Sears Roebuck, Standard Oil), Chandler concluded that structure follows strategy (Strategy and Structure, MIT Press 1962). Changes in corporate strategy have invariably led to changes in corporate structure. Chandler found that most corporations begin with a centralized organization structure. As they add new product lines and create independent distribution networks, the centralized structure is discarded by the organizations in favour of a decentralized structure which permits the creation of semi-autonomous product divisions. Burns and Stalker also found that mechanistic structures (centralized decision making and bureaucratic rules) seem to be appropriate to organizations operating in stable environments. However, organic structures, in contrast (decentralization and flexible procedures), seem to be appropriate to organizations operating in a constantly changing environment. The research conducted later on also supports Chandler's proposal that an appropriate organization structure is necessary to

meet changes in corporate strategy. The firm should, therefore, work to make its structure congruent with its strategy.

Staffing

Effective strategy implementation calls for utilization of human resources fully. For implementing growth strategies, new people should be recruited and given requisite training. Retrenchment strategies call for a sound basis for firing people, i.e. seniority, performance, absenteeism, etc. In order to translate the strategy into action, the services of capable and committed people are necessary. To this end, management should institute proper performance appraisal systems which permit people to compare their performance with others and find out where they are. These systems also help the management to identify 'star' performers easily and reward them adequately. Perspiration does not go far without a little bit of inspiration.

Directing

People should be motivated to implement a new strategy in desired ways. It is not sufficient merely to have people who can do the job; it is also necessary to have people who want to do the job the way you need it done. In addition to traditional motivational techniques, managers should also make use of modern techniques in order to inspire people to peak performance.

Motivational Techniques

The traditional motivational techniques are based on a reward-punishment psychology and involve the use of performance appraisals and performance-based incentive programmes. These approaches, including MBO, indicate that specific results are best achieved by clearly outlining realistic goals and then suitably rewarding those managers who achieve them. They are overly reliant on money as the primary motivator; while overlooking other factors that might be truly motivating to many managers. According to Morse and Martin, motivating the organisation to implement strategy requires:

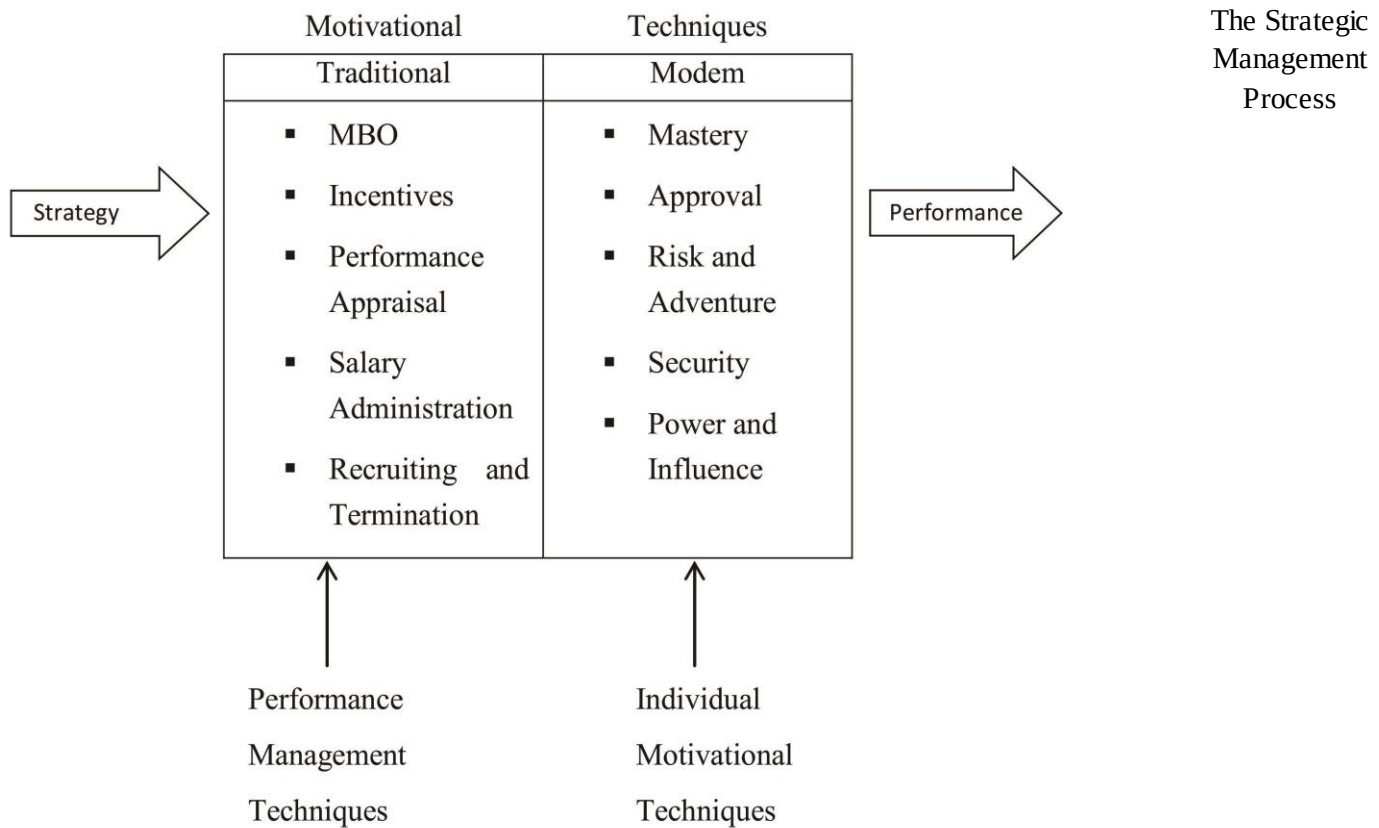


Fig 2.5 Motivational Techniques

Check your progress 4

1. Strategy implementation is the process of translation of strategies and policies into action through the development of programmers, budgets and procedures.
 - a. True
 - b. False
2. Chandler found that most corporations begin with a centralized organization structure.
 - a. True
 - b. False

2.6 Strategic Intent: Vision, Mission and Objectives

2.6.1 Introduction

‘Strategic Intent’ is the leveraging of a firm’s internal resources, capabilities and core competencies to accomplish the firm’s vision, mission and objectives in a competitive environment (Hit et al.). It is all about winning competitive battles and gaining leadership position by putting organizational resources to best use. When established effectively, a strategic intent can cause people to turn out excellent performance (Hummel and Prahalad, 1989). Strategic intent is said to exist when all employees and levels of a firm are committed to the pursuit of a specific but significant performance target (Hammel and Prahalad, 1994). The intent can take the form of a broad vision or mission statement or a more focused route covering specific objectives and goals (Richards). In a way, thus, strategic intent tries to establish the parameters that shape the values, motives and actions of people throughout their organization (R.Howard).

2.6.2 The Hierarchy of Strategic Intent

We will discuss these parameters as a hierarchy of strategic intent. As illustrated in Fig., the hierarchy of strategic intent includes the following elements (Miller).

- A broad vision of what the organization should be
- The organisation’s mission
- The strategic objectives and specific goals to be pursued relentlessly
- The plans that are developed to accomplish the intentions of management in a concrete way

Eg: The diagram mentions the vision and mission of a chemical company



Fig 2.6 Vision and Mission

The strategic Ends Pursued by an Organisation can be organised in a Hierarchy of Strategic Intent



Fig 2.7 Hierarchy of Strategic Intent

The elements of the above hierarchy specify the pious intentions, lofty ideals and clear-cut ideas that serve to unify the energy and forces scattered throughout an organization. “They are beginning points for any formal planning process, but they also provide the sense of direction necessary to assure that incremental behaviour culminates in overall progresses. Strategic intent is said to

have been expressed effectively when people believe fervently in their product and industry and when they are focused totally on their firm's ability to outperform its competitors (Sherman).

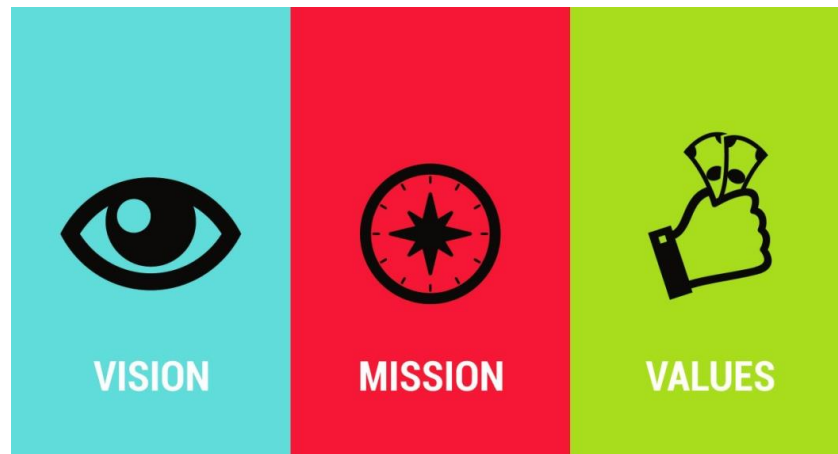


Fig 2.8 Vision Mission And Values

2.6.3 Vision

The world over, backwards and forwards in history, just one thing has fired the imaginations of the people: a vision of future that promises to right today's wrongs, a graphic image of a time when injustice, impoverishment and imprisonment will have disappeared. Moses used the vision of a land of milk and honey to motivate his people to set off for the Promised Land. India's freedom fighters used the vision of a country free of its colonial rulers to wrest independence (Sen). In the corporate context, vision refers to an inspirational picture of a future that can be created, offering clarity amidst confusion, hope against despair, and unity of purpose amidst diversity of personal causes.

Basic elements of a vision statement

Vision is simply a combination of 3 basic elements.

- An organization's fundamental reason for existence beyond just making money.
- Its timeless, unchanging core values. The core values define the enduring character of an organization that remains unchanged as it experiences changes in technology, competition, management styles etc.
- Huge and audacious but achievable aspirations for its future (Big Hairy Audacious Goals or Simply BHAGs).

Examples of Corporate Vision Statements

- **BHEL:** “A world class innovative, competitive and profitable engineering enterprise providing total business solutions”.
- **Colgate-Palmolive:** “To be the company of first choice in oral and personal hygiene by continuously caring for consumers and partners”.
- **NTPC:** “To make available, reliable and quality power in increasingly large quantities”.
- **Tata Steel, J.J.Irani** “To strengthen India’s industrial base through the effective utilization of men and materials. The means envisaged to achieve this are high technology and productivity, consistent with modern management practices...”
- **Thermax, Anu R Aga....** “We aspire to become a leading technology company with a global business outlook, delivering world-class products and services to our customers. We exist to fulfil the needs of our customers – best understood through an enlightened partnership with them ... “.
- **Voltas:** “We will be among the 10 most admired industrial corporations in the country with leadership focus on delivery of products and services which are globally competitive; continuous improvement of our products, processes, and people; a learning organization of committed and contributing employees who share the competitive agenda; continuing satisfaction of our customers and all our stakeholders; sensitive concern for society, environment and our values of justice, fair play and integrity; expansion in our areas of core competence and development of competencies for new product-market growth opportunities”.
- **Whirlpool:** “Grow with new opportunities and be the leader in an ever-changing global market. We will be driven by our commitment to continuous quality improvement and to exceeding all our customers’ expectations. We will gain competitive advantage through this and by building on existing strengths and developing new competencies. We will be market-driven, efficient and profitable. Our success will make Whirlpool a company that worldwide customers, employees and other stakeholders can depend on.
- **Wipro:** “Be among the 10 most admired Indian corporations. Excellence in quality, customer focus, and service deliverables. Be in the top 25 among Indian groups in profit after tax of Rs.3, 000 million to ensure competitive

financial power. By 2000, have international operations/exports contribute more than 50 per cent of corporation profit after tax. To determine our own destiny, at least 85 per cent of our profit after tax would come from Wipro controlled business units.

- **Arvind Mills:** “To achieve global dominance in select businesses built around our core competencies, through continuous product and technical innovation, customer orientation, and a focus on cost-effectiveness”. Evidently, vision does not put emphasis on specific businesses, products or even markets; it is, instead on the three factors that the business uses as its loadstars, with a single minded goal in mind – achieving global dominance. Vision preserves the core of the company while stimulating progress towards the future.

Reachable, Achievable

There is a certain amount of controversy on this issue. Some Chief Executive Officers (CEOs) feel that vision should be abstract, inspirational and should not be reachable. A difficult target will stretch people to the extreme and compel them to scale new heights every year. Others feel that there is no use chasing a pie in the sky. Vision must be clear and within a reasonable distance so that people do not get frustrated after repeated attempts result in failures.

Brevity

Some CEOs feel that the vision statement should be pithy enough to be read, understood and preferably memorized quickly. It should be short enough to be written on the back of even a business card! Others, however, feel that brevity should not be at the cost of clarity. “To make the vision come alive, to make it relevant, you have to spell it out”. After all in an organization, everyone has the right to know the leader’s dream, and how it can be achieved.

Building a Vision

The vision statement should be built around certain core values. Thus, Sony’s vision rests on values of encouraging individual creativity and its determination to be a pioneer. Such core values reflect how you want your future to look, the timeless principles to be followed while running the show – irrespective of what happens in and around the organization. Values thus are the essential glue of vision. Since a company’s different businesses may need to operate with different strategies, it’s their shared values that will prevent them from going in different directions. The vision statement should also spell out the core purpose of an organization very clearly. For example, we know that 3M’s

purpose is to solve problems innovatively; Nike wants to provide the experience and emotion of competition – winning and crushing competitors; Blue Star wants to provide world class engineering products and services. Unstructured inputs could be taken from everyone before developing the corporate vision. Companies like Larsen & Toubro, Crompton Greaves, and Gujarat Heavy Chemicals typically follow certain steps in this regard: (a) elicit ideas from employees as to how their dream organization should be like in terms of characteristics; (b) combine these with the company's core values and purpose to build the vision statement.

Creating a shared vision

Most managers, now-a-days, talk about a shared vision, meaning that individuals from across the organization have a common mental image and a mutually supported set of aspirations that serve to unite their efforts. People at all levels must share a common inspirational image that compels them to give their best and realize their own dreams. The vision once finalized, must be injected into the veins of the organization, being shared, owned and lived by every single person in the company.

Strategic gains of a definitive vision

It is important for a corporation to have clarity of vision because the organization can stay focused and not wander off into unrelated areas that arise as a result of opportunities or apparent synergies. Without a vision, people fall into the activity trap. They end up cutting stone when they should be building the temple. Keeping the eyes focused on the destination is important at the employee level also because the specialization of tasks makes it impossible for the job itself to provide the complete picture. As one CEO commented "vision is the hallmark of an enlightened, forward looking organization. Enlightened people in an organization need a passion that they can follow with missionary zeal. People give their lives for a flag; a vision brings out that kind of commitment". A vision statement keeps people on the right track, when everyone believes in its ability to take the firm ahead of competition. Faced with the lack of consumer acceptance of its new products, Cadbury was forced in 1994 to devise a product strategy winning back customers. From that imperative arose its vision of being a company that provides 'value for money'. For its people that translated into a target of cutting costs sufficiently to ensure that the company could offer more for the same price and still retain its margins. Devoid of vision, the cost cutting might have been received cynically and with mistrust by employees. By knowing the company's ultimate objective, they worked as a team for results. According to Jim Roberson, the then CEO, "When we are doing badly, the vision reminds us why

only the short – sighted ignore the value of the vision. Good vision statements inspire people go give their best. They help in creating a shared sense of purpose. They compel people to take risks, experiment with ideas, stretch their energies and take others along in a relentless pursuit to scale new heights.

2.6.4 Mission

Organizations are founded for a purpose. Although the purpose may change over time, it is essential that stakeholders understand the reason for the organization's existence, that is, the organization's mission. The mission describes the organization's values, aspirations and reason for being. It reveals the long-term vision of an organization in terms of what it wants to be, where exactly it wants to go, and whom it wants to serve. According to Thompson, "The mission reflects the essential purpose of the organization, concerning particularly why it is in existence, the nature of the business (es) it is in, and the customers it seeks to serve and satisfy". It is a kind of visionary statement, a dramatic picture of what the company wants to become and grand designs of the firm's future. The mission is generally expressed in a broad manner and it is unlikely that it can be ever achieved completely.

Definition

The mission is an enduring statement of purpose that distinguishes one business from other similar firms. It identifies the scope of its operations in product and market terms. It implies the image the firm seeks to project and reflects the values and priorities of the firm's strategic decision makers. The obvious purpose of a mission statement is to give a public announcement to insiders and outsiders about what the firm stands for, what makes the firm different (instead of stating the obvious) and a more effective competitor. Firms which succeed long-term are those which create competitive advantages and sustain their strong positions with flexibility and improvement. In the long run, the mission statement should support this position.

- **Clarity:** The mission statement should be clear enough to lead to action. The corporate dream must be presented in crystal-clear manner preferably in a positive tone. For example, SBI – 'with you, all the way'.
- **Broad and Enduring:** The mission is a grand design of the firm's future. It is a general statement of the firm's intent, a kind of self-image the firm intends to project for years to come. However, it should not be so narrow as to restrict the firm's operations nor should it be too general to make itself

meaningless. To make things clear, mission statements come in two forms: primary mission (a general category of business to be engaged in) and secondary mission (defining everything more specifically). TELCO, for example, is in the transportation business (primary business). It provides passenger car and truck products to a wide variety of customers and markets (secondary mission).

- **Identity and Image:** The mission sets a firm apart from other firms of its style. Though this statement the firm wants to maintain its distinct image and character in terms of excellent quality and service, latest technology, and unique product offerings etc. For example, Asian Paints stresses, 'Leadership through Excellence'; MTNL presents itself as 'Lifeline of Delhi and Mumbai'; BPL puts emphasis on 'Entertainment at its best'; the Advertising Standards Council of India projects its image as the watchdog of the Indian Advertising Industry. Jaguar is 'Too good to resist' and Bajaj Auto offers 'Value for money, for years'.
- **Realistic:** Missions should be realistic and achievable, of course, by running that extra mile. Air India would be deluding itself if it adopted the mission to become "the world's favourite airline".
- **Specific:** Missions should be specific. They must define the competitive scopes within which the company will operate, that is the range of industries in which a company will operate (industrial goods, consumer goods, services); the range of products and applications the company will supply; the range of core competencies that a company will master and leverage; the type of customers a company will serve; and the range of regions, countries in which a company will operate (Kotler). The most important one in the above list is the one connecting mission with a company's core competencies. McDonald's could probably enter the solar energy business, but that would not take advantage of its core competence – providing low cost food and fast service to large groups of customers.
- **Values and Beliefs and Philosophy:** The mission lays emphasis on the values the firm stands for – what it intends to do, so that it stands out in a crowd, what is unique about its offerings, how it strives to meet the needs of its customers, employees, suppliers and dealers. The statement of a company's philosophy-known as the company creed-usually accompanies or appears within the mission statement. To be useful, statements of company philosophy must give a realistic picture of what the company stands for.

- **Vision:** The mission is an expression of the vision of the corporation; its leader or founder. A vision statement usually describes what the company wishes to become in the (long-term) future. Whereas mission is what an organization is and why it exists.
- **Dynamic:** The concept of mission is dynamic and not a static one. It must strike a happy balance between the narrow and broad ways of doing things in the years ahead; between the present requirements and future expectations. It is worth remembering that the future of a business is usually determined by the way it defines its business today. For a painfully long time, people in the film industry thought that they were in the movie business and not in the entertainment business. Had they defined their mission in a broad way, i.e. entertainment of customers, they would have certainly visualized the threat from video business and initiated appropriate remedial measures. Thus, where the mission statement is defined in a narrow way, new opportunities and threats from competitive businesses may be lost in sight of. On the other hand, where the mission is defined in a broad and general way, the exercise might prove to be self-defeating. The business might not be able to concentrate on some specific areas where it has some competitive edge over others. The General Electric Corporation of the United States declared two decades back: “We are in the energy business”, although the company was primarily engaged in manufacturing and selling electrical goods.

An organization, obviously, needs to define its business covering three vital aspects: (1) The product/service offering (2) customer segment (3) value creation.

Role of Objectives

Objectives serve the following functions:

1. **Legitimacy:** Objectives describe the purpose of the organization so that people know what it stands for and will accept its existence and continuance. Thus, Ford sells ‘American transportation’, Chrysler sells ‘know-how’ and Godrej sells ‘quality products’. Objectives help to legitimize the presence of organization in its environment. Now the organization can emphasise its uniqueness, identity and its raison d’être.
2. **Direction:** Objectives provide guidelines for organizational efforts. They keep attention focused on common purposes. Once objectives are formulated, they become polar star by which the voyage is navigated. Every activity is directed toward the objectives, every individual contributes to

meet the goals. 'Without seeing the target, a manager would be like a blindfolded archer-expending useless effort and creating havoc'.

3. **Coordination:** Objectives keep activities on the right track. They make behaviour in organizations more rational, more coordinated and thus more effective, because everyone knows the accepted goals to work toward. In setting effective goals, managers help members at all levels of the organization to understand how they can 'best achieve their own goals by directing their behaviour towards, the goals of the organisation'.
4. **Benchmarks for Success:** Objectives serve as performance standards against which actual performance may be checked. They provide a benchmark for assessment. They help in the control of human effort in an organization.
5. **Motivation:** Goals are motivators. The setting of a goal that is both specific and challenging leads to an increase in performance because it makes it clear to the individual what he is supposed to do. He can compare how well he is doing now versus how well he has done in the past and in some instance how well he is performing in comparison to others. According to Latham and Yukl, goal specificity enables the workers to determine how to translate effort into successful performance by choosing an appropriate action plan.

2.6.5 Characteristics of Objectives

Objectives have the following features:

1. **Objectives Form a Hierarchy:** In many organizations objectives are structured in a hierarchy of importance. These are objectives within objectives. They all require painstaking definitions and close analysis if they are to be useful separately and profitable as a whole. The hierarchy of objectives is a graded series in which an organisation's goals are supported by each succeeding managerial level down to the level of the individual. The objectives of each unit contribute to the objectives of the next higher unit. Each operation has a simple objective which must fit in and add to the final objective. Hence no work should be undertaken unless it contributes to the overall goal.
2. **Objectives Form a Network:** Objectives interlock in a network fashion. They are interrelated and inter-dependent. The concept of network of objectives implies that once objectives are established for every department

and every individual in an organization, these subsidiary objectives should contribute to meet the basic objectives of the total organization. If the various objectives in an organization do not support one another, people may pursue goals that may be good for their own function but may be detrimental to the company as a whole. Managers have to trade off among the conflicting objectives and see that the components of the network fit one another. Because, as rightly pointed out by Koontz et al. “It is bad enough when goals do not support and interlock with one another. It may be catastrophic when they interfere with one another”.

3. **Multiplicity of Objectives:** Organizations pursue multifarious objectives. At every level in the hierarchy, goals are likely to be multiple. For example, the marketing division may have the objective of sale and distribution of products. This objective can be broken down into a group of objectives for the product, advertising, research, promotion managers. The advertising manager's goals may include: designing product messages carefully, create marketing managers. To describe a single, specific goal of an organization is to say very little about it. It turns out that there are several goals involved. This may be due to the fact that the enterprise has to meet internal as well as external challenges effectively. Internal problems may be posed by government, society, stockholders, customers, etc. In order to meet the conflicting demands from various internal and external groups, organizations generally pursue multiple objectives. Moreover, no single objective would place the organization on a path of prosperity and progress in the long run.
4. **Long and short-range objectives:** Organisational objectives are usually related to time. Long-range objectives extending over five or more years are the ultimate or ‘dream’ objectives for the organization. For example, planning in India has got objectives like eradication of poverty, checking population growth through birth control, etc., which reflect certain ‘ideals’ the government wishes to accomplish in the long run. Short-range objectives (one-year goals) and medium-range objectives (two to four-year period goals), reflect immediate, attainable goals. The short-range and medium-range objectives are the means for achieving long-term goals and the long-term goals supply a framework within which the lower level goals are designed. Thus, all these goals reinforce each other in such a way that the total result is greater than the sum of the efforts taken individually. That is why goal setting is called a “synergistic process”. In order to remain viable, every organization needs to set goals in all three time periods.

Following are the areas where objectives have to be set:

Growth	Revenue, assets, profits
Profitability	ROI, EPS
Market Share	Competitive position
Productivity	Reducing defect rate ,Resource utilization , cost savings
Technology and R& D	Innovation, modernization
Business portfolio flexibility	Corporate image
Human Resources	Acquisition of new skills, talent
CSR	Community welfare, civic roles, environment protection

Behavioural Theory

The organizational goal-setting process is not a perfect rational activity. Perfect rationality implies full knowledge of opportunities, constraints, capacity and willingness to focus attention on the entire goal-setting process. These conditions are rarely satisfied and, in most organizations, goals are compromises only. Actual goals come about from a constant series of negotiations among both internal and external groups. Each group will try to influence the goals. This leads to coalition (groups) formation and these coalitions will ultimately decide the goals for the organization. Instead of trying to maximize, the organizations would try to accomplish goals in a 'satisfying' manner negotiating with various pressure groups in the organization. Satisfying means that organizations would accept a 'satisfactory' rather than a maximum level of performance.

Management by Objectives (MBO)

Another approach to goal-setting has been advanced by Odiorne, Peter Drucker and others in early 60s, known as Management by Objectives. According to Odiorne, MBO is a 'process whereby the superior and subordinate managers of an organization jointly identify its common goals, define each individual's major areas of responsibility in terms of results expected of him, and use these measures as guides for operating the unit and assessing the contribution of each of its members'.

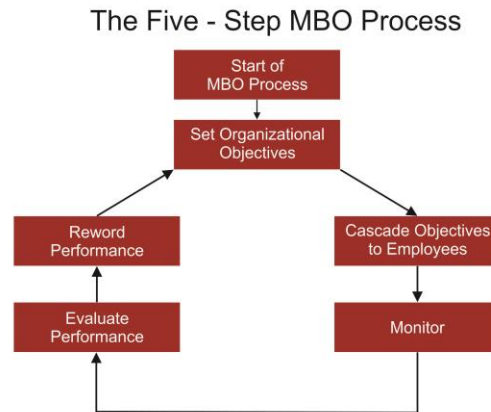


Fig 2.9 The five steps MBO Process

Features

- MBO emphasizes participative set goals that are tangible, verifiable and measurable.
- MBO focuses attention on what must be accomplished (goals) rather than how it is to be accomplished (methods).
- MBO, by concentrating on key result areas, translates the abstract philosophy of management into concrete phraseology. The technique can be put to general use. Further, it is 'a dynamic system which seeks to integrate the company's need to clarify and achieve its profit and growth goals with the manager's need to contribute and develop him'.
- MBO is a systematic and rational technique that allows management to attain maximum results from available resources by focusing on achievable goals. It allows the subordinate plenty of room to make creative decisions on his own.

2.6.6 Critical Success Factors (CSFs)

While framing corporate objectives, managers may find it useful to identify the key factors, which are needed to be kept in view to ensure organizational success. According to Ohmae, these critical success factors (strategic factors or key factors for success) should form the basis for business strategy in any industry. CSFs allow the business to put concentrated focus on a particular area and exploit the opportunities available therein to its advantage. This, of course, involves a three-step process:

1. What does it take to be successful in this business? (Generate CSFs)
2. What should the organization's objectives and goals be with regard to CSFs? (Drawing CSFs into objectives).
3. How will we know whether the organization has been successful on this factor? (Identifying performance standards).

It is however, doubtful whether concentrated deployment of resources in a few areas would ensure the success of a firm in a competitive situation. Others may attack the arena with all their might. Such a myopic view would prevent a firm from peeping into areas hitherto unexplored, which could fetch substantial returns. To overcome this problem, if the firm distributes its resources in several areas, it may lose its focus and distinct competitive advantage(s).

Check Your Progress 5

1. The hierarchy of strategic intent includes the following elements (Miller).
 - a. A broad vision of what the organization should be and organization's mission
 - b. The strategic objectives and specific goals to be pursued relentlessly
 - c. The plans that are developed to accomplish the intentions of management in a concrete way
 - d. all of the above
2. Strategic Intent' is the leveraging of a firm's internal resources
 - a. capabilities and core competencies to accomplish the firm's vision
 - b. mission and objectives in a competitive environment
 - c. both a and b
 - d. only a
3. Vision is simply a combination of basic elements.
 - a. An organization's fundamental reason for existence beyond just making money.
 - b. Its timeless, unchanging core values.
 - c. Huge and audacious but achievable aspirations for its future
 - d. all of the above

4. The mission describes the organization's values, aspirations and reason for being
 - a. reveals the long-term vision of an organization in terms of what it wants to be
 - b. where exactly it wants to go
 - c. whom it wants to serve
 - d. all of the above
5. Critical Success factors involve a three-step process:
 - a. What does it take to be successful in this business? (Generate CSFs)
 - b. What should the organization's objectives and goals be with regard to CSFs? (Drawing CSFs into objectives).
 - c. How will we know whether the organization has been successful on this factor
 - d. all of the above

2.7 Corporate Social Responsibility

An important question facing managers today is whether corporations have some responsibility to improve the world or only to improve their profits. Until the middle of the twentieth century, a firm was generally viewed, as an economic institution to provide wanted goods and services for public consumption and a profit for the owners. In the classic economic model, a firm is an economic institution governed by economic values and subject to the economic machinations of the marketplace. Two significant developments changed all of this. The first occurred in the first half of the twentieth century as professional managers replaced owners in running big companies. Professional managers played more of a trustee role; they were responsible to the board of directors and interest of suppliers, customers, employees, and other claimants. The second development was the change in public attitude towards big businesses. The Needs Theory of human behaviour states that, once basic economic necessities are satisfied, people become more concerned with psychological needs relating to status, esteem, social justice and quality of life. As Dow Votaw observed: "In a land of scarcity, economics is king; in a land of plenty, economics is just another member of the royal court". Goals, values and attitudes of various groups in society have changed significantly over the years – reflecting a greater concern for

improvements in quality of life. A firm, after all, is a social institution. It does not flourish in a vacuum. In all its operations it is vitally influenced by its environment. The decisions made by corporate managers not only affect the community lives but may affect significantly both the national and international economic activity. For instance, when a manager decides to raise product prices to move out of an economically backward region, the lives of millions of people are affected. Modern corporation, thus, is the principal producer of environmental impacts. A healthy organization should visualize these impacts realistically and deal with them firmly by converting these social problems into opportunities for successful performance and positive contribution. As Drucker has pointed out, a healthy business cannot exist in a sick, impoverished society.

Areas where there is need for public private partnership



Fig 2.10 Corporate Social Responsibility

2.7.1 Causes of Growing Concern for Social Responsibilities

There were times when business used to be run only as a sole-ownership concern. But today while that institution (sole-ownership) still continues, we are

witnessing different types of business concerns (partnership firms, public and private limited companies and even multinationals etc.,) thanks to the revolution in science and technology and tremendous progress in socio-economic and political fields. In keeping with the significant changes in other walks of life, business also has been changing its patterns, priorities and perceptions in tune with the times. Maximization of profit used to be the only motto of all business enterprises, big or small in the past. This is no longer the case today. No business enterprise can thrive on the profit motive alone for long these days and if it has to succeed, business must be conscious and alive to its social responsibility as well.

1. **Growing Awareness due to Education:** With the growing literacy rate, more and more people are becoming increasingly aware of their right to a decent and healthy life. They have started analysing and comparing the goods and services available in the market in terms of quality, purity and cost. Keeping in view the public demand, businessmen have started thinking more in terms of quality and cost-effectiveness than in terms of profit alone. Spread of education has helped the business community also to understand their role and the changing patterns in society. They have, therefore, chosen willy-nilly to adopt the twin objectives of profit and social responsibility in the best interests of both business and society.
2. **Newspapers and Consumer Organizations:** The proliferation of language and dialect newspapers has made it easier and cheaper to reach out to the consumes even in far-flung areas. Besides, of late, various 'consumer organizations' have been coming up in urban areas to protect the interests of consumers and to expose the malpractices or bad elements of business with the sole object of enlightening or forewarning the consumers. Due to these developments and the fear of adverse publicity, businessmen have, by and large, learnt to live for the sake of society also in a purposeful and meaningful way, thus keeping a check on their profit motive.
3. **Fear of Government's Interference:** In the event of any business enterprise persisting in its fraudulent or deceitful ways to quench its hunger for more profit, the enlightened public can, through the various means at its command, compel the government to introduce legislation to check the malpractices of business. The threat of public opinion building up against it and the ever-increasing fear of public regulation through legislative measures have left businesses with no other alternative except to fall in line with the demands of society. The avaricious businessmen have been forced to desist from resorting to dubious means to augment profits.

4. **Trade Union Movement:** Well-organized Trade Unions have become omnipresent and omnipotent in almost all big business establishments these days. The bargaining power and strength of these Unions keep the Captains of Industry on tenterhooks and ensure that they behave responsibly towards not only employees but also the public at large.
5. **Public Image:** Building up a better public image is essential for any business to survive and grow. Hence, enlightened entrepreneurs or professional managers of today are all locked up in a healthy competition to build up their public image, even if it mean lesser and lesser profits.
6. **Competitive Market Forces:** The cut-throat competition in the market has certainly played its part in forcing the businessmen to narrow down their profits in the interests of survival. Thanks to the competitive market forces, businessmen have come to accept the reality and thought it wiser and safer to adopt a more reasonable and durable means to keep their profit motive in check in the larger interests of business.
7. **Public Relations:** Maintaining good public relations is sine qua non to success in business. Whether a customer or an employee or a government servant-a businessman has deal with all of them in a humble and polite way. This constant interaction with many types of persons, both literate and illiterate, makes it imperative for him (businessman) to harp on the theme of social good rather than his own personal good, which creates an aversion or ill-feeling in the minds of people against such selfish businessmen. Good public relations would reach him how to behave and respect other peoples' aspirations as well.
8. **Managerial Skills:** The Industrial Revolution has brought in its wake a new breed of competent and professional managers who vie with one another in evolving and developing a more durable and balanced trade policy. Their competence and managerial skills have helped the business enterprises to strike and maintain a healthy balance between business interests and social obligations

Check Your Progress 6

1. Following things in society have changed significantly over the years .They are :
 - a. Goals
 - b. values
 - c. attitudes of various groups
 - d. all of the above
2. Business also has been changing its
 - a. patterns
 - b. priorities
 - c. Perceptions in tune with the times.
 - d. all of the above

2.8 Let Us Sum Up

In this unit we have studied that the term ‘Strategic Management Process’ which refers to the steps by which management converts a firm’s mission, objectives and goals into a workable strategy. The Purposes of Strategic Management Process are to develop Core Competence, Synergy and Value Creation. The types of Strategy Formulation mentioned are Corporate, Business, and Functional Level Strategy Formulation. The elements to implement Strategy Implementation which are discussed are Organising, Staffing, Directing and Motivational Techniques

The Hierarchy of Strategic Intent has following objectives which are mentioned, such as a broad vision of what the organization should be, the organisation’s mission, the strategic objectives and specific goals to be pursued relentlessly the plans that are developed to accomplish the intentions of management in a concrete way.

Vision is explained in detail which is a combination of 3 basic elements like an organization’s fundamental reason for existence beyond just making money, its timeless, unchanging core values and the core values define the enduring character of an organization that remains unchanged as it experiences changes in technology, competition, management styles etc.

Mission is also explained in detail and its elements are Clarity, Broad and Enduring, Identity and Image, Realistic, Specific Values and Beliefs and Philosophy. The terms like critical success factors and corporate social responsibility are also discussed at length.

2.9 **Answers for Check Your Progress**

Check your progress 1

Answers: (1-d)

Check your progress 2

Answers: (1-b), (2-a)

Check your progress 3

Answers: (1-d), (2-c), (3-d)

Check your progress 4

Answers: (1-a), (2-a)

Check your progress 5

Answers: (1-d), (2-c), (3-d), (4-d), (5-d)

Check your progress 6

Answers: (1-d), (2-d)

2.10 **Glossary**

1. **Functional Organization** - An organizational structure along functional lines (e.g. marketing, acquisition, asset management, development, finance and accounting, etc.)
2. **Functional Strategies** - Strategies for each firm's function or division; integrates into Grand Strategy and ties to Long-Term Objectives. See Grand Strategy; Long-Term Objectives.

3. **Generic Strategies** - Three approaches to strategic planning based on different fundamental ideas about how to appeal to the customer. See Low Cost Strategy, Differentiation Strategy, and Focus Strategy.
4. **Grand Strategy** - A firm's comprehensive plan of key actions by which it plans to achieve its Long-Term Objectives; usually considers factors such as market development, product development, innovation, horizontal and/or vertical integration, diversification, joint ventures and strategic alliances, turnaround, divestiture, liquidation
5. **Outsourcing** - Contracting an activity to another firm

2.11 Assignment

1. What are the major elements of the hierarchy of strategic intent and how do they support one another?
2. Describe the essential characteristics of a mission statement. How are mission statements generally formulated?
3. Describe the steps an organization could take to become more socially responsible. In your discussion, include some examples of how these steps would apply to both internal and external beneficiaries?

2.12 Activities

1. Write short notes on
 - a. Critical success factors
 - b. Goal displacement and goal succession
 - c. Profit maximization
 - d. Multiplicity of objectives
 - e. Company

2.13 Case study

Managing Crisis

[If you or your company is in a crisis, what do you do? How would you respond? This case describes a sudden event at a petrol pump and the response of the employees.]

Location: Busy petrol pump, name ABC, having four vending machines for petrol and four for diesel. The busiest filling line is for motorcycles with around ten to fifteen motorcycles waiting in queue at any time of the day. **Situation:** You are the petrol pump manager Mr. X and responsible for smooth functioning of the entire pump station for variety of services offered. In addition to the transactions at the eight refill machines there are customer services like air filling, pollution checking, puncture repair, vehicle spares and consumables, washing centre, florist etc. Each refill station is manned by two attendants and they have to ask the volume, set the machine, fill fuel, take money, and give balance and bill if asked for.

Time: It's a very warm April afternoon and all are in an irritated mood, inspite of the pump having good shade and shadow.

Incident - It happens at the busiest motorcycle queue. A heavy motorcycle with strong rider, Mr. D and pillion rider Mr. C, come in charging. Not caring for the queue discipline, they rush straight to the filling point. Mr. D orders the attendant Mr. B to fill his tank at once. The attendant boy refuses and asks Mr. B to come by the queue. The pillion rider, Mr., uses some bad words, the attendant losing his cool replies back. Now the rider Mr. D gets down and slaps Mr. B, point blank on his ear and cheek, while he is filling the tank of the vehicle in queue and while both his hands are on the petrol pipe. The attendant becomes furious and twirling the fuel pipe, hits the rider Mr. D with the steel part of pipe. A person waiting for bill, shouts at both of them and asks them to behave. All other pump attendants now stop work and start watching. The rider Mr. D and Mr. C both start the vehicle, go and wait outside the pump station, shouting threatening words. Situation goes real 'hot', other attendants start shouting threatening words, could lead to a street fight or a riot. Mr. B runs to the manager Mr. X, explains the drama.

The Saviour: Getting the seriousness, Mr. X rushes to the spot, sends back Mr. B to attend the waiting customers. He requests and orders all other attendants to keep cool and attend customers. He then goes out to listen to Mr. D, cools him

down. Mr. D and Mr. C both drive away. Prima facie the crisis is over. Situation is under control.

Case Study Questions:

- Analyse the case carefully and list at least three communication issues.
- Is the crisis over? If you think otherwise, make a list of possible outcomes and steps to prevent them.
- You are Mr X - List the key elements of a crisis management plan you develop to handle such a crisis quickly and effectively in future.

2.14 Further Readings

- 1 The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
- 2 Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
- 3 Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.
- 4 Strategic management of small firms in hostile and benign environments - all 2 versions » JG Covin, DP Slevin - Strategic Management Journal, 1989 – JSTOR ... In Kent, CA (ed.), The Environment for Entrepreneurship, Lexington.

Block Summary

In this block we studied that the most important key for solving strategic tasks is the process of developing, controlling and maintaining a strategic balance between organizational goals and resources in the market environment.

The need for strategic planning has been emphasised. Strategic Planning is concerned with Future, Environment, Growth, and Portfolio of business and Core Competencies of the organisation.

The evolution of strategic planning and its stages have been mentioned. Benefits of strategic planning are also given. Development of strategies at three different levels namely corporate, business and functional has been explained.

The concept and elements of strategy like goals, scope, competitive advantage, and logic has been mentioned. The differentiations between strategy and tactics have been shown.

The Indian scenario has been mentioned post the LPG era wherein new economic policy was adopted. The differentiation between strategy and policy is shown. Three major approaches to strategic management like entrepreneurial, adaptive and planning have been explained in detail.

The definition of 'Strategic Management Process' as the steps by which management converts a firm's mission, objectives and goals into a workable strategy has been given.

The purpose of strategic management process for organizations is to develop strategies that focus on core competence, develop synergy and create value for customers is explained in detail Strategic management process and formulation are discussed in detail.

Strategy implementation is defined as the process of translation of strategies and policies into action through the development of programmes, budgets and procedures and is discussed in detail. The hierarchy of strategic intent includes the following elements a broad vision of what the organization should be, the organisation's mission, the strategic objectives and specific goals to be pursued relentlessly and the plans that are developed to accomplish the intentions of management in a concrete way and they have been explained in much detail. The concept of vision has been explained with the help of three points as: An organization's fundamental reason for existence beyond just making money .Its timeless, unchanging core values. The process of MBO, Mission statement has also been discussed.

Strategic
Planning and
Management

Critical success factors are also discussed with its processes. The corporate social responsibility [CSR] and its need and the area wherein its efforts are needed are also mentioned.

Block Assignment

Short Answer Questions

1. Define market segments and individual marketing. Briefly explain the four major segmentation variables. What are the key elements that ensure that market segmentation is useful?

Long Answer Questions

1. Define the terms strategy, business, functional and corporate strategies, strategic management? Discuss the link between military and business strategies then defend and oppose this link.
2. Define the terms strategy, business, functional and corporate strategies, strategic management? Discuss the link between military and business strategies then defend and oppose this link.
3. Define strategic management and explain the scope of SM. What are the essential differences between Strategic and Operation Management? Strategy relies on understanding internal and external contexts explain why this is necessary and provide examples of both contexts. What is the link called between these 2 contexts?

Enrolment No.

1. How many hours did you need for studying the units?

Unit No	1	2	3	4
No of Hrs.				

2. Please give your reactions to the following items based on your reading of the block:

Items	Excellent	Very Good	Good	Poor	Give specific example if any
Presentation Quality	☐	☐	☐	☐	_____ _____
Language and Style	☐	☐	☐	☐	_____ _____
Illustration used (Diagram, tables etc)	☐	☐	☐	☐	_____ _____
Conceptual Clarity	☐	☐	☐	☐	_____ _____
Check your progress Quest	☐	☐	☐	☐	_____ _____
Feed back to CYP Question	☐	☐	☐	☐	_____ _____

3. Any Other Comments

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*Education is something
which ought to be
brought within
the reach of every one.*

”

- Dr. B. R. Ambedkar



Dr. Babasaheb Ambedkar Open University

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STRATEGIC MANAGEMENT

PGDHR-103

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY



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STRATEGIC MANAGEMENT



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ROLE OF SELF INSTRUCTIONAL MATERIAL IN DISTANCE LEARNING

The need to plan effective instruction is imperative for a successful distance teaching repertoire. This is due to the fact that the instructional designer, the tutor, the author (s) and the student are often separated by distance and may never meet in person. This is an increasingly common scenario in distance education instruction. As much as possible, teaching by distance should stimulate the student's intellectual involvement and contain all the necessary learning instructional activities that are capable of guiding the student through the course objectives. Therefore, the course / self-instructional material are completely equipped with everything that the syllabus prescribes.

To ensure effective instruction, a number of instructional design ideas are used and these help students to acquire knowledge, intellectual skills, motor skills and necessary attitudinal changes. In this respect, students' assessment and course evaluation are incorporated in the text.

The nature of instructional activities used in distance education self-instructional materials depends on the domain of learning that they reinforce in the text, that is, the cognitive, psychomotor and affective. These are further interpreted in the acquisition of knowledge, intellectual skills and motor skills. Students may be encouraged to gain, apply and communicate (orally or in writing) the knowledge acquired. Intellectual-skills objectives may be met by designing instructions that make use of students' prior knowledge and experiences in the discourse as the foundation on which newly acquired knowledge is built.

The provision of exercises in the form of assignments, projects and tutorial feedback is necessary. Instructional activities that teach motor skills need to be graphically demonstrated and the correct practices provided during tutorials. Instructional activities for inculcating change in attitude and behavior should create interest and demonstrate need and benefits gained by adopting the required change. Information on the adoption and procedures for practice of new attitudes may then be introduced.

Teaching and learning at a distance eliminates interactive communication cues, such as pauses, intonation and gestures, associated with the face-to-face method of teaching. This is particularly so with the exclusive use of print media. Instructional activities built into the instructional repertoire provide this missing interaction between the student and the teacher. Therefore, the use of instructional activities to affect better distance teaching is not optional, but mandatory.

Our team of successful writers and authors has tried to reduce this.

Divide and to bring this Self Instructional Material as the best teaching and communication tool. Instructional activities are varied in order to assess the different facets of the domains of learning.

Distance education teaching repertoire involves extensive use of self-instructional materials, be they print or otherwise. These materials are designed to achieve certain pre-determined learning outcomes, namely goals and objectives that are contained in an instructional plan. Since the teaching process is affected over a distance, there is need to ensure that students actively participate in their learning by performing specific tasks that help them to understand the relevant concepts. Therefore, a set of exercises is built into the teaching repertoire in order to link what students and tutors do in the framework of the course outline. These could be in the form of students' assignments, a research project or a science practical exercise. Examples of instructional activities in distance education are too numerous to list. Instructional activities, when used in this context, help to motivate students, guide and measure students' performance (continuous assessment)



PREFACE

We have put in lots of hard work to make this book as user-friendly as possible, but we have not sacrificed quality. Experts were involved in preparing the materials. However, concepts are explained in easy language for you. We have included many tables and examples for easy understanding.

We sincerely hope this book will help you in every way you expect.

All the best for your studies from our team!



STRATEGIC MANAGEMENT

Contents

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

UNIT 1 STRATEGIC PLANNING AND STRATEGIC MANAGEMENT

Introduction, Strategic Planning, Evolution of Strategic Planning, Levels of Strategic Planning, Dimensions of Strategic Decisions, the Concept of Strategic, Elements of a Strategic, Strategies Vs Tactics, Past Approaches to Strategy, Current Trends in Business Policy, The Indian Scenario, Strategy Vs Policy, Strategic Management, Modes of Strategic Management

UNIT 2 THE STRATEGIC MANAGEMENT PROCESS

Introduction, Purposes of Strategic Management Process, Steps in the Strategic Management Process, Strategy Formulation, Strategy Implementation, Strategic Intent: Vision, Mission and Objectives, Corporate Social Responsibility

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY

UNIT 1 ENVIRONMENTAL AND INDUSTRY ANALYSIS

Introduction, The Organization's Environment, External and Internal Environment, Components of External Environment, Components of Internal Environment, Environmental Scanning, Industry Analysis

UNIT 2 COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS

Introduction, Internal Analysis, Resource-Based Strategy (Grant), The Resource Based View (RBV), Resources, Organisational Capabilities and Competitive Advantage, Approaches to Internal Analysis , Terminology, Primary Activities , Support Activities , Conducting a Value Chain Analysis, The concept of Synergy.

UNIT 3 CORPORATE LEVEL STRATEGY

Corporate Level Strategy, Acquisition, Restructuring and Cooperative Strategies, Takeovers, Cooperative Strategies

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

UNIT 1 PROJECT MANAGEMENT

Introduction, Business Level Strategy, Business Level Strategic Analysis, Contingency Strategies

UNIT 2 STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES

Strategy Implementation: Structural Issues, Behavioral Issues in Strategy Implementation, Operational Strategy, Operations Management, Formulating operations Strategy

UNIT 3 FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE

Financial Strategy, Marketing Strategy, Strategic Analysis and Choice

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

UNIT 1 STRATEGIC LEADERSHIP AND CONTROL

Strategic Leadership, Leadership Theories, Hersey's Situational Leader Model, Power and Politics, Organizational conflict, Organizational Politics

UNIT 2 HUMAN RESOURCES STRATEGY

The Rise of Human Resource Management (HRM) , The issue of Strategic Human Resource Management (SHRM), Business strategy, The Guest Mode, The Organisational Outcomes, Integration of HR Systems as Strategy, Human Resource Strategy, Role of HRM ,Human Resource Planning , Recruitment, Training and Development, Executive Development Programmes, Job Knowledge ,Performance Appraisal , HR Strategy in a Dynamic Environment,



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PGDHR-103

STRATEGIC MANAGEMENT

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY

UNIT 1

ENVIRONMENTAL AND INDUSTRY ANALYSIS	03
-------------------------------------	----

UNIT 2

COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS	34
--	----

UNIT 3

CORPORATE LEVEL STRATEGY	61
--------------------------	----

BLOCK 2: STRATEGIC ANALYSIS

METHODS AND CORPORATE LEVEL STRATEGY

Block Introduction

This block mentions about organizations environment and its components and different frame work to analyse the industry and its sectors .The environment of business is the ‘aggregate of conditions, events and influences that surround and affect it’ (Davis). Since the organization is part of a broader social system, it has to work within the framework provided by the society and its innumerable constituents. The 1st step of the strategy management process is environmental analysis. An organization can only be successful if it is appropriately matched to its environment.

Unit one deals with the ENVIRONMENT ANALYSIS is the study of the organizational environment to pinpoint environmental factors that can significantly influence organizational operations.

Managers commonly perform environmental analyses to help them understand what is happening both inside and outside their organizations and to increase the probability that the organizational strategies they develop will appropriately reflect the organizational environment.

Unit two deals with the concepts and theories of competitive analysis In order to perform an environmental analysis efficiently and effectively, a manager must thoroughly understand how organizational environments are structured.

Unit Three deals with the corporate level strategies, decisions related to acquisitions and cooperative strategies.

Block Objective

After learning this block you will be able to understand:

- The Organization’s Environment.
- The Components of External and Internal Environment.
- The about the Environmental Scanning.
- The Industrial Analysis.

- The usefulness of Industry Analysis.
- The Corporate level Strategy.

Block Structure

Unit 1: Environmental and Industry Analysis

Unit 2: Competitive Analysis and Internal Analysis

Unit 3: Corporate Level Strategy

UNIT 1: ENVIRONMENTAL AND INDUSTRY ANALYSIS

Unit Structure

1.0 Learning Objectives

1.1 Introduction

1.2 The Organization's Environment

1.3 External and Internal Environment

1.4 Components of External Environment

1.5 Components of Internal Environment

1.6 Environmental Scanning

1.7 Industry Analysis

1.7.1 A Framework for Industry Analysis

1.7.2 Michael Porter's Analysis

1.7.3 Usefulness of Industry Analysis

1.7.4 Analysis of Software Education and Training Industry

1.8 Let Us Sum Up

1.9 Answers for Check your progress

1.10 Glossary

1.11 Assignment

1.12 Activities

1.13 Case study

1.14 Further Readings

1.0 Learning Objectives

After learning this unit you will be able to understand:

- The External and Internal Environment.
- Porter's analysis.
- The Framework for Industry Analysis.

- The usefulness of Industry Analysis.

1.1 Introduction

The organizations are open systems, so a number of environmental factors influence them inevitably. It is up to managers to ensure that this influence is harnessed in a positive way, leading to organizational success. The chief problem here is that given the vast number and range of external influences, how can managers hope to monitor, analyze and respond to environmental conditions? One useful way out is to focus on the most important ones, impacting the crucial constituencies of an organization – that is suppliers, competitors and buyers. The logic, according to Grant, is quite simple. For the firm to make profit, it must create value for customers or buyers. Hence, the need to understand its customers. Second, while creating value, the firm has to obtain goods and services from suppliers. So, it must value its suppliers and form enduring business relationships with them. Third, while creating value for its buyers, the firm must closely look at the rivals who are there in the arena competing for the same ‘space.’ Hence, the firm must understand competition. Thus, buyers, suppliers and competitors form the substance of a firm’s industry environment.

1.2 The Organization’s Environment

Managers must have a deep understanding and appreciation of the environment in which they and their organizations function. To illustrate the importance of environment to an organization, consider the analogy of a swimmer crossing a wide stream. The swimmer must assess the current, obstacles and distance before setting out. If these elements are not properly understood, the swimmer might end up too far upstream or downstream. The organization is like a swimmer and the environment is like the stream. Just as the swimmer needs to understand conditions in the water, the organization must understand the basic ingredients of its environment to properly manoeuvre (or change direction) among them.

The environment of business is the ‘aggregate of conditions, events and influences that surround and affect it’ (Davis). Since the organization is part of a broader social system, it has to work within the framework provided by the society and its innumerable constituents. For the sake of simplicity, the environmental forces could be classified into two categories- Internal

Environment and External Environment. The internal environment consists of conditions and forces within an organization that affect its management. The internal environment includes the organization's mission, corporate culture, owners and the board of directors, employees, other units of the organization and unions. The external environment consists of those factors that affect a firm from outside its organizational boundaries. Of course, the boundary that separates the organization from its external environment is not always clear and precise. For example, shareholders are part of the organization, but in another sense, they are a part of its environment.

Features of Environment

Complex - The environment comprises of multifarious events, factors, conditions and influences arising from various sources. They interact with each other constantly and often produce an entirely new set of influences. It is not easy to state clearly as to what kind of forces constitutes a given environment.

Dynamic - The environment of an organization is dynamic and constantly changing. Changes in technology, government regulations, competitive forces etc. compel organizations to shift gears and change direction quite often. At times, there could be too many changes in too little time, leading to shock and surprises in the market place (Toffler).

Challenging - All firms are impacted by political, legal, economic, technological and social systems and trends. Together, these elements comprise the macro-environment of business firms. Because these forces are so dynamic, their constant change presents myriad opportunities and threats or constraints to strategic managers.

In this chapter, we will look into the external environmental forces and their pivotal role in strategy formulation.

Check your progress 1

1. _____ environment comprises of multifarious events, factors, conditions and influences arising from various sources.
 - a. Complex
 - b. Dynamic
 - c. Challenging
 - d. None of the above

1.3 External and Internal Environment

While analysing the total (macro) environment, it is more effective to deal with the forces first and then the internal, although some opine that the reverse order is better. For example, an analysis of the internal environment might reveal a cash surplus and the top management might then decide to search the external environment is essential to find whether the timing is right for an acquisition or any other use of cash. While deciding the internal-external order of analysis, one should not lose sight of aspects that work well in one set of conditions and change colour in another set of circumstances. For example, Arvind Mills was struggling earlier because it took huge loans for the installation of what has turned out to be excess capacity. Due to flourishing markets in the early 90s, the management overestimated future sales and increased plant capacity. When demand subsided, fashion changes occurred and new entrants came with a bang. Arvind Mills' market share fell drastically. Also, denim (its main product) is not regularly used by an average person, as it is a fashion item. The company is now exploring overseas markets seriously in order to pay off its debts and survive. Thus, a large production capacity may be an internal strength in an expanding economy but it could be a tremendous burden and an internal weakness in a recessionary period. Here, it would be better to first evaluate the external environment, then the internal.

In actual practice, since both external and internal forces interact and impact organizational survival and growth, managers would do well to examine both sets of factors at the same time. The external environment reveals opportunities and threats and the internal environment uncovers strengths and weaknesses. An opportunity is a favourable condition in the organization's environment that enables it to consolidate and strengthen its position. A threat is an unfavourable condition that creates a risk and causes damage to an organization. For example, the slowdown in the US market is a real threat to Indian software exporters while outsourcing is perceived as an opportunity to be exploited. Strength is an in-built capability which an organization can use to gain strategic advantage over its competitors. (Say superior R&D skills of Ranbaxy Laboratories Ltd.). A weakness is an inherent limitation that creates a strategic disadvantage (say Colgate's single product image). Managers often use SWOT (acronym for strengths, weaknesses, opportunities and threats) analysis to match the strengths and weaknesses existing within the organization with the threats and opportunities operating in the environment before formulating an effective strategy.

Environmental Analysis

Environmental and Industry Analysis

In order to survive and flourish in a highly competitive and turbulent environment, every organization must strike a happy balance between environment, values and resources (Thompson). Because organizations are open systems, environmental factors inevitably influence them and it is up to managers to ensure that this influence is harnessed in a positive way, leading to organizational success (P.S.Thomas). Environmental Analysis is the process of monitoring the organizational environment to identify both present and future threats and opportunities that may influence the firm's ability to reach its goal.

Check your Progress 2

1. The external environment of the organisation reveals
 - a. opportunities and threats
 - b. the hierarchy
 - c. business conditions
 - d. global advantage of the product
2. The internal environment of the organisation uncovers
 - a. strengths and weaknesses
 - b. office politics
 - c. both a and b
 - d. only b

1.4 Components of External Environment

Most managers readily agree that an organisation's external environment is more difficult to understand and manage than the internal environment. The reasons are fairly obvious. The external forces are frustratingly large in number, difficult to assess and predict and are not easily amenable to advance planning and policy making. Writers like Schilit have, therefore, suggested that, "changes in the external environment are very significant; managers must be able to recognize opportunities and threats from outside and respond to these properly". Essentially, organizations have to deal with economic, social, political, technological, regulatory market and supplier related effects which offer

opportunities and pose threats at regular intervals. To remain competitive, organizations must visualize these trends and deploy their resources judiciously. We will now examine each one of the external environmental forces to understand better how they affect strategic management.

Economic Environment

Economic factors throw light on the nature and direction of the economy in which a firm operates. Consumption patterns are usually governed by the relative affluence of market segments. Therefore, while carrying out strategic planning exercises, the firm must focus attention on economic trends in the segments that affect its industry. Low interest rates on personal savings, for example, could compel individuals to move towards equity and bond markets leading to a boom for the capital market activity and mutual fund industry. At the national and international level, the firm must look into the general availability of credit, the level of disposable income and the propensity of people to spend. Interest rates, inflation rates, unemployment rates and trends in the gross national product, governmental policies, sectoral growth rates of agriculture, industry infrastructure, etc. are other economic influences it must consider.

Social and Cultural Environment

The social factors that affect a firm include the values, attitudes, beliefs, opinions and lifestyles of persons in the firm's external environment, as developed from demographic, cultural, religious, educational and ethnic conditioning. Like other forces in the external environment, social factors change continually. As social attitudes, beliefs and values change, so does the demand for various types of dresses, books, leisure activities, etc. Let's examine these factors in greater detail.

Demographic Factors

Demographic characteristics such as population, age distribution, religious composition, literacy levels, inter-state migration, rural-urban mobility, income distribution, etc. influence a firm's strategic plans significantly. The entry of women into the labour market has, in recent times, affected the hiring and compensation policies of their employers. This has also expanded the market for a wide range of products and services necessitated by their absence from their homes (such as convenience foods, microwave ovens, day-care centres etc.). The shifts in age distribution caused by improved birth control methods have literally compelled producers to go after youth oriented goods (beauty products, hair and skin care preparations, fitness equipment etc.). The growing number of senior

citizens has made many a government to pay more attention to tax exemptions, social security benefits etc. Another important concern is the desire for a better quality of work life. Employees expect more from organizations than simply a pay cheque. They want cleaner air and water as well as more leisure time to enjoy life more fully.

Labour mobility across different occupations and regions, in recent times, has cut down wage differentials greatly.

Cultural Factors

Social attitudes, values, customs, beliefs, rituals and practices also influence business practices in a major way. Christmas offers great financial opportunities for card companies, toy retailers, tree growers, mail order catalogue firms and other related businesses. Social values refer to abstract thinking about what is good, right and desirable. Beliefs, on the other hand, reflect the characteristics of physical and social phenomena. We may believe, for example, that a high-fat diet causes cancer or that chocolate cause acne. Beliefs are important (whether right or wrong) in that they affect how we may behave and what we buy. For example, McDonald's does not serve the beef burgers in India because Indians consider the cow as a sacred animal (Hindu traditions prohibit the consumption of beef in any form). Values and beliefs vary from culture to culture and before going ahead in a big way.

Religious, Ethical and Moral Factors

India is a country where people belonging to almost all religious faiths live – Hindus, Muslims, Sikhs, Christians, Buddhists and Jains. They speak different languages. With a population of over 1 billion and 65 per cent literacy level, the country offers exciting opportunities to marketers. The country – specific risks like corruption, political instability, vast cultural differences, poor infrastructure etc., are equally threatening. The ethical and moral roots of society are, however, very strong. People believe in joint family system (especially in North India), daily, believe in destiny, respect elders and senior citizens, perform rituals scrupulously and are generally god-fearing. The spread of consumerism, the rise of a middle-class with high disposable incomes, the flashy lifestyles of people working in software, telecom, media and multinational companies and stock market addicts seems to have changed the socio-cultural scenario in recent times. After the 90s, people have started rationalizing the philosophy – ends justify the means. Such lower ethical standards have now become a real threat to business organizations which have, traditionally, been carrying out their operations in a fair way.

Political Environment

Many political factors influence how managers formulate and implement strategic direction. Due to the socialist leanings of some of the ministers, Coca Cola and IBM had to move out of India in the late 70s. A deep-seated fear of multinationals made the political leaders to shut the door on giant multinational companies for a painfully long time. Entry barriers, protectionist policies, high tariffs, anti-nationalist slogans, bad publicity have had a cumulative effect in creating a closed economic model where people had to wait for years to buy a Bajaj scooter or a Fiat car in India. When things turned from bad to worse, the situation was sought to be remedied through a bold liberalization programme in the early 90s. Apart from a willingness to bend the rules and get along with the times, political stability is also essential for economic growth. After the Babri Masjid demolition in 1992, economic reforms again took a back seat and the then Prime Minister, P V Narasimha Rao, could not carry on the bold liberalization programme further. The subsequent securities scam dented the economy further. Subsidies were never cut as planned at that time, public sector units could not be put on sale, Industrial Disputes Act remained intact, Urban Land Ceiling Act could not be amended (it happened finally in 1999), a National Renewal Fund could not be set up and the insurance sector reforms remained in the basket. Now small donations (imagine how cheaply India's most powerful are willing to sell their souls!) to political parties – a mere \$2,127 in the case of the Bharatiya Janata Party's Bangaru Laxman and \$4,255 by the Samata Party's Jaya Jaitley for introducing arms dealers to higher ups – have again come in the way of the bold economic steps proposed by the DNA government led by Vajpayee. The Tehelka expose, covering the whole lot of shady deals on videotapes in the recent past, has put a big question mark on crucial economic issues such as disinvestment, downsizing, de-reservation, labour reforms, power sector reforms, etc.

Legal Environment

The legal framework/regulatory environment is decided by the political party in power. The government, therefore, may legislate on matters like wage fixation, managerial remuneration, safety and health at work location of plants, entry of multinationals, price control, import-export policy, licensing policy etc. In a centrally planned and controlled economy like India, it is the government that lays down the rules of the game and industry has to scrupulously adhere to the rule book. Lobbying, political donations, public awareness campaigns still help in bending the policy stipulations a bit but, by and large, the levers of control are held by the ministers and bureaucrats only. During the license-permit-raj that

prevailed till the late 80s, CEOs of most companies in India were expected to know the domestic market (only), know the government, make short-term plans, be able to handle diversified companies and also implement the vision of the Babu, the owner (Team, C.D). The family owned businesses that existed wanted fixers, yes-men, collaborators and people with right connections with government officials. Licensing policies, quota restrictions, import duties, forex regulations, restrictions on FDI flows, controls on distribution and pricing of commodities, regulations on all aspects of the wall. A sort of love-hate relationship between corporate heads and bureaucrats prevailed for a frustratingly long time. The liberalization measures, macroeconomic reforms and structural adjustments brought about in the early 90s have altered the economic scenario quite dramatically.

Technological Environment

Technological factors represent major opportunities and threats that must be taken into account while formulating strategies. Technological breakthroughs can dramatically influence the organisation's products, services markers, suppliers, distributors, competitors, customers, manufacturing processes, marketing practices and competitive position. Technological advancements can open up new markets, result in a proliferation of new and improved products, change the relative cost position in an industry and render existing products and services obsolete. Technological changes can reduce or eliminate cost barriers between businesses, create shorter production runs, create shortages in technical skills and result in changing values and expectations of customers and employees (F.R.David).

Technological advancements can create new competitive advantages that are more powerful than existing ones. Recent technological advances, as we well know, in computers, lasers, robotics, satellite networks, fibre optics, biometrics, cloning and other related areas have paved the way for significant operational improvements. Manufacturers, banks and retailers, for example, have used advances in computer technology to carry out their traditional tasks at lower costs and higher levels of customer satisfaction.

Natural Environment

The natural environment comprises of ecological, geographical and topographical factors (such as natural resources, weather, climate, location etc.) that are relevant to business. Industries were set up historically, in places where natural resources were available in abundance. This has created pockets of affluence, congestion and pollution all at the same time. The natural endowments

began to be used recklessly leading to air, water, and land pollution and ozone depletion gradually. Air pollution is created by dust particles and gaseous discharges that contaminate the air and cause global warming. Over the years, the growing number of coal-burning factories, thermal plants, automobiles, etc. has precipitated the problem further. Water pollution occurs mainly when industrial toxic wastes are thrown into the nature's waterways. Land pollution is caused by the disposal of hazardous industrial toxic wastes in underground dumps.

International Environment

International developments can greatly impact the ability of an organization to do business abroad. For example, fluctuations of the rupee against foreign currencies influence the ability of an Indian company to compete in global markets. When the price of the rupee is high against foreign currencies, Indian companies find it difficult to compete in the international markets. Conversely, when the rupee falls against foreign currencies, new business opportunities open up. International factors influence domestic companies in another way, i.e. by producing new global competitors. For example, a number of technological advances pioneered in the United States have led to successful products. Yet, in regard to such items as phonographs, colour televisions, audio and video tape recorders, telephones, semi- conductors and computers, US producers have gradually lost a major share of the domestic market to foreign competitors who took the basic technology and successfully built upon it. International factors assume greater importance when domestic companies directly depend on imports or exports to certain countries. For example, the slowdown in US economy is impacting the fortunes of software exporters in India, who derive more than 60 per cent of their revenues from the Silicon Valley.

Task/Operating/Competitive Environment

The task environment is that part of the external environment which consists of specific outside forces with which an organization interfaces in the course of carrying out its operations. It consists of the actors in the organisation's immediate environment (micro-environment). Usually a single organization has difficulty in exerting a direct influence on the external environment but it may be more successful in affecting its own task or market environments. The various elements of the micro-environment need not necessarily affect all the firms in a particular industry in the same way. Important elements in the task environment of an organization typically include- clients, competitors, suppliers, labour supply and government agencies (regulators).

(a) Clients

Clients include the customers, owners and partners of an organization. The purpose of a business is to create and sustain customers. In an open market, the organization turns into a lifeless machine without customers. We cannot think of hospitals without patients, universities without students, departmental stores without shoppers. Organisations that stay close to the customer survive and flourish in a competitive environment. Owners, shareholders and partners, too, have a stake in the continued success of an organization. They get appropriate economic returns on their investments. Additionally, they can exert greater influence on the way the firm deals with environmental pollution, worker safety, product liability etc.

(b) Competitors

Competitors' actions and responses to them are a key in determining whether a firm will prosper. Important data about competitors that should be examined from time to time include a number of product lines, product differentiation, prices, quality, market share, advertising location, productivity, service, competitive advantages etc. Competition may be local, regional, national or international in scope, and this is constantly changing. In higher-technology fields, competition can be fierce and turbulent. For example, computer companies have undergone dramatic changes and extremely tough product and price competition within a rapidly expanding market. In recent years, deregulation has changed the face of competition in several industries such as banking, airlines, media, telecommunications, passenger car industry etc.

(c) Suppliers

Suppliers of raw materials, equipment, parts and money are a very important part of any organisation's external environment. Without a continuous flow of supplies, the organisation's profitability will suffer. The energy crisis in the early 70s affected the fortunes of many companies which depended heavily on petroleum for running their show. Generally speaking, organizations must have sources of supply that are dependable in terms of quantity, quality, delivery and service and that offer suitable prices and terms of purchase. Over dependence on a single source of supply should also be avoided. The organization should also be able to get credit on easy terms for its operations.

(d) Labour

The environment's labour supply represents those individuals that may be employed to work for the organization. All organizations need qualified, trained hands to take care of assigned duties. This, in turn, is influenced by the economy, employment, socio-cultural factors, technological growth, unions, etc. The influence of unions for regulating supply of labour when required is diminishing in recent years due to recessionary trends, global competition, deregulation, disenchantment of members over limited successes achieved by unions, etc.

(e) Regulators (Government Agencies)

The task environment contains a number of government agencies that provide services and monitor compliance with laws and regulations at local, state or regional and national levels. These regulatory bodies have the potential to control, legislate and influence an organization's policies and practices. They also exercise considerable influence on the cost of doing business. When doing business globally, the firm must also take into account the procedures to be adopted in line with the stipulations laid down by institutions such as IFC, World Bank, IMF, and Environmental Protection Agency etc. mission, culture etc. An outline of these factors is given below (Wright). Elements within organization's boundaries such as human resources, other resources

Check Your Progress 3

1. The external forces are frustratingly large in number
 - a. difficult to assess and predict
 - b. are not easily amenable to advance planning and policy making
 - c. both a and b
 - d. only b
2. Important elements in the task environment of an organization typically include :
 - a. clients and competitors
 - b. suppliers and labour supply
 - c. government agencies (regulators)
 - d. all of the above

1.5 Components of Internal Environment

Important Aspects of an Organization's Internal Environment

Organisational Aspects Structure Communication network Record of success Hierarchy of objectives Policies, procedures and rules Ability of management team	Personnel aspects Labour relations Recruitment practices Training programmes Performance appraisal system Incentive systems Turnover and absenteeism
Marketing aspects Market segmentation Product strategy Pricing strategy Promotion strategy Distribution strategy	Production aspects Plant facility layout Research and development Use of technology Purchasing of raw materials Inventory control
Financial aspects Liquidity Profitability Activity Investment opportunity	Managerial aspects Management style Management competence Managerial values and norms

Human Resources

A firm's real assets are its human resources consisting of board of directors, top management, middle management, supervisors and employees. The board's vision, commitment, knowledge, experience, and political connections – all help in taking the firm to commanding heights. Same is the case with the top management, which provides direction and middle management which translates rhetoric into action plans. Managers with vision, drive and enthusiasm always help the firm steer out of troubles and stay ahead of competition. An organization's employees are also a key element of its internal environment. When managers and employees embrace the same values and have the same

goals, everyone wins. When they work at cross purposes, however, or when conflict and hostility pervade the organization, everybody loses.

Other Organizational Resources

Other organizational resources (capital, land, equipment, plant, structure, technology processes etc.) should always be properly aligned with the firm's strengths and combined in an appropriate manner to produce results. Factors such as proper location, up-to-date technology, adequate capacity, efficient distribution network, reliable and cost-effective sources of supply etc help the firm in realizing its professed goals.

The Organization's Mission

Organizations are set up for a purpose. Although the purpose may change over time, it is essential that stakeholders understand the reason for the organisation's existence, that is, the organisation's mission. An organisation's mission is a statement of its 'fundamental, unique purpose' that sets a business apart from other firms of its type and identifies the scope of the business operations in product and market terms (Pearce and David). The mission at the corporate level is stated in fairly broad terms but is sufficiently precise to provide direction to the organization. At the business unit level, the mission is narrower in scope and more clearly defined. It is necessary that an organization carefully understands its mission because a clear sense of purpose is essential to set proper goals.

Culture

In a similar vein, culture is important to organizations because as individuals act on shared values and other aspects of organizational culture, their behaviours can have a major impact on organizational effectiveness. Organisational cultures, of course, develop from a variety of sources. Strong founders may leave a major influence on the culture that develops within an organization. For example, Ray Kroc, the founder of McDonald's espoused 'quality, service, cleanliness and value', still the corporate creed. As reward systems, policies and procedures are established, they impact culture by further specifying notions of appropriate behaviour. Further, critical incidents such as an employee being rewarded or fired for pushing a major innovation, may add to individual's perceptions of internal norms over time.

Check your progress 4

1. Important Aspects of an Organization's Internal Environment in Organisational Aspects are
 - a. Structure
 - b. Communication network
 - c. Record of success
 - d. all of the above
2. Important Aspects of an Organization's Internal Environment in Personnel aspects are
 - a. Labor relations
 - b. Recruitment practices
 - c. Training programmes
 - d. all of the above

1.6 Environmental Scanning

Sources

Environmental analysis or scanning, as stated earlier, is a process by which organizations monitor their internal and external environment to spot opportunities and threats affecting their business. The basic purpose is to help management determine the future direction of the organization. Scanning simply involves reviewing and evaluating whatever information about internal and external environments can be gleaned from several distinct sources. Important sources of information for environmental scanning include the following-

- **International Sources**
 - World Development Report
 - World Economic Survey
 - Statistical Year Book
 - Year Book of International Trade Statistics

- **Government Sources**
 - Census of India
 - Five Year Plan Reports
 - India Year Book
 - Economic Survey
 - Annual Survey of Industries
 - Centre for Monitoring Indian Economy Reports
 - Monthly Bulletins of RBI
 - Yojana
 - Indian Trade Journal
 - Reports of Tariff Commission, NCAER, CII, FICCI, ASSOCHAM
- **Other Sources**
 - The Bombay Stock Exchange Directory
 - Kothari's Industrial Directory
 - Economic Times
 - Financial Express
 - Business Line
 - Business Standard
 - Commerce/Capital
 - Southern Economist/Eastern Economist
 - Business Today
 - Business India
 - Business World
 - ICICI Portfolio Studies; CRISIL Research Reports
 - MC Kinsey Quarterly
 - Harvard Business Review
 - Fortune
 - Economic and Political Weekly

Techniques

For scanning the environment, companies often use a number of techniques depending on their specific requirement in terms of quantity, quality, relevance, cost etc. The whole exercise is very demanding and involves sifting through a number of sources (listed above) carefully to draw a picture of the opportunities and threats present in the micro as well as macro environment in which a company operates. The following techniques are generally pressed into service while carrying out environmental scanning.

SWOT Analysis

SWOT (acronym for the internal strengths and weaknesses of a firm and the environmental opportunities and threats facing that firm) analysis helps an organization match its strengths and weaknesses with opportunities and threats operating in the environment. An appropriate strategy is one that capitalizes on the opportunities by using organizational resources and capabilities to the best advantage and neutralizes the threats by minimizing the adverse influence of weaknesses.

- **Strengths-** Internal capabilities of a firm which can be used to gain competitive advantage over its rivals.
- **Weaknesses-** Limitations or constraints which tend to decrease the competencies of the firm particularly in comparison to its rivals.
- **Opportunities-** Major favourable conditions in a firm's environment which help a firm strengthen its position.
- **Threats-** Major unfavourable conditions in a firm's environment which may pose a risk or damage the firm's position in comparison to its rivals.

Matching the Strengths and Weaknesses

In the next phase, the analyst must try to find the 'fit' between corporate strengths and environmental opportunities for competitive advantage. For example, if there are gaps in the existing product mix and a competing firm whose offering can fill the existing gaps is up for sale, acquiring the competing firm might be one of the strategic options. In the face of increasing competition, the firm wedded to outdated technological processes must think of modernizing its production facilities immediately. When a firm's products enjoy a good reputation in local markets and there is a strong possibility of generating good reputation in export markets as well, strategic alliance with a reputed foreign partner having

good distribution network could be a good strategic option. An excelled strength, such as qualified scientists possessing R&D to flourish and make meaningful contributions. Unless the firm tries to change its entire corporate strategy, such strengths do not mean anything. Likewise, presence of a weakness may not always be damaging. In the final analysis, the strategist's viewpoint of strengths and weaknesses and their ability to march these with environmental opportunities is going to spell the difference between success and failure.

ETOP

ETOP is the acronym for environmental threat and opportunity profile. It is nothing but a summarized picture of the environmental factors and their likely impact on the organization. ETOP is generally prepared in the following manner.

List Environmental Factors

List the different aspects of the relevant environment. For example, economic environment may be divided into rate of economic growth, national income, savings, investment, rate of inflation, capital market reforms, fiscal policy, monetary policy, etc.

Assess Importance of Environmental Factors

At this stage, the importance of each environmental factor is assessed closely and expressed in qualitative (high, medium or low) or quantitative factors (3, 2, 1). It is worth mentioning here that not all the identified environmental factors will have the same degree of importance.

- **Assessing the impact-** A relevant factor so analysed might have a positive or negative impact as a threat.
- **Combine to get a bigger picture-** In the final stage, the importance of each factor and its impact is compared to produce a compact overall picture.

E.g. - ETOP of a Bicycle Company

ETOP profile for a bicycle company

Environmental sector	Nature of Impact	Impact of each sector
Economic	↑	Growing influence among urban consumers, rising disposable incomes and living standards
Market	↑	Organized sector a virtual oligopoly with four major manufacturers, buyers critical and better informed, overall industry growth rate not encouraging
International	↓	Global imports growing but India's share shrinking, India second globally as manufacturer, consumer and exporter after china, major importers are the US and EU but india exports only to africa; threat of chinese cheap imports
Political	→	Industry too small for any political attention
Regulatory	→	Parts and components reserved for small scale industry, heavy restrictions

Fig 1.1 ETOP Profile for Bicycle Company

Check your progress 5

1. ETOP is the acronym for environmental threat and opportunity profile, it is
 - a. a summarized picture of the environmental factors
 - b. their likely impact on the organization
 - c. both a and b
 - d. only a
2. All the identified environmental factors will have the same degree of importance.
 - a. Assessing the impact- A relevant factor so analysed might have a positive or negative impact as a threat.
 - b. Combine to get a bigger picture- In the final stage, the importance of each factor and its impact is compared to produce a compact overall picture.
 - c. both a and b
 - d. only a

1.7 Industry Analysis

The Industrial Environment of the Firm

1.7.1 A Framework for Industry Analysis

As shown in Fig. every firm holds a position or role in the chain of activities necessary to convert physical, financial and human resources into more valued goods or services and market them. Upstream from the incumbent firms are the suppliers who contribute (components, materials, services or other inputs) the inputs that industry players use. Downstream from the incumbent firms are buyers (other manufacturers wholesale and retail distributors and consumers) who buy from the firm in the industry. The whole chain from raw materials to final consumers is called a 'value chain' because each link in the chain adds some value to its inputs. When we talk about 'value' here we mean the value of the product to its final consumers minus the opportunity cost of the resources required to produce it. The value created is ultimately distributed among the participating players in the chain.

Industry analysis, thus, helps a firm find answers to two questions basically- "What characteristics of the industry are important? And "how can a manager

enhance performance given those characteristics?” An answer to the first question traces industry characteristics that affect incumbent firms and, thus contribute to average profitability. When managers are able to pursue a strategy that exploits the opportunities that industry characteristics pose and reduce the negative impacts, the firm performs better than its rivals in the industry. In addition to these two factors (industry characteristics, a firm’s specific strategy), the average returns enjoyed by a firm is also dependent on the laws the governments enact in order to govern competition.

Industry Characteristics that could Impact a Firm’s Performance

- The number of firms in the industry
- The level and pattern of promotional expenditures
- The rate and nature of technological competition
- The relative size of firms
- Consumer preferences for the product and for related products
- The rate of demand growth
- The extent of product differentiation
- The price behaviour of the leading firms
- The minimum efficient scale of production
- Buyer switching costs
- Demand-side economies of scale
- Specificity of plant and equipment to industry etc.

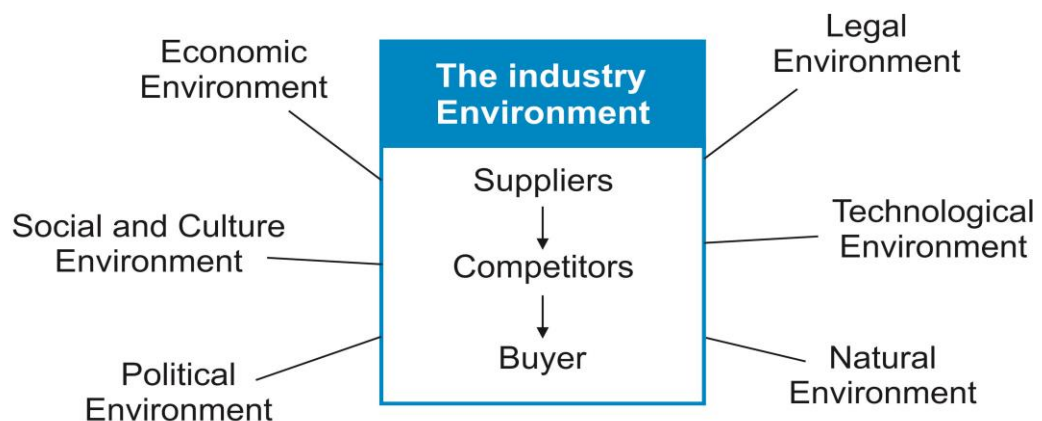


Fig 1.2 International Environment

1.7.2 Michael Porter's Analysis

According to Michael Porter, the nature and degree of competition in an industry depends on five forces (elaborately discussed in the next chapter)- the threat of new entrants, the bargaining power of suppliers, the threat of substitute products or services and the jockeying among current contestants. To establish a strategic agenda for dealing with these competing currents and to grow despite them, a company must understand how they operate in an industry and how they affect the company in its particular situation.

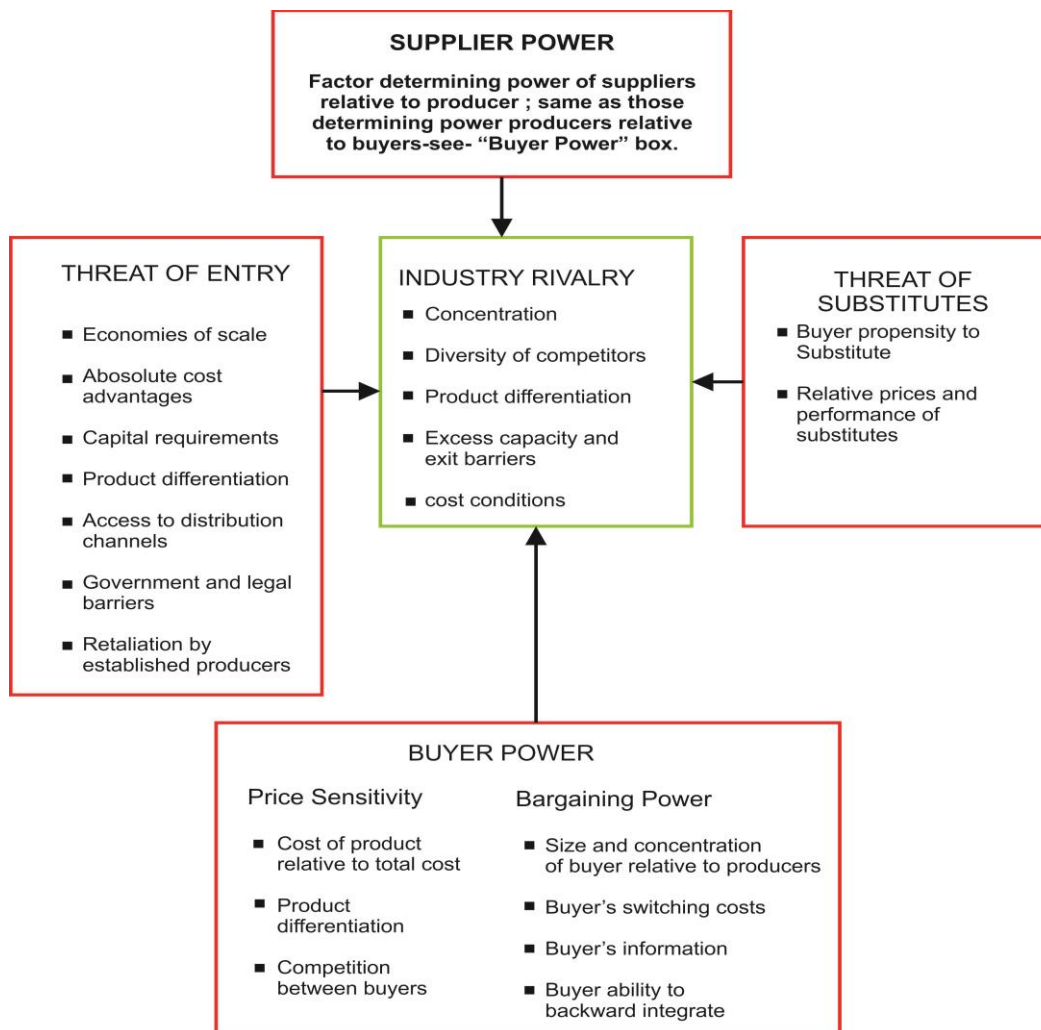


Fig 1.3 Michael Porter's Analysis

Threats of Entry - New entrants to an industry bring new capacity, the desire to gain market share, and often-substantial resources. Gaining entry is always not easy as there are barriers to entry. (i) The economies of scale prohibit entry by forcing the aspirant either to come in on a large scale or to accept a cost disadvantage (ii) Brand identification (product differentiation) creates a strong barrier by forcing entrants to spend heavily to overcome consumer loyalty

(remember Lux, Bournvita, Vicks, Good Day) (iii) The need to invest large financial resources in order to compete creates a barrier to entry, especially if the capital requirement is for projects with a long gestation period (ex-fertilizer plants, steel plants with minimum investments of over Rs.500 crore and gestation period of over 8 years). (iv) Entrenched companies many have cost advantages not available to potential rivals, no matter what their size and attainable economies of scale (access to raw materials, assets bought at pre-inflation prices, government subsidies, favourable locations etc.). (v) Access to distribution channels is another powerful barrier, replacing existing ones is not easy (price breaks, promotions, intense selling effort) and creating one's own distribution channels takes time and costs a fortune (vi) The government can limit or even foreclose entry to industries, with such controls as license requirements, and limits on access to raw materials.

Powerful Supplies - This is a situation where suppliers can force buyers to pay higher prices and thus affect their profitability. This would happen if the supplier enjoys monopoly, where the switching cost of the buyer is substantially higher, where the industry is not an important customer of the supplier group, where it sells products having no substitutes etc.

Powerful Buyers - Customers likewise can force down prices, demand higher quality or more service and play competition against each other – all at the expense of industry profits. This can usually happen when buyers have choice of substitutes or an alternative source of supplies for the same product. Also, high buyer concentration, threat of backward integration, and low switching costs add to the power of buyers.

Substitute Products - By placing a ceiling on the prices it can charge, substitute products or services limit the potential of an industry. For example, jute industry suffered badly after facing competition from petro-chemical based packing products. The demand for fibreglass suffered likewise when insulation substitutes emerged in the form of cellulose, Rockwool and Styrofoam.

Jockeying for Position - The combined strength of the above five forces determines the attractiveness of an industry. The strongest forces which influence the profitability of a firm become the determining factors in strategy formulation. In India firms like Reliance, TELCO, NIRMA, TISCO had rightly spotted the potential dangers arising out of shortages of raw materials, components and other inputs. A series of timely backward (or even forward) integration decisions enabled them to remain at the top in their respective fields.

1.7.3 Usefulness of Industry Analysis

The basic purpose of industry analysis is to assess the relative strengths and weaknesses of an organization relative to other players in the industry. It tries to highlight the structural realities of a particular industry and the extent of competition within that industry. Through industry analysis, an organization can find whether the chosen field is attractive or not and assess its own position within the industry. Industry analysis helps firms in the following ways.

Industry Attractiveness - Industry analysis helps to find out (a) the growth potential of the industry (b) the profitability of the industry and (c) the relative abilities of players in that industry. Where the growth prospects are good and profit potential is great, the firm can safely conclude that the field is attractive and offers enough room for others to enter and exploit the field. At this stage the firm needs to answer certain basic questions like (a) is it a growing industry (b) if yes, at what pace the industry is growing? (c) Are there any limits to growth in the industry (d) does it offer good returns consistently etc.?

1.7.4 Analysis of Software Education and Training Industry

A useful framework for industry analysis

1. Basic features of the industry
2. Industry environment
3. Industry Structure
4. Market Size
5. Big Fight for Space
6. Strategies at Work
7. Industry attractiveness
8. Industry performance
9. Industry practices
10. Future scenario

1. Basic Features of the Industry

This step provides a brief overview of the current status of the industry. In this category factors such current size of the industry, product offerings, their relative volumes, the performance of the industry in recent times etc. are included. In this background let's examine fortunes of the IT education and training industry closely.

The IT training industry is characterized by intense competition between the 'big boys' and the small, regional players. The slowdown in the United States has affected the fortunes of the industry in recent years. Once branded as a sun-rise industry with steady returns, it has witnessed de-growth in 2001-2002. Many franchisees have drawn their shutters down; rates for software courses have come down drastically and capacity utilization, in many cases, is pathetic.

Current Status of IT Training Industry

Industry	Focus	No.of Centres
NIIT	Consumer, corporate and specialized training	2445
Aptech	Same as NIIT's with additional emphasis on 'multimedia' training	2449
SSI	Short-term, high-end courses	759
LCC	Plain vanilla, all-purpose trainer with strong presence in the East	Over 350
Tata InfoTech	Consumer and corporate training (more of the latter now)	309
STG	Emphasis on short term courses as well as soft skills	300
Edutech Informatics	Focuses on the university market and on bioinformatics	250
ET&T	Another all-purpose training school	150

The industry has lost major chunk of its business during 2001 and 2002. Due to recession in IT placements globally, student's sentiment toward IT education centres has turned negative.

2. Industry Environment

The second step in industry analysis highlights the industry environment in which the firm in question operates. According to Michael Porter, industries may be classified into five categories based on their environment - fragmented industries (where companies face many opportunities for differentiation but each opportunity is small, a restaurant for example); emerging industries (those in the introductory and growth phases of their life cycle, television software industry for example); mature industries (such as pharmaceuticals, chemicals, telecommunications, electronics where technology plays a major role), declining industries (where the transition from maturity to decline is happening as a result of technological substitution as in the case of typewriters, railroads, or changes in consumer preferences as in the case of jewellery watches, designer suits; or demographic shifts) and global industries (with manufacturing bases and marketing operations in several nations). As regards Indian IT training industry, as things stand now, it is a declining industry.

3. Industry Structure

Industry structure deals with several structural feature such as total market size, number of players, relative shares of the players, nature of competition, barriers to the industry, cost structure, strategies pursued by each player, entry barriers (product differentiation, technology, cost advantage, global reach) etc.

4. Market Size

Every year close to 10 lakh software – hopefuls apply for programmes at education centres run by 30-odd companies in India. In money terms, that's a Rs. 2,000 crore industry – one that grew at an average of 36 percent over the past five years, and one that may well be dying now. Aptech and NIIT command a market share of around 56 per cent followed by SSI, CMC, LCC Infotech, STG etc. To beat the slowdown in recent times, many of these companies have tied up with universities and institutions such as ICAI, ICWAI and government schools.

5. Big Fight for Space

The IT education and training market is shrinking day-by-day, thanks to the decimation of dotcoms and the economic downturn in most developing and developed nations across the globe. Instead of fighting a bloody battle on the street for limited 'space', players are trying to consolidate their position through

mergers, acquisitions, focusing attention on limited segments, venturing into unexplored markets etc. (for example Aptech has nearly 260 centres outside India in 52 countries with over 90 centres in China alone). SSI, with its focus on short-term emerging technologies, was trying to find a partner having expertise in long-term programmes in the recent past. It struck a deal with Aptech's promoter, Atul Nishan for acquiring 27.18 per cent equity stake in Aptech in Feb, 2003. Meanwhile Tata Infotech is trying to get its feet firmly rooted in the corporate training field.

6. Strategies at Work

The demand for Java courses has dried up now. The general economic slowdown and the recession in US have drastically reduced the demand for IT professionals. The consumer sentiment has turned negative. Recruiting firms have put their plans on hold. Downsizing, cost cutting have become the new buzz words in corporate circles.

Smaller players, as a result, have closed shop. The big boys have stopped expanding their franchisee network. In fact, some of the owned centres of NIIT, SSI have been put up for sale. Aptech has decided to demerge its education business from the software operations. The course fee, contents and delivery mechanisms have also changed. Unviable centres have been closed down. They have cut their staff strength also quite aggressively. A three-pronged strategy is adopted to build credibility and acceptance in the eyes of both students and recruiters-

- **Product focus-** To this end, build strong brand image, restructure the course content, get certification from a global major or a recognized Indian university, and reduce the fee so that the course has a wider reach.
- **Recruiter focus-** Identify the potential recruiting firms; design courses to match their demand patterns, involve them in course design and implementation.
- **Quality focus-** The delivery system should be effective. Content is of no use unless instruction is good. There is no point in stressing on numbers. The focus must be on building strong centres in good locations near recognized centres of learning and recruiting firms.

7. Industry Attractiveness

Industry attractiveness is dependent on the following factors -

- Profit potential
- Growth prospects
- Future trends in the industry
- Forces impacting competition within the industry
- Barriers in the industry

8. Industry Performance

This requires an examination of data relating to-

- Production
- Sales
- Profitability
- Technological advancement etc.

9. Industry Practices

How the players operate in order to consolidate their position? What practices do they adopt to increase their reach? In short, this step deals with issues relating to-

- Product policy
- Pricing strategies
- Promotion policy
- Distribution policy
- R&D efforts
- Competitive Policy

10. Future Scenario

The future scenario of an industry may be examined keeping the following things in mind-

- Changes in consumer preferences
- Product innovations
- Entry and exit of firms

- Rate of growth
- Changes in regulatory framework
- The product life cycle of the industry etc.

Check your progress 6

1. Industry analysis helps to find out
 - a. the growth potential of the industry
 - b. the profitability of the industry
 - c. the relative abilities of players in that industry
 - d. all of the above

1.8 Let Us Sum Up

In this unit we studied about the Environmental and industry analysis. It perceives organisations as open systems so various environmental factors influence them inevitably.

The environment is classified into internal and external environment and its features are mentioned as complex, dynamic, challenging. components of external environment are given as economic, social and cultural, Demographic, Religious, ethical and moral, political, legal, technological, Natural, International, Task/operating environment, whereas the components of internal environment are given as Organisational aspects, personnel, marketing, financial, production aspects etc. The emphasis on environmental scanning is given with respect to SWOT analysis.

The ETOP Profile is also mentioned. The porters frame work of industry analysis is also explained in great detail with the help of its five forces: Buyers and suppliers, Threat of entry, threat of substitutes and industry rivalry. The analysis of software education and training industry is also given.

1.9 Answers for Check Your Progress

Check your progress 1

Answers: (1-a)

Check your progress 2

Answers: (1-a), (2-a)

Check your progress 3

Answers: (1-c), (2-d)

Check your progress 4

Answers: (1-d), (2-d)

Check your progress 5

Answers: (1-c), (2-c)

Check your progress 6

Answers: (1-d)

1.10 Glossary

1. **Value-Chain** - Separate activities, function and business processes that are performed in designing, producing, marketing, deliveries, and supporting a product or service.
2. **Vertical Integration** - The acquisition of suppliers (backward integration) or distributors (forward integration). Utilized to expand operations, achieve greater market share, increase the efficiency of capital, and/or improve economies of scale. See also Horizontal Integration.
3. **Sustainable Competitive Advantage** - Competitive advantages that can be maintained over a fairly long period of time.
4. **Switching Costs** - The costs incurred by a customer in changing from one firm to another to meet their requirements
5. **Portfolio Approach** - A method of looking at each of the “businesses” of a firm as elements in a total portfolio.
6. **Product Life Cycle Analysis** - A forecasting technique which analyses/predicts the performance of a product/service during each stage of its development.

1.11 Assignment

1. Explain about the analysis of education and software industry.
2. Write on Porters five forces analysis.
3. Explain about the ETOP Profile of an organisation.
4. Explain SWOT analysis in detail.

1.12 Activities

1. Write short notes on the following-
 - a. Natural Environment
 - b. Legal Environment
 - c. Technological Environment
 - d. Industry Analysis
 - e. Political Environment

1.13 Case Study

Melwyn's RACE for the Youth

Melwyn Industries is one of the world's largest manufacturer and exporter of wrist watches and India's leading producer of watches sold under brand name Melwyn at exclusive Melwyn retail stores. It is a subsidiary of SANA a giant conglomerate dealing in automotive, steel and hospitality industry. Melwyn Industries was started 10 years ago and its watches gained distinct brand identities with a set of products aiming at different market segments. Currently the Melwyn umbrella has sub brands like ALPHA for executives, DIVA for women and REGAL- designer watches catering to the high-end segment.

Melwyn's Marketing Head now finds that its customer base consists mainly in the age group of above 25 years and would now like to target younger customers. The company has identified the youth segment - youth by age and youth by attitude- aged between 18 and 30 years as the core target- "They are bold, individualistic, non-conformist and go-getters,"and for them Melwyn has plans to shortly introduce fashionable watches under the sub brand RACE. Melwyn is in the process of choosing a brand ambassador and scripting a

marketing strategy to emotionally connect with the aspirations of "cool and adventurous youngsters."

Case Study Questions

- a. Choose a brand ambassador for RACE.
- b. Develop a brand building strategy and the media mix.
- c. Write a storyboard for a two minute advertisement on television.
- d. List your choice of TV channels and other media.

1.14 Further Reading

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
1. Supply Chain Management- Strategy, Planning and Operation - all 2 versions »S Chopra - IIE Transactions, 2002 – Springer.
2. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management- Part I. - all 8 versions »RS Kaplan, DP Norton - Accounting Horizons, 2001.
3. Strategic management of small firms in hostile and benign environments - all 2 versions »JG Covin, DP Slevin - Strategic Management Journal, 1989 – JSTOR ... In Kent, CA (ed.), The Environment for Entrepreneurship, Lexington.

UNIT 2: COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS

Unit Structure

- 2.0 Learning Objectives**
- 2.1 Introduction**
- 2.2 Internal Analysis**
- 2.3 Resource - Based Strategy (Grant)**
- 2.4 The Resource Based View (RBV)**
- 2.5 Resources**
- 2.6 Organisational Capabilities and Competitive Advantage**
- 2.7 Approaches to Internal Analysis**
- 2.8 Terminology**
- 2.9 Primary Activities**
- 2.10 Support Activities**
- 2.11 Conducting a Value Chain Analysis**
- 2.12 The Concept of Synergy**
- 2.13 Let Us Sum Up**
- 2.14 Answers for Check your progress**
- 2.15 Glossary**
- 2.16 Assignment**
- 2.17 Activities**
- 2.18 Case study**
- 2.19 Further Readings**

2.0 Learning Objectives

After learning this unit, you will be able to understand:

- Competitive Analysis Internal Analysis.
- The Forces Shaping Competition in an Industry.

- The Resource Based Strategy.
- The Resource Based View.
- The Organisational Capabilities and Competitive Advantage.
- Approaches to Internal Analysis.
- The Primary and Support Activities.
- How to conduct Value Chain Analysis.
- Concept of Synergy.

2.1 Introduction

Strategy formulation forms the important part of organisations structure. As a part of strategy formulation, the firm must analyse and size up all the forces that shape competition in the industry. It was Michael Porter who gave a new thrust to the ideas associated with the competition. He emphasised that “competition” in an industry is shaped not only by “existing contestants” but also by certain other forces as well.

He identified five forces that shape the nature and intensity of competition in any industry. It is expected that the firms should have proper understanding of the forces that shape the competition in its industry. It need not stop with sizing up the other players in the industry. The firm also has to know which among the five forces are especially strong in this industry and how they work and affect the firm. The firm should take a competitive position from where it can defend these forces with the help of strategy and cope with them.

2.2 Internal Analysis

The emphasis on the industry environment and the firm’s competitive positioning in relation to its rivals was the dominant theme of the 1970s and most of the 1980s. The firm’s internal environment remained a relatively unexplored topic. Theorists believed that internal analysis is mostly concerned with issues of strategy implementation, such as choice of a suitable structure, systems of control, management style etc. (Ansoff, Henderson). During the late 1980s and early 1990s, interest in the role of strategy in building competitive advantage resulted in a shift of focus towards the internal aspects of the firm (also known as corporate appraisal or organizational appraisal).

Why Internal Analysis?

- To find where it stands in terms of resources, strengths and weaknesses.
- To exploit the opportunities that is in line with its capabilities.
- To assess the capability gaps and take steps to enhance its capabilities with a view to achieve its growth objectives.

Check your progress 1

1. Internal Analysis should be done for
 - a. To find where it stands in terms of resources, strengths and weaknesses
 - b. To exploit the opportunities that are in line with its capabilities
 - c. To assess the capability gaps and take steps to enhance its capabilities with a view to achieve its growth objectives
 - d. All of the above

2.3 Resource - Based Strategy (Grant)

The formulation of strategy usually begins with a mission statement that answers questions like- What is our business? Who are our customers? Which of their needs are we going to serve? In a dynamic world where customer preferences are flirting and the identity of customers and the technologies for serving them are fast-changing, a market-focused strategy may not provide the stability and constancy of direction needed as a foundation for long-term strategy. Hence, the need to define the firm's strategy in terms of what it is capable of doing, putting its internal resources and capabilities to best advantage.

Check Your Progress 2

1. If identity of customers and the technologies for serving them are fast-changing then
 - a. a market-focused strategy may not provide the stability
 - b. Constancy of direction needed as a foundation for long-term strategy.
 - c. Both a and b
 - d. Only a

2. The formulation of strategy usually begins with a mission statement that answers questions like-
- What is our business?
 - Who are our customers?
 - Which of their needs are we going to serve?
 - All of the above

2.4 The Resource Based View (RBV)

The RBV's basic premise is that each firm possesses a unique 'bundle' of resources – tangible and intangible assets and organizational capabilities to make use of those assets. Each firm develops competencies from these resources and when put to use effectively, these become the sources of the firm's competitive advantages (Miller).

The Resources Based View

[Tangible Assets + Intangible Assets] X Capabilities = Competencies → Competitive Advantages

Assets combined with capabilities produce competencies that can yield competitive advantages

Key Elements of Resource-Based Strategy

- Pursue a strategy that exploits a firm's principal resources and capabilities (e.g. Ranbaxy, HDFC, and Infosys).
- Ensure that the firm's key resources are exploited fully to realize the full profit potential. For example, spending close to five per cent on R&D where the industry average is just a per cent or so, Sundaram Fasteners today has developed world class design and development facilities and world class tooling capabilities that have helped it remain miles ahead of its competitors in terms of quality, customer service and profits.
- Fill the critical resource gaps and Box 3.7 expands the firm's base of resources and capabilities for the future (like what TELCO did to overcome the quality problems in its small car India with a new V2 version which is moving the metal like never before).

Check your progress 3

1. The RBV's basic premise is that each firm possesses a unique 'bundle' of resources – tangible and intangible assets and organizational capabilities to make use of those assets.
 - a. True
 - b. False

2.5 Resources

The term 'Resources' may be defined as the stock of assets and skills that belong to an organization at a point of time. It may also be viewed as the factor inputs into the production process including tangible assets, intangible assets and the skills possessed by people working at various levels. It is important to note the essential difference between assets and skills, here. Assets are basically related to 'having' whereas skills belong to 'doing.' Assets are incapable of acting on their own and produce results. Skills, on the contrary, refer to the individual abilities of human beings to perform a piece of work. It is a kind of asset that can be used to create other assets.

Intangible Assets

They are largely invisible and difficult to quantify. It is not easy for competitors to understand, purchase, imitate or substitute such resources, which cannot be seen directly. Unlike tangible assets, their use can be leveraged. For example you cannot use the same company bus on five different routes at the same time. But sharing knowledge among employees does not diminish its value for any one person. On the contrary, two employees sharing their individual knowledge sets often can leverage them to create additional knowledge that is new to each of them and relevant to help the firm create value for its stakeholders. With intangible assets, the larger the network of users, the greater the benefit to each party.

Examples of Intangible Assets (Hall)

- **Human Resources** - Knowledge, skill sets, expertise of employees; the adaptability, commitment and loyalty of employees.
- **Innovation Resources** - Ideas, scientific capability, capacity to innovate, research facilities.

- **Organisational Resources** - Style, systems, culture, creativity, risk taking, potential, teamwork, good working relationships, problem solving skills etc.
- **Reputation Resources** - Reputation resources such as brand name, perceptions of product quality, durability, reliability etc; reputation with suppliers including reputation for efficient, effective, supportive, mutually beneficial interactions and relationships.
- **Informational Resources** - Databases on technology, customers, competitors, suppliers etc.
- **Technological Resources**- Stock of technology such as patents, trademarks, and trade secrets.

Check your progress 4

1. Style, systems, culture, creativity, risk taking, potential, teamwork, good working relationships, problem solving skills etc. are the examples of _____.
 - a. Organizational Resources
 - b. Reputation Resources
 - c. Innovation Resources
 - d. Human Resources
2. Knowledge, skill sets, expertise of employees; the adaptability, commitment and loyalty of employees are the examples of Human Resources.
 - a. True
 - b. False

2.6 Organisational Capabilities and Competitive Advantage

The RBV assumes that each firm is a collection of unique resources and capabilities that determines a firm's strategy. In this model, above average returns are earned when the firm employs its valuable, rare, costly-to-imitate and non-substitutable resources and capabilities (i.e. core competencies) to establish a competitive advantage over its rivals. It should, however, be noted that such

competitive advantages are not sustainable on a permanent basis. Therefore, firms must exploit their current advantages while simultaneously using their resources and capabilities to form new core competencies that can serve as relevant competitive advantages in the future (like HDFC trying to venture into banking, insurance and mutual fund industry after consolidating its position in the housing loan market in recent times). In a competitive scenario every firm must try to build fences around its competitive advantages – known as capability drivers – and try to explore other areas that could help it utilize its resources to best advantage.

Capability drivers, in simple terms, are the basic economic and strategic means by which a firm builds an underlying source of competitive advantage in its market or industry. Examples of basic capability drivers include the following-

1. **Patents** - Firms that own patents on important technology enjoy a strong advantage over rivals especially in industries such as chemicals, pharmaceuticals etc. In early 90s Eli Lilly and Pfizer had important strategic gains in depression and blood pressure medications; Xerox Corporation had patent rights over xerographic duplicating process for a long time.
2. **Licenses** - The license-permit raj in 70s and 80s enabled certain firms to enjoy significant competitive advantages over rivals in the pre-liberalization era in India. That was the time when the likes of Manu Chabria, R P Goenka, Dhirubhai Ambani, Karsanbhai Patel and Venugopal Dhoot began building their empires (with serpentine queues and endless waiting periods for Fiat Cars and Bajaj Scooters), by grabbing whatever licenses the government issued from time to time.
3. **Location** - In some industries, location could be an important source of competitive advantage – like the retail outlets of public sector oil giants HPCL, BPCL, Indian Oil Corporation as against the private sector oil companies such as Reliance Petroleum, Essar Oil etc.
4. **Distribution Channel** - Established firms like Bata (shoes); HPCL, BPCL, IOC (oil); HLL, Proctor & Gamble (FMCG) have excellent distribution networks that help them gain customer attention, shelf space in retail outlets and cut costs by spreading their costs over higher sales volumes.
5. **Employee Motivation and Skills** - Experienced employees with relevant skills could be great sources of competitive strength. Infosys spends lot of money on employee training – technical, process as well as behavioural development. Because of stock options, even drivers have become

millionaires there. Employees take pride in being the leaders in business ethics and corporate governance. Not surprisingly, when every other player in the software sector is complaining about low employee motivation level, high attrition rates, Infosys has been able to hold its head high in the market place for over 20 years now.

6. **Design Skills, Process Improvements** - Firms that came up with new products on a regular basis are familiar with the importance of carrying out small modifications through product redesign and process improvements (such as Hitachi, Sanyo, Toshiba, Sony etc.). As soon as Sony develops a new product, it usually comes up with three teams to view new product as if it belongs to the competitors. The first team thinks of minor improvements, the second team thinks of major improvements, and the third team thinks of ways to make the product obsolete. Punjab Tractors Ltd. has been able to cut down the cost of rejection/tractors through its intensive stress on quality planning and building a culture of quality improvement based upon the Juran Quality Improvement Techniques [productivity levels rose from 17 tractors per man per year to 35 tractors per year per man between 1997-2000]; upgrading manufacturing process through conveyerisation, introduction of power trolleys etc.
7. **Interrelationships** - Competitive gains can also come from interrelationships with other businesses of the same firm. Interrelationships help a firm's businesses to transfer resources (HDFC bank selling credit cards to HDFC home loan customers; ICICI Bank sending its teams to oversee mutual fund business etc.) and share activities among each other.

Check your progress 5

1. Capability drivers, in simple terms, are the basic economic and strategic means by which a firm builds an underlying source of competitive advantage in its market or industry.
 - a. True
 - b. False

2. Experienced employees with relevant skills could be great sources of competitive strength.
 - a. Employee Motivation and Skills
 - b. Design Skills, Process Improvements
 - c. Interrelationships

2.7 Approaches to Internal Analysis

To identify and evaluate whether its resources have got any strategic value or not a firm generally uses various approaches. Possessing valuable resources, as indicated previously, does not guarantee profits unless they are deployed in an effective and efficient manner. The various approaches that follow now aim at achieving this purpose.

SWOT Analysis

SWOT is an acronym for the internal strengths and weaknesses of a firm as well as the external opportunities and threats facing that firm. SWOT analysis helps managers to have a quick overview of the firm's strategic situation and assess whether there is a sound 'fit' between internal resources, values and external environment (E-V-R Congruence).

A good 'fit' maximizes a firm's strengths and opportunities and minimizes its weaknesses and threats. The external analysis provides useful information required to identify opportunities and threats in a firm's environment. Let's see how internal analysis helps a firm find its feet in a competitive environment – focusing attention on its strengths and weaknesses.

Check Your Progress 6

1. SWOT analysis helps managers
 - a. to have a quick overview of the firm's strategic situation
 - b. assess whether there is a sound 'fit' between internal resources, values and external environment
 - c. both a and b
 - d. only b

2. The job of a good 'fit' is to
- a. maximizes a firm's strengths and opportunities
 - b. minimizes its weaknesses and threats
 - c. both a and b
 - d. only b

2.8 Terminology

The word 'strength' implies competitive advantage and other distinct competencies, which a firm enjoys in the market place. Having an ability to deliver against the placement of an order within 12 hours is strength to a firm if customers require deliver within a day and its major competitors are not able to fulfil this requirement. A strength is only a strength if it something that is of value to customers and is also something which a firm does better than its competitors. The term 'weakness' refers to an inherent limitation that creates a strategic disadvantage for a firm. It could come from an inappropriate location, uneconomical operation, out-dated plant, worn out machinery or militant labour class etc.

Opportunities and threats refer to external issues and are identified after environmental and competitive analysis. Generally speaking, opportunities result from external market changes or existing needs which are poorly served. It is often difficult to identify relevant opportunities and threats. Academically speaking a firm is faced with limitless opportunities and myriads of threats. These can range from the opportunities in new markets, new products or the likelihood of increased market share, to the threats of nuclear war, earthquakes, and competitive battles. What makes an opportunity or a threat relevant is its importance to the firm and its likelihood of occurring. In order to carry out a good SWOT, the firm should look into certain key issues (Thompson).

Value Chain Analysis (VCA)

The activities of all firms in an industry can be studied, through an analytical tool known as 'value chain'. A value chain identifies and isolates the various economic value-adding activities (such as differentiating a product, lowering the cost, and meeting customer's needs quickly) that occur in some way in every firm. It portrays activities required to create value for customers of a given product or service. Value chain analysis, thus, offers an excellent means by

which managers can find the strengths and weaknesses of each activity vis-à-vis the firm's competitors. It tells where low cost advantages exist; in what ways each activity can be undertaken so as to differentiate it from that of a firm's competitors; how to deliver satisfaction to customers as quickly as possible etc. Business is viewed as a process, a chain of activities in order to find the strengths and weaknesses of a firm operating in a competitive environment. Competitive advantage is created and sustained only when a firm is able to perform the most critical functions either more cheaply or better than its competitors (Michael Porter, 1985).

The value creating activities of a firm, according to Porter, may be divided into two categories: Primary activities and secondary activities. Primary activities represent the important tasks a firm performs to produce and deliver a product or service to a customer. These include inbound logistics, operations, outbound logistics, marketing and sales, and service. Support activities work to enhance or to help the functioning of primary activities. These include the firm's infrastructure, human resource management, and technology development and procurement.

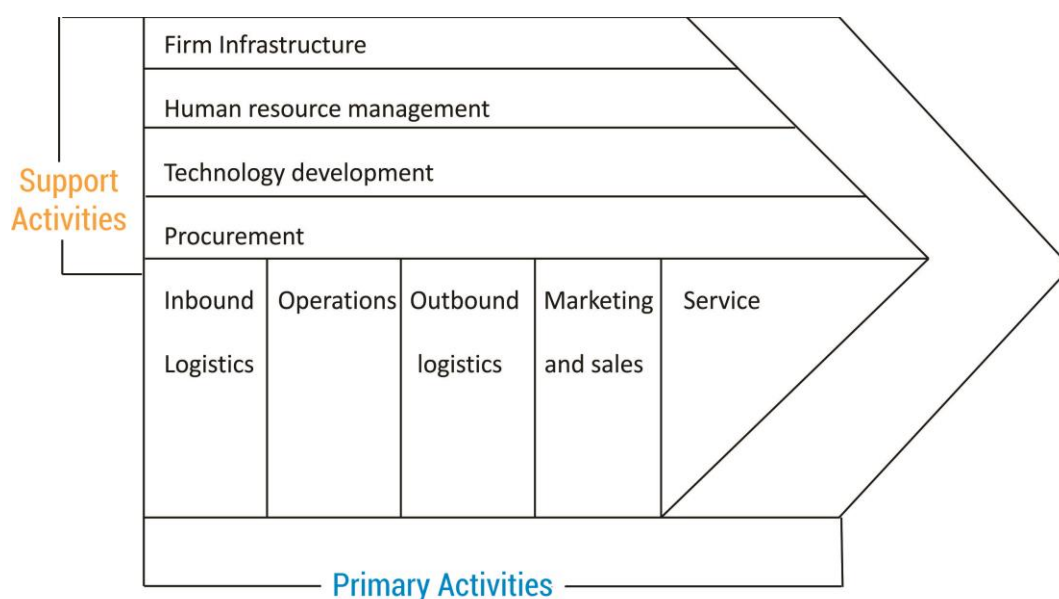


Fig 2.1 The Organization's Value Chain

Check your progress 7

1. The activities of all firms in an industry can be studied, through an analytical tool known as 'value chain':
 - a. A value chain identifies and isolates the various economic value-adding activities (such as differentiating a product
 - b. offers an excellent means by which managers can find the strengths and weaknesses of each activity
 - c. both a and b
 - d. only b
2. Firms support activities include:
 - a. Infrastructure and human resource management,
 - b. Technology development and procurement.
 - c. both a and b
 - d. only b

2.9 Primary Activities

Inbound Logistics: Activities, such as materials handling, warehousing, and inventory control, used to receive, and disseminate inputs to a product.

Operations: Activities necessary to convert the inputs provided by inbound logistics into final product form. Machining, packaging, assembly, and equipment maintenance are examples of operations activities.

Outbound Logistics: Activities involved with collecting, storing, and physically distributing the final product to customers. Examples of these activities include finished-goods warehousing, materials, and order processing.

Marketing and Sales: Activities completed to provide means through which customers can purchase products and to induce them to do so. To effectively market and sell products, firms develop advertising and promotional campaigns, select appropriate distribution channels, and select, develop, and support their sales force.

Service: Activities designed to enhance or maintain a product's value. Firms engaged in a range of service-related activities, including installation, repair, training, and adjustment.

Each activity should be examined relative to competitors. Accordingly, firms rate each activity as superior, equivalent, or inferior.

Check Your Progress 8

1. In Outbound Logistics the Activities involved with collecting, storing, and physically distributing the final product to customers
 - a. True
 - b. False
2. In Inbound Logistics the Activities, such as materials handling, warehousing, and inventory control, used to receive, and disseminate inputs to a product.
 - c. True
 - d. False

2.10 Support Activities

Firm Infrastructure: Firm infrastructure includes activities such as general management, planning, finance, accounting, legal support, and governmental relations that are required to support the work of the entire value chain. Through its infrastructure, the firm strives to effectively and consistently identify external opportunities and threats, identify resources and capabilities, and support core competencies.

Human Resource Management: Activities involved with recruiting, hiring, training, developing, and compensating all personnel.

Technological Development: Activities completed to improve a firm's product and the process to manufacture it. Technological development takes many forms, such as process equipment, basic research and product design, and servicing procedures.

Procurement: Activities completed to purchase the inputs needed to produce a firm's products. Purchased inputs include items fully consumed during the

manufacture of products (e.g., raw materials and supplies, as well as fixed assets – machinery, laboratory equipment, office equipment, and buildings).

Each activity should be examined relative to competitors' abilities. Accordingly, firms rate each activity as superior, equivalent, or inferior.

The combination of both primary and support activities determines the firm's basis for creating value. Managers can look into the various critical activities closely and find whether they are doing the job better than their competitors (low cost, better quality, faster delivery etc.). Such a comparison helps the firm as a whole to find its own strengths and weaknesses when compared to others in the field

Check Your Progress 9

1. Firms Human Resource Management Activities involved with recruiting, hiring, training, developing, and compensating all personnel.
 - a. True
 - b. False

2.11 Conducting a Value Chain Analysis

VCA involves the following steps:

- **Identify activities:** VCA requires a firm to divide its operations into primary and support activity categories. Within each category a firm may typically perform a number of discrete activities that may reflect its key strengths or weaknesses. At this stage managers should desegregate what actually goes into various activities in a detailed manner.
- **Allocate Costs:** VCA requires managers to assign costs and assets to each activity, which is totally different from what one finds in traditional Cost Accounting methods.
- **Identify activities that differentiate the firm:** Here managers should try to identify several sources of differentiation advantage relative to competitors. Alex Miller has listed some of these advantages thus :
- **Examine the value chain:** Once the value chain has been described, managers should list the activities that are important to buyer satisfaction

and market success. Keeping costs under strict vigil, offering value added services at each stage, doing things better than rivals are all part of this strategy.

VCA is most effective when managers try to draw comparisons with key competitors and improve the internal processes with a view to offer 'value for money' kind of services to customers.

Financial Analysis

Financial Analysis is an important method of analysing the strengths and weaknesses of a firm within its industry. Managers, investors, and creditors all employ some form of this analysis as the standing point for their financial decision making. Investors use financial analyses in making decisions about whether to buy or sell stock. Creditors use them in deciding whether or not to lend. Managers use financial analyses to find how the firm is doing currently in comparison with its past performance in past years (also as against its competitors). Of course on the negative side, financial analysis is based on past data and whatever picture emerges out of this, should not be taken to be representing future trends. Again, the analysis is only as good as the accounting procedures that have provided the information. (Remember Enron which was coming out with a rosy picture of its financial health even as it was moving fast towards bankruptcy – thanks to the dubious accounting practices followed and certified by the audit firm, Anderson Consulting). While drawing comparison between firms, one should take note of the variability of accounting procedures from firm to firm (Pears and Robinson).

Ratios are among the best known and widely employed tools of financial analysis. Ratios permit us to draw intra-firm and inter-firm comparisons. A ratio expresses the mathematical relationship between one quantity and another. The ratio of 100 to 50 is expressed as 2:1. While the computation of ratio simply involves the division of one variable by another, the interpretation of a ratio is somewhat complicated as many factors influence variables involved in the ratio.

A ratio analysis is an important tool to evaluate the financial condition and the performance of the firm. Ratio analysis evaluates a set of financial ratios, looks at trends in those ratios and compares them to the average values for other companies in the industry. Management employs it to maintain efficient operational control, but it is also helpful in analysing a firm for possible debt or equity investment.

There are four basic groups of financial ratios: Liquidity, Leverage, Activity and Profitability.

1. **Liquidity Ratios:** Liquidity ratios measure a firm's ability to meet its maturing short-term obligations. The most commonly used ratio is the current ratio.

$$\text{Current ratio} = \text{Current Assets} \div \text{Current Liabilities}$$

Current assets mean assets that can be converted to cash quickly. Current liabilities mean liabilities payable or short notice. An ideal current ratio is 2. The ratio of 2 is considered as a safe margin of solvency due to the fact that if the current assets are reduced to half, i.e. 1 instead of 2, then also the creditors will be able to get their payments in full. At the same time, a very high current ratio is not desirable since it means less efficient use of funds.

The quick ratio is similar to the current ratio except that the current assets are computed as current assets minus inventories. This, of course, provides a better view of a firm's liquidity and is useful in case of firms having a high proportion of obsolete or slow moving items.

$$\text{Quick ratio} = (\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$$

2. **Leverage Ratios:** Leverage ratios identify the source of a firm's capital – owners or outside creditors. Financial leverage refers to the use of debt in financing non-current assets. If the return on assets exceeds the cost of debt, the leverage is successful – i.e. it improves return on equity.

The debt to equity ratio is applicable to firms, which use debt as a means of financing. It is calculated by dividing long-term debt by equity. One can take debt-equity ratio as quite satisfactory if shareholders' funds are equal to borrowed funds. However, excessive liabilities tend to cause insolvency. The ratio shows the extent to which the firm depends upon outsiders for its existence.

$$\text{Debt-Equity Ratio} = \text{Total Long Term Debt} \div \text{Shareholders' Funds}$$

$$\text{Interest Coverage Ratio} = \text{Earnings before Interest \& Taxes (EBIT)} \div \text{Interest}$$

A firm with a high debt-equity ratio interest (say more than 2:1) and a low interest coverage ratio (say less than 2) is perceived to have a high degree of financial risk. Another ratio called proprietary ratio is a variant of

debt-equity ratio. It establishes the relationship between the shareholders' funds and the total assets. It may be expressed as:

$$\text{Proprietary Ratio} = \text{Shareholders' Funds} \div \text{Total Assets}$$

A high proprietary ratio is a source of strength to creditors (since assets are more than sufficient to meet obligations toward creditors). The debt to assets ratio indicates the extent to which the borrowed funds have been used to finance a firm's operations.

$$\text{Debt to Assets Ratio} = \text{Total Debts} \div \text{Total Assets}$$

Leverage ratios, thus, indicate the firm's ability to meet its long-term obligations. Higher the gearing ratio, higher is the risk since a large portion of the firm's earnings goes toward the fixed interest charges payable to creditors.

3. **Activity Ratios:** They are primarily used for studying a firm's working capital situation. A well-managed firm should have good activity ratios.

- a) The asset turnover ratio indicates how efficiently management is employing total assets.

$$\text{Assets Turnover Ratio} = \text{Sales} \div \text{Total Assets}$$

- b) The Fixed Assets Turnover Ratio indicates the extent to which the investment in fixed assets contributes to sales.

$$\text{Fixed Assets Turnover Ratio} = \text{Sales (net)} \div \text{Net Fixed Assets}$$

- c) The working capital turnover ratio indicates whether or not working capital has been effectively used in making sales.

$$\text{Working Capital Turnover Ratio} = \text{Sales (net)} \div \text{Working Capital}$$

- d) The Debtors Turnover Ratio indicates the efficiency of the staff entrusted with collection of book debts. A higher ratio shows that debts are collected promptly.

$$\text{Debtors Turnover Ratio} = \text{Credit Sales} \div \text{Average Accounts Receivable}$$

- e) The Inventory Turnover Ratio reveals the effectiveness of a firm's inventory management. Higher sales turnover achieved with relatively lower inventory is a desirable situation. The Japanese have mastered this art by what they call 'just in time' inventory management.

$$\text{Inventory Turnover Ratio} = \text{Cost of Goods Sold} \div \text{Inventory}$$

4. **Profitability Ratios:** Profitability ratios are the ratios which measure a firm's overall effectiveness as revealed by the returns generated on sales and investment.

Sr no	Ratio	Computation Formula	Purpose
i)	Gross Profit Ratio	Gross Profit $\div$ Net Sales	Indicates the efficiency of the production/trading operations
ii)	Net Profit Ratio	Net Profit $\div$ Net Sales	Indicates net margin on sales
iii)	Operating Ratio	Operating Costs $\div$ Net Sales	A measure of management's ability to keep operating expenses properly controlled for level of sales achieved
iv)	Return on Share-holders' Funds	(Profits available for Equity Share-holders) $\div$ (Average Equity Share-holders' Funds)	Measures earning power of equity capital
v)	Earning per Equity Share	(Profits available for Equity Share-holders) $\div$ (No. of Equity Shares)	Shows the amount of earnings attributable to each equity share

If the figures pertaining to financial ratios are computed for several years, they can readily indicate whether a firm is showing an improvement or deterioration over time. Again, drawing comparisons between a firm and its competitors within a particular industry using financial ratios would give an insight into the firm's financial condition and performance. However, financial ratios should not be used in isolation. To be more effective, they must be combined with other analytical tools.

Key Factor Rating

This method takes into account the key factors affecting organizational functioning. Information regarding the key factors is generally collected after a series of meetings, discussions and surveys. Answers to questions in each functional area are being closely examined with a view to rate the key factors. The relative impact of each factor (favourable or unfavourable) on a particular result is also examined using mathematical models.

Functional Area Profile and Resource Development Matrix

Hofer and Schendel have developed this technique to make a comparative analysis of a firm's own resource deployment position and focus of efforts with those of competitors. First, the technique requires the preparation of a matrix of functional areas with common features. For e.g. focus of financial outlay, physical resources position, organizational system and technological capability. Second, a matrix is prepared showing deployment of resources and focus of effort over a period of time. This profile shows how key functional areas stand in relation to each other and as compared to the competitors with regard to deployment of resources, and the focus of efforts in each functional area. The matrix can be shows thus:

Strategic Advantage Profile



Fig 2.2 Strategic Advantage Profile

SAP tries to find out organizational strengths and weaknesses in relation to certain critical success factors (advantage factors or competence factors) within a

particular industry. Many industries have relatively small but extremely important sets of factors that are essential for successfully gaining and maintaining competitive advantages. Known as critical success factors (CSFs), they have a significant bearing on the overall growth of a firm within an industry. Research has identified four major sources of CSFs in general:

- **Industry characteristics:** CSFs are often industry-specific. CSFs supermarket chains include inventory turnover, product-mix, sales promotion and pricing. In the airline industry CSFs would be somewhat different, i.e. fuel efficiency, load factors, excellent reservation system etc. No one set of CSFs applies to all industries. As industries change, CSFs would also change.
- **Competitive position:** CSFs vary with a firm's position relative to its rivals in the field. Now-a-days old rivals Coke and Pepsi are discovering there is more money in water than coloured water. Things are warming up in the Rs. 1000 crore bottled drinking water market and competitors, including Parle's Ramesh Chauhan (Bisleri Brand) face the threat of a white wash in the days ahead. Every competitive move by the big players poses innumerable problems to smaller firms (price concessions, changing size of bottle, promotional offers etc. become CSFs), putting a big question mark on their survival in the market place how-so-ever well-established they might be.
- **General environment:** Changes in any of the dimensions of the general environment i.e., political/legal, socio cultural, demographic, technological, macroeconomic, global etc. – can affect how CSFs emerge. For example, imposing tax on exports of software companies; not giving tax exemptions to R&D expenditure of pharmaceutical and biotechnology firms would always come in the way of growth and expansion plans of local as well as multinational players in these fields.
- **Organisational developments:** Internal developments, too, take the centre stage and give rise to new CSFs. For example if several key executives of an investment banking arm quit to form a competing 'spin off firm', rebuilding the executive team would become a key issue for the original firm.

Check your Progress 10

1. VCA involves the following steps:
 - a. Identify activities and Allocate Costs
 - b. Identify activities that differentiate the firm and Examine the value chain
 - c. both a and b
 - d. only b
2. Liquidity Ratios: Liquidity ratios measure a firm's ability to meet its maturing short-term obligations.
 - a. The most commonly used ratio is the current ratio.
 - b. it is represented as $\text{Current ratio} = \frac{\text{CurrentAssets}}{\text{CurrentLiabilities}}$
 - c. both a and b
 - d. only b
3. The quick ratio is similar to the current ratio except that the current assets are computed as current assets minus inventories
 - a. provides a better view of a firm's liquidity and is useful in case of firms having a high proportion of obsolete
 - b. $\text{Quick ratio} = \frac{(\text{Current Assets} - \text{Inventory})}{\text{Current Liabilities}}$
 - c. both a and b
 - d. only b

2.12 The Concept of Synergy

Strategic advantages in a particular business area do not yield requisite benefits automatically unless all parts work together smoothly. The concept of synergy is all about this. Synergy is an economic effect in which the different parts of the firm contribute a unique source of heightened value to the firm when managed as a single unified entity. Synergy suggests that (2 Plus 2 could be 5 or even 1) organizational units more often can be more successful together than working alone. The Walt Disney Company, for example, benefits greatly from synergy. The company's movies, theme parks, television programmes and merchandising licensing programmes all benefit from one another. Its recent movie the Lion King earned over \$300 million in box office revenues. In addition,

Disney earned hundreds of millions more from the sale of licensed Lion King toys, clothing, and video games. The Lion King Stage show at Disney world attracts more guests to the park, and the video sold 20 million copies during the first week of its release. In India today banks and insurance companies are linking up in an effort to market a wide array of financial products that each would have trouble selling on its own. Within a firm, synergistic effects can occur in a number of ways. The successful launch of Amul's pizza bears testimony to this as the Gujarat Cooperative Milk Marketing Federation, popularly known as Amul, is able to combine its pricing (Rs.25), promotional efforts (aggressive campaign) and distribution channels (3000 outlets) admirably while wooing customers away from competing brands.

Synergy is an important concept for managers because it emphasizes the importance of working together in a cooperative and coordinated fashion. To obtain special benefits in the form of cost savings, better grip over the market, full exploitation of scarce managerial talent, joint sharing of technology etc. firms are often, compelled to have good relations and strong alliances with suppliers, creditors, and customers. Team members share equipment, customer lists and other information that helps these small companies to go after more business than they ever could have without the team approach. Hammond Enterprises, a seven-employee firm in Marietta, Georgia, designs and produces promotional caps, mugs and T-shirts for major corporations such as Coca-Cola and Lockheed Martin. Synergy develops because Hammond relieves the corporate giants of the hassle of research, paperwork and design of logo-bearing promotional items, enabling the corporations to obtain the items at less cost than if they produce the items themselves (B McKee).

Building Synergy

The primary job of managers, then, is to identify and leverage the firm's competitive advantage resources across closely fitting businesses to create new sources of value that form the basis for building synergy. In actual practice, finding a close fit among the firm's different businesses is not easy. The firm may often find that its competitive advantages do not lend themselves well to application in other industries or markets. A firm specializing in housing finance business, as a result, may find the going tough if it were to venture into auto finance or consumer finance business. In a field marked by intense competition and cut-throat rivalry, the only way to build and sustain synergy is to make the firm's unique advantages as distinctive as possible and enduring over a long period time. The more distinctive the firm's set of resources (capabilities, skills

and technologies), the more difficult it is for competitors to copy and imitate the firm's synergy. 'A truly distinctive skill or competence will enable the firm to lower costs, enhance differentiation, or accelerate learning in ways faster to better than its competitors' (Pitts and Lei). A firm's organizational capability for fast innovation (3 M) or quality manufacturing (Hero Honda) is hard to imitate and represents durable resources that last over many product life cycles. Finally, managers who run the underlying businesses must also possess unique capabilities (technical knowledge, deep market knowledge, design skills, networking skills etc.) in order to build and sustain synergies. For example, the ability to think in a cooperative manner keeping the firm's long-term interests in mind is quite helpful in reducing coordination costs. Possessing transferable skills is another great asset. Rotation of managers across different business units for example can help solidify the firm's managerial fit. "Value creation at both business and corporate levels becomes easier when managers work jointly or develop ways to extend the firm's distinctive competence across businesses".

Check Your Progress 11

1. Synergy is an important concept for managers because it emphasizes
 - a. the importance of working together in a cooperative and coordinated fashion.
 - b. Team members share equipment, customer lists and other information that helps these small companies to go after more business.
 - c. To obtain special benefits in the form of cost savings, better grip over the market, full exploitation of scarce managerial talent.
 - d. all of the above

2.13 Let Us Sum Up

In this unit we studied about Competitive analysis and internal analysis .It says that strategy formulation is the most important part of organizations structure.

The importance of internal analysis is mentioned. The resource based view is a basic premise which is mentioned as a unique bundle of tangible and intangible assets and organisational capabilities to make use of those assets.

organisational capabilities and its competitive advantage is also mentioned they are the basic economic and strategic means by which a firm can build a source of competitive advantage in market . Some examples are: Patents, licences, location, distribution channel, employee motivation and skills, design skills process improvements, interrelationships, etc. Different approaches to internal analysis are mentioned like: SWOT analysis. The analytical tool like value chain is also explained. Its main job is to identify and isolate the various economic value adding activities. The fish bone diagram of organisational chain analysis is explained in detail wherein Primary activities and support activities are divided as per the functions.

Strategic advantage profile is also given to find out strengths and weaknesses. The need for synergy is also stressed as it is important for managers to work together in a cooperative and coordinated fashion.

2.14 **Answers for Check Your Progress**

Check your progress 1

Answers: (1-d)

Check your progress 2

Answers: (1-c), (2-d)

Check your progress 3

Answers: (1-a), (2-b), (3-b)

Check your progress 4

Answers: (1-a), (2-a)

Check your progress 5

Answers: (1-a), (2-a)

Check your progress 6

Answers: (1-c), (2-c)

Check your progress 7

Answers: (1-c), (2-c)

Check your progress 8

Answers: (1-a), (2-a)

Check your progress 9

Answers: (1-a)

Check your progress 10

Answers: (1-c), (2-c), (3-c)

Check your progress 11

Answers: (1-d)

2.15 Glossary

1. **Stakeholder** - A person, group, or business that has an interest in the outcomes of a firm's operations.
2. **Strategic Alliances** - Cooperative agreements between firms that go beyond normal company-to-company dealings but fall short of merger or full joint venture partnership with formal ownership ties.
3. **Strategic Analysis** - Contrasts a firm's Company Profile with its External Environment to identify a range of possible strategic alternatives; screened against the Company Mission statement to determine desired opportunities.
4. **Strategic Business Units** - The organization of a firm by "groups" of divisions that serve similar strategic interests of the firm. Utilized by larger firms with multiple divisions.
5. **Strategic Decisions** - Management decisions related to the future of a firm's operations; made at the corporate, business, functional, and individual level.

2.16 Assignment

1. “There are five competitive forces that determine an industry’s profit potential”. Explain.
2. Explain the value chain approach for diagnosing a firm’s key strengths and weaknesses.

2.17 Activities

Write short notes on:

1. Resource Based View.
2. SWOT Analysis
3. Critical Success Factors
4. The Concept of Synergy

2.18 Case Study

Should Retail Stores Sell Tobacco Products?

Recently Pmart one of the largest retailing chain (60% market share) in India announced that that it would stop selling cigarettes and other tobacco products in its stores as selling cigarettes and other tobacco products conflicts with Pmart’s healthier, friendlier and greener image, which it has been working hard to cultivate in the past few years.

This may prove to be a smart business strategy as there may be increase in the be at least 25% increase in the price per pack of cigarettes. This could be a smart move for another reason too. The tax is expected to reduce smoking and decrease cigarette sales. According to a recent study conducted by scientists from India, Canada there are approximately 120 million adult smokers in India, about 37 percent men and 5 percent women.

Case Study Questions

1. Is it Pmart’s strategy to sacrifice potential sales for the sake of corporate image?
2. Do you think selling tobacco hurts Pmart’s image?

2.19 Further Readings

- 1 The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
- 2 Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
- 3 Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.
- 4 Strategic management of small firms in hostile and benign environments - all 2 versions » JG Covin, DP Slevin - Strategic Management Journal, 1989 – JSTOR ... In Kent, CA (ed.), The Environment for Entrepreneurship, Lexington.

UNIT 3: CORPORATE LEVEL STRATEGY

Unit Structure

3.0 Learning Objectives

3.1 Introduction

3.2 Corporate Level Strategy

3.2.1 The Balanced Score Card: A Balanced Approach

3.2.2 Grand Strategies: Strategic Alternatives

3.2.3 Growth/Expansion Strategy

3.2.4 Diversification Strategy

3.2.5 Retrenchment Strategy

3.2.6 Combination Strategies

3.3 Acquisition, Restructuring and Cooperative Strategies

3.3.1 Historical Roots

3.3.2 The Concept of Corporate Restructuring

3.3.3 The Process of Restructuring

3.3.4 Mergers and Acquisitions

3.4 Takeovers

3.4.1 The Takeover Code, 1997

3.4.2 Amended Takeover Code 2002

3.5 Cooperative Strategies

3.5.1 Reasons for Strategic Alliances

3.5.2 Risks and Costs of Alliances

3.6 Let Us Sum Up

3.7 Answers for Check Your Progress

3.8 Glossary

3.9 Assignment

3.10 Activities

3.11 Case Study

3.12 Further Readings

3.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Corporate Level Strategy.
- The Balanced Score Card: A Balanced Approach.
- The Grand Strategies: Strategic Alternatives.
- The Growth and Expansion Strategy.
- The Diversification and Retrenchment Strategy.
- The Acquisition, Restructuring and Cooperative Strategies.
- The Historical Roots.
- The Concept of Corporate Restructuring.
- The Takeovers.
- Cooperative Strategies.

3.1 Introduction

The process of strategy planning gets converted into the corporate strategy. It is actually the game plan which drives firm towards the success. So it is very important that the strategy planning becomes very inclusive so that corporate strategy works on it efficiently. It is basically the growth design of the firm which spells out the growth objectives of the firm with respect to its extent, direction, speed and time. It is related to the choice of businesses, products and markets. It strives to ensure and achieve right fit between the firm and its environment. It helps in building corporate objectives of the firm.

Constituents of corporate strategy are product market scope, growth vector, competitive advantage and synergy. This unit deals with the balanced score card, the acquisition, Grand strategies, Growth and expansion strategy etc. To give insight about the corporate level strategy.

3.2 Corporate Level Strategy

Corporate strategy is basically concerned with the choice of businesses, products and markets. It spells out growth objective of the firm .it is the game plan that actually steers the firm towards success. It tries to answer certain key questions: (i) what businesses the firm should be in, in terms of the range of products it supplies. Punjab Tractors is a specialized company. It is involved almost exclusively in the manufacture of tractors. Hindustan Lever Ltd. is highly diversified with interests in soaps, tea, washing powders, detergents, tooth pastes, shampoo, creams, salt, hair oils etc. (ii) what should be the optional geographic spread of activities for the firm? In the restaurant business, most firms serve small local markets, whereas McDonald's operates in more than one hundred countries throughout the world. (iii) What range of vertically linked activities should the firm encompass? Reliance Industries is a key player in each of the products in the Petrochemical – Fibre intermediate chain (synthetic textiles, PSF, PFY, PTA MEG) (iv) How the corporate office should manage its group of business? Corporate strategy spells out the businesses in which the firm will participate, the markets it will serve and the customer needs it will satisfy. Corporate-level strategy, thus, pertains to the organization as a whole and the combination of business units and product lines that make up the corporate entity. It addresses the overall strategy that an organization will follow. The process generally involves selecting a grand strategy and using portfolio strategy approaches to determine the types of businesses in which the organization should be engaged.

Advantages of Corporate Strategy

- **Bridge the gaps:** Corporate strategy helps a firm identify the strategic planning gaps and bridge them through appropriate strategies.
- **Exploit the opportunities:** Through environmental analysis the firm can identify the areas where it can profitably operate – keeping its own capabilities in mind. It can also counter the threats posed by competitive forces from time to time. Events are not left to chance. Everything is planned in advance so that the firm can set its own growth plan; in tune with its internal strengths and weaknesses.
- **Develop core competencies:** By focusing on its strengths, the firm can build core competencies in certain fields, and serve the needs of customers better than its competitors. Corporate strategy provides a sense of purpose and direction to the firm in terms of where to operate and how to integrate the various businesses to ensure strategic competitiveness and above

average returns. In a way, corporate strategy is more than the sum of the firm's individual business unit strategies; it seeks to leverage the firms' distinctive competence from one business to new areas of activity (Pitts and Lei).

3.2.1 The Balanced Score Card: A Balanced Approach

RS Kaplan and DP Norton came out with a popular, balanced score card approach in early 90s linking corporate goals with strategic actions undertaken at the business unit, departmental and individual level. The score-card allows managers to evaluate a firm from different complementary perspectives. The arguments run thus: (i) A firm can offer superior returns to stockholders if it has a competitive advantage in its product or service offerings when compared to its rivals. (ii) In order to sustain a competitive advantage, a firm must offer superior value to customers. (iii) This, in turn, requires development of operations with necessary capabilities. (iv) In order to develop the needed operational capabilities, a firm requires the services of employees having requisite skills, creativity, diversity and motivations. Thus, the performance as assessed in one perspective supports performance in other areas – as shown below:

The Financial Perspective: Does the firm offer returns in excess of the total cost of capital, as suggested by the economic value added (EVA) model? EVA is the spread between a firm's return on invested capital minus its weighted average cost of capital, multiplied by the amount of capital invested. In other words, EVA is what is left over after a firm has covered all its factors of production (operating expenses, overheads, interest, taxes, plus fair return to shareholders). "To succeed financially, how should we appear to our shareholders?" is the question to be answered here.

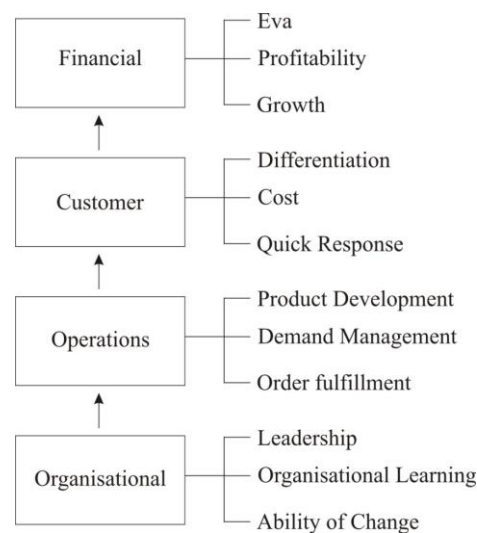


Fig 3.1 Balanced Score Card

The Customer's Perspective: Does the firm provide the customer with superior value in terms of product differentiation, low cost and quick response?

The Operations Perspective: How effectively and efficiently do the core processes that produce customer value perform? Which are the most important sources of customer value, which need improving to offer greater customer value?

The Organisational Perspective: Can this firm adapt to changes in its environment? Is its workforce committed to shared goals? Does the organization learn from past mistakes? When confronted with a problem, does it go to work on root causes or does it only search the surface!

3.2.2 Grand Strategies: Strategic Alternatives

Grand strategy is the general plan of major action by which a firm intends to achieve its long term goals. It provides basic direction for the strategic actions of a firm. Most firms begin their operations as single-business units. Some firms continue to thrive due to their specialized operations and exclusive focus on a limited business arena. McDonald's, for instance, has been able to develop a steadily improved product line and keep its costs low by focusing on the fast food business alone. Likewise, Infosys Technologies had exploited the low cost advantage of software services initially in India and after consolidating its position is now seeking to extend its business by developing competencies in new and emerging technologies. Wal-Mart, too, has benefited primarily from the retailing industry. However, operating primarily in one industry may make the firm vulnerable to business cycles. Should the industry attractiveness decline (Software, Telecom businesses in late 90s) through a permanent decrease in consumer demand for the firm's products or competition intensifies from existing or new competitors, the firm's performance is likely to suffer. These limitations can be overcome by operating in different fields through diversification. The firm could diversify into related (to exploit its core strengths) or unrelated businesses (to tap profit opportunities in other areas). Of course, unrelated diversifications may result in uncertainties associated with losing touch with the fundamentals of each business and the difficulty of analysing the numerous disaggregate external opportunities and threats inherent in unrelated industries" (Wright et al). Managers have to be extremely cautious in choosing the various strategic alternatives aimed at improving customer value.

Grand strategies fall into four general categories: growth/expansion, stability, retrenchment and combination.

3.2.3 Growth/Expansion Strategy

Organizations generally seek growth in sales, market share or some other measure as a primary objective. When growth becomes a passion and organizations try to seek sizeable growth, (as against slow and steady growth) it takes the shape of an expansion strategy. The firm tries to redefine the business, enter new businesses, that are related or unrelated or look at its product portfolio more intensely. The firm can have as many alternatives as it wants by changing the mix of products, markets and functions. Thus, the growth opportunities may come internally or externally. Internal growth possibilities may be exploited through intensification or diversification. External growth options include mergers, takeovers and joint ventures.

When to adopt a growth strategy?

There are certain inherent limits to corporate growth and a firm intending to grow beyond a particular limit, should look into the pros and cons carefully before embarking upon an ambitious growth strategy. This compels us to examine the issue as to when corporations should look for a growth strategy:

1. Growth must be manageable. It should enable the organization to stabilize its operations over a period of time and ensure profitability. When an organization achieves stability after a time, it can pursue growth strategies in the same field or it diversified fields depending on its strengths.
2. Growth must take into account environmental demands. The limitations imposed by various pieces of legislation (for example FDI limits in print media, banking etc.) must be carefully looked into before going 'all out'. Growth, as a matter of fact, should be in consonance with environmental demands. An organization can grow only to the extent permitted by (all the above factors) the environment. This, however, requires advance thinking and careful planning.
3. Growth should be the natural choice where the environment presents several opportunities and special concessions and incentives are readily available. For example, the government offers special benefits to small sector industries and industries set up in backward areas. Whenever such opportunities exist in the environment, organizations can pursue 'growth strategies' diligently.

Why to pursue growth strategy?

Growth strategies are extremely popular because most managers tend to equate growth with success. Obviously, a firm that fails to move ahead may fall

behind in the competitive race. The firm that operates in a dynamic environment must grow in order to survive. Growth implies greater sales and an opportunity to take advantage of the environmental opportunities. AS the firm grows in size and experience, it gets better at what it is doing and reduces costs and improves productivity. A growing firm can cover up mistakes and inefficiencies more easily than can a stable one. There are more opportunities for advancement, promotion and interesting jobs in a growing firm. Growth per se is exciting and ego-enhancing for managers. A corporation tends to be seen as a winner or on the move by the market place and by potential investors. Growth strategies gain importance if a firm's industry is growing quickly and competitors are engaging in price wars so as to slice out a larger share of the market. If the firm is not able to find a profitable niche, (for example Anchor vegetarian toothpaste, triple-refined Dandi Salt) it cannot flourish in a volatile environment. More specifically, the compelling motives for pursuing growth strategies may be furnished thus:

1. **To Ensure Survival:** In the long run growth is necessary for the very survival of the organization, especially when the environment is turbulent and highly competitive. If the organization does not grow, it may be pushed out of the market by new entrants. Ambassador car, Ideal Jawa, Diner's Credit Card business, are the inglorious examples in this regard, where the organizations failed to take stock of competitive reactions and were eventually forced out of business.
2. **To obtain Scale Economies:** Growth is tempting because of innumerable benefits offered by large scale operations. Fixed costs could be spread over a large volume of units and the resultant savings could be recycled into the product and offer the same at economical rates ensuring continued organizational success. Great penetration into the market is ensured thereby.
3. **To Stimulate Talent:** Managers and entrepreneurs with a high degree of achievement and recognition would prefer to work in companies always on the move rather than companies where there are limited opportunities to exploit their talents fully. The stupendous rate of growth achieved by Hero Honda, Infosys, Wipro in recent years bears ample testimony to this fact.
4. **To Reach Commanding Heights:** Growth ensures market control. It means prestige and power. It means securing investor confidence. Companies such as Nestle, Britannia, ITC, HLL etc. have a high level of reputation in the corporate world owing to this reason. They are held high and rated as 'winners' in the corporate world owing to their relentless efforts to grow in various profitable directions. Growth, obviously, brings satisfaction to

employees, investors in particular and innumerable benefits to society in the form of increased employment, low-price-high-quality-goods, and so on. Growth allows the organization to reach commanding heights in the economy; it can increase its market share, secure a high degree of control over the market and influence market behaviour in a significant way.

Strategic Growth Options: The Ansoff Matrix

- Should we try to grow in this business by increasing our size and market or by acquiring similar corporations in similar businesses?
- Should we try to grow simply by expanding into other businesses?

If these questions are answered positively, top management will probably decide a growth strategy. Before deciding on the strategic growth options management should determine the areas of growth that will fit in best with the existing product profile of the company. The product line should have something in common so that the company can act quickly and exploit a market niche. According to Ansoff, there are four growth options available to a firm.

Market Development

It consists of marketing existing products in new markets. The firm tries to achieve growth by finding new uses for the existing products and tap new customers on that basis (within the country or outside the country). The firm can add new channels of distribution to expand the customer reach of the product. It can also enter new market segments by coming out with slightly different products for each price segment, undertaking cosmetic changes in colour, taste, packaging etc. (Hindustan Lever's offerings in toilet soap, detergent powder segments). Changes in media selection, promotional appeals, and distribution could also serve the same purpose. Du Pont's nylon provides a classic story of new –use expansion. Every time nylon became a mature product, Du Pont found a new use. Nylon was first used in parachutes, then as a fibre for women's stockings; later, as a major material in women's blouses and men's shirts; still later it entered automobile tyres, seat upholstery, and carpeting (Kotler). The recent discovery that the use of aspirin may lower the incidence of heart attacks is expected to boost sales in the analgesic market tremendously.

Product Development

Product development strategy tries to achieve growth through new products in existing markets. The new products in this case are not essentially new products, but improved versions of an existing product or substitutes serving the same need catering to the same market as at present. Usually carried out through

(a) quality improvement such as stronger, bigger, better, vastly improved product
 (b) feature improvement such as expanding product's versatility, safety, convenience, changing size of product, its weight, materials, accessories etc. (c) Style improvement – increasing the product's aesthetic appeal such as new scooter or motor cycle models, new packaging etc. This strategy is often adopted to attract satisfied customers to prolong the life cycle of current products to take advantage of a favourite reputation or brand name. A new car style, a second formula of shampoo for oily hair, new soap for fair complexion, a revised edition of a college text book are examples of the product development strategy.

Innovation

Here the organization tries to develop new products or services and thereby makes similar existing products obsolete – unlike product development strategy which extends an existing product's life cycle. There could be radical innovations where the company tries to replace existing products or technologies in an industry. In the case of incremental innovations, the firm tries to put focus on new products or services that modify the existing ones. For example, compact disc technology has virtually replaced long playing vinyl records in the recording industry, and high-definition television is likely to replace regular television technology soon. Again the serial replacement of the vacuum tube with the transistor, the transistor with the integrated circuit, and the integrated circuit with the microchip has greatly enhanced the power, ease of use, and speed of operation of a wide variety of electronic products. Apart from such radical innovations, firms also carry out incremental innovations to differentiate their products. One example in Toyota more effectively combined the styling and engineering that resulted in increased demand for its product (a great hit compared to Sumo, Bolero etc. as per latest sales figures in 2002-03). Technical and product innovations (changing the way a product or service is manufactured, created or distributed) are also quite commonly used by growth-oriented firms. As a strategy, innovation could prove to be very costly because of high research, development and premarketing costs of converting a promising idea into a successful product. However, if the firm is able to develop a superior product or technique successfully through innovation, the benefits could be beneficially extended to its operations world-wide. Ford engineers, for example, found that dust interfered with the quality of its assembly-line production in its Brazilian plants. To mitigate this problem, the engineers there developed dust-resistant techniques that other Ford plants world-wide adopted. (Like McDonald's Indian Veg Burger and other variants finding entry into its global menu list). Although, most of the plants outside Brazil did not have severe problems from dust and therefore, had not

addressed this issue, they still benefited from the innovation produced in Brazil (G Saloner et al).

3.2.4 Diversification Strategy

A single-product strategy is always a risky one. Because the firm has staked its survival on a single product (or a small basket of products like Colgate) the organization has to work very hard to ensure the success of that product. If the product is not accepted by the market (like taking a big call on Indica by TELCO) or is replaced by a new one (the challenge of Close-Up from HLL to Colgate) the firm will suffer. Given the risk of a single-product strategy, most large organizations today operate in several different businesses, industries or markets. Diversification describes the number of different businesses that an organization is engaged in and the extent to which these businesses are related to one another. Diversification involves entry into fields where both products and markets are significantly different than those of a firm's initial base. Related diversification occurs when a firm expands into industries similar to its initial business in terms of at least one major function (when the firm enjoys' distinctive competence such as marketing, distribution, engineering etc.). Unrelated diversification involves expansion into fields that do not share any financial or skill-based interrelationship with a firm's initial business.

Diversification is said to minimize risks associated with confining the business to one or very few products. The company can enter new lines of business to preempt potential competitors or to gain superiority over competitors entering the market at an early state. It can introduce new products, satisfying a variety of needs. This helps in consolidating its position in the industry.

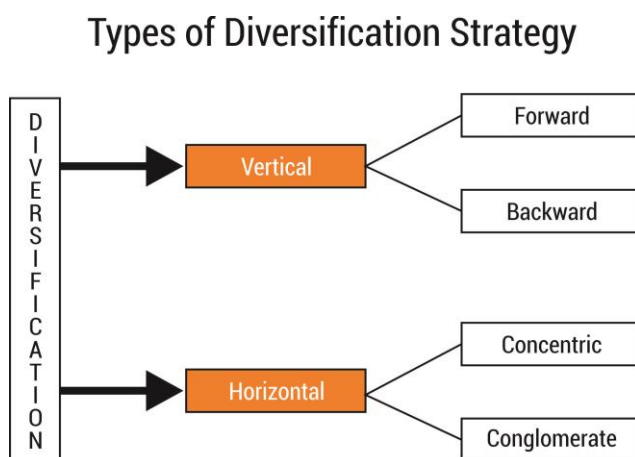


Fig 3.2 Types of diversification strategy

Vertical Integration

Corporate Level
Strategy

Vertical integration allows the firm to enlarge its scope of operations within the same overall industry. It takes place when one firm acquires another that is involved either in an earlier stage of the production process (backward or upstream) or a later stage of the production process (forward or downstream).

Backward vertical integration occurs when the companies acquired supply the firm with products, components or raw materials. Reliance Industries for example, started its business with textiles and went for backward integration to manufacture PFY and PSF, critical raw materials for textiles, PTA and MEG-raw materials for PSF and PFY, paraxylene – raw materials for PTA and MEG, and ultimately naphtha for producing paraxylene. The company has also gone in favour of forward integration by opening retail shops for marketing its textile products. The main reason for backward integration is to gain a firm grip over supply and quality of raw materials. Backward integration is quite common in industries where low cost and certainty of supply are important to maintaining the firm's competitive advantage in its end markets. Drug companies, therefore, often exhibit high levels of backward integration to ensure supply of necessary chemical ingredients for their pharmaceuticals.

Forward integration, on the other hand, helps a firm gain control over sales and prices of its existing products. However, increased risks are inherently present in both types of integration. It is not easy to share the additional burden and diverse responsibilities thrust upon managers in the changed scenario. The longer chain increases the costs of coordination and bureaucracy. At times, a technological innovation in the vertical channel may compel all of the vertically linked businesses to modify their operations. In a dynamic setting where changes in technology and demand are highly unpredictable, outsourcing (for suppliers and distributors) may be a better option (Wright).

Benefits of Related Diversification

Related diversification extends the distinctive core competence (technologies, resources, skills) or set of firm-specific resources to new lines of business. Such firms can now extend and leverage their distinctive competencies or resources into new industries that share common characteristics. Another obvious purpose is to create and exploit synergies in marketing, operations, managerial competence etc. At times, two firms may combine to exploit complementary core competencies (one firm that is strong in research and product development may merge with another that is strong in distribution). Let's examine these issues by citing some examples:

1. **Operational Relatedness brings Returns:** Firms often expect that sharing of activities across units would result in increased strategic competitiveness and improved financial returns.
 - **Proctor & Gamble:** At Proctor and Gamble, a paper towels business and a baby diapers business both use paper products as a primary input to the manufacturing process. Having a joint paper manufacturing plant that produces inputs for both units is an example of operational relatedness.
2. **Distinctive Competence Extended to Other Areas:** Related diversification extends a firm's distinctive competence across closely fitting businesses to create new sources of value that form the basis for building synergy.
 - **Honda:** Honda has developed and transferred its expertise in small and now larger engines for a number of types of vehicles, from motor cycles and lawn mowers to its range of automotive products.
 - **Motorola:** Motorola's remarkable long-term success in semi-conductors and wireless telecommunication products has been built on the development of a set of core technological capabilities that are transferred and integrated across a number of different business areas.
3. **Market Power Increases:** Related diversification can also be used to gain market power. A large diversified company can use a powerful competitive weapon called – predatory pricing – to kill competition. Predatory pricing is the ability to cut prices below the level of rivals' costs and sustain losses over the period needed to cause the competitor to exist or sell out. Firms can also increase market power by using mergers and acquisitions to consolidate and their operations.
 - **Biggest cellular firm in India:** In July 2001, the Tata's, the Birla's, BPL and AT&T got together to create a \$ 2.5 billion cellular telecom behemoth covering (more than 1 million subscribers) 51 per cent of the country's fixed-line population. The Rs. 10,000 crore companies is the largest private sector telecom services player in India now.

Further a large diversified firm may have access to markets or distribution channels it could not access on its own For example soft drink units having tie-ups with big retail units to expand their market share.
4. **Infrastructure can be shared to Mutual Benefit:** Production facilities, marketing programmes, purchasing procedures and delivery routes can be shared by diversified firms – leading to great economies on the cost front.

Giant fast moving consumer goods (FMCG) firms such as Procter and Gamble, Hindustan Lever Ltd. Mix their truckloads with multifarious items – depending on customer preferences in each location. Because it is inefficient to ‘ship’ pure loads of very light but bulky items (potato chips) or very dense goods (liquid laundry detergent), FMCG firms save on fuel bills and road taxes. These firms supply multifarious items to the same retail outlets – saving a lot on advertising, promotion and delivery expenses. Usually in diversified firms, accounting, legal, services, public relations, and information technology tend to be centralized. They also centralize the R&D facilities. Sharing infrastructural benefits have enabled companies such as Philips, IBM, Matsushita, DuPont and Xerox to create large scale research labs that have offered immense benefits to multiple businesses.

5. **Reduces Economic Risk:** Related diversification reduces an organisation’s dependence on any one of its business activities and thus reduces economic risk. Even if one or two or a firm’s businesses lose money, the organization as a whole may still survive because the healthy businesses will generate enough cash to support the other. For example, Zee Telefilm’s regional channels are not doing well but the high profile Zee News, Zee Network; Zee Cinema etc. are able to generate enough cash flows to sustain the losses on other fronts initially.

Unrelated Diversification

Conglomerate Diversification takes place when an organization diversifies into areas that are unrelated to its current business. The decision to diversify into unrelated areas is generally undertaken by firms in volatile industries that are subject to rapid technological change. The obvious purpose is to reduce risk. It is also assumed that by restructuring the portfolio of businesses, the firm would be in a position to create value. Similarity in products, technology or marketing knowledge between the two firms is not an issue here; the acquiring firm simply wants to make an attractive investment. Unrelated diversification was a very popular strategy in the 1960s and early 1970s. For example, the ITC’s diversification into edible oils, hotels, financial services etc. is conglomerate diversification (likewise NEPC group’s foray into agro foods, textiles, paper, airlines, wind energy, tea plantations etc.; Ballarpur Industries’ unrelated diversification, into chemicals, nylon fibre, leather etc. in addition to paper. Essar’s foray into shipping, oil, sponge iron, marine construction, telecom, power, etc.).

Costs of Diversification

Evidently, diversification into related or unrelated areas is not a sure bet. Problems could surface suddenly from multifarious – known as well as unknown-factors. Let's examine these more closely (Pitts and Lei).

- **Cost of Ignorance:** Entering a new, unknown field is risky. The firm does not know the extent of competition. It may fail to read the mind of the consumer properly. Technological developments, environmental factors may compel the firm to shift gears continuously. Mistakes might be committed when the firm is navigating through uncharted waters.
- **Cost of Neglect:** A company trying to expand through unrelated diversifications may have to divert its attention from its core businesses – at least temporarily. First, it must decide the areas where it wants to operate. Second, if acquisition is the route; it must identify suitable targets for purchase. Third, top managers must integrate the new units with the existing businesses. All these steps would dilute the attention of the firm towards its own, original business. The costs of ignorance and neglect might prove to be crippling, especially in a highly competitive rapidly changing environment. Let's consider the cases of Indian companies which have gone out of business, because of hasty, unrelated diversifications into too many different areas.

3.2.5 Retrenchment Strategy

Retrenchment strategy is a corporate level, defensive strategy followed by a firm when its performance is disappointing or when its survival is at stake for a variety of reasons. Economic recessions, production inefficiencies, and innovative breakthroughs by competitors are only three causes. Managers choose retrenchment when they think that the firm is neither competitive enough to succeed through a counter attack (on market forces affecting its sales negatively) nor nimble enough (effecting fast changes) to be a fast follower. However, retrenchment does not mean death knell for every business under attack. Many healthy companies have faced life – threatening competitive situations in the past, successfully addressed their weaknesses and restored them.

Divestment Strategy (Also called divestiture or spin-off)

It involves the sale of those units or parts of a business that no longer contribute to or fit the firm's distinctive competence. The firm simply gets out of certain businesses and sells off units or divisions for various reasons.

Divestment may take one of three forms: (a) outright sale to another company, (b) Leveraged Buy-Out (LBO), and (c) Spin-off. A leveraged buyout occurs when a company's shareholders are bought out (hence buyout) by the company's management and other private investors using borrowed funds (hence leveraged). In the last case, the parent company creates a new company, and then distributes its shares to shareholders of the parent.

3.2.6 Combination Strategies

Large, diversified organizations generally use a mixture of stability, expansion or retrenchment strategies either simultaneous (at the same time in various business) or sequentially (at different times in the same business). For example, growth could be achieved by an organization through acquisition of new businesses or divesting itself of unprofitable ventures. Depending on situational demands, therefore, an organization can employ various strategies to survive, grow and remain profitable.

Check your progress 1

1. Which of the following defines how each individual business unit will attempt to achieve its mission?
 - a. Business strategy
 - b. Corporate strategy
 - c. Functional strategy
 - d. National strategy
2. Which of the following focuses on supporting the corporate and business strategies?
 - a. Competitive strategy
 - b. Corporate strategy
 - c. Operational strategy
 - d. Mission strategy

3. Which one of the following is not a primary task of strategic managers?
- a. Establishing strategic objectives
 - b. Developing the steps to follow in implementing operational level plans
 - c. Defining the business and developing a mission
 - d. Developing a strategy

3.3 Acquisition, Restructuring and Cooperative Strategies

3.3.1 Historical Roots

In 1960s and 1970s the United States dominated the global market scenario due to quality and mass production facilities. Manufacturers had very little difficulty in selling their products because (i) competition within the country was low enough to ensure that all products had an obliging customer and (ii) global competition was virtually non-existent. The focus was on volumes and not market feedback and innovation. The pyramidal structures adopted long-range planning that was undertaken by extrapolating the existing trends without vision. The energy crisis, foreign competition – especially from Japan – and recession of 1970s changed the situation dramatically. Meanwhile, Japanese manufacturers passionately embraced quality, newer techniques and technological ideas and showed the world that through high quality, low cost and quick deliveries they could push the rivals to the wall. The 1980s saw widespread liberalization and intense foreign competition with more customer focus. Total quality management, employee involvement, competency, innovation, information technology have become the buzz words in the new corporate lexicon everywhere.

Public sector was accepted as the ‘vehicle for growth’ right from the days of Independence in India. Public sector enjoyed governmental patronage, funding along with protection from competition. The private sector was tightly controlled through bureaucratic regulations, licensing policies, import restrictions etc. The protective economy virtually killed the competitive spirit and resulted in a high cost, low-quality environment till mid 1980s when the Rajiv Gandhi government to initiate liberalization measures, macro-economic reforms and structural adjustments in a big way removing unproductive controls, encouraging private investment and integrating Indian economy with the global economy. As the then Prime Minister Mr P V Narasimha Rao declared! “Don’t bother about my public

sector. if it is sick, I will send it to the hospital. If it dies, it dies”, (Financial Times 1994). With this total change in government’s outlook and economic scenario, it became imperative for the Indian Industry to embark on a major reshaping exercise corporate restructuring. (This chapter tries to explore how modern corporations are trying to expand their sphere of operations and influence by joining hands with others through mergers, acquisitions, joint ventures and strategic alliances).

3.3.2 The Concept of Corporate Restructuring

With rapid advances in Information Technology and acute resource constraints across the globe, the business world has become more complex and fluid in recent times. To survive and compete, present-day organizations should do away with their existing culture, policies, structure and start with a clean sheet. They have to put more emphasis on the business process as a whole (both external and internal focus) and do everything to keep the smile on the customer’s face. As rightly pointed out by Peter Drucker, ‘every organization must prepare to abandon everything it does’. Externally the organization must search for new products, new service and new market opportunities, working with suppliers, distributors and customers to redefine markets and industries. Internally structures, management styles and cultures must be capable of creating and delivering these products and services. Strategic awareness, information management and change are very important if the organization wants to get ahead of its competitors.

Corporate Restructuring, thus, involves destroying old paradigms, old technology, old ways of doing things and starting all over afresh. It demands a strong cultural willingness to make a clear beginning – taking a realistic look at one’s company and deciding to reshape the whole place to remain continuously competitive.

3.3.3 The Process of Restructuring

The process of corporate restructuring, generally speaking, covers the following steps:

Customer Focus: Restructuring should, ideally speaking, begin and end with the customer. To succeed in a highly competitive world, every business will have to listen to the customer, find out what he needs and deliver more than what he expects. Hamel and Prahalad believe that companies must go beyond just asking

customers what they want. “Customers are notoriously lacking in foresight. Ten or fifteen years ago how many of us were asking for cellular telephones, fax machines and copiers at home, 24 hour discount brokerage accounts, multivalve automobile engines, compact disc players, cars with on-board navigation systems, hand-held global satellite positioning receivers, automated teller machines, MTB or the Home Shopping Network?” Sony, of course, exemplifies creative marketing in its introduction of many successful new products (such as Walkmans, Video Cameras, CDs – ahead of their time?) that customers never asked for or even thought were possible. The organization must take care of internal customers as well – fulfilling the aspirations of employees working at various levels.

Moving close to the customer

- Communicating regularly in the media about organizational efforts to deliver quality products
- Addressing customer complaints promptly
- Getting feedback from customers regularly
- Organising regular meetings with customers and major dealers
- Conducting consumer contests to involve customers with the products
- Carrying out Public Relations campaigns
- Publicising welfare projects to demonstrate social commitment

Companies, now-a-days are using e-mail, websites, call centers, databases and database software to foster continuous contact between company and customer. They are prepared to do anything so as to deliver value, quality and satisfaction. This, of course, is evident even from the ads they come out with. For example, one of Honda’s ads says “one reason our customers are so satisfied is that we aren’t”. Nissan invites potential Infiniti buyers to drop in for a ‘guest drive’ (not a ‘test drive’) because the Japanese word for customer is ‘honored guest’. McDonald’s 29,000 restaurants in 121 countries attempt to satisfy daily, on an average, over 45 million people on the strength of its new-age, survival mantra of what the company calls – QSCV – Quality, Service, Cleanliness and Value!

Structural Changes through Reengineering: In order to respond to internal and external signals quickly and to bring about a radical change in core business processes, the organization should have an appropriate structure. The conventional hierarchical structure fails to deliver the results here, as it is loaded with layers,

rules, regulations and bureaucratic procedures. The challenge for the future is to teach an elephant to dance. Pyramids are tombs and they have to be ruthlessly demolished. The traditional double-digit hierarchies should yield ground to multi-disciplinary, autonomous work teams and task forces, sharing authority and decision-making powers while realizing goals. Such a structural shift makes many of the levels in the organizational hierarchy redundant and leads to a flatter organization structure where work gets organized around processes (as opposed to functions).

Many companies reorganize into permanent teams after going through a process called reengineering (Business Process Reengineering). This approach involves a complete rethinking and transformation of key business processes, leading to strong horizontal coordination and greater flexibility in responding to changes in the environment. Reengineering basically means starting over, throwing out all the notions of how work needs and then designing processes and aligning people to meet those needs. Reengineering can be applied to improve a single department or an entire organization. When a company reengineers a process, its management systems, job design and work flow are revaluated and changed. There are four key elements in all reengineering efforts; (i) First, the organization should define distinctive competencies – i.e. what it is that the organization is more superior at delivering than its competition, (ii) Second, the organization should define distinctive competencies – i.e. what it is that the organization is more superior at delivering than its competition, (ii) Second, the organization should assess the core processes that clearly add value to the organisation's distinctive competencies. (iii) Third, the organization should organize work around processes rather than functions by creating cross-functional, self-managed teams. (iv) Finally, reengineering attempts to tie up the firm's activities closely with suppliers and customers. The closer relationships between firms and their suppliers mean that each partner specializes in an activity that it is best suited for. As a result, key suppliers can now take up many of the tasks that the firm's activities. Partners work with zeal and dedicated focus on a small subset of activities. Firms begin to coordinate everything on the basis of what the customer has ordered for customers, in turn, get what they want within a time frame. This increases customer satisfaction and reduces costs simultaneously.

3.3.4 Mergers and Acquisitions

A merger occurs when two or more organizations (usually of roughly similar sizes) combine to become one through an exchange of stock or cash or both. Mergers can take place in two different ways:

Acquisition: It is the purchase of a firm by a firm that is considerably larger. The firm that acquires is called the acquiring firm and the other, the merging firm.

Consolidation: If both firms dissolve their identity to create a new firm, it is called consolidation.

The combining firms may join hands through a cooperative or hostile approach. A friendly merger takes place when both firms agree to combine their might in order to gain certain synergistic benefits i.e. Marketing synergy (using common distribution channels, sales force, sales promotion etc.); Operating synergy (better use of facilities); Investment synergy (better synergy (using existing managerial talent in a judicious way). It results in a carefully negotiated surprise attempt by one company to acquire control (through the purchase of a controlling share of voting stock in a publicly traded company) of another company against the will of the current management.

Types of Mergers

- **Vertical Mergers:** It is a combination of two or more firms, not necessarily in the same line of business, having complementarily in terms of supply of materials or marketing of goods and services. In vertical mergers the merging firm would either be a supplier or a buyer using its product as intermediary product for final production. For instance, a footwear company may merge with a leather tannery or a chain of retail shoe outlets.
- **Horizontal Mergers:** It is a combination of two more firms in the same line of business; formed primarily to obtain economies of scale in production or broaden the product line, reduce working capital needs or eliminate competition, gain better control over market etc. For instance if Jet Airways combines with Indian Airlines it would be integrating horizontally. The same would be true if General Motors purchases Daewoo Motors Ltd for an agreed sum.
- **Concentric Mergers:** It is a combination of two or more firms somewhat related to each other in terms of customer functions, customer groups, production processes, or technologies used. Ansoff's example of concentric merger is of the motor manufacturer who decides also to manufacture farm

machinery; the new customers are only somewhat similar to the old, the new product and its technology is only somewhat similar to a car and yet a car and the farmer are not wholly dissimilar – there is some commonality and hence scope for positive synergy.

- **Conglomerate Mergers:** It is a combination of two or more firms unrelated to each other. Rather than concentrating on having a common thread running through their company, top managers who pursue this strategy are chiefly concerned with the rate of return. Will proposed merger between a shipping company and an oil firm improve the company's overall profitability? A cash rich company with few opportunities for growth in its industry may, for example, move into another industry where opportunities are great, but cash is hard to find. Another example of conglomerate mergers might be the purchase by a corporation with a seasonal, and therefore, uneven cash flow of a firm in an unrelated industry with complementing seasonal sales that will level out the cash flow.

Strategies

Mergers and acquisitions, therefore, require a complex set of decisions regarding finances, organizational restructuring and changes of various kinds at different levels to ensure a smooth transition from the pre-merger to the post-merger stage.

Effective Acquisition Strategies

a) Peter Drucker (1982)

- It is essential for the acquiring company to determine exactly what contribution it can make to the acquired company. It must be more than money.
- It is important to search for a company with a 'common core of unity', say in technology, markets or production processes.
- The acquiring company should value the products, services and customers of the company that it is taking over.
- Top management cover for the acquired company should be available in case key managers choose to leave after the acquisition.
- Within a year managers should have been promoted across company boundaries.

- b) Business International Report (1988): A report entitled Making Acquisitions Work: Lessons from Companies' Successes and Mistakes, Business International (1988) offers the following guidelines.
- **Plan first:** As a company, know exactly what you are going to do. Ascertain where the company being acquired has been, and may be still is, successful, and ensure that it can be maintained – taking special account of any dependence on key people. Appreciate also where it is weak. It is quite possible that it will have good products but overheads which are too high.
 - **Implement quickly:** People in the acquired company expect decisive action, and delay prolongs speculation. At the same time it is important not to act without thinking things through first.
 - **Communicate frankly:** Explain the acquisition or merger, the expected benefits and the changes which will be required. In addition it is useful to ensure that there is an understanding of the values and expectations of the acquiring company.
 - Act correctly, particularly as far as redundancy is concerned.
- c) According to Rockwell, the following guidelines should help integrate the firms in question.
- State the objectives of merger clearly (especially earnings).
 - Specify the gains to both companies.
 - Be sure that the management of the acquired company is or can be made competent.
 - Initiate the merger process taking the Chief Executive into confidence.
 - Clearly define the business that the company is in.
 - Identify the strengths, weaknesses and key performance factors for both the combining firms.
 - Anticipate problems and discuss them early with the other company so as to create a climate of trust.
 - Be sure that the merger does not pose a threat to the present management team.
 - Take care of people. They should be of prime consideration in planning for mergers and structuring the organization.

Restructuring Strategies

Corporate Level
Strategy

Firms generally adopt three types of restructuring strategies: downsizing, downs coping and leveraged buyouts.

Downsizing: It is a reduction in the number of a firm's employees and sometimes in the number of operating units, but it may or may not change the composition of businesses in the company's portfolio. Firms use downsizing to improve profitability – that comes through cost reductions and more efficient operations. Most public sector units (PSUs) had to pay a heavy price in the past due to their inability to cut excess staff in time. Consider the following examples:

Downs coping: It is a way of eliminating businesses that are unrelated to a firm's core business. The firm wants to stick to its knitting and focus more closely on areas where it enjoys unbeatable strength. Downs coping may lead to downsizing as well. The firm becomes less diversified and it is easy for top management to better understand and manage the remaining business.

Leveraged Buy Outs (LBOs): it is a restructuring strategy whereby a party buys all of a firm's assets in order to take the firm private. Once the deal is struck, the company's stock is no longer traded publicly. It is basically undertaken to correct managerial mistakes, which may be partly responsible for the low valuations of the firm. LBOs are financed through debt generally. (In case of Tata Teas' acquisition of Tetley, the debt component for the largest LBO deal in Indian corporate history is to the tune of \$220 million, to be raised in international markets). After a five to eight period, management tries to restructure operations drastically and sell the firm at a better price (Wiersema and Liebeskind). However, the cost of debt incurred to finance LBOs makes it difficult for firms to perform in ways that make them attractive candidates for purchase.

Restructuring Outcomes

One of the important objectives of restructuring is to put the firm on a growth path and thereby generate increased returns to stakeholders. Let us see whether the restructuring strategies referred to above would help a firm achieve this.

A study of Fisher and White indicated that downsizing does not commonly lead to a higher firm performance due to a variety of reasons. Downsizing may create an atmosphere of instability and uncertainty. Key employees (expecting the axe to fall on their heads) may quit in a panic. The sudden vacuum created by such actions may be difficult to fill. Another study by Lee indicated, not

surprisingly, that downsizing actually contributed to lower returns to both US and Japanese firms in the group of companies that was examined (P M Lee).

Another important goal of restructuring is gaining effective strategic control of the firm. Strategic control here implies an evaluation criteria set by top management to evaluate the performance of divisional managers and their units. Downscoping, of course, is meant to achieve this only.

Once refocused on core business, as downscoping permits, managers can more easily control the firm because it is less diverse (in terms of products or markets) and the businesses that remain are those about which managers tend to be the most knowledgeable. Downscoping was the primary restructuring strategy implemented by GE under Jack Welch's leadership between 1981 and 1999. When Jack Welch assumed the position of CEO, GE was a lethargic behemoth composed of more than one hundred businesses. Decision making was slow, and entire organization, sold dozens of business, and bought many new ones. He literally recreated the entire organization and today GE is one of the most admired and profitable firms in the world.

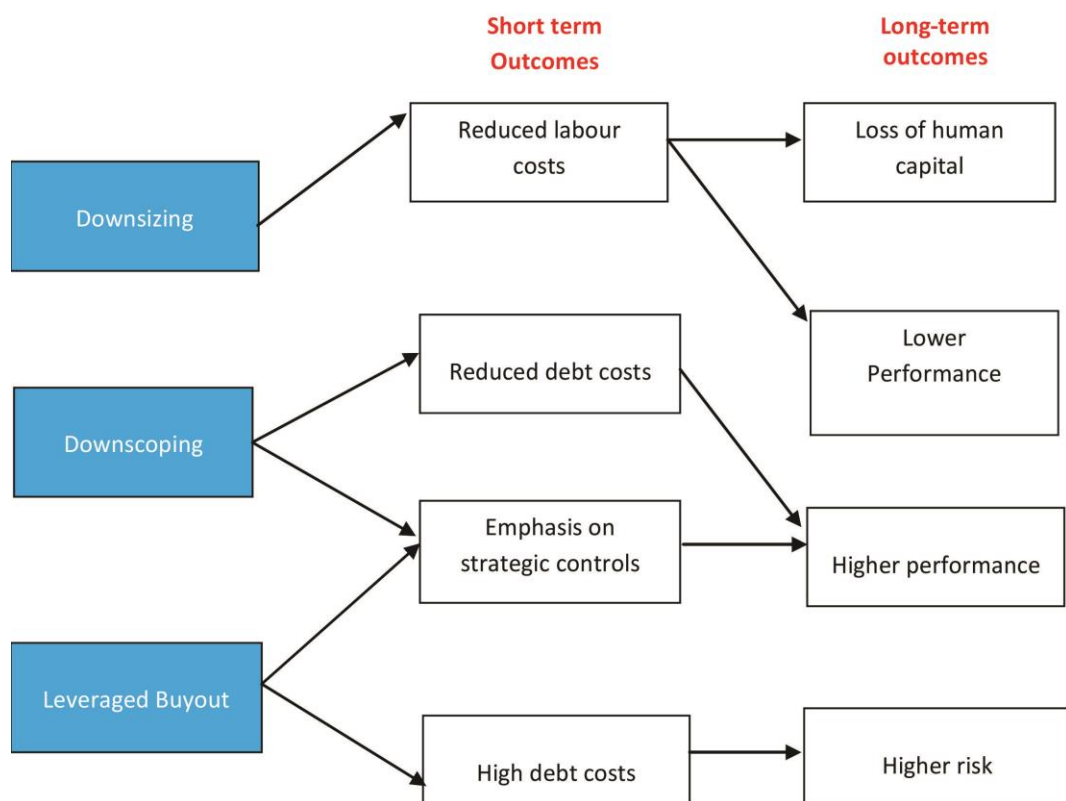


Fig 3.3 Restructuring Outcomes

As far as LBOs are concerned, there can be negative trade-offs, especially when these are carried out through large debt. The reasons are fairly simple. The large debt increases the financial risk of the firm. Sometimes the intent of the owners to increase the efficiency of the bought out firm and sell it within five to eight years creates a short-term and risk adverse managerial focus. This, in turn, prevents them from investing in R&D activities or initiating major steps aimed at maintaining or improving the firm's core competence. (Long and Ravens craft). However, when firms have an entrepreneurial mind-set, buyouts can lead to greater innovation. Fig. summarizes these viewpoints clearly.

Check your progress 2

1. Manufacturers had very little difficulty in selling their products because
 - a. competition within the country was low enough to ensure that all products had an obliging customer
 - b. global competition was virtually non-existent
 - c. both a and b
 - d. only b
2. The process of corporate restructuring covers the following steps
 - a. customer focus
 - b. Structural Changes through Reengineering
 - c. both a and b
 - d. only a
3. Which of the following are the types of Mergers
 - a. Vertical Mergers
 - b. horizontal
 - c. concentric and conglomerate
 - d. all of the above

3.4 Takeovers

Indian companies, in recent times, have been using takeover or acquisition as a powerful tool to gain control over rival firms and thereby achieve rapid growth in their respective fields. The 'raiders' include many non-resident Indians like the Hinduja Brothers, Manu Chhabria, Lakshmi Mittal; local industrialists such as Dhirubhai Ambani, Vijay Mallaya, Ajay Piramal, R P Goenka, Anil Agarwal, Shiv Nadar, Ashank Desai; individual investors like the Damani Brothers and the Dalmias of the Renaissance Group. The raiders have acquired a controlling stake in the targeted company through various means:

Friendly Takeover: Acquiring a portion or whole of the equity capital of another firm through mutual consent. At times, promoters of companies may be seeking out buyers for various reasons viz., being unable to fight competition, lacking funds to expand business, being small in size, wanting to exit from the business altogether etc. Electrolux, for example, targeted companies that were making heavy losses such as Maharaja Industries Ltd, Intron Ltd. HLL's takeover of TOMCO was also a smooth one and was carried out with the consent of Tatas who wanted to divest TOMCO. There are also instances of major shareholders agreeing to sell when approached with a good open offer. Recently the Renaissance Group sold out its 10.5 per cent stake in GESCO Corporation to Sheths-Mahindra combine when the latter raised the offer price of each share (from Rs. 35) to Rs.54. Smaller cement and pharma companies likewise, have decided to join hands with bigger players like India Cements, Gujarat-Ambuja Cements, Nicholas Piramal India etc. through the friendly merger route.

Hostile Takeover: Acquiring a portion or whole of the equity capital (of another firm) against the wishes of the acquired firm. Such takeovers are quite common on companies where the promoter's stake in the company is very low. The Sheths of GE Shipping who held just 13 per cent in the company had to ward off the takeover threat from the Dalmias of the Renaissance Group by paying a heavy price of Rs. 54 (April 12, 2000 price was just Rs.15). In Feb. 2001 N Srinivasan of Indian Cements picked up controlling stakes in Raasi Cements (Rs. 450 crore), Cement Corporation of India (Rs. 200 crore) and Visaka Cements (Rs. 320 crore) through buyouts and hostile takeovers, with a view to consolidate his position in the cement industry.

3.4.1 The Takeover Code, 1997

Acquisitions and takeovers have become subjects of heated debate and discussion in recent times. On the positive side, takeovers offer easy growth opportunities, allow resources to flow freely across different units, cut short long gestation periods that characterize new projects, ensure revival of sick units, shake up managements to behave more responsibly and, more importantly open up avenues for selective divestment. It is the shareholder who is the biggest beneficiary in all takeover bids, as the market suddenly finds value in companies that have long been taken for granted by docile, lethargic promoters – operating all along without a clear-cut focus and direction. Takeovers have their critics as well. Professionalism takes a backseat in the face of brute money power trying to bulldoze sane voices from the corporate world. In the whole drama, no one creates any real assets for the benefit of society. In fact, the interests of minority shareholders may be at stake when big players try to manipulate each other. The change of guard mid-way may cause avoidable stresses and strains in the companies taken over. The whole issue may become a political hot-potato, especially in the case of divestment of public sector companies. Bharat Aluminum Corporation's (BALCO) acquisition by Sterlite is a case of point. (After a 67 day strike and hectic political and plant-level negotiations with the Chhatisgarh government and multiple unions, the 400 odd smelter pots could be put to use w.e.f. 9-5-2001),

The Securities and Exchange Board of India (SEBI) has introduced a regulatory framework for takeovers in 1997 with a view to check the evil effects of hostile takeovers, in 1997.

The code recognizes takeover operations by professional managerial groups acting in concert with financial institutions, asset management companies, mutual funds and stockbrokers (infact Abhishek Dalmia acquired 10.5 per cent shares of GESCO Corporation acting in concert with MDI faculty Sanjay Bakshi, and an FII). Of course, unfair takeovers must be checked. To this end the code states that professional managerial/entrepreneurial groups (raiders) can buy 15% of the total equity before triggering the open offer (during a 12 month period). Whereas the existing promoter can acquire 5% of his company every year through a creeping acquisition, the raider (who can bid upto 20% or 30% of the holdings) is expected to deposit 10 per cent of the purchase consideration in an account to be kept in the custody of a third party. If there is nonfulfillment of obligations by the buyer, the entire amount will be forfeited for redistribution amongst the Target Company and stock exchanges where the company's scrip is listed and the shareholders have

accepted the offer. The predator company is expected to disclose the source of funding and state its future plans about the target company. During the offer period the board of the target company is precluded from inducting any person belonging to the acquirer's team or transfer shares in his name until all the formalities relating to the offer are complete (Bharatram, Surender).

3.4.2 Amended Takeover Code 2002

After 5 long years the Takeover Code, 1997 has been amended with a view to bridge certain gaps which acquirers of target companies have exploited to their own personal gain. The crucial changes in the SEBI Takeover code include the following:

Promoter: A person or persons who are clearly in control of a company as declared in the prospectus at the time of listing and those who hold 51 per cent or above in a company, among others.

Picking up a Stake: If an acquirer now picks up a 15 per cent or higher stake without disclosing it, thereby breaching the Takeover Code the transaction would be declared null and void. This move could deter companies that pick up sizeable stakes in rival companies at a large premium and influence their business decisions thereafter (Grasim picked up 10% stake in L&T, Gujarat Ambuja bought out the Tatas from ACC at huge premium to market price). Both acquirers previously stated that they only want to maximize pricing and production benefits by working together and do not want to take management control of their rivals (Both companies, Grasim & Gujarat Ambuja have directors on the boards of L&T and ACC).

Further Stake Hikes: Any existing stakeholder with a 15 per cent or more holding in a company would now be required to make disclosures of shares and purchases worth 2% of his or its stake. Exemptions will only be made for transfer of shares, (inter-se transfers among group companies) provided the transfers amount to more than 15 per cent of the equity of the target company.

Preferential Allotments: Preferential allotments where the allottee ends up acquiring a 15 per cent stake and more of the equity of a company or gaining management control will also come under the purview of the Takeover Code with the allottee having to make a public offer. So far these were exempt. This would come in the way of backdoor takeovers.

NRI Acquisitions: Non-resident Indians or foreigners who hold a 15 per cent or higher stake in a company will now be able to make additional purchases of only

5 per cent through the creeping acquisition route without approval. Any purchases in excess of 5 per cent would require the approval of the board of directors concerned, the government and other regulatory bodies.

Disclosure Norms: The acquiring companies will have to make disclosures to the target company and the stock exchanges at levels of 5 per cent, 10 per cent and 14 per cent. Shares pledged would also have to be reported to the company concerned and to the stock exchanges.

Creeping Acquisition: With effect from October 1, 2002 the creeping acquisition limit has been reduced from 10 per cent to 5 per cent. This is a welcome development as the promoters or persons in control of target companies have mainly used the creeping acquisition route as a strategic ploy to deter takeover rather than as a healthy attempt to shore up their equity stakes in these companies. NO creeping acquisition beyond 75 per cent would be allowed and any further acquisitions will have to be through an open offer.

Change in Control: Change in control is possible only through a special resolution passed by shareholders in a general meeting (postal ballots too are to be counted for this purpose). A special resolution means 75% of the shareholders will have to ratify it and for this companies have to resort to a postal ballot.

Indirect Acquisitions or global Level Arrangements: In the case of indirect acquisition or change in control, a public announcement has to be made by the acquirer within 3 months of the consummation of such acquisition or change in control or restructuring of the percent or the company holding shares of or control over the Target Company in India. As things stand now, according to a latest release, if foreign holding company (A) of an Indian subsidiary (B) has been merged with another foreign company (C), then the second foreign company (D) will not have to make an open offer to the shareholders of B.

Pricing Norms: Acquirers will now have to offer shareholders the past 26 weeks' average price or the past two weeks' average price, whichever is higher. At present, the SEBI pricing is based on the 26 week formula.

Check Your Progress 3

1. The types of takeovers are :

- | | |
|----------------------|-----------------|
| a. friendly takeover | c. both a and b |
| b. hostile takeover | d. only a |

- | | |
|---|----------------------------|
| 2. The amended takeover code has following elements | |
| a. Promoter | c. Preferential Allotments |
| b. Picking up a Stake | d. all of the above |

3.5 Cooperative Strategies

Cooperative strategies (such as strategic alliances, joint ventures etc.) are a logical and timely response to intense and rapid changes in economic activity, technology and globalization. Apart from alliances between firms operating within the same country, cross-border alliances (alliances between companies with headquarters in different countries) have also become increasingly popular these days. Strategic alliances generally come in three basic types: joint ventures, strategic alliances and consortia.

Joint Ventures (KOGUT)

Joint ventures are a special case of consolidation where two or more companies form a temporary partnership for a special purpose. Once the purpose is achieved (or the project is completed) the joint venture is terminated, with all profits distributed to (or losses recovered from) its members. From an Indian standpoint different joint ventures can take place between; (i) two firms in one industry, (ii) two firms across different industries, (iii) an Indian company and a foreign company in India, (iv) an Indian company and a foreign company in that foreign country, and (v) an Indian company and a foreign company in a third country. For example the Tatas, the Birlas, the Kirloskars, the Goenkas, the Oberois have mainly grown in size during the license-permit raj through joint ventures of various kinds in India. Joint ventures are an excellent way to share costs, spread risks and combine expertise in case of new projects involving huge outlays. They also permit venture patterns to share new technology, exploit new markets and expand their scale of operations globally. Joint ventures however, may not always bring in the requisite benefits because of differences between joint venture partners. Each partner may like to have full control over the project, without allowing enough room for others to operate with freedom. Differences in culture and stages of economic development of the countries to which the parties belong may create insurmountable operational problems. The legal stipulations regarding equity participation, voting rights, dividend remittance and management control may also come in the way of effective coordination between partners. (Mike Thorp, Justin Shimada).

Equity Strategic Alliances

Corporate Level
Strategy

In this case partners own different percentages of equity in a new venture. Many foreign direct investments are completed through equity strategic alliances, such as those by Japanese and US companies in India (Maruti, Hero Honda, Birla – Tata – A&T, etc.). Equity strategic alliances are more effective at transferring know-how between firms because they are close to hierarchical control than are non-equity alliances. Non-equity strategic alliances are formed through contractual agreements given to a company to supply, produce or distribute a firm's goods or services without equity sharing. Such contractual arrangements may cover marketing and information sharing activities too. As there is no need to bring in equity investments, such licensing agreements are less formal and demand fewer commitments from partners than joint ventures and equity strategic alliances. Under licensing agreements, the proprietary rights of a foreign partner are passed on to the other under a licensing agreement. Firms such as Coca-Cola, Hilton, Hyatt, Holiday Inn, Kentucky Fried Chicken, McDonald's and Pepsi have long engaged in licensing agreements with foreign distributors as a way to exploit new markets with standardized products that can profit from marketing economies (Pearce and Robinson).

Consortia

Consortia are defined as large interlocking relationships, cross holdings and equity stakes between businesses of an industry. There could be two forms of consortia:

Multi partner Consortia: These are multipartner alliances intended to share an underlying technology. One of the most important European based consortiums to date is Air Bus Industries. Airbus brings together four European aerospace firms from Britain, France, Germany and Spain. A common consortium arrangement binds each firm to certain stipulations. The goal of 20 Air bus Industries is to dethrone Boeing from its dominant position in the global commercial aircraft market. By pooling their member firm's resources, Airbus Industries has become a threat for the US giant. Without a consortium arrangement, it is unlikely that any of the individual firms would have been able to challenge Boeing on a low-cost basis.

Cross-holding Consortia: These include large Japanese Keiretsus (Sumitomo, Mitsubishi, Mitsui) and Korean Chaebols (Daewoo, Lucky-Gold Star, Hyundai, Samsung). Two important features of cross-holding consortia are building long-term focus and gaining technological critical mass among affiliated member companies. The supplier-buyer relationships help members stabilize their

production volume. Each member could obtain needed components from other consortium members easily (especially for TV sets, VCRs etc.). All of them can pool resources and make huge fixed cost investments in key technologies. Further, there is a guaranteed internal market for components. However, on the negative side “valuable capital is often locked up in investments that may be less productive or lacking the same degree of core competencies as compared with a much more focused competitor” (Pitts and Lei). Further, such cross holdings may slow down a member firm’s ability to react quickly to new developments.

Tacit Collusion: Apart from the above explicit strategic alliances, there could be implicit cooperative arrangements. Tacit collusion is an example of such an arrangement. Tacit collusion exists when several firms in an industry cooperate tacitly to reduce industry output below the potential competitive level, thereby increasing prices above the competitive level. In the recent past, cement manufacturers in India, especially the Big Boys of the industry, have tried to regulate output and obtain better realizations per bag of cement through a tacit understanding in different parts of the country.

3.5.1 Reasons for Strategic Alliances

Firms enter into strategic alliances for number of reasons, but they all involve some kind of risk reduction. Let’s see how this happens (Pitts and Lei).

New Market Entry: Strategic alliances aim at helping players speed up market entry. Big drug firms generally cross-license their new drugs to one another. Such arrangements help the alliance partners reduce high fixed costs of R&D and global distribution. The alliance between Nestle and Coca-cola helped both partners to gain access to each other’s distribution network quickly (Coke distributes Nestle’s line of fruit juices and coffees while Nestle offers coke and its other soft drink products through its channels). Without such a cooperative arrangement, both companies would have to spend more time, energy and money to enter certain market segments.

Define Future Industry Standards: Strategic alliances can help define emerging industry standards on new products. In the desk-top printing industry, Canon has become the world’s longest supplier of engines that power laser printers. By joining hands with Hewlett-Packard, IBM and other manufacturers Canon ensures that over 60 per cent of the world’s laser printers use a Canon made engine to power the machine.

Learn and Apply New Technologies: Companies use alliances to learn or to gain access to new technologies. IBM, for instance, has teamed up with Motorola and Toshiba to enhance its semi-conductor manufacturing capabilities in making super dense chips. From Motorola, IBM learns how to design new products for emerging wireless technologies. Toshiba offers its expertise in miniaturization skills. Both IBM and Motorola work together to develop new x-ray photolithography techniques that neither company can afford on its own.

Fill Gaps in Product Line: Companies use the alliances route to fill gaps in their product line. Ford formed an alliance with Nissan Motor to build new generation minivans. The alliance with Mazda helped Ford co produce Ford Escort. In turn Mazda has learnt from Ford as to how to build the Ford's popular line of recreational vehicles. Ford's alliance with Kia Motors of Korea helped it to import the low-end Fesiva and resell the same under its own brand name.

3.5.2 Risks and Costs of Alliances

Through alliances, firms can gain access to new technologies, develop new products, acquire latest skills and knowledge that are otherwise not available to them in their individual capacity. However, working with an alliance partner may prove to be a painful experience in some cases (Kanter; Ring).

Incompatibility of Partner: Over the years, technologies, market conditions, consumer tastes are bound to change. Alliance partners having a smooth run may find the going tough, if the changed scenario requires them to shift their focus and alter their strategies. Growing incompatibility in developing strategies and objectives may often lead to a serious rift between alliance partners. The joint venture between Godrej Soaps and Proctor & Gamble India illustrates this point. Both wanted to build strong brands by meshing their skills in new product development, marketing and distribution. An intermediate review of joint venture by Godrej revealed, to its dismay that its own brands have suffered in the market place. Again P&G has not utilized the Godrej's plant capacities fully, as was agreed initially. There was a growing, uneasy feeling that the international giant has tried to improve its market share at the expense of Godrej. The joint venture, under the circumstances, could not flourish and Godrej had to call it a day and pull out of the agreement.

Risk of Knowledge/Skills Drain: Firms taking part in a strategic alliance must carefully identify and isolate what types of skills and knowledge can be safely shared with a partner. This is particularly important in industries that are

converging. For example the computer, communications and consumer electronics industries are growing more similar where an alliance based on designing new types of computers will have a decisive impact on communications devices too. In such cases the firm that has access to latest skills and knowledge would run the risk of giving more insight into its knowledge base than intended.

Risk of Dependence: Alliances can make a firm too dependent on its partner unwittingly. The partner having critical skills naturally starts exercising a high degree of control over the dependent firm. Overreliance makes the other firm to be complacent about new designs from its own manufacturing line. When the relationship turns sour and the alliance partners decide to pull out, the dependent firm is made to pay a heavy penalty in terms of loss of market share and the absence of technology-driven power brands in its product portfolio. When Piaggio of Italy pulled out of the joint venture, LML witnessed a steep fall in its scooter sales. The proposed motor cycle launch was a year behind schedule. Profits vanished too soon when the bikes launched by LML without an international technology partner (Energy, Adreno) failed to lift the spirits of CEO, Deepak Sighania.

Check your progress 4

1. Consortia are defined as large interlocking relationships, cross holdings and equity stakes between businesses of an industry. There could be two forms of consortia:
 - a. Multi partner Consortia
 - b. Cross-holding Consortia
 - c. both a and b
 - d. only b
2. Firms enter into strategic alliances for number of reasons like
 - a. New Market Entry
 - b. Define Future Industry Standards
 - c. Learn and Apply New Technologies and Fill Gaps in Product Line
 - d. all of the above

3. Through alliances firms can gain access to new technologies
- a. develop new products
 - b. acquire latest skills
 - c. knowledge that are otherwise not available to them in their individual capacity
 - d. all of the above

3.6 Let Us Sum Up

In this unit we studied about the corporate level strategies and how different types of strategies are useful for planning. The advantages of corporate strategies are mentioned like bridging the gaps, exploit the opportunities, develop core competencies.

Balanced score card approach is explained in detail. Also grand strategies are also explained. Ansoff matrix is also mentioned along with its market development, product development and innovation.

Diversification strategy is mentioned along with its types like vertical integration and horizontal integration and with further classification as forward, backward concentric and conglomerate.

Retrenchment strategy is also discussed as a corporate level, defensive strategy followed by a firm when its performance is disappointing or when its survival is at stake for a variety of reasons.

Divestment strategy may take one of three forms: (a) outright sale to another company, (b) Leveraged Buy-Out (LBO), and (c) Spin-off. The concept of acquisition and restructuring are also explained in great detail. Types of Mergers like Vertical Mergers and horizontal mergers are also explained.

Types of restructuring strategies like downsizing, downs coping and leveraged buyouts are also mentioned. Take overs and cooperative strategies are discussed at length.

3.7 Answer for Check Your Progress

Check your progress 1

Answers: (1-a), (2-c), (3-b)

Check your progress 2

Answers: (1-c), (2-c), (3-d)

Check your progress 3

Answers: (1-c), (2-d)

Check your progress 4

Answers: (1-c), (2-d), (3-d)

3.8 Glossary

1. **Long-Term Objectives** -A firm's intended performance over a multi-year period of time; usually includes ensures such as competitive position profitability, return on investment, technology leadership, productivity, employee relations and development, public responsibility.
2. **Low Cost Strategy** - One of three generic strategies in which a firm attempts to establish itself as the cost leader in the industry.
3. **Flat Organization** - An organizational structure in which most middle management functions are eliminated, allowing senior management to have greater exposure to customers and to those in the organization that deal with customers.
4. **Focus Strategy** - One of three generic strategies in which a firm tries to appeal to one or more customer groups focusing on their cost or differentiation concerns.
5. **Economy of Scale** -A reduction in costs through larger operating units, spreading fixed costs over large numbers of items/units.
6. **Emerging Industry** - A newly formed or restructured industry growing faster than the overall economy. Usually created by changing customer needs, technological change or other socioeconomic conditions.

3.9 Assignment

1. What is corporate level strategy? Why is it important to a diversified firm?
2. Identify the compelling reasons for over diversification. What are the consequences of such a step?

3.10 Activities

Write short notes on:

1. Strategic alliances
2. Acquisitions
3. Takeovers
4. Joint ventures
5. Combination Strategy

3.11 Case Study

Direct-to- consumer (DTC) Drug Advertising - Harmful or Helpful?

In the US it is legal to advertise prescription medicines to consumers through advertisements. This is known as direct-to-consumer (DTC) advertising. United States and New Zealand are the only two countries in the world that allow drug companies to pitch their products directly to consumers. Forms of DTC advertising include TV, print, radio and other mass and social media. DTC advertising (DTCA) is one of the most controversial issues in pharmaceuticals as this form of advertising is directed toward patients, rather than health care professionals. Promoting the use of prescription medicines directly to consumers can raise concerns. Critics believe that it encourages people to request unnecessary treatment, adding to the burden on healthcare systems.

The drug industry argues that DTCA helps 'educate' consumers of potential conditions and encourages them to see their doctor for diagnosis and treatment. While acknowledging that DTCA increases the amount spent on prescription drugs, they argue that in the long run early treatment and diagnosis reduces spending on other medical services, such as hospitalization. Critics of DTCA argue that the industry's advertising is primarily emotional in style and understates the adverse side-effects and as such is misleading. The imagery of the ads is

appealing while the potentially serious side effects are buried in the fine-print. They also argue that the claimed health benefits are overstated. Surveys reveal that people who have seen DTC ads will often request and be prescribed the drug. DTCA campaigns will usually aim to have pre-primed doctors via a parallel promotional campaign. Critics argue that this results in over-diagnosis of a condition and the inappropriate use of prescription drugs, even where non-drug treatments are as or more effective. As a result, DTCA unnecessarily drives up the overall cost of healthcare without necessarily improving the health of those treated.

In 1982, the United States Food and Drug Administration (FDA) prompted pharma company Lilly to retract a press kit for its NSAID (Non-Steroidal Anti-inflammatory Drug) Oraflex, citing the "false and misleading" provision of risk information. DTCA was only legalized in the US after a 1985 FDA ruling, but the agency required the adverts to include a great amount of information on the risks of the drugs. Drug companies spend to the tune of \$5 billion a year in DTC advertising. The availability of DTC advertising, in turn, has had a pronounced effect on drug companies' priorities. As numerous critics have observed, DTCA invites the development and promotion of drugs aimed at very large groups of users suffering from chronic and persistent? But not necessarily life-threatening conditions. Critics say the advertising promotes the over-use of prescription drugs that are sometimes dangerous. In fact, studies indicate that this great amount of advertising has been successful in raising the prescription rate of DTC drugs by 34.2%, compared to only a 5.1% increase in other prescriptions. This, and many other aspects of DTC advertising, has made it extremely controversial among public health officials and physicians.

Case Study Questions

1. How would you advise chronic patients to use DTC drug ads beneficially?
2. DTC ads deviate a pharmaceutical company's focus from the basic principles of healthcare to profiteering. Comment.
3. As a Marketing Chief of a well-known pharmaceutical company in the US, outline the marketing ethics principles your company will follow for DTC advertising.

3.12 Further Readings

- 1 The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
- 2 Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
- 3 Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.
- 4 Strategic management of small firms in hostile and benign environments - all 2 versions » JG Covin, DP Slevin - Strategic Management Journal, 1989 -JSTOR... In Kent, CA (ed.), The Environ- ment for Entrepreneurship, Lexington.

Block Summary

In this block we studied about the strategic analysis methods and corporate level strategies. This block teaches us about the organizations environment and its components and different frame work to analyse the industry and its sectors.

Unit one deals with the environment analysis wherein a number of environmental factors influence them inevitably. Features of environment are given along with the classification of factors contributing to internal and external environment.

Environmental scanning is mentioned in details with the help of SWOT and ETOP profile analysis. Porters analysis with his five forces are also mentioned in detail.

Unit two states that Strategy formulation forms the important part of organisations structure. As a part of strategy formulation, the firm must analyse and size up all the forces that shape competition in the industry. Resource Based strategy {grant} is also given importance. The Resources Based View formula is given

$$[\text{Tangible Assets} + \text{Intangible Assets}] \times \text{Capabilities} = \text{Competencies} \rightarrow \text{Competitive Advantages.}$$
Resources are viewed as the factor inputs into the production process including tangible assets, intangible assets and the skills possessed by people working at various levels.

Basic capability drivers like patents, licenses, location, distribution channel and employee motivation skills, design skills process motivation, interrelationships are discussed. Organisational value chain analysis is described at length.

There are four basic groups of financial ratios are mentioned namely Liquidity, Leverage, Activity and Profitability. The importance of synergy building is also stressed.

Unit three describes about corporate level strategy which is basically concerned with the choice of businesses, products and markets.

Balance score card approach is given in which wherein strategic actions were undertaken at the business unit, departmental and individual level

Other strategies like growth, expansion, Ansoff matrix are also discussed elaborately. Acquisition restructuring and cooperative strategies are also mentioned specifically.

Block Assignment

Short Answer Questions

1. Performance is a fundamental concept in SWOT analysis and strategic management, define the usage, usefulness and application for profit and non-profit organizations
2. Explain the term strategy and the difference between Business and Corporate Strategies. Describe how you would craft a mission statement and schematically explain the process to set-up your strategy. Discuss how strategic management has evolved since the 1950's and where it might be in the next decade (2010-2020).

Long Answer Questions

1. Discuss the merits and demerits of monopoly, dominant, oligopoly, niche, perfect competition categories of industry. Provide examples for each category and the full name of this model.
2. Explain links between differentiation, competition and strategic interaction. Describe the five elements of strategic interaction starting from timing.

Enrolment No.

1. How many hours did you need for studying the units?

Unit No	1	2	3	4
No of Hrs				

2. Please give your reactions to the following items based on your reading of the block:

Items	Excellent	Very Good	Good	Poor	Give specific example if any
Presentation Quality	☐	☐	☐	☐	_____
Language and Style	☐	☐	☐	☐	_____
Illustration used (Diagram, tables etc)	☐	☐	☐	☐	_____
Conceptual Clarity	☐	☐	☐	☐	_____
Check your progress Quest	☐	☐	☐	☐	_____
Feed back to CYP Question	☐	☐	☐	☐	_____

3. Any Other Comments

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“

*Education is something
which ought to be
brought within
the reach of every one.*

”

- Dr. B. R. Ambedkar



Dr. Babasaheb Ambedkar Open University

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STRATEGIC MANAGEMENT

PGDHR-103

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

**Dr. Babasaheb Ambedkar Open University
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STRATEGIC MANAGEMENT



Knowledge Management and
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ROLE OF SELF INSTRUCTIONAL MATERIAL IN DISTANCE LEARNING

The need to plan effective instruction is imperative for a successful distance teaching repertoire. This is due to the fact that the instructional designer, the tutor, the author (s) and the student are often separated by distance and may never meet in person. This is an increasingly common scenario in distance education instruction. As much as possible, teaching by distance should stimulate the student's intellectual involvement and contain all the necessary learning instructional activities that are capable of guiding the student through the course objectives. Therefore, the course / self-instructional material are completely equipped with everything that the syllabus prescribes.

To ensure effective instruction, a number of instructional design ideas are used and these help students to acquire knowledge, intellectual skills, motor skills and necessary attitudinal changes. In this respect, students' assessment and course evaluation are incorporated in the text.

The nature of instructional activities used in distance education self-instructional materials depends on the domain of learning that they reinforce in the text, that is, the cognitive, psychomotor and affective. These are further interpreted in the acquisition of knowledge, intellectual skills and motor skills. Students may be encouraged to gain, apply and communicate (orally or in writing) the knowledge acquired. Intellectual-skills objectives may be met by designing instructions that make use of students' prior knowledge and experiences in the discourse as the foundation on which newly acquired knowledge is built.

The provision of exercises in the form of assignments, projects and tutorial feedback is necessary. Instructional activities that teach motor skills need to be graphically demonstrated and the correct practices provided during tutorials. Instructional activities for inculcating change in attitude and behavior should create interest and demonstrate need and benefits gained by adopting the required change. Information on the adoption and procedures for practice of new attitudes may then be introduced.

Teaching and learning at a distance eliminates interactive communication cues, such as pauses, intonation and gestures, associated with the face-to-face method of teaching. This is particularly so with the exclusive use of print media. Instructional activities built into the instructional repertoire provide this missing interaction between the student and the teacher. Therefore, the use of instructional activities to affect better distance teaching is not optional, but mandatory.

Our team of successful writers and authors has tried to reduce this.

Divide and to bring this Self Instructional Material as the best teaching and communication tool. Instructional activities are varied in order to assess the different facets of the domains of learning.

Distance education teaching repertoire involves extensive use of self-instructional materials, be they print or otherwise. These materials are designed to achieve certain pre-determined learning outcomes, namely goals and objectives that are contained in an instructional plan. Since the teaching process is affected over a distance, there is need to ensure that students actively participate in their learning by performing specific tasks that help them to understand the relevant concepts. Therefore, a set of exercises is built into the teaching repertoire in order to link what students and tutors do in the framework of the course outline. These could be in the form of students' assignments, a research project or a science practical exercise. Examples of instructional activities in distance education are too numerous to list. Instructional activities, when used in this context, help to motivate students, guide and measure students' performance (continuous assessment)



PREFACE

We have put in lots of hard work to make this book as user-friendly as possible, but we have not sacrificed quality. Experts were involved in preparing the materials. However, concepts are explained in easy language for you. We have included many tables and examples for easy understanding.

We sincerely hope this book will help you in every way you expect.

All the best for your studies from our team!



STRATEGIC MANAGEMENT

Contents

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

UNIT 1 STRATEGIC PLANNING AND STRATEGIC MANAGEMENT

Introduction, Strategic Planning, Evolution of Strategic Planning, Levels of Strategic Planning, Dimensions of Strategic Decisions, the Concept of Strategic, Elements of a Strategic, Strategies Vs Tactics, Past Approaches to Strategy, Current Trends in Business Policy, The Indian Scenario, Strategy Vs Policy, Strategic Management, Modes of Strategic Management

UNIT 2 THE STRATEGIC MANAGEMENT PROCESS

Introduction, Purposes of Strategic Management Process, Steps in the Strategic Management Process, Strategy Formulation, Strategy Implementation, Strategic Intent: Vision, Mission and Objectives, Corporate Social Responsibility

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY

UNIT 1 ENVIRONMENTAL AND INDUSTRY ANALYSIS

Introduction, The Organization's Environment, External and Internal Environment, Components of External Environment, Components of Internal Environment, Environmental Scanning, Industry Analysis

UNIT 2 COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS

Introduction, Internal Analysis, Resource-Based Strategy (Grant), The Resource Based View (RBV), Resources, Organisational Capabilities and Competitive Advantage, Approaches to Internal Analysis , Terminology, Primary Activities , Support Activities , Conducting a Value Chain Analysis, The concept of Synergy.

UNIT 3 CORPORATE LEVEL STRATEGY

Corporate Level Strategy, Acquisition, Restructuring and Cooperative Strategies, Takeovers, Cooperative Strategies

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

UNIT 1 PROJECT MANAGEMENT

Introduction, Business Level Strategy, Business Level Strategic Analysis, Contingency Strategies

UNIT 2 STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES

Strategy Implementation: Structural Issues, Behavioral Issues in Strategy Implementation, Operational Strategy, Operations Management, Formulating operations Strategy

UNIT 3 FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE

Financial Strategy, Marketing Strategy, Strategic Analysis and Choice

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

UNIT 1 STRATEGIC LEADERSHIP AND CONTROL

Strategic Leadership, Leadership Theories, Hersey's Situational Leader Model, Power and Politics, Organizational conflict, Organizational Politics

UNIT 2 HUMAN RESOURCES STRATEGY

The Rise of Human Resource Management (HRM) , The issue of Strategic Human Resource Management (SHRM), Business strategy, The Guest Mode, The Organisational Outcomes, Integration of HR Systems as Strategy, Human Resource Strategy, Role of HRM ,Human Resource Planning , Recruitment, Training and Development, Executive Development Programmes, Job Knowledge ,Performance Appraisal , HR Strategy in a Dynamic Environment,



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PGDHR-103

STRATEGIC MANAGEMENT

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

UNIT 1

PROJECT MANAGEMENT	03
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UNIT 2

STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES	23
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UNIT 3

FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE	52
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BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

Block Introduction

We have become part of a global village and have a global economy where no firm is insulated from the effects of foreign markets and competitions. Indeed more and more firms are reshaping themselves for international competitions and discovering new ways to exploit markets in every corner of the world. Failure to take a global perspective is one of the biggest mistakes managers can make because domestic markets are saturated for many companies. The only potential for significant growth may be present in outside markets. For example Proctor & Gamble which spent years slogging it out in a flat US diaper market is now finding exciting opportunities to grow in China, India, Russia, Brazil and Israel. Likewise, Nestle is based in Vevey, Switzerland, has a German CEO and gets more than 98 per cent of its revenues and has more than 95 per cent of its assets outside of Switzerland. These companies hence prove that Strategic planning and its successful implementation plays a major role in their success. Strategy implementation is a crucial issue because any strategy is as good as the effort behind it to move it forward. Successful strategy implementation requires support, discipline, motivation and hard work from all managers and employees. More importantly, it requires a suitable organization structure to translate ideas into concrete action plans.

This block focuses on how global expansion helps firms to build and extend their sources of competitive advantage to new markets with the help of project management strategies and their functional and financial strategies.

The unit one focuses on aspects of project management. It deals with the different strategies like business and contingencies to deal with. It will help business in getting a competitive edge.

The unit two deals with the strategy implementation and functional strategies.

Unit three deals with the functional and marketing strategies with analytical choice.

Block Objective

After learning this block, you will be able to understand:

- The Global Expansion Strategies.
- The Strategy Implementation.
- The Activating Strategy.
- The Strategy-Structure Relationship.
- The Market Entry Strategies.

Block Structure

Unit 1: Project Management

Unit 2: Strategy Implementation and Functional Strategies

Unit 3: Financial and Marketing Strategy with Strategic Analysis and Choice

UNIT 1: PROJECT MANAGEMENT

Unit Structure

1.0 Learning Objectives

1.1 Introduction

1.2 Business Level Strategy

1.2.1 Porter's Competitive Strategies

1.2.2 Features of Competitive Advantage

1.2.3 Acquiring Core Competence

1.2.4 Low Cost Strategies

1.2.5 Differentiation Strategies

1.2.6 Focus Strategies

1.3 Business Level Strategic Analysis

1.4 Contingency Strategies

1.5 Let Us Sum Up

1.6 Answers for Check Your Progress

1.7 Glossary

1.8 Assignment

1.9 Activities

1.10 Case Study

1.11 Further Readings

1.0 Learning Objectives

After learning this unit, you will be able to understand:

- The MNC Mission Statement.
- The International Strategy and Competitive Advantage.
- The Business Level Strategy.
- The Porter's Competitive Strategies.
- Low cost, Differentiation and Focus Strategies.

- The Analysis of Business Level Strategy.
- Contingence Strategies.

1.1 Introduction

Project management is rapidly becoming a standard way of doing business in organisations. We accomplish a considerable portion of our typical firm's effort through projects. Projects are becoming the tools of implementing the business strategy of an organisation. Every project in an organisation should contribute to its strategic plan.

A project can be defined as a series of complex connected activities with a common purpose. It should be unique having one goal and should be completed within a specific time, within a fixed budget and as per the specification. The above definition itself suggests the meticulousness of activities while performing work under the project management. It requires a team effort. Management of a project needs a strategic planning. There are two levels of strategies namely: Business level strategy and corporate level strategy. The project management, the business level strategy and corporate level strategy should be aligned properly in order to implement successfully. Strategic alignment is a two-way process. Overall business strategy informs project planning and in turn, project success impacts enterprise success. Strategic alignment of a project takes into account strategic focus, operational efficiency and team leadership. The extent to which a project is focused on each dimension determines the level of "strategic maturity" for a given project. Research has shown that higher levels of strategic maturity are associated with higher levels of project success.

1.2 Business Level Strategy

Business level strategy deals with how a particular business competes. The principal focus is on meeting competition, protecting market share and earning profit at the business unit level by performing activities differently, offering superior value to customers. A firm is able to deliver superior value to customers when it is in a position to perform an activity that is distinct or different from that of its competitors. This is popularly defined as competitive advantage. Competitive advantage implies a distinct and sustainable advantage over competitors. It is a kind of clear superiority or distinctive competence in some functions or area over the competitors. The areas may include finance, marketing,

production, human resources, new product development, research etc. Firms usually build competitive advantage by initiating certain unique steps that help them gain an edge over their rivals in attracting customers. These steps would include offering best customer service, producing at the lowest cost or focusing efforts on a specific segment or niche of the industry. A useful approach to formulating business level strategies is based on Michael Porter's 'competitive analysis' and three general alternative business strategies that are derived from it.

1.2.1 Porter's Competitive Strategies

M E Porter studied a number of business organizations and proposed that business-level strategies are the result of five competitive forces in the company's environment. According to him, competitiveness within an industry is determined by the following new entrants or new companies within the industry; products that might act as a substitute for goods or services that companies within the industry produce; the ability of suppliers to control issues like cost of materials that industry companies use to manufacture their products; the bargaining power that buyers possess within the industry; and the general level of rivalry or competition among firms within the industry. According to Porter, buyers, product substitutes, suppliers and potential new companies within the industry all contribute to the level of rivalry among industry to be more competitive. Porter suggested three generic strategies that managers might take up to make organizations more competitive.

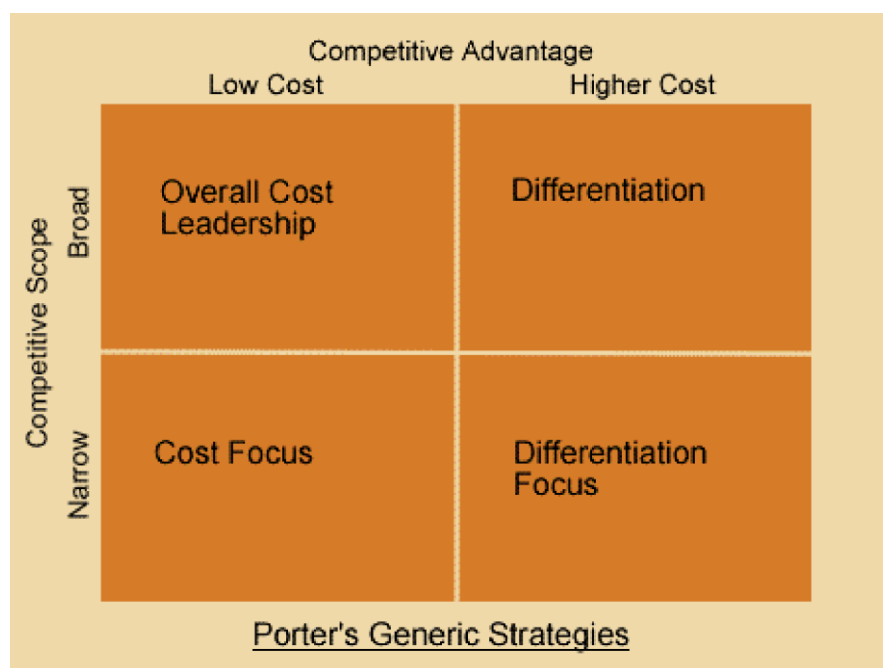


Fig 1.1 Porters Generic Strategy

Cost Leadership: Cost leadership is a strategy that focuses on making an organization more competitive by producing its products more cheaply than competitors can. The logic behind this strategy is that by producing products more cheaply than competitors, organizations can offer products to customers at lower prices than the competitors and thereby hope to increase market share. Nirma Chemicals was able to challenge the might of Hindustan Lever by pursuing this strategy aggressively, without, of course sacrificing quality. For example Wal-Mart, a typical industry cost leader, enjoys a competitive advantage due to a unique satellite-based distribution system; it generally keeps store location costs to a minimum by placing stores on low-cost land outside small to medium-sized southern towns. Most software companies in India enjoy the cost advantage in terms of low labour and location costs when compared to their Western counterparts. It is small wonder the call centre business has shifted to India (especially to areas like Noida, Gurgaon) in recent times. A low-cost strategy is not without risks. To be effective, the company in question should be the cost leader, not just one of several players. Otherwise, two or more companies vying for cost leadership can push prices to unremunerated levels. HLL is facing 'low-cost competition' in oil business from desi brands such as Gemini Gold Winner etc. due to this reason only. These desi brands have exploited the 'value for money' idea to their advantage playing on the price factor constantly. The business, therefore, must have a cost advantage that cannot be easily imitated, and it must stay abreast of new technologies that can upset cost calculations completely. Further, managers must still carry out products or service innovations that are very important to customers, lest competitors, using a differentiation strategy, woo customers away using product or service improvements to good effect.

Focus: It is a strategy that emphasizes making an organization more competitive by targeting a specific regional market, product line or buyer group. The organization can use either a differentiation or low cost approach, but only for a narrow target market. The logic of this approach is that an organization that limits its attention to one or a few market segments can serve those segments better than organizations that seek to influence the entire market. For example, products such as Rolls-Royce automobiles, Titan jewellery watches, Cross pens are designed to appeal to a narrow segment of the market and serve the same well rather than trying to cover the whole ground. The important risks are possibilities that the costs for the focused firm will become too great relative to those of the less focused one, differentiation too will become less of an advantage as competitors serving broader markets embellish their products, and competitors will begin

focusing on a group within the customer population being served by the firm with the focus strategy.

Porter found that many firms did not consciously pursue one of these three strategies and were therefore, struck in the middle of the pack with no strategic advantage. Without a strategic advantage, the business earned below-average profits and therefore, was not in a position to compete successfully.

Competitive Scope	Broad Target	Competitive Advantage	
		Lower cost	Differentiation
	Narrow Target	Cost leadership Toyota	Differentiation General Motors
		Cost Focus Hyundai	Differentiation focus BMW, Mercedes

Fig 1.2 Porter's Model of Competitive Advantage

Porter argued that in the motor vehicle industry, Toyota became the overall cost leader. The company is successful in a number of segments with a full range of cars. Its mission is to remain a low cost producer (like Maruti). In contrast, General Motors also competes in most segments of the market but tries to differentiate each of its products with better styling and innovative features. Hyundai is successful around the world with four small and medium size cars which it produces at low cost and prices competitively. BMW and Mercedes offer exclusive cars for the price-insensitive, quality-conscious customer.

Porter argued that a company cannot achieve superior profitability if it is 'struck in the middle' with no clear strategy for competitive advantage. Thus, Chrysler came upon hard times because in its Can business it neither stood out as lowest in cost, highest in perceived value, or best in serving some market segment.

1.2.2 Features of Competitive Advantage

Not Sustainable for Long: It is not always possible for companies to sustain individual sources of competitive advantage for long (rivals copy and do everything possible to wipe out the edge through their own innovations). So, the best way to maintain leadership is to continually seek new forms of advantage through constant experimentation, innovative efforts and investments in the latest technology. According to Kotler, competitive advantages are not sustainable, but leverage able. A leverage able advantage is one that a company can use as a spring board to new advantages, much as Microsoft has leveraged its operating system to Microsoft Office and then to networking applications. Therefore, a company that hopes to endure must be in the business of continuously inventing new advantages.

Relevant Advantages: In order to implement the chosen strategy, a firm must have the relevant competitive advantage. To become a global player, for example, a cement company can buy or take controlling stakes in competing firms (as in the case of Gujarat Ambuja Cements). However, unless the company has some relevant competitive edge over its rivals (in terms of pricing, transport costs, distribution network, location of units in cement-deficit states etc.) his acquisition strategy may not pay off in the long run. In the rush to become a major player, a firm, therefore, should not throw caution to the wind and extend its arms over the market beyond a point (remember India Cements case in the Cement Industry?).

Backbone of Strategy: A successful strategy is always built around the competitive advantage. Without such a distinct advantage, it is not possible to achieve corporate objectives successfully. It becomes difficult to outwit competitors. The firm may not be in a position to price its products in a flexible way. Where there is a distinct edge, as in the case of Maruti Udyog Limited (for instance in terms of sales; price advantage, cost advantage owing to its massive scale of operations, monopoly status in the lower income segment etc.), the firm could breathe easily by playing on the price, cost, early bird status, monopoly position, brand image and a host of other factors. Likewise Bajaj Auto in scooters, Telco in the heavy vehicles segment have acquired competitive advantages by building strong entry barriers (scale of operations, lower costs, etc.).

1.2.3 Acquiring Core Competence

Firms can acquire core competence through heavy investments in technology, research and development followed by new product innovations. Hamel and Prahalad (“Corporate Imagination and Expeditionary Market”, HBR, July-August 91) argued that most profitable companies are those that create and dominate new markets, looking for opportunities to further explore key skills and competencies. New product innovations such as chilled prepared meals (Marks and Spencer’s), the compact disc (Philips) and the anti-lock breaking system for cars (Bosch) took place in companies which have excellent in-house R&D facilities. (In India, Ranbaxy, Dr Reddy Labs in Pharma; TCS and Infosys in Software; HLL, Nestle, Cadbury in fast moving consumer goods have a good track record of exploiting their key research and development skills for achieving consistent growth. Employees play a key role in acquiring such capabilities. Leaders have to provide a positive work climate for employees to develop such crucial skills. The US Company 3M is renowned for its ability to empower employees and produce innovative products (masking tape, post-it notes etc.); laboratory staff are free to devote 15% of their time on developing ideas. They are allowed to work as per their own convenience. Technicians are encouraged to talk with customers; internal networking is fostered.

Focus on one or two skills

To gain a fundamental, immutable strength in the long-run, a firm should focus on one or two core skills (Michael Porter, Competitive Strategy, New York, Free Press, 1990), which it should develop. Focus does not mean restricting the number of businesses the firm can operate. It only means concentrating on a particular group of customers, a specific geographic area, or a certain part of the product or service line. The rationale is that by specializing, the organization can serve the market segment more effectively than competitors who try to cover the entire market. The focus strategy still relies on a low-cost or a differentiation approach, or perhaps both, to establish a strong position within the particular market segment or niche. The differentiation within a focus strategy can occur by tailoring products to the exclusive needs of the market segment. A cost advantage may be simultaneously possible because a firm may be able to offer better prices on custom orders even though another firm may have the cost leadership in serving the larger-volume requirements of broader market. Building core competencies is not easy. It requires a conscious, determined long-range effort on the part of strategic leaders who seek to strike a happy balance between objectives, resources, skills and opportunities.

Against this backdrop, let's now examine the three generic strategies advocated by Porter to make organizations more competitive in a detailed manner (Hittetal).

1.2.4 Low Cost Strategies

Low cost leadership strategies are based on a firm's ability to offer a product or service at a lower cost than its rivals. When a firm is able to build a substantial cost advantage over other competitors, it can pass on the benefits to customers and gain a large market share. Low cost works because after a certain time all markets mature and the number of players and their offerings stagger to a very high level. Buyers in such a market are able to drive down prices to rock bottom levels where only the low cost producers survive (as mentioned in the opening case – this partly explains the success of low cost producers of Ghadi detergent, Anchor toothpaste, Chick Shampoo, Gold winner and Gemini oil brands etc.). Low cost producers are also able to withstand sluggish demand conditions, weather out business cycles and get ahead of their rivals. Desi brands for example, in FMCG sector are growing at a respectable level even when other established players are finding it difficult to stay afloat (example look at Anchor's Growth rate of 50 per cent, Gold winners 24%, Gemini's 40%, Ghadi's 20% growth rate against HLL's flat growth rate in many of its product categories during 2001-03).

Low cost strategies can be used effectively when (a) the market for the product or service is price sensitive (b) the product or service is standardized (c) the buyers are powerful enough to extract a concession from the manufacturer (d) the buyers are not brand-loyal and are willing to switch from one seller to another based on price differences and (e) where differentiation is not possible and even when there is such a possibility – customers do not value it.

A low cost strategy builds competitive advantage through economies of scale, experience curve effects and other factors to capture a substantial share of the market.

Economies of Scale: Large established firms produce, sell and advertise in greater volume than smaller firms and late entrants. The substantial volumes that they are able to generate help them take advantage of economies of scale within many primary and supporting value-adding activities. More employees are required to carry out an activity. This, in turn, helps them specialize and achieve greater productivity. Fixed costs can be spread over a large volume. The firm can gain from quantity discounts available on components, inputs and other raw

materials. Also, large, volume players are in a better position to vertically integrate and make their own inputs at a lower cost. High levels of vertical integration enable firms to control all of the inputs, supplies, and equipment required to convert raw material into the final end product. At the same time firms could also think of buying more than they make. They can focus effort on these few activities, which they are best equipped to carry on and get supplies from others – thereby avoiding large fixed-cost capital investments. They can also avoid investing in those technologies or production processes that could become obsolete in a short span of time. For example Dell Computer does not invest in making chips or designing software; it simply assembles and distributes personal computers by buying key components from outside suppliers. The savings obtained through tight inventory and production cost control are passed on to buyers.

Vertical Integration: Extending control over sources of supply (upstream operations) in vertical integration. High levels of vertical integration which can be achieved by fairly large firms help firms control all of the inputs, supplies and equipment required to convert raw materials and equipment into finished products. Firms pursue vertical integration in cases where their products and technologies tend to remain fairly stable over long periods. Vertical integration could be an important cost driver in cases when the firm manufacturer's components that directly feed into its final products.

1.2.5 Differentiation Strategies

The attraction of differentiation over low cost as a basis for competitive advantage is its potential for sustainability. It is susceptible to being overturned by changes in the external environment, and it is more difficult to copy. Differentiation strategies are based on offering buyers something unique or different that makes the firm's products or services distinct from that of its rivals.

The important assumption behind differentiation strategies is that customers are ready to pay a premium price for a product that is distinct (or at least perceived as such) in some important way. Like superior quality special appeal, better service etc.

According to Michael Porter "strategy is about selling yourself apart from the competition. It's not just a matter of being better at what you do – it's a matter of being different at what you do".

Differentiation strategies can be pursued by firms when (a) the market is too large to be served by a few firms offering standardized products/services (b) the customer needs and preferences are too diversified to be met through standardized products/services, (c) the firm is able to charge a premium for an advantage that is valued by customers, (d) and the product is such that customer loyalty can be obtained and sustained (e.g. Chicory blended coffee, Darjeeling tea).

1.2.6 Focus Strategies

Focus strategies aim to sell goods or services to narrow or specific target market, niche or segment. The essence of the focus strategy is the exploitation of a narrow target's differences from the balance of the industry. Focus builds competitive advantage through high specialization and concentration of resources in a given niche. If a niche or segment has distinctive and lasting features, then a firm can develop its own set of entry barriers in much the same way that large established firms do in broader markets. Nowadays, Internet is playing a great role in identifying market segments marked with greater and greater specificity in terms of unique customer needs. Firms can build focus in one of two ways. Focused cost leadership and focused differentiation. Through the cost leadership and the differential focus strategies firms serve the needs of a narrow competitive segment (a buyer group, products segment or geographic location). This strategy works when firms have the core competencies required to offer value to a narrow competitive segment that exceeds the value available from firms serving customers on an industry-wide basis.

By looking into PIMS reports, a company can evaluate the potential effects of various marketing strategies on its performance given the overall features of relevant industries. "Each business can extract information about the experience of its "strategic peers" (i.e., businesses facing similar strategic positions but possibly in different industries). Three basic sets of variables have been found to account for 75 to 80 per cent of the variance in profitability and cash flow in the sample of businesses: (1) the competitive position of the business, as measured by market share and relative product quality; (2) the production structure, including investment intensity and productivity of operations; and (3) the relative attractiveness of the server market, comprising the growth rate and customer's characteristics".

Check Your Progress 1

1. Business level strategy deals with how a business competes. The principal focus is on
 - a. meeting competition
 - b. protecting market share
 - c. earning profit at the business unit level
 - d. all of the above
2. Which of the following is a strategy that focuses on making an organization more competitive by producing its products more cheaply than competitors can?
 - a. cost leadership
 - b. project management
 - c. competitors strategy
 - d. none of the above
3. Which of the following are the features of Competitive Advantage?
 - a. Not Sustainable for Long
 - b. Relevant Advantages
 - c. Backbone of Strategy
 - d. all of the above
4. Which of the following is strategies are based on a firm's ability to offer a product or service at a lower cost than its rivals
 - a. low cost leadership
 - b. project management
 - c. competitors strategy
 - d. none of the above

1.3 Business Level Strategic Analysis

Business level strategy pertains to each business unit or product line. It focuses on how the business unit competes within its industry for customers. Strategic choice at the business unit level has to be made taking the industry environment (where the firm has to compete) and the competitive reactions (competitors who have more or less identical products and compete for space) into account. Apart from focusing attention on these external forces, the firm has to carry out a SWOT analysis to find where it stands, on relative terms, in the industry. Thus, business-level strategic analysis is done through the following:

- **Industry Analysis:** A number of frameworks have been developed for identifying the major strategic alternatives that organizations should consider while choosing their business-level strategies. ME Porter studied a number of firms and proposed that business-level strategies are the result of five competitive forces in the company's environment such as potential new entrants, bargaining power of buyers, bargaining power of suppliers, threat of substitute products and rivalry among competitors. In finding its competitive edge within these five forces, Porter suggested that a firm can adopt one of three strategies: differentiation, cost leadership and focus. A firm that pursues a differentiation strategy seeks to separate itself from the crowd through the quality of its products and services. A firm that follows an overall cost leadership strategy tries to attain a competitive advantage by reducing its costs below the costs of competing firms. A firm pursuing a focus strategy concentrates on a specific regional market, product line or group of buyers. This strategy may have either a differentiation focus, whereby the firm differentiates its products in the focus market or an overall cost leadership focus whereby the firm manufactures and sells its product at low cost in the focus market.
- **Strategic Group Analysis:** Within most industries certain business units compete more directly with some businesses than with others. Businesses that engaged in very direct and intense competition with one another are considered to be a strategic group. Most industries contain several strategic groups each of which is composed of members possessing similar strategic profiles. Many firms generally believe that they can win by performing the same activities more effectively than their competitors; but competitors can quickly copy the operationally effective company using benchmarking and other tools, thus diminishing the advantage of operational effectiveness. For example in the home loan segment private sector banks, public sector banks

and foreign banks like ICICI Bank, Corporation Bank, State Bank, HSBC, City Bank have moved in quickly, copied all that HDFC (the industry leader) has been doing all these years and snatched away a major chunk of market share in recent times. It is worth remembering how Porter defined strategy “the creation of a unique and valuable position involving a different set of activities”. A firm can claim that it has a strategy when it “performs different activities from rivals or performs similar activities in different ways”. Firms like Dell Computers, HDFC Bank, Ranbaxy, Hindustan Inks and Resins, Asian Paints run their businesses much differently from their competitors, and these competitors would find it hard to copy and synchronise all the different activities that a strategically differentiated firm carries out. Strategic Group Analysis, thus, helps managers develop competitive strategies for their firms within the context of the industry (comparing their own firm’s strategic postures and actions with their rivals and get ahead of the pack through constant innovations).

- **Competitor Analysis:** Competitor Analysis focuses on each company against whom a firm competes directly (Unlike industry analysis and strategic group analysis which focus attention on the industry as a whole or subjects of firms within an industry) within an industry or strategic group. When engaged in a competitor analysis, a firm seeks to understand :
 - What drives the competitor, as shown by its future objectives?
 - What the competitor is doing and can do? As it revealed by its current strategy.
 - What the competitor believes about itself, as shown by its assumptions, and
 - What the competitor’s capabilities are, as shown by its capabilities?
- **Life Cycle Analysis:** Because economic conditions change and competitive activity varies, firms generally find it necessary to reformulate their strategies several times during a product’s life cycle. The product life cycle is a conceptual model that indicates that products, markets and businesses evolve through the stages of introduction, growth, maturity and decline. Each stage of the PLC calls for different strategies to be followed at the business unit level (Hofer and Zeithaml).

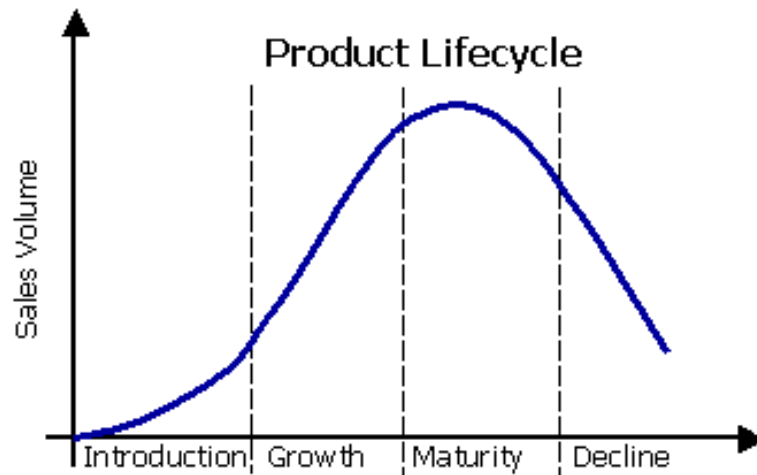


Fig 1.3 Product Life cycle

In the introductory stage, sales will be relatively slow while customers get used to the new ideas introduced by a firm. If the idea clicks, demand may be very high and sometimes outpaces the firm's ability to supply the product. At this stage managers need to think about getting the product out of the door without sacrificing quality. Growth stage is marked by rapid sales growth and increasing profits. Important strategic issues at this stage include ensuring quality and delivery and beginning to differentiate the firm's products from competitors' products. Entry into the industry during the growth stage may threaten a firm's competitive advantage, so, strategies to slow the entry of competitors are important. At some point, the rate of sales growth will slow and the product will enter a stage of relative maturity. The overall demand growth for a product begins to slow down and the number of new firms producing the product begins to decline. The number of established firms producing the product may also begin to decline. Product differentiation concerns are still important at this stage, but keeping costs low and beginning the search for new products or services are also important strategic issues. In the decline stage, demand for the product or technology decreases the number of firms producing the product drops, and total sales plunge to low levels. Sales decline for a variety of reasons such as technological advances, changes in consumer tastes, increased domestic and foreign competition etc. All lead to overcapacity, intense price wars and profit erosion. Organizations that fail to anticipate the decline stage in earlier stages of the life cycle may go out of business. Those that differentiate their product keep their costs lower or develop products or services may do well during this stage.

- **Experience Curve Analysis:** As firms produce, they grow more efficient as experience teaches better ways of doing things. Repetition helps a firm gain mastery over the task, speed up the operations and develop new and improved ways of doing a job at lower cost. Thus, the cost of performing an activity often declines on a per unit basis (known as experience curve effects or economies of experience). If a firm sells more units than its competition, it should also improve production faster (getting more efficient in terms of unit costs), because it is getting more practice (greater experience). With lower costs the firm can price more competitively and with lower prices, it can get more customers and increase sales volume, which further reduces costs. Because incumbent firms have more experience than new entrants, their costs will normally be lower. For instance, any firm trying to enter the integrated-circuit business faces a tremendous challenge to learn how to be cost competitive in a market where experienced players are clearly having a competitive edge – because they are already producing millions of pieces. Experience curve analysis would throw light on the entry barriers already erected by incumbents over a period of time and thus, help new entrants chalk out suitable strategies in line with their capabilities.
- **SWOT Analysis:** SWOT Analysis considers a firm's strengths, weaknesses, opportunities and threats. Using SWOT analysis a firm chooses strategies that support its mission and (i) exploit its opportunities and strengths, (ii) neutralize its threats, and (iii) avoid its weaknesses.

Check Your Progress 2

1. Some of the business level strategies are :
 - a. Industry Analysis
 - b. Strategic Group Analysis
 - c. Competitor Analysis
 - d. all of the above
2. Using SWOT analysis a firm chooses strategies that support its mission
 - a. exploit its opportunities and strengths
 - b. neutralize its threats
 - c. avoid its weaknesses
 - d. all of the above

3. Porter suggested that a firm can adopt which of the following strategies:

- a. differentiation
- b. cost leadership
- c. focus
- d. all of the above

1.4 Contingency Strategies

Strategic choice is made on the basis of certain assumptions and conditions. If the conditions change drastically, the chosen strategies may have to be discarded altogether. If they are not too radical, the strategies may have to be modified suitably. But changes do not occur in a sequential order, nor do they give any impending warnings. They surface suddenly leaving deep scars on the faces of managers – if they are unprepared. To be in the safe side, strategists always keep contingency strategies ready. Such contingency strategies are formulated in advance to take care of unknown events and unexpected challengers. As rightly summarized by Peter Drucker, successful managers do not wait for future. They make the future through their proactive planning and advanced preparations. They introduce original action by removing present difficulties, anticipate future problems, change the goals to suit internal and external changes, experiment with creative ideas and take initiative, attempt to shape the future and create a more desirable environment.

Check Your Progress 3

1. According to Peter Drucker, successful managers do the following
 - a. original action by removing present difficulties
 - b. anticipate future problems
 - c. change the goals to suit internal and external changes
 - d. all of the above

1.5 Let Us Sum Up

In this unit we studied about the project management and strategic alignment of it with different strategies proposed by noted theorists like porter, peter drucker etc. To meet the competition , protect the market share and earning profit it is suggested that business level strategy should be implemented.

The importance of competitive advantage is mentioned. Porter has suggested generic strategy with five competitive forces in the company's environment. The features of competitive advantage are also given like: not sustainable for long, relevant advantages, backbone of strategy.

The use of low cost strategy is given. Other strategies like differentiation and focus strategy is also explained in detail. The types of business level strategies like industry analysis, strategic group analysis, competitor's analysis, life cycle analysis, experience curve analysis, swot analysis is mentioned. The relevancy of contingency strategy is also mentioned.

1.6 Answers for Check Your Progress

Check your progress 1

Answers: (1-d), (2-a), (3-d), (4-d)

Check your progress 2

Answers: (1-d), (2-d), (3-d)

Check your progress 3

Answers: (1-d)

1.7 Glossary

1. **Distinctive Competence** - A competence that provides a firm with a competitive advantage in the marketplace.
2. **Diversified Company** - A Company that has enough different products so it does not depend on success of one product or type of product.

1.8 Assignment

1. What considerations in recent years have led international businesses to expand their activities into less-developed nations?
2. Compare the advantages associated with the global market entry strategies of exporting, licensing and wholly owned subsidiaries.

1.9 Activities

Write short notes on:

1. Competitive Advantage
2. Benchmarking
3. Core Competence

1.10 Case Study

Job Evaluation Redesign at Bayer Group

Bayer Corporation is a subsidiary of Bayer Group AG, a Germany-based global chemical company. Several years ago, Bayer Corporation was created by combining three different operating companies, each with its own markets, products, and cultures—Mobay Chemicals, Miles, Inc., and Agfa. Bayer executives recognized that compensation systems were a critical component of creating a corporate culture that embodies the values and visions developed during the strategic planning for the new firm. Once the merger of the three entities had occurred, a new organizational structure was implemented. This structure had fewer layers and levels, and was developed to give Bayer employees the flexibility to move across organizational units and internationally. Bayer, like many organizations today, compensated people for doing specific jobs. But they wanted to reward people for their flexibility in playing different roles in the organization and moving between jobs. At the same time, Bayer executives wanted a simple compensation system that was tied to the core values and culture that Bayer hoped would evolve.

Bayer began its transition to a different compensation system by establishing a task force of 14 executives chaired by Bayer's Vice-President of Benefits. This Job Advisory Committee, as it was labelled, was to recommend the processes needed to move to a job evaluation system more aligned with the new

organization. Job evaluation, the systematic process of determining the internal value of jobs in relation to other jobs, had previously been done in two of the companies using a traditional point factor system; however the third entity had not used a formal job evaluation system. The committee began by identifying the advantages and disadvantages of the existing point system. The committee identified many features of the old system that were working well, particularly the involvement of managers and employees in the job evaluation "pointing" process. But the committee felt that the existing point factors and dimensions were too task based, and they did not reflect the flexibility desired as part of the organizational culture. Also, greater recognition of employees' capabilities, not just their jobs and budgetary responsibilities, needed to be considered. Assisted by a major consulting firm over a period of time and a number of meetings, the committee decided to redesign the job evaluation system and focus on work-value competencies.

The new work-value clusters defined were:

- Improvement opportunity
- Contribution
- Capability
- Expertise and complexity
- Leadership and integration
- Relationship-building skills

For these six clusters, the committee identified scales and point values. The process of developing the new factors and points took about a year. Once the new system had been tested by pointing jobs on both the old and new systems, fine-tuning was needed. Ultimately, a cross section of benchmark jobs was pointed using the new system and the results calibrated statistically to the old system, rather than having all jobs in the organization repointed again.

The ultimate test of the new job evaluation system has been its acceptance and use throughout Bayer. Based on feedback from managers and employees alike, the new system is working well. Bayer's job evaluation system has become the means of aligning its compensation system with the business values of the new corporate culture being created. The compensation plan also supports business strategies and rewards employees as Bayer grows and meets its strategic objectives. Greater recognition of employees' capabilities, not just their jobs and budgetary responsibilities, needed to be considered.

Case Study Questions

1. Outline the key accomplishments of the task force in redesigning the job evaluation system.
2. What are your views on strategic planning at Bayer Group?
3. "Rewards can be both intrinsic and extrinsic." Does the compensation plan at Bayer support this statement?

1.11 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions » JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
3. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.
4. Strategic management of small firms in hostile and benign environments - all 2 versions » JG Covin, DP Slevin - Strategic Management Journal, 1989 – JSTOR... In Kent, CA (ed.), The Environment for Entrepreneurship, Lexington.

UNIT 2: STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES

Unit Structure

2.0 Learning Objectives

2.1 Introduction

2.2 Strategy Implementation: Structural Issues

2.2.1 Activating Strategy

2.2.2 Resource Allocation

2.2.3 Strategy-Structure Relationship

2.2.4 The Functional Structure

2.2.5 Divisionalisation: Product and Geographic Forms

2.3 Behavioural Issues in Strategy Implementation

2.4 Operational Strategy

2.5 Operations Management

2.6 Formulating Operations Strategy

2.7 Let Us Sum Up

2.8 Answers for Check Your Progress

2.9 Glossary

2.10 Assignment

2.11 Activities

2.12 Case Study

2.13 Further Readings

2.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Functional Structure.
- The Behavioural Issues in Strategy Implementation.
- The Operational Strategy.

- The Operation Management.
- The Formulating Operations Strategy.

2.1 Introduction

For strategies to implement successfully, organisations should have a structure. these structures covers the processes and integrating mechanisms that are essential for ensuring the flexibility of boundaries between external parties like partners , customers and suppliers and internal activities. The following theorists have mentioned importance of implementation of strategy as follows:

- **Steiner, Miner and Gray:** “Implementation of strategies is concerned with the design and management of systems to achieve the best integration of people, structures, processes, and resources in reaching organizational purposes.
- **Glueck:** “Strategic implementation is the assignment or reassignment of corporate and SBU leaders to match the strategy. The leaders will communicate the strategy to the employees. Implementation also involves the development of functional policies about the organization structure and climate to support the strategy and help achieve organization objectives.
- **Harvey:** “Implementation involves actually executing the strategic game plan. This includes setting policies, designing the organization structure, and developing a corporate culture to enable the attainment of organizational objectives”.

2.2 Strategy Implementation: Structural Issues

Strategy implementation is a crucial issue because any strategy is as good as the effort behind it to move it forward. Successful strategy implementation requires support, discipline, motivation and hard work from all managers and employees. More importantly, it requires a suitable organization structure to translate ideas into concrete action plans. In spite of having all these supporting elements, strategy implementation, on most occasions proves to be a tricky job. Creating a ‘fit’ between a firm’s goals and its other activities proves to be a tough exercise. Multifarious reasons could be cited in support of this statement. Strategy is dependent on many variables – internal as well as external – and to compound the problem further there are countless, interrelated change factors that could

upset managerial calculations overnight. Because change factors interrelate, changing only one or two things seldom brings any significant overall organizational change. There are certainly no magic bullets to assist managers in bringing about organizational change either automatically or slowly. Given the complexities inherent in about organizational change and strategy implementation, it is easy to find why efforts at both so often fail. The Mckinsey Company, a well-known management consultancy firm in the United States, towards the end of 1970s was asked to find a solution to this knotty issue. The researchers Peters and Waterman found after examining America's best run companies that the problem in strategy lay in its implementation and structure was only one lever in the hands of management. The other levers were systems, staff, style, skills and super ordinate goals. A strategy is usually successful when the other S's in the 7-S framework fit into or supports the strategy.

- **Strategy:** A set of decisions and actions aimed at gaining a sustainable competitive advantage.
- **Structure:** The organization chart and associated information that shows who reports to whom and how tasks are both divided and integrated.
- **Systems:** The flow of activities involved in the daily operation of a business, including its core processes and its support systems.
- **Style:** How managers collectively spend their time and attention and how they use symbolic behaviour. How management acts is more important than what management says.
- **Staff:** How companies develop employees and shape basic values.
- **Shared Values:** Commonly held beliefs, mindsets and assumptions that shape how an organization behaves – its corporate culture.
- **Skills:** An organisation's dominant capabilities and competencies.

2.2.1 Activating Strategy

There is no guarantee that a well-designed strategy is likely to be approved and implemented automatically. The strategic leader must, therefore, defend the strategy from every angle, communicate how the strategy when implemented would benefit the whole organization and secure the wholehearted support of employees working at various levels. To keep things on track, he can list out priorities, programme implementation process, budgets, etc. on paper so that nothing is left to chance.

After the institutionalization of strategy in the above manner, action plans could be formulated. These are basically functional level strategies undertaken at the departmental level and usually deal with operational aspects of a strategy. The action plans, however, must try to translate the overall strategic plan in letter and spirit without any deviations. Issues like who will do what, what kind of support is required at various stages, what kind of privatisation have to be fixed while implementing active plans, how does a particular active plan contribute to the broad objectives of the strategy etc. must also be carefully looked into. Once the action plans are ready, the strategist must resolve issues relating to allocation of scarce resources over the entire organization.

2.2.2 Resource Allocation

While implementing strategies, the scarce resources of a firm (financial, physical, human, technological) need to be allocated carefully, according to a plan. In this regard, one can follow a top-down or a bottom-up approach. In a top-down approach resources are allocated through a process of segregation down to the operating levels. The Board of Directors, Managing Directors and other members of top management typically decide the requirements of each subunit and distribute resources accordingly. In the bottom-up approach, resources are distributed after large, multi-plant organizations.

Means of Resource Allocation

There are several ways of allocating resources in a systematic way, namely

- **Strategic budget:** Keeping the assumptions made before the formulation of a budget, divisional heads (SBUs) and functional managers focus their efforts on allocating funds, through an interactive exercise – taking the opinions of all those who matter most. The external influences and their likely impact and the internal capabilities of a firm are also kept in mind in this joint budgeting effort (hence, the name strategic budget).
- **Capital budget:** The primary purpose of a capital budget is to maximize the long term profitability of a firm while deploying resources. Various techniques like internal rate of return, payback period and net present value are used to find where a rupee invested would earn maximum returns.
- **Performance budget:** Here the basic purpose is to focus attention on the work to be carried out, services to be rendered rather than things to be spent for or acquired. It concentrates attention on physical aspects of achievement.

Here, there is not only a work plan but also a work plan in terms of work done. It takes a systems view of activities trying to associate the inputs of the expenditure with the output of accomplishment in terms of services, benefits etc.

- **Zero based budget:** The key element of ZBB is future-objective orientation a past objectives. Instead of taking the last year's budgets and adjusting them for finding out the future level of activity and preparation of budget therefrom. ZBB forces managers to review the current, ongoing objectives and operations. ZBB is, therefore, a type of budgets that requires managers to justify the past objectives, projects, and budget and to set priorities for the future. The essential idea budget that differentiates ZBB from traditional budgeting is that it requires managers to justify their budget request in detail from scratch, without any reference to the level of previous appropriations. It tantamount to recalculation of all organizational activities to see which should be eliminated, funded at a reduced level, funded at the current level or increased finances must be provided.

ZBB process runs into the following cardinal sequence of steps :

- **Decision package** - Each discrete department activity and programme is broken down into a decision package. Decision package summarizes the scope of work, requirements, anticipated benefits, time schedule, and expected consequences if the element is not performed, etc. Thus decision package provides a running commentary of all the activities in a particular project.
- **Ranking** - Each decision package is ranked against packages for other proposed projects or activities, and the projects that are running (operating) currently. Decision packages are ranked according to their benefits to the total organization during the budget period.
- **Resource allocation** - The above ranking leads to 'organization-wide' list of prioritized and priced out decision packages built from zero-base or ground up. Resources are then allocated to the packages according to the preferential rank in the organization. When properly executed, the zero-base budgeting provides an opportunity for the managers to carefully examine, evaluate and prioritize each organizational activity and see whether modification, continuance or termination is feasible.

2.2.3 Strategy-Structure Relationship

A suitable organization structure is essential to implement strategies and achieve stated goals. According to Classical Organisation Theorists (Fayol, Taylor, Webber), the manager generally determines the work activities to get the job done, writes job descriptions, puts people into groups and assigns them to superiors. He then fixes goals and deadlines and establishes standards of performance. Operations are then controlled through a reporting system. The whole structure takes the shape of a pyramid. Thus the term 'organisation structure' describes the framework of an organization in which individual effort is coordinated. It is nothing but a chart of relationships.

To be effective, the basic structure is governed by a set of rules and regulations, reward-punishment systems, information networks, control procedures etc. The structural components are generally designed, keeping the requirements of organizational members in mind, (where they are encouraged to take up the assigned jobs, meet the expectations of superiors, earn the rewards and keep the organization going). Structure, thus, is a means to an end and not an end in itself. It is there to facilitate the smooth translation of organizational plans, strategies and policies into concrete action. Without a proper fit between strategy and structure, there will be chaos and confusion in the organization. Various parts do not move in harmony. Delays, duplications and waste motions may occur with frustrating regularity. It may ultimately lead to improper use of facilities and failure to achieve goals. Research evidence also suggests that structure follows strategy:

Generally speaking, organizations perform more effectively when they implement strategy with the most appropriate structure, while evaluating whether an organization is properly structured and stuffed to meet the requirements of the strategy, the following questions need a careful analysis:

Checklist for Determining Appropriateness of Organisational Structure

1. Is the structure compatible with the corporate profile and the corporate strategy?
2. At the corporate level, is the structure compatible with the outputs of the firm's business units?
3. Are there too few or too many hierarchical levels at either the corporate or business unit level of analysis?
4. Does the structure promote coordination among its parts?

5. Does the structure allow for appropriate centralization or decentralization of authority?
6. Does the structure permit the appropriate grouping of activities?

It is, more or less, agreed now that changes in strategy lead to changes in organizational structure. Structure should be designed to facilitate the strategic pursuit of a firm and, therefore, follows strategy. Without a strategy or reasons for being (mission), structure is not important (David). Institutionalizing a strategy definitely requires a strategy-structure fit. Functional structure is useful when the firm begins operations at a single site. The emphasis here is on increasing volumes. As business expands, the firm begins to perform the same function in different locations. Such geographical dispersal of activity calls for inter-unit coordination. Vertical integration is the next growth strategy. Firms operate within the same industry but carry out additional functions. In the final phase, according to Alfred Chandler, firms indulge in product diversification – resulting in a large, multi-divisional structure. Current research indicates that the greater the diversity among the businesses in multi business firms, the greater is the necessary degree of decentralization and self-containment.

2.2.4 The Functional Structure

In the functional structure, activities are grouped together by common function. Each functional unit has a dissimilar set of duties and responsibilities. In a university, functional structure would mean a set of departments like marketing, management, business economics, finance, etc. Thus, similar and related occupational specialties are grouped together. Functional structure tries to incorporate the positive aspects of specialization.

Features of Functional Structure

Functional structures are characterized by the following:

Functional Pyramid

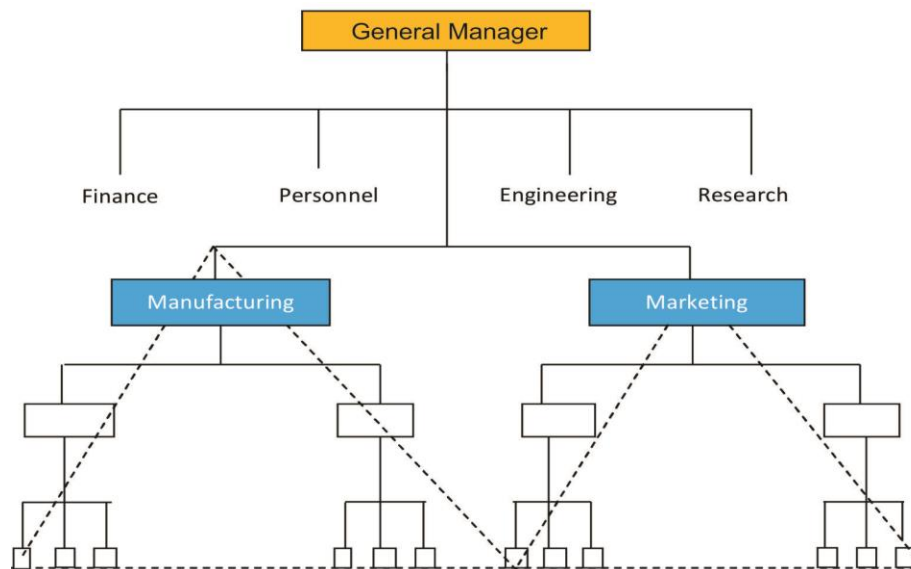


Fig 2.1 Functional Pyramid

Advantages of Functional Structure

1. **Clarity:** Functional design has the great advantage of clarity. Everybody has a 'home'. Everybody understands his own task. As a result, functional structures bring order and clarity to organizational activities.
2. **Economies of scale within function:** It provides economy of scale within functions. It reduces duplication and waste. For example, the total floor space shared by several products in functional organization leading to economy of operations.
3. **Specialization:** Each departmental manager is concerned with only one kind of work and can concentrate all his energies upon it with minimum diversion. Specialization being built into the organization brings about competitive advantage for the firm. By putting its limited resources into one specialized activity, 'even the small company can compete with the giant corporation on quantity, delivery and price'.
4. **Coordination:** Coordination within functions is easy. Centralized decision-making ensures unity of performance.
5. **In-depth skill development:** The functional structure also promotes skill development of employees. Employees are exposed to a range of functional activities within their departments allowing them to embody their outstanding skills in every activity of the company.
6. **Suitability:** The functional type of organization is best for small to medium sized organization producing one or a few products where the dominant competitive issues and goals of the organization emphasise functional

specialization, efficiency and quality. In fact, Fayol's model for functional structure was a coal-mining company where there was only one product, demanding simple, mechanical operations. The operations were more or less standardized.

Limitations of Functional Structures

The weaknesses of the functional structure, unfortunately, are legendary as the following list indicates.

Effort focus: Every functional manager considers his function the most important one and develops a narrow dimension of the organisation. He becomes so enamoured with his own specialty that he forgets the organisation's overall goals. In his anxiety to achieve departmental goals he may try to subordinate the welfare of the other functions. "The lust for aggrandizement on the part of each function is the price paid for the laudable desire of each manager to do a good job". Again, functional Specialization may lead to extremely narrow, dull and boring jobs in the organization with routine technologies. Functional structure also contributes to a short term perspective on the part of specialists.

Poor decision-making: No one except the man at the top sees the entire picture of business. Consequently, decisions are easily misunderstood and poorly executed. Questions like 'who is right?', who has scored better?' force organizational participants into a tug-of-war.

Sub-unit conflicts: As the functional organization balloons to a reasonable size, boundaries are erected between departments. The structure turns out to be a 'Berlin Wall Building'. Coordination among departments becomes a tough exercise. No one functional group is totally responsible for performance. As a result, tendencies like buck-passing, side-tracking of issues, etc., develop. Overlapping authority and divided responsibility adds to the confusion and chaos prevailing. Accountability suffers. If functional structure is employed, important projects may suffer for lack of focused coordinated attention.

2.2.5 Divisionalisation: Product and Geographic Forms

Divisionalisation is the process of dividing the large functional pyramids into smaller, flexible administrative units. It is essentially designed to foster independent and self-contained units. It creates a set of essentially autonomous 'little companies' in terms of product or geography. It is particularly adaptable to the large and complex modern organization.

Product Departmentation

Product or commodity departmentation is particularly adaptable to tremendously large, complex and multiproduct organizations. Product departmentation calls for division of organization work on product basis. The large functional units in the organization are divided into smaller units, each grouped in terms of product manufactured and sold. Product departmentation increases emphasis on product development, it helps in orderly and even development of products. Those products which need to be carefully nursed and skillfully developed will receive prompt and improved attention. Other products whose life is over may be discontinued. In response to changing conditions, products can be developed, added or dropped.

Product Division Organisation

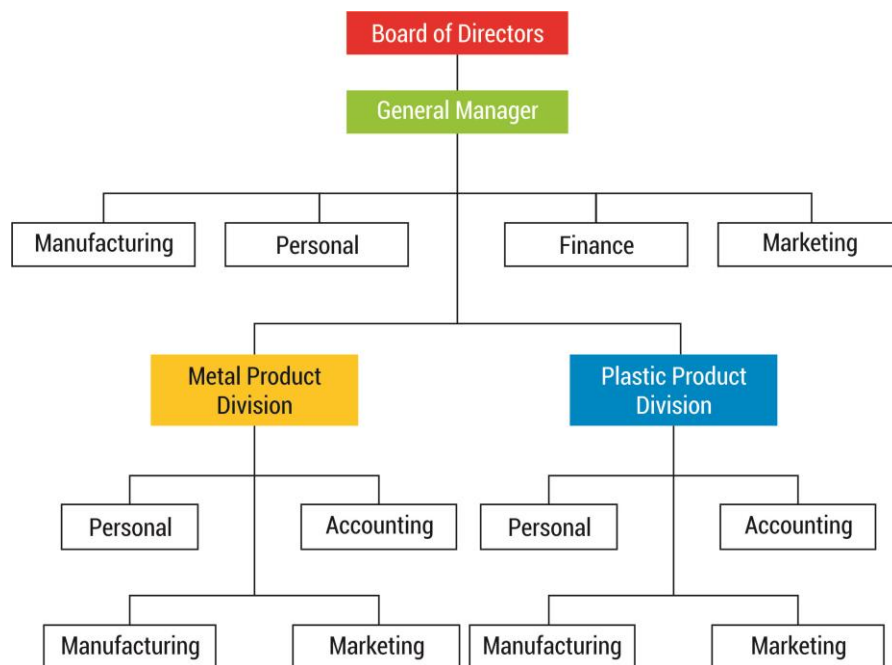


Fig 2.2 Product Division Organisation

Features of Product Structure

Product departmentation is characterized by the following:

1. Product departmentation focuses on results and performance than on means. The product structure is organized, basically, according to organizational outputs.
2. Product structures involve dismemberment of the monolithic functional organization into autonomous units. Within each of these units lies another organizational form and it's almost always of the functional type.

3. The divisional head is responsible for performance and holds complete strategic and operating decision-making authority.
4. The organization is split into product divisions, each of which is responsible for its own profit or loss.
5. In addition to providing for a central headquarters, divisionalisation helps in promoting decentralization in a fruitful way. It facilitates a wide span of control at the top leading to a flat organization structure. It frees the top management for the top management tasks.
6. It is usually adopted by a multiproduct enterprise whose basic aim is to expand and diversify its products having distinct manufacturing and marketing features.

Check your progress 1

1. According to Harvey strategic implementation involves :
 - a. setting policies
 - b. designing the organization structure
 - c. developing a corporate culture
 - d. all of the above
2. Limitations of Functional Structures are :
 - a. Effort focus
 - b. Poor decision-making
 - c. Sub-unit conflicts
 - d. all of the above
3. Advantages of Functional Structure:
 - a. Clarity
 - b. Economies of scale within function
 - c. Specialization and coordination
 - d. all of the above

4. ZBB process runs into which of the following cardinal sequence of steps
 - a. Decision package
 - b. ranking
 - c. Resource allocation
 - d. all of the above
5. There are several ways of allocating resources in a systematic way namely
 - a. Strategic budget and capital budget
 - b. performance budget ZBB
 - c. both a and b
 - d. only b

2.3 Behavioural Issues in Strategy Implementation

Successful strategy formulation does not at all guarantee successful strategy implementation. It is always more difficult to actually carry out something than to say you are going to do it. Strategy implementation requires support, discipline, motivation and hard work from all managers and employees. Managers should pay careful attention to a number of key issues while executing the strategies. Chief among them are how the organization should be structured to put its strategy into effect and how such variables as leadership, power and organizational culture should be managed to enable employees to work together while implementing the firm's strategic plans. As indicated previously, organizations in stable, predictable environments often become relatively tall, with many hierarchical levels and narrow spans of control. On the other hand, companies in dynamic rapidly changing environments usually adopt flat structures with few hierarchical levels and wide spans of control:

An organization is said to have a 'functional structure' when it forms departments along functional lines such as finance, manufacturing, marketing, personnel, R&D etc., This helps employees to carry out assigned tasks within certain set boundaries. But as the organization begins to grow, 'a product divisional structure' offers several advantages such as focus on each product, easy coordination, development of general managers, fixing responsibility for profits or losses etc. In case of multi-product and multi-plant firms a geographic divisional structure helps in responding to the unique requirements of customers in different

locations in a better way. As the firm adds more product lines, a multi-divisional structure is generally preferred, offering operational freedom and autonomy to divisional heads. Further, growth may lead an organization to adopt the 'strategic business unit structure' especially in the case of very large, diversified firms where divisions with similar missions, products markets or technologies are combined under a strategic business unit.

Generally speaking, organizations perform more effectively when they implement strategy with the most appropriate structure. While evaluating whether an organization is properly structured and staffed to meet the requirements of the strategy, the following questions need a careful analysis.

Influence Tactics

Apart from a suitable structure, commitment from leaders at the top is important to successfully implementing and achieving objectives. To this end, they must establish the firm's direction – by developing and communicating a vision of the future – and to motivate and inspire organization members to move in that direction. Leadership success is often linked to the ability of a leader to exercise the right kind of influence at the right time.

Generic Influence Tactics of leaders (Yukl and Falbe)

- **Consultation:** Seeking someone's participation in a decision to change.
- **Persuasion:** Convincing someone by relying on a detailed plan, supporting information, reasoning or logic.
- **Inspirational Appeals:** Appealing to someone's emotions, values or ideals to generate enthusiasm and confidence.
- **Integrating Tactics:** Making someone feel important or good before making a request, acting humble or friendly before making a request.
- **Coalition Tactics:** Seeking the help of others to persuade someone to agree.
- **Pressure Tactics:** Relying on intimidation, demands or threats to secure compliance or support.
- **Upward Appeals:** Obtaining formal or informal support of; higher management.
- **Exchange Tactics:** Offering an exchange of favours; reminding someone of a past favour; offering to make a personal sacrifice.

Power

Leaders often use their power to influence others and implement strategy. Formal authority that comes through the leader's position in the organization – says CEO – may not always help in influencing others. Two reasons could be stated in support of this contention.

Not everyone in today's organizations passively accepts and enthusiastically implements multi-myriad rule, orders; instructions coming from the top. Subordinates may resist orders, subtly ignore them, blatantly question them, or even quit.

The CEO cannot influence some individuals – such as customers, government officials, competing managers in rival firms, board of directors etc. – through his influence tactics (because he has not formal authority over them). The leader, therefore, needs to exercise something more than formal authority – called as power – to secure compliance and cooperation from others. Here, power may be defined as the potential ability to influence the behaviour of others or represent the resources with which a leader effects changes in employee behaviour (and thereby implements the strategic game plan).

- **Expertise:** Power resulting from a leader's special knowledge or; skill regarding the tasks carried out by followers; is referred to as expert power. When the leader is a true expert, subordinates go along with recommendations because of his or her superior knowledge. Three conditions are essential to maintain expert power. First, since expert power is based on knowledge and skill, the experts must continue to be perceived as competent; those who become obsolete lose their expert power. The second requirement is to make certain that the organization continues to need the expert's knowledge and skill. The expert power of many accountants and lawyers is created by complex laws and tax regulations. If these laws were repealed, the expertise of accountants and lawyers would suddenly become unnecessary. Finally, individuals who are exerting expert power must prevent other experts from replacing them. In short, expert power can be maintained only if there is a critical need for the skills and knowledge of the expert that cannot be conveniently obtained elsewhere.
- **Charisma:** It refers to a leader's ability to influence others through his personal magnetism, enthusiasm and strongly held convictions. Often, leaders are able to communicate these convictions and their vision for the future through a dramatic persuasive manner of speaking. Dr. Martin Luther King's famous "I have a Dream" speech galvanized a generation to support

the Civil Rights Movement in the United States. As Yukl remarked, charismatic leaders (Mahatma Gandhi, Abraham Lincoln, Nehru etc.) attempt to create an image of competence and success. They are often hailed as heroes and role models everywhere. The more those followers admire their leaders and identify with them the more likely they are to accept the leaders' values and beliefs. This acceptance helps charismatic leaders to exercise great influence over their followers' behaviours (Yukl, 1989). If they set high standards for themselves, subordinates follow their steps religiously. Such leaders, as researchers pointed out, are most likely to be effective during periods of organizational crisis or transition. Stressful situations are more likely to encourage employees to repose faith in a leader who seems to steer the ship out of trouble. If the leader's strategy works and organizational performance improves, his power base too will expand dramatically.

- **Reward Power:** Top managers can get others to implement the organization's strategies by making changes in formal reward systems. Those who carry out the strategy will receive pay raises, bonuses, promotions etc. Those who support the strategic initiatives and remain loyal to the leader will assume responsible positions and get away with plum postings. If the leader has a number of rewards under his control, which are valued and desired by subordinates strongly. He will be able to secure cooperation and compliance from subordinates easily.
- **Information Power:** A manager's access to important information and control over its distribution, often, help him influence the behaviour of subordinates. According to Mintzberg, the CEO is generally the best informed member of an organization. He is able to oversee everything from the top and he has excellent external contacts to secure as much information as possible. He may not of course, know everything, but he usually knows more than anyone else. If the CEO's information is reliable and complete, no one will be able to question his decisions which are based on a lot of information and knowledge.
- **Exchange:** The use of exchange as a power base is quite common in corporate circles. The leader helps others when they are at the receiving end. Others, in turn, will feel obliged to carry out things the leader would request later. Such reciprocal relationships flourish when the leaders step down from their ivory tower, join the mainstream and get along with others – shedding a portion of their superego, status and power. Sometimes

connections or links with people inside or outside the work environment by the manager also bring some power to him. A manager who has got many valuable, respectable and useful links possesses this type of power; a subordinate who has good public relations and rapport with officials outside the organization, or elsewhere can also have connection power. A manager or subordinate can influence others who acknowledge the connection they have.

- **Legitimate Power:** This power is the prerogative of a manager by virtue of his position in the organization. Power is inherent in the position and authority a manager has. In our society people accept the right of top managers to direct the organization. They are conditioned to accept the authority of superiors in higher positions. Moreover, managers have control over the distribution of resources and this control earns power for them over others. The quantum of legitimate power a manager exercises depends on the nature of his task, the organization and the willingness of the manager to exercise power.
- **Coercive Power:** Managers who have “reward power” also have “coercive power”. Which is generally exercised by the manager against unproductive or disturbing elements and to restore discipline in the task environment? Coercive power is associated with the ability to assign distasteful tasks, withhold promotions, harass subordinates by not rewarding performance suitably, etc. Managers threaten the employees, when exercising this kind of coercive power, with job-related punishments such as dismissal, demotion, reprimand, transfer, and discourage low performance etc. Coercive power, if used properly, can lead to strong leadership. If punishments are inflicted indiscriminately, several dysfunctional consequences will automatically follow viz., damaging leader-member relations, frustration of the punished people, irreparable damage to the organizational set up etc. The punished person may be totally frustrated so that he retaliates by aggressive and violent responses which may prove to be very costly for the organization in the end.

Managers generally exhibit coercive power with the employees in the lower rungs and use expertise or other types with professional employees. For instance, managers in governmental organizations, military etc., have more position power than managers in educational, service-motive, religious and charitable institutions. Sometimes even within the same organization, if the manager is placed in a revenue department, he commands more position power than when he is in an

advisory position or department. Further, the more the willingness a manager has to exercise power and authority or to reward or punish the more position power he will possess.

Check Your Progress 2

1. Managers who have “reward power” also have
 - a. coercive power
 - b. legitimate power
 - c. information power
 - d. none of the above
2. Expert power is based on which of the following things :
 - a. based on knowledge and skill
 - b. experts must continue to be perceived as competent
 - c. both a and b
 - d. only b
3. Who is generally the best informed member of an organization
 - a. CEO
 - b. Manager
 - c. Owner
 - d. worker

2.4 Operational Strategy

Introduction

Once corporate level and business unit strategies are developed, management must turn its attention to formulating strategies for each business unit's functional areas. A functional strategy is the short-term game plan for an important functional strategy within a firm. Such strategies clarify the grand strategy by providing more specific details about how key functional areas such as production/operations, finance, marketing, personnel are to be managed in the near future. The manager, however, should not view the strategy of one functional

area in isolation as all these areas are interrelated. Each functional area must smoothly relate its activities with the activities of other functional departments to avoid friction, duplication of effort and effectively support strategies that have been formulated. Even the most creative strategies have no value if they cannot be translated into action. Functional strategies have important uses in strategy implementation.

Purposes of Functional Strategies

Functional strategies are required to ensure that:

- The strategic decisions are smoothly implemented by all departments of an organisation
- The various parts are uniformly regulated and bound by a set of policies.
- The functional heads decide things quickly, using their discretion within the framework laid down by functional plans and policies.
- The work at various levels is coordinated smoothly without any friction.
- (W.F. Glueck and L.R. Jauch, Business policy and Strategic Management, McGraw Hill, NY.2000)

The time span of a functional strategy, when compared to a business level strategy, is short. It focuses attention on what needs to be done now to make the grand strategy work. It is more specific and action oriented because it clearly outlines what should be done in each functional area so as to achieve the annual objectives. Specificity in functional strategies helps strategy implementation in several ways (Pearce and Robinson). First, it adds substance, completeness and meaning to what a specific department or division must do. Second, it helps top management in finding how functional heads are actually accomplishing the grand strategy. Third, specific functional strategies facilitate coordination between operating units within the company by clarifying areas of interdependence and potential conflict. Specific functional strategies, if developed through the active cooperation and participation of various functional heads, increase commitment of people at various levels. They begin to develop a feeling that they too have a stake in implementing the ideas that they themselves developed.

Check Your Progress 3

1. A functional strategy is the
 - a. short-term game plan for an important functional strategy within a firm
 - b. clarify the grand strategy by providing more specific details about how finance , marketing should be managed
 - c. both a and b
 - d. only b
2. Functional strategies are required to ensure that:
 - a. The strategic decision are smoothly implemented by all departments of an organisation
 - b. The various parts are uniformly regulated and bound by a set of policies.
 - c. The work at various levels is coordinated smoothly without any friction
 - d. all of the above

2.5 Operations Management

Operations management is the systematic direction, co troll and evaluation of the entire range of process that transforms inputs into finished goods or services. Inputs here include human resources, capital, materials, land, energy and information. These inputs are converted into outputs through the transformation process. Examples are turning salt water into fresh water through desalinization; filing cavities using dental skills and materials such as porcelain. Outputs are the goods (Maruti cars), services (Maruti dealerships) and waste products (auto emissions) created through the process of transformation. At this stage it is necessary to bring out the differences in the production of goods and the provision of services.

Differences between Manufacturing and Service Organizations

Manufacturing Organizations Produce Goods	Service Organizations Offer Services
• Produce physical goods • Output can be inventoried	• Produce non-physical outputs

• Low customer contact • Standardized output • Quality measured directly • Production process removed from customer • Capital intensive • Long response time	• time Output cannot be inventoried • High customer contact • Customized output • Quality perceived & difficult to measure • Consumer participates in production process • Labour intensive • Short response time
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Manufacturing organizations transform inputs into identifiable, tangible goods such as cars, Cycles, soft drinks etc. The tangible goods they produce can be stored (To some extent) and the ultimate customer need not be present while the transformation process is taking place. Thus, production can take place in a centralized location and the products can be shipped to customers. Inventory can also be adjusted in tune with sales projection. The producers, thus, can keep a check on their operations and organize activities to maximize productivity. In contrast, service organizations transform inputs into intangible outcomes; such as health care, education, personal services etc. Such outcomes are produced and consumed more or less simultaneously, cannot be stored and involve customer participation. Service organizations have to offer services in places where the customers are concentrated. As a result, they cannot use idle capacity to produce stored inventory. Compared with manufacturing organizations, service providers have somewhat less control over when and exactly how their operations are undertaken, since these depend on customer volume and preferences which are difficult to predict in advance. Despite these differences, both manufacturing and service firms face similar operational problems. Each kind of organization needs to take care of scheduling. Both must get materials and supplies and deliver goods and services of good quality. Because many operational problems are similar, there is hardly any difference in the way the operations strategies are formulated and implemented in both manufacturing and service firms.

Check your progress 4

1. Which is not a characteristics of manufacturing organization producing goods
 - a. Produce physical goods
 - b. High customer contact
 - c. Output can be inventoried
 - d. Low customer contact
2. Which is not a characteristics of Service Organizations Offering Services
 - e. Produce non-physical outputs
 - f. Standardized output
 - g. time Output cannot be inventoried
 - h. High customer contact

2.6 Formulating Operations Strategy

The operations function plays a very important role in implementing strategy. It establishes the level of quality as a product is manufactured or as a service is offered. For example, the decision whether to stress high quality regardless of cost, lowest possible cost regardless of quality or some combination of the two has numerous important implications. A highest possible quality strategy dictates state of the art technology and strict adherence to design and material requirements. A combination strategy may require lower grade technology and less concern about product design and materials specifications. If the firm decides to upgrade the quality of its products but lacks production capabilities and does not have the resources to replace its technology, it becomes difficult to reach the new standards. Therefore, just as strategy affects operations management, so too does operations management affect strategy. Operations decisions must always be consistent with corporate strategy so that the full potential of operations, resources can be harnessed in pursuing the company's goals.

Operations strategy is the recognition of the important role of operations in organizational success and the involvement of operations managers in the organizations' strategic planning. According to Wheel Wright and Hayes there are

four stages in the evolution of operations strategy. As stage 1, business strategy is set without taking the capability of operations into account. Operations management is regarded as an essentially neutral function and is viewed as incapable of positively impacting the organizations competitive success the primary focus, then, is on labour costs and operational efficiency – trying to minimise any negative impact that internal operations may have on the organization. At stage 2, the operations department sets goals according to industry practice. The operations attempt to be current with regard to operations management techniques and views capital investment in plant and equipment, quality control and inventory management as ways to be competitive. At stage – 3, operations strategy is in line with company strategy and the operations department will find new ways to enhance competitiveness. Operations managers are involved in implementing and supporting strategy but not in formulating it. At stage 4, operations managers adopt new technologies on their own with a view to deliver goods and services of highest quality. Here operations strategy is regarded as a genuine competitive weapon. Managers try to anticipate potential technological advances that could impact operations and to gain the necessary internal expertise well before the implications are obvious. At this stage organizations try to use innovation as a means of making strategic jumps ahead of the competition.

Product-Service Mix (What to Produce)

Initially every firm should decide about the product-service mix (how many and what kinds to offer), keeping the following objectives in mind.

- **Productivity:** It is the degree to which a product or service can actually be manufactured for the customer within the firm's operational capacity.
- **Cost efficiency:** It is the sum total of all materials, labour and overhead expenses associated with a product or service. Striving for simplicity and few parts keeps product and service designs within reasonable limits. A company that stresses cost efficiency will keep its operating cost low relative to those other, similar companies.
- **Quality:** It is the excellence of the product or service – the serviceability and value that customers gain by purchasing the products. A company that stresses quality will consistently try to provide a level of quality that is significantly superior to that of its competitors, even if it has to pay something extra to do so.

- **Reliability:** It is the degree to which the customer can count on the product or service to fulfil its intended function. The product should work as designed for a reasonable length of time
- **Flexibility:** It is the degree to which a company can respond to changes in product design, product mix or product volume.

In actual practice, a company cannot simultaneously have a product that is lowest in cost, highest in quality and instantly available in every corner of the country. Depending on factors such as operational capabilities, availability of resources and technical skills, each company must earmark its niche areas and design products as to maximise return on investment.

Currently, a growing number of companies are using design for manufacturability and assembly (DFMA) to avoid problems. The focus of DFMA is simplicity- making the product easy and inexpensive to manufacture. DFMA often demands restructuring operations, creating teams of experienced designers, manufacturers and assemblers to work together.

Capacity Planning (How Many To Produce)

Capacity planning is a process of forecasting demand and then deciding what resources will be required to meet that demand. Demand forecasting is the process of estimating the future demand that can be expected for the organisation's various offerings under an array of different market conditions. According to McClain and Thomas, capacity planning involves the following sequential steps.

- **Predict future demands and competitive reactions:** The Company must estimate customer reaction to the products offered by it and also take care of potential countermoves by competitors.
- **Translate above estimates into capacity needs:** Based on forecasts, management must decide the amount of each offering that can be manufactured keeping input limitations such as plant, equipment, human resources etc. in mind.
- **Create alternate capacity plans:** Depending on what the market might absorb and what the organization can produce, management should come out with alternate capacity plans for various products/services that are offered to customers.
- **Evaluate each alternative:** As the firm adds to the variety of its offerings (or volume), costs tend to go up. Such additional costs should be carefully

evaluated in terms of expected payoffs identifying the opportunities and threats associated with each choice.

- **Select and execute a particular capacity plan:** The capacity plan that best serves corporate objectives and strategies should be picked up and implemented.

Technology and Facilities Planning (How to Produce)

Process selection and facilities planning (Which determines how the product or service will be produced) involves several important decisions (Stoner).

- **Major technological choice:** The operations manager, at this stage, should pay attention to questions such as; - does technology exist to produce the products? Are there competing technologies among which to choose? Should the company import technology through collaborations and joint ventures or develop it indigenously? Etc.
- **Process planning:** Here the operations manager is concerned with evaluating transformation processes for costs and for consistency with desired product and capacity plans. Basically there are two options available: repetitive processing and batch processing. Repetitive processing moves the flow of materials through a continuous transformational process. Batch processing calls for work to be done on materials in batches or separate orders. Once the basic transformational process is identified, the decision then shifts to the physical arrangements to be made within the process.
- **Facilities Location Planning:** This deals with the selection of the preferred location for a production or service facility. Every firm has its own criteria for choosing a particular site for locating a new facility. In addition to cost considerations associated with purchasing and building, a new site, many other factors must be evaluated including the supply of skilled labour, access to raw materials and supplies, access to transportation and communications systems, governmental incentives etc.
- **Facility Layout Planning:** It establishes the manner in which workspace is to be arranged for each operation. For virtually any type of operation, manpower must determine the most effective way to layout the physical facilities. Among the traditional approaches are product layouts, process layouts and fixed position layouts.

- **A Product Layout:** is one which the components are arranged according to the progressive steps by which the product is made. Conceptually, the flow is an unbroken line from raw material input to finished goods. This type of layout is exemplified in automobile assembly, food processing and furniture manufacture.
- **A Process Layout :** is one in which the components are grouped according to the general function they perform, without regard to any particular product, Custom job shops, department stores and hospitals are generally arranged in this manner.
- **A Fixed-position Layout:** is one in which the product by virtue of its bulk and weight, remains at one location. The equipment required for product manufacture are moved to the product rather than vice versa. Sound stages on a movie set, aircraft assembly shops and shipyards typify this mode of layout.
- **Purchasing Management:** Purchasing management is concerned with buying the materials and resources needed to create products and services. The purchasing manager often has to perform a tight-rope walk while taking purchasing decisions. Buying too much lockup capital and increases storage costs. Buying too little might lead to shortages and high ordering costs. While buying materials and supplied, the purchasing manager must also make sure that the quality of what is purchased meets the firm's requirements, that the supplier is reliable and that the financial terms are negotiated.
- **Inventory Management:** It deals with the proper management of the organisation's inventory comprising of raw materials, work-in-process, financial goods and in-transit goods. Raw materials inventory includes the basic inputs to the organization's production process. Work-in-process inventory includes the material moving through the stages of the production process that are not completed products. Finished goods inventory represents the completed but unsold goods. In-transit inventories are controlled by the transportation reasons. Money not locked up in inventory can be used in other productive ventures. In high tech firms, products lose value quickly as they are replaced by more innovative or lower cost models. Hence keeping inventory low becomes a critical factor for achieving success there. For competitive pricing inventories have to be managed efficiently.

- **Quality Management:** Quality is the totality of features and characteristics of a product or service that bear on its ability to satisfy stated or implied needs. According to D.A. Gravin, quality has several different attributes.

Check Your Progress 5

1. What does a highest possible quality strategy dictates?
 - a. state of the art technology
 - b. strict adherence to design and material requirements
 - c. both a and b
 - d. only b
2. Operations strategy is the recognition of the important role of operations in
 - a. organizational success
 - b. the involvement of operations managers in the organizations' strategic planning
 - c. both a and b
 - d. only b
3. In product-service mix every firm should decide about keeping the following objectives in mind
 - a. Productivity
 - b. Cost efficiency
 - c. Quality
 - d. all of the above

2.7 Let Us Sum Up

In this unit we studied about the strategy implementation and functional strategies. Different definitions of strategy implementation are given. The importance of it has been mentioned with the help of 7-S framework of strategy, structure, systems, style, staff, shared value and skills.

How to activate strategy how to do resource allocation with its means like strategic budget , capital budget , ZBB, performance budget, decision package , ranking is explained in detail.

The relationship between strategy and structure is also mentioned. The functional structure along with its advantages and disadvantages are also given. divisionalisation with respect to product and geographic forms is also stated. To tackle behavioural issues in strategy implementation use of certain influence tactics is suggested.

The power and its types are also given. Operational strategy and operations management is also explained. The steps to formulate the operational strategy and recognising the role of operations in organisational success is stressed. Product service mix and capacity planning are also given. Use of technology for planning is also suggested.

2.8 Answers for Check Your Progress

Check your progress 1

Answers: (1-d), (2-d), (3-d), (4-d), (5-c)

Check your progress 2

Answers: (1-a), (2-c), (3-a)

Check your progress 3

Answers: (1-c), (2-d)

Check your progress 4

Answers: (1-b), (2-b)

Check your progress 5

Answers: (1-c), (2-c), (3-d)

2.9 Glossary

1. **Charisma** - It refers to a leader's ability to influence others through his personal magnetism, enthusiasm and strongly held convictions.
2. **Consultation** - Seeking someone's participation in a decision to change.
3. **Inspirational Appeals** - Appealing to someone's emotions, values or ideals to generate enthusiasm and confidence.
4. **Integrating Tactics** - Making someone feel important or good before making a request, acting humble or friendly before making a request.
5. **Persuasion** - Convincing someone by relying on a detailed plan, supporting information, reasoning or logic.
6. **Service** - The method used to provide services to a client delivery.

2.10 Assignment

1. Is operations management most closely linked to corporate level, or functional strategies? Why and in what way?
2. What is the role of operation management in modern organizational strategy?

2.11 Activities

1. Write short notes on the following:-
 - (a) Process Planning
 - (b) Product Lay out'
 - (c) Capacity Planning

2.12 Case Study

Swetha is the marketing department manager. She has noticed that her staffs seem to be pulling in separate directions and some members have trouble cooperating with others. She feels team building will help her department function in a more positive and productive way. Swetha interviews several OD consultants to find the change agent she thinks will be right for what she needs. Swetha decides on Karthik, an organization development consultant that best answered the question, "How will this change agent build a group into a team?" Karthik meets with Swetha to discuss the problems. Karthik and Swetha define the problem as Swetha sees it. They discuss specific questions to ask and data that will be collected from interviews with team members. Karthik interviews Swetha's staff and immediately a number of issues surfaces that appear counterproductive to effective functioning. Lack of communication is identified as the most serious problem, and many of the other major issues are the direct result of the communication breakdown. Karthik reports the general findings back to Swetha without mentioning any names. After discussing the problem and possible ways to solve it, they decided on the two-day team building retreat. The goal of the retreat is to get the group to work through the issues that are causing the biggest problems. Before the retreat, Karthik puts together an agenda and shares it with Swetha. Upon approval, the agenda is given to all group members. Karthik purposely leaves the agenda quite open so that the group will get more involved in the problem-solving process and gain greater ownership in the process of working to achieve positive and productive change.

Q1. Do you think communication is the problem in this case?

Q2. Do the SWOT analysis of the case.

2.13 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
3. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.

UNIT 3: FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE

Unit Structure

3.0 Learning Objectives

3.1 Introduction

3.2 Financial Strategy

3.2.1 Procurement of Funds

3.2.2 Utilization of Funds

3.2.3 Financial Ratio Analysis

3.2.4 Financial Strategy and Competitive Advantage

3.3 Marketing Strategy

3.4 Strategic Analysis and Choice

3.4.1 Introduction

3.4.2 Strategic Choice

3.4.3 BCG Portfolio Matrix

3.4.4 GE Multifactor Portfolio Matrix

3.4.5 Product-Market Evolution Matrix

3.4.6 Directional Policy Matrix (DPM)

3.4.7 Profit Impact of Market Strategy

3.5 Let Us Sum Up

3.6 Answers for Check Your Progress

3.7 Glossary

3.8 Assignment

3.9 Activities

3.10 Case Study

3.11 Further Readings

3.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Financial Strategy.
- The Procurement and Utilization of Funds.
- The Financial Ratio Analysis and Financial Strategy.
- The Marketing Strategy.
- Strategic Analysis and Choice.
- BCG Portfolio Matrix.
- GE Multifactor Portfolio Matrix.
- Product-Market Evolution Matrix.
- Directional Policy Matrix (DPM).

3.1 Introduction

Financial policies and strategies of an organization are concerned with the raising and utilization of funds. The basic purpose is to ensure adequate and regular supply of capital to the organization, keeping the present and future requirements of business in mind. Capital, of course, should not only be adequate but should also be judiciously employed. As Hoagland has rightly stated, “Wasteful use of capital is as bad as inadequate capital”. Hence, while estimating fixed and working capital requirements, the types of securities to be issued, the sources to be exploited, financial managers should bear in view the proper use of funds. While finalizing, financial plans, all contingencies should be taken into account. The business, in any case, should not suffer due to excess or shortage of funds. Also, the cost of raising capital should be minimum. There should always be a fine balance between fixed cost bearing securities (debentures and preference shares) and variable cost bearing securities i.e. equity shares.

3.2 Financial Strategy

3.2.1 Procurement of Funds

Finance is required in order to maintain an adequate cash flow to keep the business operating and also for development. For the latter, the right amount is required at the right time and at the right cost. So the first question here is about deciding the capital structure of a company, which refers to the kind and proportion of different securities for raising long-term finance. It involves decisions regarding the form of capitalization (the sum total of all long-term securities issued by a company – equity as well as debt – and the surplus not meant for distribution). It deals with some ticklish questions such as what is the total capital required? What should be the mix of equity, i.e., owner's capital and debt in the total capital? Generally speaking, there should be a healthy mix of equity and debt in a company's capital structure in order to maximize returns to its owners. At the same time, it should neither be over-capitalized nor under-capitalized. A company is said to be over-capitalised when its earnings are not large enough to yield a fair return on the amount of stocks and bonds that have been issued or when the amount of securities outstanding exceeds the current value of the assets. A company may be under-capitalized when the rate of profit it is making is exceptionally high in relation to the return enjoyed by similarly situated companies in the same industry or when it has too little capital with which to conduct its business. If a business is under-capitalized, it may remain still-born. On the other hand, if a business is over-capitalized it runs the risk of being crushed under its own weight.

3.2.2 Utilization of Funds

The amounts raised through various sources, at the right cost, at the right time, should be put to good use. A proper balance should be maintained while investing in fixed assets and current assets. Fixed assets involve investment of funds (in land and buildings, plant and machinery, furniture and fittings, office equipment etc.) over a fairly long period of time. Such investment costs money, either in the form of interest on borrowed funds or imputed cost on own funds (depreciation, operating expenses etc.). To the extent possible, investments in fixed assets should be minimized in tune with business requirements. One should also carefully evaluate whether fixed assets should be owned or leased. Leasing would be advantageous when the assets in question are sparingly used (balancing material handling and drilling equipment, diesel generating sets) and the assets are

subjected to rapid technological obsolescence (computing, electronic, telecom hardware). On the negative side, lease rentals are generally high and the leased assets are not available for use whenever the company requires them (especially during a boom phase). When fixed assets are bought, on the other hand, there is an assurance of their uninterrupted availability for use by the company. When assets are purchased, one should look at crucial issues such as wear and tear, obsolescence rate, ability for company to earmark sums for major capital expenditure (without impacting profitability during a period), the depreciation policy that provides for timely replacement of worn out assets etc. Also proper schedules for preventive maintenance and breakdown maintenance should be drawn up in advance. All spares should be stocked in sufficient quantities. Looking after fixed capital requirements is only part of the story. The other important issue is that of managing working capital requirement.

Working capital may be expressed in two ways. Gross working capital refers to working capital as the total of current assets whereas the net working capital refers to working capital as excess of current assets over current liabilities. The networking capital position of a company is an important issue in that it will decide the firms profitability and liquidity. Liquidity here means the ability to settle bills on time which is possible only when you have sufficient cash. The current assets should be deployed properly to improve overall profitability which is possible only when you do not keep your current assets like cash idle. While striking a fine balance between these apparently conflicting objectives, the finance manager has to take a number of factors into account such as the business (steel firms need more working capital, seasonal business and firms requiring large doses of imported raw materials also need more working capital), the length of production cycle, proper physical layout, terms and conditions set by suppliers by material and buyers of products etc. Every company should, in final analysis, try to reduce the operating cycle to the minimum in order to manage funds efficiently and effectively. The operating cycle refers to the time taken for the conversion of cash into raw material, raw material, into work in progress, work-in-process in to finished goods, finished goods into receivables and receivables into cash.

To finance short term working capital needs, companies tap many sources i.e. trade credit, discounting of bills, letters of credit, bank finance, public deposits etc. Trade credit is the credit extended by the suppliers of goods and services; the suppliers usually extend credit based on the financial strength of the buyer and the relations between them. Current assets are financed, to a large extent, through bank finance. Banks offers loans and overdraft facilities depending on requirements. Under the cash credit facility, borrowers can draw up to a specified

limit based on the security margin. At times, the bills raised on the buyers of a company's goods are discounted by banks. Before discounting the bill, the bank satisfies itself regarding the creditworthiness of the drawer i.e. seller of the goods and genuineness of the bill. Bankers also offer letters of credit in favour of suppliers of raw materials. These letters of credit help in the purchase of raw material on a credit basis and are usually discounted by the suppliers with their respective bankers. Banks also help reputed, creditworthy companies raise short-term funds through commercial paper (CP). Commercial papers are short-term promissory notes with fixed maturity period. CP are normally issued at a discount and are in large denominations (Rs.5 lakhs and above) with maturity period varying between 3 to 6 months. Companies, in addition to the above, may also raise money from the general public in the form of public deposits on the strength of its own goodwill and market standing. The short-term sources of finance – listed above – are generally employed to finance current assets.

Every finance manager must resolve there important issues – cash, inventory and receivables – in order to have an effective level of working capital. Striking a fine balance between what is required to meet payment schedules and how much is needed to exploit opportunities or to meet contingencies is a ticklish problem everywhere. Cash budgets are devised to solve this problem and are prepared taking into effect various factors that have a bearing on cash flows. Any funds in excess of budgetary needs are deployed in the market, especially in short-term securities such as treasury bills, certificates of deposit, commercial paper, inter-corporate deposits etc. In order to achieve optimal use of operating funds, the finance manager should also keep an eye on inventory movement. For any firm, inventory should be turned over as quickly as possible.

3.2.3 Financial Ratio Analysis

Another useful way of analysing a firm from a financial standpoint is to carry out a financial ratio analysis. Ratio analysis involves a study of ratios between various items or groups of items in financial statements. Ratios can be broadly classified into the following categories:

- **Liquidity Ratios:** Liquidity ratios indicate the ability of a firm to meet its eminent and short-term obligations. The finance manager should strike a happy balance between liquidity (greater liquidity means blockage of funds which could be deployed elsewhere profitably) and profitability (use up everything to generate greater returns). The two most frequently used ratios for investigating liquidity are the current ratio and the acid test ratio or quick

ratio. The current ratio is found by dividing current assets by current liabilities and is a measure of the overall ability of a firm to meet its current obligations.

- **Leverage Ratios:** These are capital structure ratios reflecting the long-term solvency of the firm and are calculated for the benefit of long-term creditors. They indicate the ability of the firm to repay the principal amount when it becomes due and to make regular payments of interest. The most important ratio in this category is the debt – equity ratio. This is the ratio of debt to equity. Indian financial institutions generally permit a debt equity ratio of 2:1. A very high debt – equity ratio is not healthy because it entails correspondingly heavy interest payment and loan repayment obligations.
- **Activity Ratio:** Activity ratio finds out how well the organization handles its assets. For strategic management purposes of the most important activity ratios measure inventory turnover and total asset utilization. Inventory turnover is calculated by dividing cost of goods sold by inventory. If the firm is not turning over its inventory as fast as it did in the past, or as other firms in the industry, it may have a problem. It is likely that too much money is locked up in unproductive or obsolete inventory or the firm may be failing to sell its products as well as it did in the past. A second useful activity ratio is total asset utilization. This is calculated by dividing sales by total assets. It shows how usefully the firm's assets are deployed in order to generate sales. If this ratio is way behind the industry average, management may not be using its assets effectively.
- **Profitability Ratios:** There are two important ratios, namely profit margin (gross or net) on sales and return on investment. The gross profit margin is calculated by dividing net profit by sales. A high gross profit margin and net profit margin is a measure of increased profitability. Return on investment is calculated by dividing earnings after taxes by total assets (also called return on assets ratio). This ratio gives an indication of how productively the organisation has acquired, used and managed assets. There is equity – which are closely examined by the investing public. The return on capital employed is calculated by dividing the net profit by total capital employed. The return on equity is calculated by dividing net profit by net worth (shareholders equity, reserves and surplus).

3.2.4 Financial Strategy and Competitive Advantage

Financial strategy aims at providing the firm with the appropriate financial structure and help to meet its overall objectives. It tries to explore various strategic alternatives such as acquisition or investment in new products or new plants and pinpoint the most lucrative ones. Finally, it provides a distinct competitive advantage through cheaper funding and a flexible ability to raise capital (Clarke). As indicated previously, investments should yield, more than the cost of capital used to fund them. The profits earned should be greater than the money required to finance a loan or increased equity funding. Choices between equity dilution and loan funding should be made carefully. Loan funding requires regular and fixed interest payments whereas equity offers more flexibility. At the same time, equity is quite expensive in that it is not easy to service a large equity. When earnings are not consistent, loan funding becomes a risky proposition. To strike a balance between the two, companies look for leasing opportunities actively. Under this arrangement, assets are obtained on lease for an agreed annual charge for a specified period and the funds that would have remained on lease for an agreed annual charge for a specified period and the funds that would have remained locked up are released for more profitable investments elsewhere. The company, additionally, obtains tax concessions.

Check your progress 1

1. The basic purpose financial policies and strategies of an organization are concerned with
 - a. the raising and utilization of funds
 - b. to ensure adequate and regular supply of capital to the organization
 - c. both a and b
 - d. only b
2. Working capital may be expressed in which of the following ways
 - a. gross working capital
 - b. net working capital
 - c. both a and b
 - d. only b

3. Financial Ratio Analysis can be broadly classified into the following categories:
- a. Liquidity Ratios
 - b. Leverage Ratios
 - c. Activity Ratio
 - d. all of the above

3.3 Marketing Strategy

Marketing is the business function that identifies customer's needs and wants, determines the target markets which the organization can serve best, and designs appropriate products, services and programmes to serve these markets. Marketing requires everyone in the organization to 'think customer' and to do all they can to help create and deliver superior customer value and satisfaction. Target consumers are at the centre of all marketing efforts. The organization identifies the total market, divides it into smaller segments, picks up the most promising ones and focuses on serving and satisfying these segments. A suitable marketing mix is designed to differentiate its marketing offer and position this offer in select target segments. A marketing mix is an overall marketing offer to appeal to the target market. It consists of decisions in four key areas: product, price, promotion and place (four p's of marketing). Marketing strategy, thus, is all about selecting a target market and developing a marketing mix to satisfy market's needs.

Marketing strategy, over the years, has passed through three stages. Mass marketing is a way to mass produce and mass distribute one product and try to attract all kinds of buyers. For example, Henry Ford offered the model T Ford to all buyers. They could have; the car 'in any colour as long as it is black'. Segment marketing recognizes that buyers differ in their needs, perceptions and buying behaviours. So the firm here tries to isolate board segments that make up a market and adapts its offers to more closely meet the needs of one or more segments. Firms also pursue niche marketing to cater to the specific needs of a sub-group within each segment. A niche is a more narrowly defined group having a distinctive set of traits – seeking certain special benefits and willing to pay a premium price. Target marketing is the decision to distinguish the different groups that comprise a market and to develop corresponding products and marketing mixes for each target market. Target marketing is increasingly taking the shape of

micro-marketing now days, where marketing efforts are tailored to meet the specific requirements of customer groups on a local basis. Retailers, such as Sears and Wal-Mart routinely customize each store's merchandise and promotions to match their specific clientele. The ultimate form of target marketing is customized marketing where the product and marketing efforts are directed to meet the requirements of a distinct consumer or buying organization. Target marketing is quite useful in spotting marketing opportunities and developing winning products. The sellers can develop a right marketing mix for each target market. They can adjust their prices, distribution channels and advertising to reach the target market. Target marketing consists of three major steps:

Market Segmentation

Marketers have to divide the market into distinct groups of buyers on the basis of needs, characteristics or behaviour, who might require separate product offerings. This is popularly known as market segmentation. The logic of market segmentation is quite simple. It is based on the idea that a single product item does not usually appeal to all consumers. Market segmentation helps a firm to distinguish one customer group from another within a given market and focus attention on the segment which could be exploited profitably. In the passenger car market, for example, customers who choose the biggest, most comfortable car regardless of price make up one market segment (luxury car segment). Another segment would be customers who are concerned about price and operating economy (popular, small car segment). Yet another segment could be concerned about reasonable comforts at an affordable price (mid-size segment). In the present day competitive scenario, there is no use adopting one marketing mix strategy for all the segments (remember what happened to Ambassador and Premier Padmini in India?).

Product Strategies:

A product is anything that can be offered to a market for attention, acquisition, use or consumption that might satisfy a want or need. A firm has to look into several important issues while deciding an appropriate product policy such as what products to make, where to offer these products, to which segment in the market, what type of brand policy, etc. Let's examine these in greater detail.

- **Product line decisions:** Most firms produce line rather than a single product. A product line is a group of products that are related in function, customer-purchase needs, or distribution channels. For example, Nike produces several lines of athletic shoes. Several tough issues need to be resolved by the firm here – whether to stretch the product line to fill a gap

that might otherwise be filed by a competitor, whether to add more items within the present range of the line, etc.

- **Product mix decisions:** The product mix consists of all the different product lines that a firm offers. Decisions here usually deal with four aspects: width, length, depth and consistency. The width of a product mix is based on the number of different product lines which its product lines (like ten laundry detergents, eight shampoos, etc.) Product line depth refers to the number of versions offered of each product in the line (like toothpaste in three sizes and two formulations – paste and gel). The consistency of a product mix is based on the relationship among product lines in terms of their sharing a common end use, distribution outlets, consumer groups and price range.
- **New product development decisions:** Rapid changes in consumer tasks, technology and competitions compel firms to develop a steady stream of new products and services. New products for our discussion here will include original products, improved products, modified products and new brands that the firm develops through its own R&D efforts. New products are important because they foster differential advantages, sustain sales growth, generate large profits and enable a firm to diversify. New product planning usually is a seven-step process. During idea generation, new product opportunities are sought. Unattractive ideas are weeded out in the screening stage. At concept-testing, the customer reacts to a proposed idea. Business analysis requires a detailed examination of demand, cost, competition, investment and profits. Product development converts an idea into a physical form and outlines the marketing strategy.

Once a new product is commercialized, the firm tries to seek consumer acceptance with a view to increase sales as rapidly as possible. However, the growth in sales for a new product depends, primarily, on two factors: (a) the adoption process which describes how a single consumer learns about and purchases a product and (b) the diffusion process which describes mature over time, the goal of a firm turn from growth to maintenance. There are several factors to consider and alternative strategies from which to choose, while planning to sustain mature products.

Check your progress 2

1. Marketers have to divide the market into distinct groups of buyers on the basis of
 - a. needs
 - b. characteristics or behaviour
 - c. who might require separate product offerings
 - d. all of the above
2. Product Strategies are examines as per
 - a. Product line decisions
 - b. Product mix decisions
 - c. New product development decisions
 - d. all of the above

3.4 Strategic Analysis and Choice

3.4.1 Introduction

Strategy Analysis and Choice (SAC) is to determine alternative courses of action that could best enable the firm to achieve its mission and objectives. The firm's present strategies, objectives and mission coupled with information gathered through external and internal analysis provide a basis for generating and evaluating feasible alternative strategies. SAC tries to find out the answers to three basic questions:

- How effective has the existing strategy been?
- How effective will that strategy be in the future?
- What will be the effectiveness of selected alternative strategies (or changes in the existing strategy carried out using certain tools) in the future?

SAC largely involves making subjective decisions based on objective information. It introduces important concepts that help strategists generate feasible alternatives, evaluate those alternatives and pick up a specific course of action.

The analytical tools employed in SAC such as BCG Matrix, DPM, SPACE can significantly enhance the quality of strategic decisions. However, these should be used to pick up appropriate strategies after a careful examination of behavioural, cultural and political factors influencing strategy generation and selection.

3.4.2 Strategic Choice

Strategies collect and evaluate information to assess strengths and weaknesses of the internal environment and opportunities and threats of the external environment. Such an assessment presents a list of possible strategic alternatives. From among those alternatives, choices are made. Strategic choice addresses the question “where shall we go”. It determines the characteristics and form of an organisation’s strategic direction. According to Glueck and Jauch, strategic choice is “the decision to select among the grand strategies considered the strategy which will best meet the enterprise’s objectives”. It involves, basically, four steps: a) focusing on a few alternatives (b) determining the selection factors (c) evaluating alternatives and (d) making the strategic choice.

Alternatives

It is virtually impossible for any strategist to consider all the alternatives due to time and cost constraints. Considering too many options would make the process complex, unwieldy and frustrating. Therefore, the choice has to be narrowed down to a manageable number of feasible alternatives. Deciding such a magical number is particularly a difficult job because the decision maker will always have a lingering doubt whether important things have been left out or not. To resolve this dilemma, certain useful concepts have been advanced by theorists. Let’s examine these in greater detail:

GAP Analysis: It focuses management’s attention on the difference between what was intended and what was achieved. If a firm is not able to achieve its stated objectives through an existing strategy, it must try to bridge the gap through an alternative course of action.

Gap Analysis

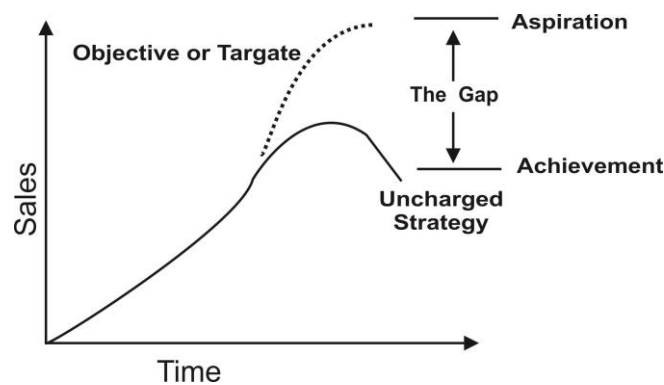


Fig 3.1 Gap Analysis

GAP analysis compels managers to measure their performance and to audit their gap closing capabilities (Karni) through soul-searching questions such as : what are the current objectives and what are our future aspirations in terms of profit, growth, market share etc? Are our results adequate? Are we working hard enough? Are we over reaching? Should our strategy or objectives be changed? As figure indicates, gap analysis compares achievement with aspiration. In this example, the future sales of the firm, if it pursues its current strategy unchanged, (the bold line), appear likely to fall, although management is keen on very substantial growth (the dotted line). The gap is the difference between target and likely achievement.

If the gap is negative, as in Fig., we may wish to consider whether our resources, including our competencies and competitive advantages, are up to the task. A more modest ambition might be more rewarding and less risky, because it is feasible. Alternatively, we might seek projects, programmes, and strategies to close the gap, as Ansoff suggests. If the gap is positive and performance exceeds aspiration, we should consider the merits of revising objectives upwards (expansion strategies). If the gap is negative due to bad performance, certain hard decisions should be taken (retrenchment strategies).

Business Definition: In deciding on what would be a manageable number of alternatives, it is advisable to start with the business definition. Business definition, as discussed earlier, determines the scope of activities that can be undertaken by a firm. It tries to answer three basic questions clearly: (1) how is being satisfied? (2) What is being satisfied? And (3) how the need is being satisfied?

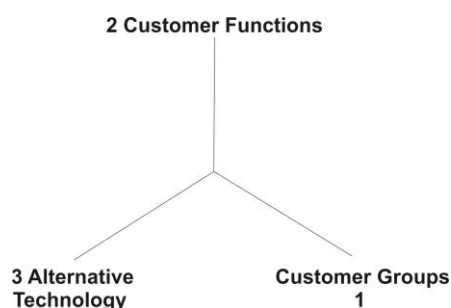


Fig 3.2 Dimensions for Defining Business

3.4.3 BCG Portfolio Matrix

The BCG Matrix compares various businesses in an organization's portfolio on the basis of relative market share and market growth rate. Relative market share is determined by the ratio of a business's market share (in terms of unit volume) compared to the market share of its largest rival. Market growth rate is the growth in the market during the previous year relative to growth in the economy as a whole. The combinations of high and low market share and high and low business growth rate provide four categories for a corporate portfolio. (Hedley, Naylor).

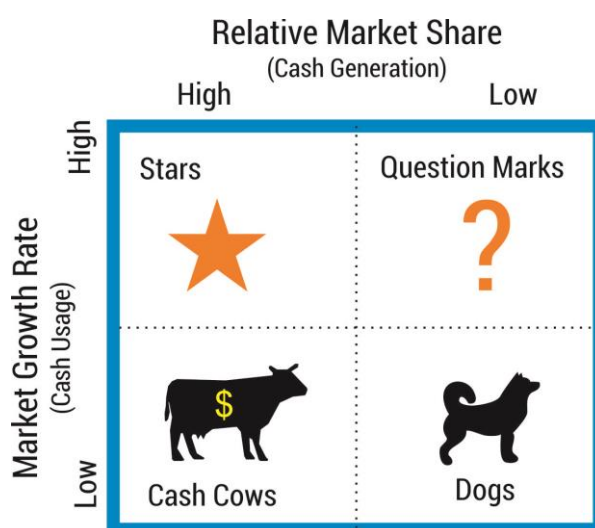


Fig 3.3 BCG Portfolio Matrix

Stars: SBU that are stars have a high share of a high-growth market and typically require large amounts of cash to support their rapid and significant growth. They have additional growth potential and so profits should be ploughed back into this business for future growth and profits. For example software, entertainment, electronics and telecommunications are some of the industries which have a very high growth rate. The appropriate strategy for stars is to maintain the market share through large doses of investment (both internal as well as external).

Cash Cows: SBUs that are ‘cash cows’ (provide lot of cash for the firm) have a high market share in a slowly growing market. As a result, they tend to generate more cash than is necessary to maintain their market position. Cash cows are often former stars and can be valuable in a portfolio because they can be ‘milked’ to provide cash for other riskier and struggling businesses.

Question Marks: (problem child or wild cat): SBUs that are ‘question marks’ have a small share of a high growth market. The question mark business is risky, since there is already a leader in that business. As such it requires lot of funds to invest in plant, equipment and personnel in order to keep pace with the fast-growing market. The term question mark is well conceived, because at every stage the organization has to think hard about whether to keep investing funds in the business (to turn it into a star) or to get out.

Dogs: SBUs that are ‘dogs’ have a relatively small share of a low-growth market. They may barely support themselves, or they may even drain cash resources that other SBUs have generated. Usually dogs are harvested, divested or liquidated (if turnaround is not possible).

After the SBUs of an organization are plotted on the growth-share matrix, the next step is to evaluate whether the portfolio is healthy and well-balanced. A balanced portfolio; obviously, has a number of stars and cash cows and not too many question marks or dogs. Depending on the position of each SBU, four basic strategies can be formulated while building a balanced portfolio:

- Heavily invest in Stars. High market share and high industry growth mean higher probability of future success.
- Maintain cash cows because they provide resources for future growth-investment in wild cats and stars.
- Use selective resource allocation for wildcats to convert them into starts.
- Liquidate or divest dogs that are not worth investing in to improve their position :
- As time passes, SBUs change their position in the growth-share matrix. Successful SBUs have a life cycle. They start as question marks, become stars, then cash cows, and finally dogs towards the end of their life cycle. Therefore, companies should keep on eye not only on the current positions of their businesses but also on their moving positions. Each business should be examined as to where it was in past years and where it will probably move in the years ahead. If the expected journey of a business is going to be a tough one, alternative plans must be kept ready. The growth-share matrix,

thus, becomes a useful planning framework for strategists. They can use it to try to assess each SBU and assign the most reasonable objective in the light of past experiences, current situation and future trends. Mistakes, however, could turn the tide against the above theoretical reasoning especially in cases where all SBUs are asked to aim for the same growth rate or return level. As we all know, the very basis of SBU analysis is that each business has a different potential and requires its own objective.

3.4.4 GE Multifactor Portfolio Matrix

General Electric Company has developed a 3x3 business portfolio matrix in the 1970s with the help of McKinsey & Company (also called GE Business Screen or McKinsey Screen). In this matrix there are two dimensions: industry attractiveness (similar to BCG's industry growth rate) and relative business strength (similar to BCG's market share). Industry attractiveness is measured by a number of factors like size of market, market growth rate, industry profitability, competitive intensity cyclicalities, economies of scale, technological requirements etc. Likewise relative business strength is rated considering a number of factors such as market share, profit margins, ability to compete on price and quality, knowledge of customer and market competitive strengths and weaknesses, technological capability and calibre of management. These two dimensions make excellent marketing sense for rating a business. Companies will be successful if they enter attractive markets with required business strengths. If one or the other is missing, the firm may fail to deliver the goods. Neither a strong company operating in an unattractive market nor a weak company operating in an attractive market will do well.

3.4.5 Product-Market Evolution Matrix

To help resolve the problem of identifying companies, particularly new businesses, that are about to accelerate their growth, Hofer has suggested a further refinement. The product-market evolution matrix (also called life-cycle portfolio matrix) is a 15 cell matrix in which businesses are plotted according to the firm's business strength or competitive position and the industry's stage in the product-market life cycle. The firm's competitive position is similar to the business strength dimension in the GE Screen. The second dimension uses the product market evolution stage instead of the industry attractiveness (as did the GE Business Screen). It shows the industry's state in the evolutionary life cycle,

starting with initial development and passing through the growth, competitive shakeout, maturity, and saturation and decline stages. The maturity and saturation stage is particularly important because it often lasts for an extended period of time. An industry is said to have reached maturity when growth slows and the market inches toward the saturation point, where demand is limited to replacement of the product or service. The challenge in the maturity and saturation stage is preserving or slowly expanding market share while avoiding the decline stage. As shown in the GE Screen, the size of the circle representing each business is proportional to the size of the industry in which the firm competes, while the pie slice within the circle shows the firm's market share within the industry.

Fig. shows that business A enjoys good prospects for growth and should be developed. Business E (equivalent to a 'star' in BCG Matrix) is a well-established one, of course, moving toward maturity. Business F is slowly losing its competitive position but is a probable cash cow. Business G is a divestment candidate and could be termed a dog.

3.4.6 Directional Policy Matrix (DPM)

DMP is developed by Shell Chemicals, UK. It uses two dimensions – business sector prospects and company's competitive capabilities – in order to choose appropriate strategies (Hussey). Each dimension is further divided into three degrees: business sector prospects into attractive, average, and unattractive; and company's competitive capabilities into strong, average and weak. The combination of two dimensions further sliced into three compartments gives a nine-cell matrix.

Directional Policy Matrix

Company's Competitive Capabilities	Business Sector Prospects		
	Unattractive	Average	Attractive
Weak	1 Divestment	2 Phased withdrawal	3 Double or quit
Average	4 Phased withdrawal	5 Custodial	6 Try Harder
Strong	7 Cash Generation	8 Growth	9 Market Leadership

In the above table each quadrant shows the type of strategy the organization may adopt depending on business sector prospects and the company's competitive capabilities. The key words used are briefly explained below:

Disinvest: Business capabilities are weak here. Business prospects too look dim. SBUs running in losses with uncertain cash flows are placed here. Since the situation is not likely to improve in the near future such businesses should be divested. The resources released could be put to good use thereafter.

Phased withdrawal: The phased withdrawal strategy is to be followed where a company is in an average-to-weak competitive position in a low-growth, unattractive business with very little chance of generating enough cash flows. SBUs with such a weak profile should be phased out gradually. The cash realized should be invested in more profitable ventures.

Double or Quit: The business prospects here look attractive but the company's own capabilities are weak. The situation can be remedied through two choices : (i) invest more to exploit the prospects presented by the market (ii) If this is not possible, better to quit the business/field altogether.

Custodial: SBUs falling in this cell have average capabilities and their business prospects look average. The choices here, too, are clear. Bear with the situation with a little bit of help from other product divisions or get out of the scene so as to focus more on other, attractive businesses.

Try Harder: SBUs which have average capabilities but operating in areas where prospects are attractive, need additional resources to strengthen their capabilities. This would help them try harder with renewed vigour and exploit the business prospects thoroughly.

Cash Generation: SBUs having strong capabilities but operating in areas where prospects look unattractive may continue their operations, at least for generating strong cash flows and satisfactory profits. However, further investment can be ruled out in view of unattractive business prospects.

Growth: SBUs with strong capabilities but with average business prospects require additional infusion of funds to support product innovations, R&D activities, additional capacity additions etc. This would help SBUs to compete effectively and enhance their market share.

Market Leadership: Resource allocations must be good in areas where SBUs have strong capabilities and the business prospects, too, look attractive. It must receive top priority so that the SBU can retain its market leadership thorough innovations, R&D experiments and capacity additions.

3.4.7 Profit Impact of Market Strategy

PIMS was invented by General Electric in the 1960s to examine which strategic factors most influence cash flow and investment needs and success. Its scope was extended by Harvard Business School and subsequently in 1975 the Strategic Planning Institute was set up to develop PIMS for a variety of clients. The Profit Impact of Market Strategy is a computer based model and its data base is information submitted by clients (participating companies) covering the financial and market performance of successful firms and 'real losers' in the market place. The model basically tries to examine the impact of a wide variety of strategic and environmental issues on business performance. It also offers principles that will help managers to understand how market conditions and specific strategic choices might affect business performance.

Check Your Progress 3

1. Grand strategies considered the strategy which will best meet the enterprise's objectives involves following steps:
 - a. focusing on a few alternatives and determining the selection factors
 - b. evaluating alternatives and making the strategic choice
 - c. both a and b
 - d. only a
2. Business definition determines the scope of activities that can be undertaken by a firm. It tries to answer which basic questions clearly :
 - a. Who is being satisfied?
 - b. what is being satisfied?
 - c. how the need is being satisfied?
 - d. all of the above
3. Directional Policy Matrix (DPM)DMP uses two dimensions
 - a. business sector prospects
 - b. company's competitive capabilities
 - c. both a and b
 - d. only b

4. The Profit Impact of Market Strategy is a computer based model as
- a. its data base is information submitted by clients
 - b. tries to examine the impact of a wide variety of strategic and environmental
 - c. issues on business performance
 - d. both a and b
 - e. only a

3.5 Let Us Sum Up

In this block we studied about the financial strategy of an organization which had a concern with the rising and utilization of funds. Procurement of funds is major function for any organization as any form of capitalization is a form of security. The need for proper utilization of funds at right cost and right time is emphasised. To analyze the firm from financial stand point, the financial ratio analysis is suggested. Also the broad classification of these ratios is given namely liquidity ratio, leverage ratio, activity ratio, profitability ratio etc. How to provide firm with appropriate financial structure, it is suggested that organizations should have a financial strategy and competitive advantage. Marketing strategy, market segmentation, product strategy is all discussed in good length.

To determine an alternative course of action Strategy Analysis and Choice (SAC) is given. The analytical tools employed in SAC such as BCG Matrix, DPM, SPACE can significantly enhance the quality of strategic decisions are explained in detail. In BCG matrix the combinations of high and low market share and high and low business growth rate is explained with four categories as stars, question marks, cash cows, dogs.

The other matrix like GE multi factor portfolio matrix and Product market evolution matrix, directional policy matrix are also explained in much detail. PIMS ie Profit Impact of Market Strategy is also mentioned to examine which strategic factors would influence cash flow and investment needs and success.

3.6 **Answers for Check Your Progress**

Check Your Progress 1

Answers: (1-c), (2-c), (3-d)

Check Your Progress 2

Answers: (1-d), (2-d)

Check your progress 3

Answers: (1-c), (2-d), (3-c), (4-c)

3.7 **Glossary**

1. **Gross working capital** - to working capital as the total of current assets.
2. **Net working capital** - to working capital as excess of current assets over current liabilities.
3. **Mass marketing** - a way to mass produce and mass distribute one product and try to attract all kinds of buyers.
4. **Best Practices** - The business methods and procedures utilized by firms considered the leader in an industry.
5. **Business Model** - A company's business model is management's storyline for how the strategy will be a money maker.

3.8 **Assignment**

1. Discuss the important issues while procuring funds for a company from various sources.
2. What factors should be kept in view by management while determining the dividend policy of a company?

3.9 Activities

Write short notes on:

1. Liquidity Ratios
2. Leverage Ratios
3. Activity Ratios

3.10 Case Study

Private Finance Initiatives

A Price water house Coopers case study

Introduction

Price water house Coopers was created in 1998 by the merger of two firms - Price Waterhouse and Coopers & Lybrand - each with historical roots going back some 150 years and originating in London.

Price water house Coopers, the world's largest professional services organisation, helps its clients build value, manage risk and improve their performance. Drawing on the talents of more than 140,000 people in 152 countries, it provides a full range of business advisory services to leading global, national and local companies and to public institutions. These services include audit, accounting and tax advice; management, information technology and human resource consulting; financial advisory services including mergers & acquisitions, business recovery, project finance and litigation support; business process outsourcing services; and legal services through a global network of affiliated law firms.

The new, combined organisation is the result of the continuing growth in the international economy. Companies are constantly seeking to re-define themselves to thrive in the market-place where mergers & acquisitions are increasingly important and many companies now operate without geographical boundaries. Their commitment to refining all available technology allows them to operate a global information and support network to both their advisers and their clients, anywhere in the world.

They offer businesses around the world both a wider range of services and a more integrated service than has ever been possible. This service also provides solutions to business problems, the scale and complexity of which are greater than

ever before. At Price water house Coopers, there are six service lines or departments which cover different areas of specialisation. These are:

1. Assurance & Business Advisory Services
2. Management Consulting Services
3. Tax & Legal Services
4. Financial Advisory Services
5. Global Human Resource Solutions
6. Business Process Outsourcing.

Price water house Coopers may work on one of these areas and find that the client requires help and solutions to issues in other areas. They are able to provide an integrated team of experts to give this advice and offer a range of possible solutions.

In this case study, the role of Financial Advisory Services is explored with a focus on private finance initiatives. The Financial Advisory Services team offers financial, economic and strategic advice to household names around the world. The five departments or service areas within Financial Advisory Services are:

1. Business Recovery Services
2. Dispute Analysis & Investigations
3. Mergers & Acquisitions
4. Project Finance & Privatisation
5. Valuations & Shareholder Value.

Private Finance Initiative

Price water house coopers 4 Image 2 Governments (the public sector) and the private sector (companies) are increasingly working together. Price water house Coopers is experienced in advising both private and public sectors. The privatisations and public/private sector partnerships are large and complex transactions, sometimes affecting entire industries.

The Conservative Government launched the Private Finance Initiative (PFI) in 1992 in a bid to deliver high quality and cost-effective public services whilst avoiding the need to raise taxes in the short-term. PFI allows the public sector service providers to obtain or 'procure' those services, while placing the risks of buying and maintaining the asset with the private sector.

In a PFI, the Government body sets up a contract with a private company. The private company buys, builds and services the asset. The Government has use of the fully serviced asset for the period of the contract and at the end of this period, the Government will own the asset. The Government uses the fully serviced asset in exchange for a rental payment.

Typical examples of PFI are projects requiring large investment such as schools, hospitals, road and rail links, waste disposal services and prison services. A recent example is that of Falkirk schools. This contract is a good example of the types of risks that are transferred through the procurement process (see right). Substantially, these risks are the construction, operating and financing costs.

Private Finance Initiatives are also utilised in building new schools. In the case of Falkirk, Scotland, a 25 year contract was signed between Falkirk Council and a company called Class 98 to provide three new secondary schools, a major secondary school extension and a special needs school at a cost of £70 million. This was the first PFI project involving the provision of a number of schools to be undertaken.

The risks for the private sector in undertaking a PFI are many and it is the role of the negotiating team to assess how great are these risks and whether they would affect the completion of the project. In some contracts this risk may be split between the public and private sector. For the Falkirk PFI, Class 98 carries the risk of an increase in construction costs through any delays. The Council retains the risks associated with any changes in legislation and education which may, for example, change how children are taught in 20 - 25 years' time.

Role of Price water house Coopers

Price water house Coopers 4 Image 3 Financial advisers such as Price water house Coopers undertake the management of this procurement process. The procurement process is effectively a competition between the private sector bidders interested in bidding for that particular project. It is the role of the financial adviser to ensure that the procurement process is run on a fair and open basis to ensure that the bidder that brings forward the best value for money bid is the one that wins the project.

Price water house Coopers is also experienced in helping to compile the submissions, arranging the finance to back the bid and negotiating the contract on behalf of the private sector.

The key components in negotiating a contract are extensive and it is important that they are fully comprehensive: [diag]

A number of different companies were involved in the disposal of waste in Hereford and Worcester and in 1998 a number of their contracts were up for renewal. The local authorities decided to review the management of the waste services and ensure that this public service was cost-effective and complied with environmental targets.

The arrangements for disposal of the waste were almost exclusively through landfill, with a very low percentage of the waste committed to recycling or other forms of recovery (5-6%) and no incentives to improve on these levels. In a bid to reduce the level of landfill, the Labour Government substantially increased taxes levied on this form of waste disposal.

This cost incentive, along with the requirement to meet environment targets and the benefits of an integrated contract, encouraged Hereford and Worcester local authorities to review PFI as a new means of procuring their waste disposal services. The local authorities were also keen to take advantage of 'PFI credits' which provided local authorities with a financial incentive to identify opportunities for a PFI.

The procurement process

Price water house coopers 4 Diagram 1Price water house Coopers was brought in to provide financial advice and assistance in managing the procurement process. In this instance, Price water house Coopers was acting on behalf of the local authority. The Hereford and Worcester waste management project is the first fully integrated waste management PFI and a number of factors needed to be considered.

Waste management consists of:

Refuse collection from homes and industry

Transportation of waste to the disposal sites

Waste treatment and disposal

Recycling and energy recovery

Landfill management.

The global drive to improve the management of waste and increase the amount of recycling has generated new global targets. The following apply in the UK:

> 25% waste recycled by 2000

> 40% waste recovered by 2005

>60% waste buried in landfill sites by 2005.

Landfill sites are the primary means of disposing of waste in the UK. However there is less land available and the effects of landfill on the environment remain unclear. In addition, the amount of waste is increasing as the number of households grows.

The use of 'waste to energy' incinerator plants is also increasing. These plants burn certain types of waste and require capital investment and planning permission. However, uncertainty exists over the effect of incineration on the environment and these plants may be redundant in 25 years' time. These are all major concerns for the environmental lobby groups.

The contract and the risks

Price water house coopers: PFI in waste management allowed Hereford and Worcester local authorities the opportunity to integrate the various waste management systems into one contract, and gain access to capital investment and PFI government credits. The cost of the services was negotiated according to the level of services gained (amount of waste disposed) and included environmental targets for recycling with financial incentives if these were achieved

Hereford and Worcester were also the first local authorities to consider a PFI in fully-integrated waste management and the process involved a highly complex series of contractual obligations for the public and private sector. This unprecedented action met with some concerns - there were no previous examples to follow and procurement processes are a costly exercise. This PFI also tied the authority into a long-term contract of 25 years during which time environmental laws may change. An integrated waste management contract was agreed for 25 years, with key recycling and recovery targets set. A minimum number of household waste tips for public access and a minimum number of treatment facilities (landfill, 'waste to energy' plants, recycling stations) were agreed and 'risks' identified and retained or transferred to the private sector.

Price water house CoopersDiagram2 Risks are assessed and agreed for every PFI. The contractor manages the project and carries the responsibility if these risks materialise. It is important to agree these risks before the final contract is negotiated. In this case, the contractor's responsibility for risks included:

- Facility design and construction by agreed deadline
- Quality of service provided
- Contamination of the environment
- Increase in waste tonnage above estimate and ability to handle demand

- Achievement of recycling/recovery targets
- Increase in landfill tax
- Change in interest rates.

Conclusion

Price water house coopers 4 Image 6The procurement process can be lengthy. More than two years elapsed between placing the advertisement in the recognised European trade journal, OJEC, and completing the negotiation process. Twenty applications were received, and at the end of the process, FOCSA Services Ltd was selected as the 'preferred partner'.

The arrangements for payment by Hereford and Worcester local authorities were included in the contract. These payments were based on the tonnage of waste processed with a supplement for recycling and recovery. Additional concerns to the local authorities include the threat of protestor action and whether a PFI provides a cost-effective solution.

The completion of the PFI means that Hereford and Worcester were the first local authorities to negotiate a PFI for a fully-integrated waste management service. The contract is now in place to run for 25 years.

The Financial Advisory Services at Price water house Coopers advised the local authority and managed the procurement process for the PFI. Advisers at Price water house Coopers are experienced in representing the public and private sectors and in all cases are committed to establishing the best deal possible for their clients.

3.11 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Supply Chain Management: Strategy, Planning and Operation - all 2 versions »S Chopra - IIE Transactions, 2002 – Springer.
3. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions »RS Kaplan, DP Norton - Accounting Horizons, 2001.

Block Summary

In this block we studied about the project management and functional and financial strategies. The block introduces us about the project management and the need for functional and financial planning for the same. It mentions two types of strategies i.e. business strategy and corporate level strategy to deal with the complex activities in project management.

Various strategies have been mentioned for e.g.: porters' strategy. The features to have competitive advantage are also given like: not sustainable for long, relevant advantages, backbone of strategy. Low cost strategy, differentiation strategy, focus strategy have been explained.

Business level strategies like industry analysis, strategic group analysis, competitor analysis, life cycle analysis experience curve analysis, SWOT analysis are explained. The importance of strategy implementation is explained in the next unit. It also deals with the structural issues with the help of 7 S frame work namely strategy, structure, systems, style, staff, shared values and skills. Means of activating strategy and resource allocation with different types of budgets like ZBB, performance, capital is also stated.

The features of functional structure are also explained along with its advantages and disadvantages. Divisionalisation with respect to product and geographic forms is emphasised. The means to tackle behavioural issues in strategy implementation with the help of tactics is suggested. Operational strategy and operations management is also explained in detail. How to plan for technology and facilities is also described.

The third unit teaches us as to how to plan financial strategies for raising and utilization of funds. Procurement of funds is the first and major function.

To analyse the financial ratio analysis with the help of different types of ratio categories like Liquidity ratio, Leverage ratio, Activity ratio, Profitability ratio etc. How financial strategy provides firm with the appropriate financial structure to meet the objectives is mentioned. The relevance of marketing strategy is also explained in detail with the help of market segmentation and product strategies like product line decisions, product mix decisions, newproduct development decisions.

Strategy Analysis and Choice (SAC) which is used to determine alternative courses of action that could best enable the firm to achieve its mission and objectives is also mentioned in detail.

Four steps of strategic choice namely a) focusing on a few alternatives (b) determining the selection factors (c) evaluating alternatives and (d) making the strategic choice are also discussed. BCG matrix is also explained in detail

The other matrix like GE multifactor matrix and product market evolution matrix, Directional Policy matrix are also discussed at length.

Block Assignment

Short Answer Questions

1. Facilities Location Planning
2. Inventory Management
3. Value Chain Approach
4. Contingency Strategies
5. Profitability Ratios
6. Segmentation Strategies
7. Product Strategies

Long Answer Questions:

1. Suppose you are CEO of an Indian MNC and you want to expand your organization globally what strategies you would involve for the same?
2. Explain BCG Matrix in Detail with the help of a suitable example.
3. Do you think that the concept of zero defects is a good one? Explain your reasoning.
4. Schematically explain how the PLC and BCG matrix are linked. Briefly explain how the BCG matrix is linked to change and strategy.

Enrolment No.

1. How many hours did you need for studying the units?

Unit No	1	2	3	4
No of Hrs				

2. Please give your reactions to the following items based on your reading of the block:

Items	Excellent	Very Good	Good	Poor	Give specific example if any
Presentation Quality	☐	☐	☐	☐	_____ _____
Language and Style	☐	☐	☐	☐	_____ _____
Illustration used (Diagram, tables etc)	☐	☐	☐	☐	_____ _____
Conceptual Clarity	☐	☐	☐	☐	_____ _____
Check your progress Quest	☐	☐	☐	☐	_____ _____
Feed back to CYP Question	☐	☐	☐	☐	_____ _____

3. Any Other Comments

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*Education is something
which ought to be
brought within
the reach of every one.*

”

- Dr. B. R. Ambedkar



Dr. Babasaheb Ambedkar Open University

'Jyotirmay Parisar', Opp. Shri Balaji Temple, Sarkhej-Gandhinagar Highway, Chharodi,
Ahmedabad-382 481.

STRATEGIC MANAGEMENT

PGDHR-103

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

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STRATEGIC MANAGEMENT



Knowledge Management and
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ROLE OF SELF INSTRUCTIONAL MATERIAL IN DISTANCE LEARNING

The need to plan effective instruction is imperative for a successful distance teaching repertoire. This is due to the fact that the instructional designer, the tutor, the author (s) and the student are often separated by distance and may never meet in person. This is an increasingly common scenario in distance education instruction. As much as possible, teaching by distance should stimulate the student's intellectual involvement and contain all the necessary learning instructional activities that are capable of guiding the student through the course objectives. Therefore, the course / self-instructional material are completely equipped with everything that the syllabus prescribes.

To ensure effective instruction, a number of instructional design ideas are used and these help students to acquire knowledge, intellectual skills, motor skills and necessary attitudinal changes. In this respect, students' assessment and course evaluation are incorporated in the text.

The nature of instructional activities used in distance education self-instructional materials depends on the domain of learning that they reinforce in the text, that is, the cognitive, psychomotor and affective. These are further interpreted in the acquisition of knowledge, intellectual skills and motor skills. Students may be encouraged to gain, apply and communicate (orally or in writing) the knowledge acquired. Intellectual-skills objectives may be met by designing instructions that make use of students' prior knowledge and experiences in the discourse as the foundation on which newly acquired knowledge is built.

The provision of exercises in the form of assignments, projects and tutorial feedback is necessary. Instructional activities that teach motor skills need to be graphically demonstrated and the correct practices provided during tutorials. Instructional activities for inculcating change in attitude and behavior should create interest and demonstrate need and benefits gained by adopting the required change. Information on the adoption and procedures for practice of new attitudes may then be introduced.

Teaching and learning at a distance eliminates interactive communication cues, such as pauses, intonation and gestures, associated with the face-to-face method of teaching. This is particularly so with the exclusive use of print media. Instructional activities built into the instructional repertoire provide this missing interaction between the student and the teacher. Therefore, the use of instructional activities to affect better distance teaching is not optional, but mandatory.

Our team of successful writers and authors has tried to reduce this.

Divide and to bring this Self Instructional Material as the best teaching and communication tool. Instructional activities are varied in order to assess the different facets of the domains of learning.

Distance education teaching repertoire involves extensive use of self-instructional materials, be they print or otherwise. These materials are designed to achieve certain pre-determined learning outcomes, namely goals and objectives that are contained in an instructional plan. Since the teaching process is affected over a distance, there is need to ensure that students actively participate in their learning by performing specific tasks that help them to understand the relevant concepts. Therefore, a set of exercises is built into the teaching repertoire in order to link what students and tutors do in the framework of the course outline. These could be in the form of students' assignments, a research project or a science practical exercise. Examples of instructional activities in distance education are too numerous to list. Instructional activities, when used in this context, help to motivate students, guide and measure students' performance (continuous assessment)



PREFACE

We have put in lots of hard work to make this book as user-friendly as possible, but we have not sacrificed quality. Experts were involved in preparing the materials. However, concepts are explained in easy language for you. We have included many tables and examples for easy understanding.

We sincerely hope this book will help you in every way you expect.

All the best for your studies from our team!



STRATEGIC MANAGEMENT

Contents

BLOCK 1: STRATEGIC PLANNING AND MANAGEMENT

UNIT 1 STRATEGIC PLANNING AND STRATEGIC MANAGEMENT

Introduction, Strategic Planning, Evolution of Strategic Planning, Levels of Strategic Planning, Dimensions of Strategic Decisions, the Concept of Strategic, Elements of a Strategic, Strategies Vs Tactics, Past Approaches to Strategy, Current Trends in Business Policy, The Indian Scenario, Strategy Vs Policy, Strategic Management, Modes of Strategic Management

UNIT 2 THE STRATEGIC MANAGEMENT PROCESS

Introduction, Purposes of Strategic Management Process, Steps in the Strategic Management Process, Strategy Formulation, Strategy Implementation, Strategic Intent: Vision, Mission and Objectives, Corporate Social Responsibility

BLOCK 2: STRATEGIC ANALYSIS METHODS AND CORPORATE LEVEL STRATEGY

UNIT 1 ENVIRONMENTAL AND INDUSTRY ANALYSIS

Introduction, The Organization's Environment, External and Internal Environment, Components of External Environment, Components of Internal Environment, Environmental Scanning, Industry Analysis

UNIT 2 COMPETITIVE ANALYSIS AND INTERNAL ANALYSIS

Introduction, Internal Analysis, Resource-Based Strategy (Grant), The Resource Based View (RBV), Resources, Organisational Capabilities and Competitive Advantage, Approaches to Internal Analysis , Terminology, Primary Activities , Support Activities , Conducting a Value Chain Analysis, The concept of Synergy.

UNIT 3 CORPORATE LEVEL STRATEGY

Corporate Level Strategy, Acquisition, Restructuring and Cooperative Strategies, Takeovers, Cooperative Strategies

BLOCK 3: PROJECT MANAGEMENT, FUNCTIONAL AND FINANCIAL STRATEGIES

UNIT 1 PROJECT MANAGEMENT

Introduction, Business Level Strategy, Business Level Strategic Analysis, Contingency Strategies

UNIT 2 STRATEGY IMPLEMENTATION AND FUNCTIONAL STRATEGIES

Strategy Implementation: Structural Issues, Behavioral Issues in Strategy Implementation, Operational Strategy, Operations Management, Formulating operations Strategy

UNIT 3 FINANCIAL AND MARKETING STRATEGY WITH STRATEGIC ANALYSIS AND CHOICE

Financial Strategy, Marketing Strategy, Strategic Analysis and Choice

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

UNIT 1 STRATEGIC LEADERSHIP AND CONTROL

Strategic Leadership, Leadership Theories, Hersey's Situational Leader Model, Power and Politics, Organizational conflict, Organizational Politics

UNIT 2 HUMAN RESOURCES STRATEGY

The Rise of Human Resource Management (HRM) , The issue of Strategic Human Resource Management (SHRM), Business strategy, The Guest Mode, The Organisational Outcomes, Integration of HR Systems as Strategy, Human Resource Strategy, Role of HRM ,Human Resource Planning , Recruitment, Training and Development, Executive Development Programmes, Job Knowledge ,Performance Appraisal , HR Strategy in a Dynamic Environment,



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PGDHR-103

STRATEGIC MANAGEMENT

BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

UNIT 1

STRATEGIC LEADERSHIP AND CONTROL	03
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UNIT 2

HUMAN RESOURCES STRATEGY	27
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BLOCK 4: STRATEGIC LEADERSHIP, CONTROL AND HUMAN RESOURCE STRATEGY

Block Introduction:

Leadership is a special kind of relationship, through which the leader interacts with group and individuals and through communalization, affects their motivation and actions. Leadership is a social activity, and there are sociological theories about how leaders obtain and maintain the power to influence others.

In this block we will study about the strategic leadership and human resource management.

Unit one explains how Strategic leaders have the organizational ability to be strategically orientated and the way they translate strategy into action. They find methods to align people and organizations and are determined effective strategic intervention points and they design and develop strategic competencies.

Strategic leaders often display a dissatisfaction or restlessness with the present they have a absorptive capacity and adaptive capacity and dynamic wisdom to display wherever necessary. The three-stage process that strategic leaders are able to undertake, the components of which are:

- Awakening
- Envisioning
- Re-Architecting

Unit two deals with the human resource management related to business strategy and Human resource activities like recruitment, planning training, performance appraisal and how HR would respond in business environment.

Block Objective

After learning this block, you will be able to understand

- The Strategic Leadership
- The Leadership Theories
- The Rise of Human Resource Management (HRM)
- The issue of Strategic Human Resource Management (SHRM)
- Business strategy
- The Organisational Outcomes

Block Structure

Unit 1: Strategic Leadership and Control

Unit 2: Human Resources Strategy

UNIT 1: STRATEGIC LEADERSHIP AND CONTROL

Unit Structure

1.0 Learning Objectives

1.1 Introduction

1.2 Strategic Leadership

1.2.1 What is Leadership?

1.2.2 Leadership Power

1.2.3 Type-I Leadership and Type-II Leadership

1.3 Leadership Theories

1.3.1 Trait Theory

1.3.2 Skill and Behaviour Theories

1.3.3 Contingency Theories of Leadership

1.4 Hersey's Situational Leader Model

1.5 Power and Politics

1.5.1 Manager's Use of Power

1.5.2 Need for Power

1.6 Organisational Conflict

1.6.1 Sources of Conflict

1.6.2 Culture of Organisational Conflict

1.7 Organizational Politics

1.8 Let Us Sum Up

1.9 Answers for Check Your Progress

1.10 Glossary

1.11 Assignment

1.12 Activities

1.13 Case Study

1.14 Further Readings

1.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Leadership Power
- The Hersey's Situational Leader Model
- The Power and Politics
- The Organisational conflict its sources and culture
- Organizational Politics

1.1 Introduction

In every field, leaders are required who can steer an organization out of the erases whenever there is a crisis or take it in the upward direction and better the performance of an organization. There is no limit to just for any field. It leadership is the right direction any organization is bound to risks upwards. A leader is a person who motivates people who include communication with, supporting, encouraging and involving people. Essentially, leadership is about influencing other people's thoughts and actions – getting them to do and think as the leader wishes. Strategic leaders are able to envision the 'strategic leap' that an organization wants to make, while acting as passionate advocates for change. Strategic leaders have the ability to live with the reality that the organizational culture may not be as forward-thinking as they. It is the ability to live with the ambiguity of not being able to change the organization fast enough, with the ability to maintain the restlessness for change and improvement.

1.2 Strategic Leadership

1.2.1 What is Leadership?

Essentially, leadership is about influencing other people's thoughts and actions – getting them to do and think as the leader wishes. Even this simple definition may be challenged, as an exasperated manager might protest: "I do not want them to think – I just want them to do". This typifies a Theory x management philosophy \ see Section One: McGregor 1987), in which management is the 'brains' and employees are the 'hands'.

Leadership is a special kind of relationship, through which the leader interacts with group and individuals, and through communication affects their motivation and actions. This is a two-way relationship, as the group influences its leader also. In Section One, the Hawthorne Studies revealed how the bank wiring room employees had managed to rid themselves of inspectors of whom they did not approve.

1.2.2 Leadership Power

Leadership is a social activity, and there are sociological theories about how leaders obtain and maintain the power to influence others. A classic list is that of French and Raven (1968):

- Reward power – power to gain co-operation through rewards and privileges.
- Coercive power – power to cause unpleasant consequences such as loss or punishment for non-co-operation – based on fear or anxiety.
- Legitimate power – power arising from legitimate accepted leadership.
- Expert power – power arising from knowledge or expertise of the leader.
- Referent power – arising from the leader's identification with a powerful group or from the follower's wished to be identified with the leader.

Power does not have to be exercised in order to be effective; as long as it is credible and perceived to be real by the follower.

Coercive power is less frequently or openly used, but exists in the form of for example, penalties for breaking company rules, sanctions such as reprimands or dismissal for unsatisfactory work. In times of high unemployment fear of unemployment is a powerful coercive force.

Expert power can come from a manager's good reputation, or professional expertise which is known and respected, particularly if the manager holds a specialist post. 'Sapiential authority' based on wisdom, is relevant here.

Referent power is a more personal attraction; a popular manager or one whose career others would like to imitate has referent power over those who are impressed.

1.2.3 Type-I Leadership and Type-II Leadership

Some writers, for example Ribeaux and Poppleton (1978), have distinguished between leadership (Type I) as meant by the position or role of leadership, and (Type II) leadership as meant by the effectiveness of the ways in which one person influences others, that is, the personal attributes and actions of the leader.

This distinction is useful in analyzing situations where a manager may be in a leader role) (Type I) but not have the power of skills to exercise it properly, or situations where a 'natural' leader takes over through personal initiative (Type II).

Is Management the same as Leadership?

"Not every manager is a leader" suggests Zaleznik (1977) and Mullins (1996). They distinguish between every manager's day-to-day maintenance of the organization and specific targets, and the 'inspirational' activity of true leaders:

Attitudes to goals – managers have impersonal or passive attitudes: leaders have personal and active attitudes.

Consensus – manager's compromise between conflicting values: leaders create values and generate consensus.

Feelings – managers have low emotional involvement: leaders empathise, and attend to people's feelings.

Identity – managers are 'clocked into' conserving and regulating the present system: leaders are more self-reliant in their identity, see the organization objectively, and look to improve it.

Classic management theory listed the manager's tasks as to :

Plan – Organize – Motivate – Control

These tasks follow the natural sequence of action in any organizational activity but in contemporary organizations there is increasing emphasis on the 'Motivate' element as a continuous activity, which demands more leadership flair. It includes communicating with, supporting, encouraging and involving people.

Senge (1993) for instance emphasizes the crucial new emphasis on managing people – the fifth discipline.

Check your progress 1

1. The three-stage process that strategic leaders are able to undertake, the components of which are:
 - a. awakening
 - b. envisioning
 - c. Re-architecturing
 - d. all of the above
2. The theory of power proposed by French and Raven is :
 - a. reward power and coercive power
 - b. legitimate power and expert power
 - c. referent power
 - d. all of the above
3. Classic management theory listed the manager's tasks as to :
 - a. Plan and Organize
 - b. Motivate and Control
 - c. both a and b
 - d. only c

1.3 Leadership Theories

Leadership theories fall into three main categories

1. Leadership trait theories
2. Leadership skills and behaviour theories
3. Contingency theories of leadership

Trait theories concentrate on the personality, intelligence, motivation and other personal attributes of successful leaders.

Skills and behaviour theories arise from studies of leaders in action – what do successful organizational leaders do that distinguishes them from less successful ones?

Contingency theories take into account the various combinations of factors that influence leadership at work, such as: type of work; type of team or group led; status or 'position power' of the manager.

1.3.1 Trait Theory

Over the years organizations have set out to construct their own checklists of the personal attributes they would seek in selecting their managerial leaders. Some lists have run to thirty characteristics, and include some unusual terms, for example 'helicopter quality' – tendency to see 'the larger picture', to 'hover above the detail and see the broad trends' (Unilever). Organizations here are seeking universal leadership qualities which ensure the individual will be successful in all situations. This is a particular preoccupation of the armed forces.

A review of research on leadership qualities was done by Stogdill (1974) who found that leaders were generally higher than average on:

- Intelligence – although some studies have shown that this is true only up to a point; very high levels of intelligence do not necessarily add anything to effective leadership and may be a disadvantage.
- Self-confidence
- Social dominance
- Energy and activity level
- Expertise

1.3.2 Skill and Behaviour Theories

These involve a practical approach to leadership – observing and analyzing what managerial leaders actually do. One origin of this approach was during the Second World War when the British War Office Selection Boards were set up to select officer trainees. The traditional selection by interview, educational background and family history was found to be inefficient, and an active situational element was introduced. Applicants were given tasks which involved working with others, directing subordinates, and tackling practical problems, and were rated on their performance. The method proved much better at predicting successful trainees (high predictive validity). The approach was used not only by the British armed forces but those of the USA and Germany also (Byham 1982).

The Ohio Studies

A range of studies of supervisors, managers and US armed forces officers from the 1940s onwards resulted in a set of standardized questionnaires aimed at identifying effective leadership behaviours. Over 1, 8000 items of observable leader behaviour were combined to form 150 (later reduced to 100) items and these formed a questionnaire which was given to subordinates. They were to rate their own leaders/managers.

The major dimensions – (refined over the years and used in the current form of the Leader Behaviour Description Questionnaire (LBDQ) – are :

- Representation – speaks and acts as the representative of the group.
- Demand reconciliation – reduces disorder in the system – reconciles conflicting demands.
- Tolerance of uncertainty – able to tolerate uncertainty and postponement, without getting anxious or upset.
- Persuasiveness – uses persuasion and argument effectively.
- Initiating structure – clearly defines own job and lets subordinates know what is expected of them.
- Tolerance of freedom – allows followers scope for initiative, decision and action.
- Role assumption – actively exercises the leadership role.
- Consideration – has consideration for the comfort, well-being and consideration of the followers.
- Production emphasis – applies pressure for output.
- Predictive accuracy – shows foresight and ability to predict outcomes.
- Integration – resolves inter-member conflicts and keeps the group together.
- Superior orientation – has influence with bosses, keeps good relations with them and is striving for advancement.

The Ohio studies (Hemphill, Fleishman and Stogdill contributed over the years into the 1960s) suggested two major dimensions associated with successful and less successful leaders; consideration, and initiating structure. Research (for example, Fleishman and Harris (1962) investigating production supervisors in the International Harvester Company) showed that supervisors who were very considerate had less grievances and turnover; supervisors who used a lot of

structuring behaviour had more turnover and grievances. These dimensions were to become central to later models of leadership at work. Initially, they tended to be seen as at opposite ends of one scale – task-centred versus people-centred behaviors.

Blake's Grid

In the 1960s Professor R. Blake and colleague J.S.Mouton used the Michigan/Ohio two-dimension model to offer a diagnostic questionnaire and classification of leadership styles. The dimensions were scaled into nine points, so that questionnaire respondents could identify themselves as 1.1, 9.1, 1.9, 5.5, or the 'universal' style of good leadership, the 9.9.

The terminology used by Blake for the various locations on the grid have changed over the years, but the implication is the same – the best managers lead effectively through a combination of high concern for the task, and high concern for the people working for them.

Blake's grid provides a diagnostic tool for an organization-wide assessment and improvement of managerial style and culture (see Section Seven-Organisation Development Strategies). The first phases cover individual diagnosis and then managerial team diagnosis. Later phases involve co-ordination of management learning and development through the grid, and strategic planning and implementation of a new style of management. Organizations such as British American Tobacco have found grid development useful at organizational level.

Although early use of the grid was rather rigid, Blake and Mouton later came to incorporate ideas of leadership style being contingent on the situation. Influences on the individual manager's leadership style could include:

- Organisation – the culture and practices of the manager's organization.
- Values – the personal beliefs of the manager about how to manage people and how to be an effective manager.
- Personal history – behaviour preferences based in work experiences.
- Chance – as to what influences and experiences the manager has encountered.

1.3.3 Contingency Theories of Leadership

An early breakthrough which brought flexibility to earlier notions of ‘one best style of leadership’ was that of Tannenbaum and Schmidt, who wrote in the Harvard Business Review in the 1950s on ‘Choosing a Style of Leadership’. They conceived of a continuum of leader-subordinate relationship ranging from the completely authoritarian ‘Theory X’ to ‘Theory Y’ participative shared leadership. This was to be labeled ‘tell’ at one end and ‘Join’ at the other, by Norman Maier, a pioneer of performance appraisal and counseling.

The ‘tell’ style meant the manager makes an autocratic decision and then announces it to staff. ‘tell and sell’ is more participative, as the manager explains or ‘sells’ his decision to staff. The ‘consult’ style involves employees further, in contributing before the manager finalises the decision, while the ‘join’ style is democratic, and decision-making is shared. The influence of the human relations thinkers such as Maslow and McGregor is obvious (see Section One). The important point about Tannenbaum’s model was that it offered the individual manager a choice of styles to adopt to suit particular circumstances. The new manager would develop a repertoire of leadership styles.

Tannenbaum and Schmidt’s model was to be developed further by Vroom and Yetton some years later. Tannenbaum had offered some guidance on how a manager should decide which style of leadership would be appropriate. It would depend upon three factors in the situation:

Forces in the manager; for example, level of confidence in subordinates, expertise.

Forces in the subordinates; for example, knowledge and experience, ability to share in problem-solving.

Forces in the situation; for example, pressure of time, importance or otherwise of how acceptable the solution needed to be to the subordinates.

Using the same basic model, Vroom and Yetton (1973) divided the decision styles into Autocratic (A1 and A11), Consultative (C and C11), and Group (G).

They also constructed an algorithm, or decision-tree, with a set of questions which would lead the decision-maker to a prescribed style from the five categories listed above. The questions concerned:

- **Quality:** was it important to get the best technical decision?
- **Information:** was sufficient information available for making a decision?
Was information available to subordinates?

- **Problem:** was the problem clear and well-structured, or was it complex and unclear? What level of subordinate competence and expertise exist?
- **Acceptability:** is the subordinates' acceptance of the decision very important for its success?
- **Support:** do the subordinates share the manager's goals?
- **Conflict:** is there likely to be an employee relations problem from the decision?

The Vroom and Yetton situational model was further developed and tested by Vroom and Jago. By getting executives to describe previous problem-situations they were able to analyze the situation in terms of their own algorithm. They were also able to find out which leadership style the executive, had adopted at the time, and whether they had successfully negotiated the problem.

They found that their model was highly predictive of success. Where the executive had adopted what would have been the recommended style of leadership, success followed in 70 per cent of cases. Where an alternative style had been used, success was limited to 20 per cent.

Contingency Theories Involving Manager's Personality

Trait theories continued to be applied, in models which set out not to change the manager's style, but to adapt the situation to that style. A well-known version is Fiedler's (1967) leader development model. It has some unusual features, which have been criticized, but Fiedler claimed some success in improving the leadership styles of, for example, young army officers in the USA.

Fiedler's model commences with a questionnaire on which the candidate is asked to rate a person they have least liked working with – the Least Preferred Co-worker Questionnaire. This consists of eighteen sets of opposed adjectives, for example, quarrelsome – harmonious, efficient – inefficient, each on an eight-point scale.

The hidden purpose of the questionnaire is to score the candidate on how positive or negative they are in judging their least-preferred co-worker. A high LPC score indicates a 'relationships' oriented person, while a low LPC score indicates a 'task' oriented person.

Fiedler's research had uncovered a differential effect of leader's personality (measured by the LPC) on productivity, depending on how favourable or unfavourable the work situation was. Work situation favourability was measured by three components:

1. The morale and competence of the work team.
2. The status and support given to the manager's role in the organization.
3. How complex and difficult the task was.

Fiedler's research showed that the high LPC leader seemed most appropriate where there was moderate situation favourability. Where the situation was highly favourable or highly unfavourable, the task-centred (or low LPC) leader seemed most effective.

The B curve represents the high LPC (relations-oriented) manager's productivity prediction. This may be because when the situation is very unfavourable, a task-centered manager is needed, and when the situation is very favourable, a relationship-oriented manager may interfere with the cohesive, competent team he or she leads.

The A curve represents the low LPC (task-oriented) manager whose directive style seems most appropriate in very unfavourable situations, and whose style is also effective in very favourable situations as the team needs less relationships-oriented interventions by the manager.

There are many criticisms of the Fiedler model, but as it is used to help managers to analyse work situations it seems to have been quite beneficial. Managers are encouraged to gauge how favourable the situation is and then to adapt or restructure the situation to suit their own management 'personality'. For example, a low LPC manager would restructure a work situation to make it more task-oriented, and manage through target-setting, performance incentives and so on.

Check your progress 2

1. Leadership theories fall into three main categories
 - a. Leadership trait theories.
 - b. Leadership skills and behavior theories.
 - c. Contingency theories of leadership.
 - d. all of the above.

2. Work situation favorability was measured by three components:
 - a. The morale and competence of the work team.
 - b. The status and support given to the manager's role in the organization.
 - c. How complex and difficult the task was.
 - d. all of the above.
3. Vroom and Yetton divided the decision styles into
 - a. Autocratic (A1 and A11)
 - b. Consultative (C and C11)
 - c. Group (G)
 - d. all of the above

1.4 Hersey's Situational Leader Model

This approach focuses more on the traits of the follower than of the leader, who is guided in how to respond to the follower's characteristics. This model encourages an analytical approach to people-management and strategic management of the individual employee. It is based on a 'scientific management' approach to human behaviour, through the psychology of learning and motivation.

A basic rule of human behaviour is that 'performance which is rewarded tends to be repeated'. The Hersey model utilizes the reinforcement psychology developed by Skinner, whereby selective rewarding can shape the desired behaviours.

Managers may instinctively give a lot of their attention to employees who are difficult and un-cooperative. Human relations theory implies that giving them encouragement and support will stimulate them to respond by behaving well. But Hersey points out that attention is itself a reward, and you are rewarding bad behaviour by giving attention and encouragement. Hersey therefore, recommends that the positive support and encouragement should be given only after the worker has begun to respond positively to task-centred directives.

Hersey offers a diagrammatic illustration on which the manager commences with a directive, task-centred style towards an employee who is low on 'task maturity'; that is, unable and possibly unwilling to perform the task. As the employee begins to generate an acceptable performance, then the manager in

response changes style to be less task-directive, and more relationships-oriented, that is, to give recognition and praise.

This process, provided the employee continues to develop in task-maturity, takes the manager through a response-style ranging initially from a 'tell' style through to a participative 'join' stage. A surprising development however, is that the manager eventually, in response to high task maturity, offers neither task-centred nor relationship-centred responses, but appears to adopt a 1.1 style according to Blake. However, using the motivation theories of Maslow and Herzberg (Section One) this may be the greatest motivator of all. The employee is being rewarded with 'autonomy' – through delegation, the manager has given the employee control over his or her own work.

Check your progress 3

1. Hersey's Situational Leader Model encourages
 - a. an analytical approach to people-management
 - b. strategic management of the individual employee
 - c. both a and b
 - d. only c
2. The Hersey model utilizes one of the following method developed by Skinner
 - a. reinforcement psychology
 - b. coercive psychology
 - c. both a and b
 - d. none of the above

1.5 Power and Politics

The work of Carlson, Mintzberg, Kotter and also Stewart in the UK, revealed through 'diary-keeping' and observation, that power and politics activities were a significant part of the leadership role in many organizations.

We have already described a classic model of power sources (Raven and French) but new conceptions of managerial power are emerging. The pressure for

organizational renewal and change in recent years has to some extent reformulated the managerial leadership role.

1.5.1 Manager's Use of Power

Power is an integrating and directing feature of organizations distributed in fairly obvious and permanent ways through the organizational structure, through organizational groupings with particular expertise or decision-making power.

However, power may also be implicit and subtle, for example through nominations to committees; through personal influence with senior figures, and through the values of individuals and groups.

Fincham (1992) suggests three levels for assessing organizational power – the processual level which is in everyday interactions between individuals and in lateral relationships between departments. The institutional level is the power conferred on organizational structures and roles by general social agreement about how organizations should function. The organizational level is the formal distribution of power within the organization, arising from culture, structures and norms.

Typical use of power is to control and direct, and in that sense managers are constantly using their position (legitimate) power to tell others what to do. Research into naval officers' control of subordinates showed that younger officers were more likely to resort to the rule book to control subordinates, but older officers used their experience to persuade subordinates, and occasionally went against the rule book informally in order to secure better performance from subordinates.

Rosabeth Moss Kanter suggested that the extent of a manager's power can be recognized by the extent to which he or she can:

- Get someone out of trouble
- Get good replacements
- Go over budget
- Get higher salaries for staff
- Get items onto an agenda
- Get fast access to top people
- Get early information about decisions and policy changes

Reflect on the extent to which ‘networking’, as described by Kotter, Mintzberg and others, has enabled the manager to build up power by mutual friendships, obligations and understandings. This is a particularly useful skill in the new organization.

1.5.2 Need for Power

McClelland, as mentioned earlier, used n(ach) as a managerial indicator. Need for power can also be characteristic of the ambitious manager, but may incline a manager towards dysfunctional activities; for example:

- Favouritism to ‘faithful’ subordinates
- Blocking group discussion
- Focusing on getting influence over others for its own sake
- Impulsive aggression
- Destructive politicking
- Machiavellianism

Machiavelli wrote advice to regal rulers in Italy some centuries ago on how to obtain and maintain power by various devious means. Christie and Geis (1970) applied the psychology of personality to Machiavelli’s recommendations, and pointed to a strong trait in certain people to behave intuitively as Machiavelli would have suggested. They devised a questionnaire to measure Machiavellian tendencies, and a high ‘Mach score’ predicted success in dealing with others, for example in negotiating (Kline and Cooper 1983).

Here are some of the items used in the questionnaire, a set of statements with which you indicate your level of agreement or disagreement:

- “The best way to handle people is to tell them what they want to hear”
- “Anyone who completely trusts anyone else is asking for trouble”
- “Most people are basically good and kind”

Knowing the purpose of the questionnaire, you can no doubt see which responses to these statements would give you a high Machiavellianism score!

Although the individual manager need not be a ‘high Mach’ scorer to be effective at work, it is increasingly the case that the manager needs to develop excellent skill in handling conflict and negotiations.

Check Your Progress 4

1. Fincham (1992) suggests three levels for assessing organizational power :
 - a. processual level
 - b. institutional level
 - c. organizational level
 - d. all of the above
2. Some of the items used in a set of statements with which you indicate your level of agreement or disagreement:
 - a. The best way to handle people is to tell them what they want to hear
 - b. Anyone who completely trusts anyone else is asking for trouble”
 - c. Most people are basically good and kind
 - d. all of the above

1.6 Organisational Conflict

Through conflicting goals or conflicting methods to achieve goals, you may find that personal and departmental conflict arises in organizations. An individual's or group's pursuit of power may also be at the root of conflict. Conflict may not always be a bad thing or be very destructive and dysfunctional.

The unitary view of the organization suggests that conflict is unwanted and destructive, but in a pluralist organization competition between interested parties is inevitable, and conflict almost unavoidable. It can be defined as:

“Behaviour intended to obstruct another form achieving their goals.”

However, it can be seen as sometimes useful.

Here are some of the possibly beneficial outcomes of controlled conflict:

- Clarification of ‘where we stand’.
- Clarification of forgotten rules or procedures.
- Clarification of individual's views.
- Generation of energy and interest.
- Production of new solutions or agreements.

However, protracted or unresolved conflict can cause much damage such as:

- Increased hostility.
- Mistrust, revenge, suspicion.
- Fragmentation instead of cohesion.
- Group rivalries.

1.6.1 Sources of Conflict

You can visualize conflict as on a spectrum of behaviours

Helping Co-operation Competition Conflict Aggression

As we mentioned earlier, personality aspects such as Machiavellianism enter into conflict. Personal aggression can be sparked by defending one's own interests: by following others' example; by feeling that aggression is expected or admired; by frustration; by being over-tired or drunk; by heat or crowding, or by noise.

Conflict between teams or departments may arise from:

- Being mutually dependent, although the opposite holds true
- Inequalities; for example, in work-loads, in status
- Different rewards
- Competing for shared resources
- Communication obstacles
- Personality traits or lack of skills

Conflict may be seen in interdepartmental tactics such as

- Resisting others' ideas
- Blocking others' promotions forming hostile cliques
- Distorting information
- Misappropriating resources
- Making obstructive rules for the others
- Avoiding the others' rules
- Using personal contacts to undermine the other unit

1.6.2 Culture of Organisational Conflict

Mastenbroek (1987) who sees organizations as networks of interdependent groups has compared three organizational responses to conflict resolution:

1. Co-operation
2. Negotiation
3. Fighting

A co-operative culture sees conflict as a shared problem, honest information is exchanged, active participation of all is encouraged, power is minimized and spread, and attempts are made to share and understand concerns.

A negotiation culture looks for areas of agreement, but exaggerates own interests. Problems are disguised or carefully presented, and contacts are limited to spokespersons. Power if possible is tilted in one's own favour, and understanding of each other's position is used tactically.

The aggression or fighting culture sees problems as win-or-lose issues. False information is happily given; threats, confusion and shock are welcome tactics; there is a permanent power struggle and there is no attempt to understand the opponent.

Mastenbroek goes on to deal with the four key issues of power and dependency utility or instrumentality, negotiation, and the socio-emotional aspects. Other authors such as Margerison in the UK concentrate on the manager's skills of conflict identification and resolution at individual and team level.

Behaviours of Skilled Negotiators

The Huthwaite Research Group in the UK studied effective and ineffective negotiators in action, and listed the following behaviours:

Skilled negotiators used the following behaviours:

- Flagging; indicating what they are going to say or propose next.
- Testing understanding and summarizing; constantly clarifying, to avoid breakdown of negotiations.
- Asking many questions.
- Commenting on motives; constantly explaining why they are suggesting or doing something.
- Assessing own performance; always reviewing what happened to learn and improve.

- The avoided :
- Irritators; language or phrases that irritate the opposition
- Defend/attack spirals; getting into a tit-for-tat escalation
- Argument dilution; putting forward too many arguments and concentrated on strong arguments.
- Counter proposals; listening and discussing, not replying with counter proposal.

No matter how skilled the individual manager is at negotiation and conflict resolution, he or she may be unable to manage the internal politics of organizations in which bad politics are endemic.

Check Your progress 5

1. The unitary view of the organization suggests that conflict is
 - a. unwanted and destructive
 - b. wanted and constructive
 - c. both a and b
 - d. only c
2. Mastenbroek (1987) who sees organizations as networks of interdependent groups has compared three organizational responses to conflict resolution:
 - a. Co-operation
 - b. Negotiation
 - c. Fighting
 - d. all of the above

1.7 Organizational Politics

Robbins (1989) has defined political behaviour in organizations as:

“These activities which are not required as part of one’s formal role but that influence or attempt to influence the distribution of advantages or disadvantages within the organization.”

Political activity is linked to personality types and to organizational culture and structure. Where there is low trust; role ambiguity; unclear performance criteria; competitive reward systems; then political activity will grow proportionately. Politics could be said to arise in proportion to the ambiguities and lack of clarity of boundaries (authority, responsibility, resources, and so on), and so the ultimate resolution lies in organization development.

Political activity may be hard to distinguish from normal effective management behaviours. A lot depends on motives and perception; for example:

Political activity vs. effective management behaviors

Blaming others	Versus	Allocating responsibility
Creating obligations/seeking favours	Versus	Building good working relations
Sucking up to	Versus	Demonstrating loyalty
Getting others into trouble	Versus	Delegating
Causing conflict	Versus	Encouraging change
Forming cliques	Versus	Developing teamwork

Sex Differences in Leadership

A central issue in the case study was that of gender equality in the workplace. An increasing number of women have taken managerial posts and so questions such as relative effectiveness of male and female managers is raised, and also whether there are gender differences in styles of handling power and authority.

Some studies show that women managers are more likely to use consultative styles than male managers, but differences on variation in leadership styles between the sexes are not very statistically significant (Bourantas and Papalexandris 1992). However, the perception particularly by male managers, that

female executives do not possess the ‘male’ managerial characteristics of decisiveness, ability to confront and negotiate, and so on, can be extremely prejudicial in performance appraisal and career development (C Courtney Staley and Shockley Zalabak 1987). This issue will be taken up again in looking at management of the individual at work.

Check your Progress 6

1. Political activity is linked to
 - a. personality types
 - b. to organizational culture and structure
 - c. both a and b
 - d. only a

1.8 Let Us Sum Up

In this unit we studied about the leadership which is a special kind of relationship, through which the leader interacts with group and individuals, and through communication affects their motivation and actions. Since it is perceived as a social activity it has various types of powers like Reward, Coercive, Referent, Expert, and Legitimate. The Type - I and Type -II leadership have been discussed and in that managers task as per the classical theory have been mentioned as plan organize motivate and control. The three Main Leadership Categories like Leadership trait theories, Leadership skills and behavior theories and Contingency theories of leadership are discussed in detail. Other theories like Ohio and Michigan studies, Blakes grid, contingency theories, Herseys situational leader model, are explained in detail. Power and politics are also mentioned as a part of organization management. McClelland has mentioned need for power as major characteristics.

Organizational conflict its sources and culture is also discussed in detail. The topic of organizational politics is linked to personality types and organizational culture.

1.9 Answers for Check Your Progress

Check your progress 1

Answers: (1-d), (2-d), (3-c)

Check your progress 2

Answers: (1-d), (2-d), (3-d)

Check your progress 3

Answers: (1-c), (2-a)

Check your progress 4

Answers: (1-d), (2-d)

Check your progress 5

Answers: (1-a), (2-d)

Check your progress 6

Answers: (1-c)

1.10 Glossary

1. **Cultural competence** - A set of values, behaviours, attitudes, and practices which enable people to work effectively across racial/ethnic and cultural lines
2. **Diversity** - Difference, distinctness, variety.
3. **Facilitator** - A person who makes it easier for other people to accomplish objectives by offering advice and assistance in solving problems, either with technical issues or with other people.
4. **Feasibility** - Capable of being accomplished or brought about; possible.

1.11 Assignment

1. What is leadership? Discuss the type of leadership.
2. What are the sources of conflict?
3. How will you use your leadership qualities while taking your organization globally?

1.12 Activities

Write short notes:

- a. Trait theory
- b. Need of achievement
- c. Contingency theory of leadership
- d. Managers use of power
- e. Need for power

1.13 Case Study

Succession Planning at Wadia Group

Silver moon Hotels have been run by the Wadia family since the 1940s. Wadia Group, through its subsidiary companies are also into travel and tourism, event management, and marketing services. Dina Wadia is the present Chief Executive. Her only son and heir apparent, 18 years old Shiraj Wadia recently died in an air crash.

Dina has now decided that her successor would be someone outside of her family. As the CEO's position was always held by family members there has been neither internal competition nor grooming of other managers at Silvermoon Hotels for the CEO spot resulting in a deficiency of internal candidates. With the support of the Board, Dina has hired an external firm to lead the search process for her successor, which would consider candidates both inside and outside the company.

Case Study Questions

- If you are the external firm consultant, how would you approach the selection of the non-family CEO?

- Succession planning is important, yet many companies neglect this aspect.
Elaborate

1.14 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Supply Chain Management: Strategy, Planning and Operation - all 2 versions » S Chopra - IIE Transactions, 2002 – Springer.
3. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.

UNIT 2: HUMAN RESOURCES STRATEGY

Unit Structure

2.0 Learning Objectives

2.1 Introduction

2.2 The Rise of Human Resource Management (HRM)

2.3 The Issue of Strategic Human Resource Management (SHRM)

2.4 Business Strategy

2.5 The Guest Model

2.6 The Organisational Outcomes

2.7 Integration of HR Systems as Strategy

2.8 Human Resource Strategy

2.9 Role Of HRM

2.10 Human Resource Planning

2.11 Recruitment

2.12 Training and Development

2.13 Executive Development Programmes

2.14 Job Knowledge

2.15 Performance Appraisal

2.16 HR Strategy in a Dynamic Environment

2.17 Let Us Sum Up

2.18 Answers for Check Your Progress

2.19 Glossary

2.20 Assignment

2.21 Activities

2.22 Case Study

2.23 Further Reading

2.0 Learning Objectives

After learning this unit, you will be able to understand:

- The Organisational Outcomes.
- The Integration of HR Systems as Strategy.
- The Human Resource Strategy.
- The Role of HRM.
- The Human Resource Planning.
- The methods of Recruitment.
- The Training and Development programme and how to execute it?
- The Job Knowledge.
- The Performance Appraisal.
- The HR Strategy in a Dynamic Environment.

2.1 Introduction

Organizations have come to realize, over the years, that improving technology and cutting costs improve performance only up to a point. To move beyond that point, the organizations people are its most important resource. In the end, everything an organization does depends on people. Low-cost, high-quality cars like Toyota and Saturns are not just a product of sophisticated automated machines. Instead they are a result of committed employees all working hard to produce the best cars that they can at the lowest possible cost (Dessler). To extract the best out of people, the organization must provide a healthy work climate where they can exploit their talents fully while realizing goals assigned to them. They must understand and share the values of the organization and they must work together well. They must have requisite skills to handle their jobs in a competent way. Above, all to get the best out of people, they must be managed well and this requires leadership (Lado and Wilson). This is where human resource managers play a critical role in bridging gaps between employee expectations and organizational needs by adopting appropriate human resource and practices.

2.2 The Rise of Human Resource Management (HRM)

Although many theories address the key issue in the management of people, the focus of this discussion is the concept of Human Resource Management. HRM has been developed as a specific strategic management tool aimed at developing a coherent and integrated set of policies of achieve high levels of organizational performance.

HRM issue also touch on other tools and approaches such as Quality of Working Life. Total Quality Management (TQM), Leadership, and Business process Re-engineering (BPR).

1. Two Harvard Approach seen in the work of people like Beer.

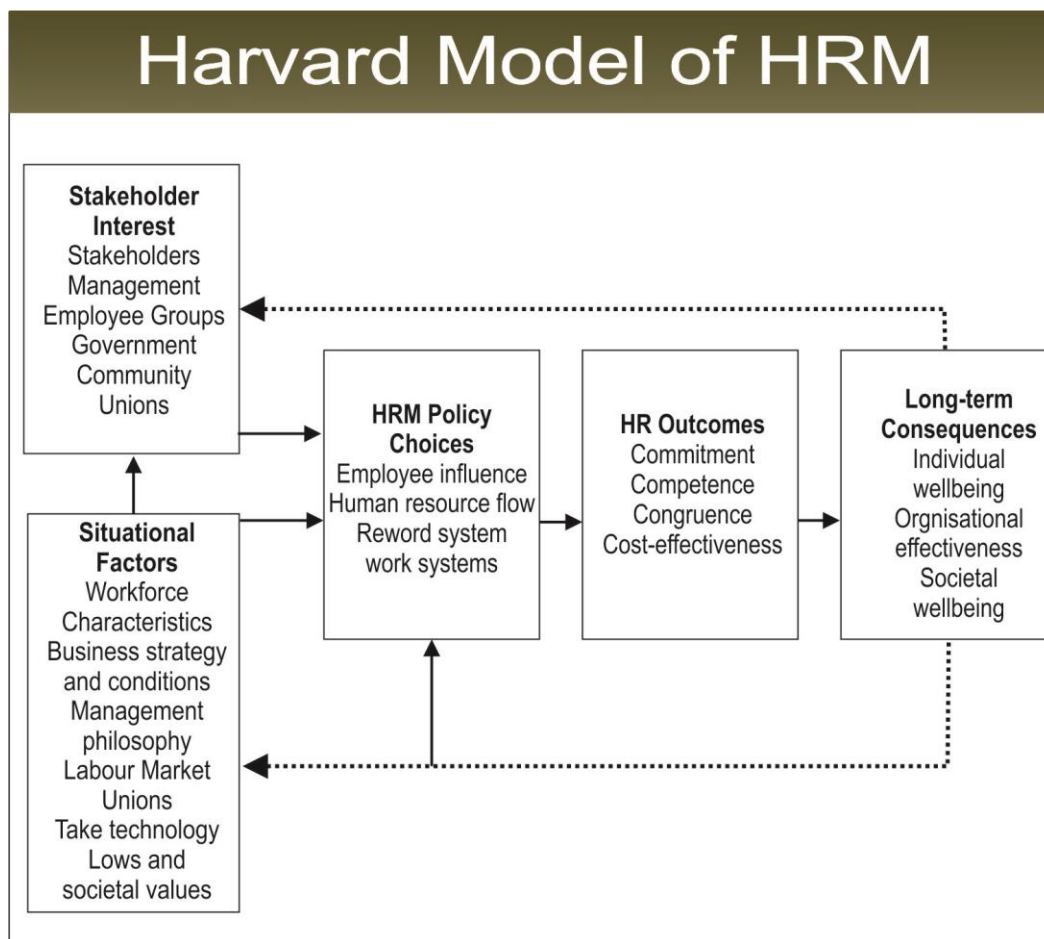


Fig 2.1 Harvard Model of HRM

2. The Michigan Approach seen in the work of people like Tichy, Fombrun and Devanna.

MICHIGAN MODEL

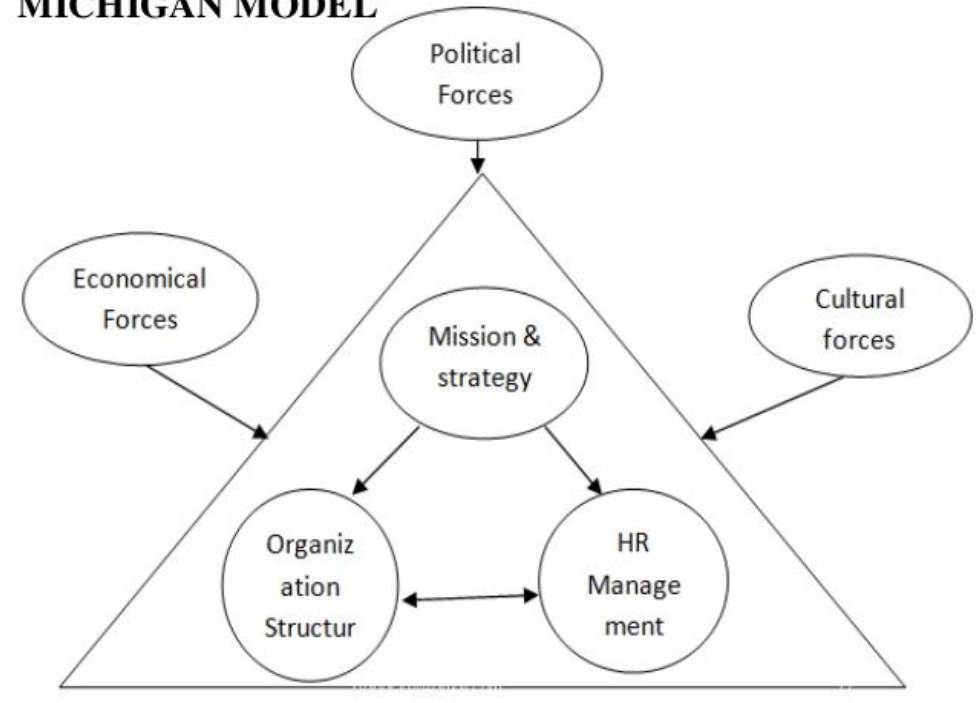


Fig 2.2 Michigan model of HRM

Both focus on developing a more strategic approach. However, they differ on the specific focus or on how to achieve the strategic focus. Both of these models, and others, are explored in detail in this workbook.

We shall examine different models of HRM. These highlight different angles to the issue of developing a strategic focus in the management of human resources. There are other breakdowns of these models; for example, we could call them “best practice models” on the other hand and “contingency models” on the other. Sisson and Timperley 1984) see the Harvard model of Beer et al. (1984) and those who have developed it (Guest, 1987) as best practice models. The models developed suggest, although often implicitly, there is one preferred and superior set of human resource policy choices. There is a strong prescriptive tone as one particular strategic approach is elevated over all others.

The contingency model emphasizes the variability of strategic human resource management policy choices under different business conditions.

The three key contingency models here are :

1. The strategy-structure model

Fombrun, Tichy and Devanna (1984) highlight a range of appropriate human resource choices suited to five different strategy/structure types. For each of the five types of situations the key human resource policy choices in the area of selection, appraisal, reward and development are delineated.

2. Business life cycle

The business life cycle approach essentially seeks to tailor human resource policy choices to the varying conditions of a firm at different stages of its life cycle. At each stage of the firm it has different priorities.

3. Matching business strategy with human resource strategy

The third type of contingency model links human resource policy choices with different types of business strategy. The extreme view associated with this approach is that of Miller (1989) who sees human resource as strategic only if it “fits” with the organisation’s product market strategy and if it is proactive in this regard. The other key model here is the work of Schule and Jackson (1987) who draw on the work of Michael Porter. They develop Porter’s distinction between innovations. Quality-enhancement of cost-reduction strategies. Miles and Snow (1984) also outline a similar model.

Check your progress 1

1. HRM has been developed as a
 - a. specific strategic management tool
 - b. aimed at developing a coherent and integrated set of policies of achieve high levels of organizational performance
 - c. both a and b
 - d. only a
2. Harvard model of HRM has two major elements they are :
 - a. stakeholders interest and situational factors
 - b. Mission strategy
 - c. organisation structure
 - d. none of the above

3. Michigan Model has major elements like :

- a. Economic forces
- b. Cultural forces
- c. political forces
- d. All of the above

2.3 The Issue of Strategic Human Resource Management (SHRM)

The models outlined give HRM a more strategic role in organizations. One theme which SHRM builds on is that human capital is one of the most critical components of strategic success for companies. Therefore, managers are encouraged to link specific HRM programme to strategic outcomes. This is a shift from the more traditional view of personnel that focuses on micro issues such as individual workers' performance and satisfaction, to a more proactive approach linking them to strategy and performance. However, despite the upsurge in popularity of SHRM, there is no consensus on a definition. Certain themes can be distilled from the writing on SHRM (Martell and Carrool, 1995).

Karen Legge (1991; 1995) argues that there is little real difference if we compare normative models of HRM and normative models of personnel. Both models:

- Emphasise the integration of personnel/HRM practices with organizational goals
- Place personnel/HRM with line management
- Emphasise the importance of individuals fully developing their abilities for their own personal satisfaction and to make their 'best contribution' to organizational success.
- Identify placing the "right" people into the "right" jobs as an important means of integrating personnel/HRM practice with organizational goals.

Karen Legge (1991) highlights that we should not confuse a comparison between "descriptive" models and normative models. However, Legge does accept that some differences can be detected:

1. Often personnel management is seen as an activity largely aimed at non managers. HRM not only emphasizes the importance of employee development, but focuses particularly on development of “the management team”.
2. While both approaches highlight the central role of line management, the focus is different in the HRM models. HRM is vested in line management as these are the business managers responsible for co-ordinating and directing all resources in the business unit in pursuit of bottom-line results.
3. The third difference Legge notes is the emphasis on the management of the organization’s culture as a central activity for line managers.

You may find it useful to be reminded about the nature of concepts at this stage:

At its broadest, a definition of a concept would be “an idea we have about a phenomenon which captures its essence”. Phenomena may be concrete objects or abstract ideas, or feelings, or distances – anything at all. In order to have a concept of something, we have to be aware of its existence. It follows from this that there may be phenomena of which we are unaware and for which we have no concepts. Conversely, in order to be aware of a phenomenon, we have to have a concept of it. Concepts bring phenomena into our awareness by linking together phenomena which are similar, and consequently they also enable us to distinguish differences between phenomena. Language supplies the labels for concepts, and we use concepts in order to identify phenomena, to think about them, and to communicate with others.

In order to be useful as a means of recognition and classification, conceptual frameworks have to be relatively abstract – not too closely linked to particular instances of phenomena. For example, it can be said that “23 Neasden Avenue” describes a particular location, but is not a conceptual framework because it is not possible to classify other houses by reference to it. There is only one of its kind.

In the light of this clarification of concepts, we shall now examine the varieties of SHRM Models.

Critical human resource activities of different organizational business unit stage

	Life-cycle stage			
	Start-up	Growth	Maturity	Decline
Recruitment, selection and staffing	Attract best technical/professional talent	Recruit adequate numbers and mix of qualified workers Management succession planning Manage rapid internal labour market movements	Encourage sufficient turnover to minimize lay-offs and provide new openings Encourage mobility as reorganizations shift jobs around	Plan and implement work-force reductions and re-allocation
Compensation and benefits	Meet or exceed labour market rates to attract needed talent	Meet external market but consider internal equity effects Establish formal compensation structures	Control compensation	Tighter cost control
Employee training and development	Define future skill requirements and begin establishing career ladders	Mould effective management team through management development and organizational development	Maintain flexibility and skills of an ageing workforce	Implement retraining and career consulting services

Labour/employee relations	Set basic employee relations philosophy and organization	Maintain labour peace and employee motivation and morale	Control labour costs and maintain labour peace Improve productivity	Maintain Peace
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Service Sector Finance Hi-Tech

Organisational /managerial characteristics	Type A (defender)	Type B (prospector)	Type AB (analyzer)
Product-market strategy	Limited stable product line Predictable markets Growth through market penetration Emphasis : ‘deep”	Broad changing produce line Changing markets Growth through product development and market development	Stable and changing product line Predictable and changing markets Growth mostly through market development
Research and development	Limited mostly to product improvement	Extensive emphasis on ‘first-to-market’	Focused, emphasis on ‘second-to-market’
Production	High volume-low cost Emphasis on efficiency and process engineering	Customised and proto-typical Emphasis on effectiveness and product design	High volume, low cost : some prototypical Emphasis on process engineering and product or brand management
Marketing	Limited mostly to sales	Focused heavily on market research	Utilises extensive marketing campaign
Organisation structure	Functional	Divisional	Functional and matrix

Organisational /managerial characteristics	Type A (defender)	Type B (prospector)	Type AB (analyzer)
Control process	Centralised	Decentralised	Mostly centralized, but decentralized in marketing and brand management
Dominant coalition	CEO Product	CEO Product research and development	CEO Marketing
	Finance/accounting	Market research	Process engineering
Business planning sequence	Plan-act-evaluate	Act-evaluate-plan	Evaluate-plan-act
Basic strategy	Building human resources	Acquiring human resources	Allocating human resources
Recruitment, selection and placement		Emphasis : ‘buy’ Sophisticated recruiting at all levels Selection may involve pre-employment psychological testing	Emphasis : ‘make’ and ‘buy’ Mixed recruiting and selection approaches
Staff planning	Formal, extensive	Informal, limited	Formal,extensive
Training and development	Skill building Extensive training programs	Skill identification and acquisition Limited training programs	Skill building and acquisition Extensive training programs Limited outside recruitment
Performance appraisal	Process-oriented procedure (for	Result-oriented procedure (for	Mostly process-oriented procedure

Organisational /managerial characteristics	Type A (defender)	Type B (prospector)	Type AB (analyzer)
	example, based on critical incidents or production targets) Identification of training needs	example, management by objectives or profit targets) Identification of staffing needs	Identification f training and staffing needs Individual/group/division performance evaluations
	Individual group performance Evaluations Time-series comparisons (for example, previous year's performance)	Division/corporate performance Evaluations Cross-sectional comparisons (for example, other companies during same period)	Mostly time-servies, some cross-sectional comparisons
Compensation	Oriented towards position in organization hierarchy Internal consistency total compensation heavily oriented towards cash and driven by superior/subordinate differentials	Oriented toward performance External competitiveness total compensation heavily oriented towards incentives and driven by recruitment needs	Mostly oriented toward hierarchy, some performance considerations Internal consistency and external competitiveness Cash and incentive compensation

Environment

Unstable, as contracts given on annual basis subject to review. Competitive particularly in North East region of UK where high unemployment has resulted in some low wages and salaries.

Availability of Resources

Experienced cleaner-drivers readily available in North East and North West and South West, shortage in South East.

Financial Resources: favourable loan.

Equipment and premises: rented offices, car and van leasing.

Ackermann defines human resource strategy as “a pattern in a constant stream of human resource management decisions”. In his research he was able to define 25 variables describing personnel policy decisions, from which he distinguishes four types of HRM strategies:

1. Development emphasizes training, long term planning, internal hiring
2. Control emphasizes performance appraisal, performance based rewards, no job evaluation
3. Administrative is short-term manpower planning, external hiring, low level human resource
4. Screening emphasizes labour market scanning, attitude surveys, money incentive

These human resource strategies could be associated with the business strategies categorized by Miles and Snow (1981). Ackermann's research indicates human resource strategy follows business strategies, and they tend to be independent of environmental pressures up to a certain point. When the challenge forces a change; they are independent of company size and resource availability.

In excel we can see the ‘analyser’ and ‘prospector’ using Miles and Snow but less so the ‘defender’.

A further model to explain the relationships between the key issues affecting HRM strategy including flexibility and change was developed at Harvard University by Beer et al (1984). The key feature of their approach is to recognize the influences of a variety of stakeholders with interests in the organization. The model B outline.

Beer et al define HRM as involving all management decisions and actions that affect the relationship between the organizations and employees.

You can see that this analytical model enables human resource management to be seen in the context of business activity, and business context. Another example is a contingency model with elements of the model dependant of each other. The constant flow between elements enables changes to business content to be worked through with HRM practice.

David Guest (1987; 1989) sees HRM in terms of two dimensions. The first is a soft-hard dimension, and the second is a loose-tight dimension.

Check Your Progress 2

1. In SHRM Development emphasizes on
 - a. Training
 - b. long term planning
 - c. internal hiring
 - d. all of the above
2. In SHRM Screening emphasizes on
 - a. labour market scanning
 - b. attitude surveys
 - c. money incentive
 - d. all of the above
3. In SHRM Control emphasizes on
 - a. performance appraisal
 - b. performance based rewards
 - c. no job evaluation
 - d. all of the above

2.4 Business Strategy

Business strategy engages itself with shaping the future of the business unit concerned. It is essentially a competitive strategy which signifies the interface between the business unit and its market. It has a concern of meeting the competition, protecting market shares and achieving profits at the business unit

level. It is concerned with the market place fight. Business strategy accomplishes the purpose of business from spotting the needs of specific consumers in a specific business and translating their needs into suitable products and making the intended profits. The business strategy and corporate strategy are interdependent. It covers key areas like sales volume, sales revenue, market share, market standing and profits.

It will specify the growth to be achieved by the unit:

- Quantum of Growth
- Rate of Growth
- Timing of Growth.

Business strategy objectives are set at three levels:

- Product line level
- Product level
- Brand level

There are two routes to business level strategy:

- **Price route:** It competes on the strength of pricing .Price is used a competitive leveler .the business can afford to lower the prices and still make the targeted profits.
- **Differentiation route:** It is also known as non-price strategy route as it revolves around the aspects other than the price. It is the more dynamic and powerful route in competitive strategy.

Check Your Progress 3

1. Business strategy objectives are set at three levels :
 - a. Product line level
 - b. Product level
 - c. Brand level
 - d. All of the above

2. The routes of Business strategy are :
 - a. Price route
 - b. Differentiation route
 - c. Both a and b
 - d. Only b
3. Growth in business strategy is achieved by the terms of
 - a. quantum of growth
 - b. rate of growth
 - c. timing of growth
 - d. all of the above

2.5 The Guest Model

Guest outlines ‘the bare bones’ of a HRM theory which he sees as a distinctive and different approach to personnel. His theory of HRM has four key aspects:

1. A specific set of HRM outcomes or HRM policy goals
2. A set of HRM policies
3. ‘Cement’ which binds the system together

1. **A specific set of HRM outcomes or HRM policy goals**

Strategic Integration is concerned with fully integrating HRM into strategic planning, that HRM policies cohere both across policy areas and across hierarchies; and that HRM practices are accepted and used by line managers as part of their everyday work.

Commitment is concerned with the goals of binding employees to the organization and obtaining behavioural commitment to high performance. This is a central concern of Guest’s model. The assumption is that committed employees will be more satisfied, more productive and more adaptable.

Flexibility is concerned with the organizational structure, which must be adaptive and receptive to innovation/change. This is what Atkinson and Meagre call “functional flexibility”. This is a job design approach based on job enrichment on autonomous work group principles and multi skilling of the workforce to meet the

requirements of this type of design. Flexibility for Guest therefore has three components – organization design, job design, and employee attitudes and motivations.

Quality is focused on quality of staff, performance and public image. Quality is concerned to ensure the high quality of goods and services, high quality of staff to provide these in the flexible organization and high quality management of employees.

The above goals are a package – each is required to ensure the kind of organizational outcomes listed

2. **A set of HRM policies**

In order to achieve the HRM policy goals the “conventional” personnel management systems are used. The way they are used does differ. They are not only concerned with ‘good’ selection, training, communicating and so on; they are focused on achieving the HRM policy goals. For example, selection is intended to achieve both high equality and the potential for attitudinal commitment, training should develop flexibility, and communication should be goal directed rather than being concerned only with process.

3. **‘Cement’ which binds the system together**

There are a further three essential parts of a successful HRM strategy:

1. Visible and clear leadership in support of HRM from key leaders/managers.
2. Strong culture in support of HRM
3. Conscious strategy to pursue HRM

Check Your Progress 4

1. Guests theory has which of the following aspects
 - a. A specific set of HRM outcomes and set of HRM policies
 - b. Cement which binds the system together and number of organizational outcomes
 - c. Both a and b
 - d. Only b

2. There are a further three essential parts of a successful HRM strategy :
 - a. Visible and clear leadership in support of HRM from key leaders/managers.
 - b. Strong culture in support of HRM
 - c. Conscious strategy to pursue HRM
 - d. All of the above
3. According to Guest Flexibility has three components
 - a. organization design
 - b. job design
 - c. employee attitudes and motivations
 - d. all of the above

2.6 The Organisational Outcomes

HRM is seen to be associated with key organizational outcomes which are positive for the organization.

Guest (1987) highlights two key issues arising from his model which you must note. Firstly, the HRM values are predominantly individualist and unities. They assume no underlying and inevitable differences of interests between management and workers. They are essentially individualistic in that they emphasise the individual and organizational linkage in preferences to operating through group and representative systems. Both the formal and psychological contracts for shop-floor workers are similar to those previously offered to managers. These values leave little scope for collective arrangements and assume little need for collective bargaining. HRM, therefore, poses a considerable challenge to traditional industrial relations and trade unionism. At the same time, HRM is not necessarily anti-union. The four components of HRM are not in any sense incompatible with trade-union activity, although they do offer challenges to unions. For example, in the area of commitment the question can be asked whether high company commitment can coexist with commitment to a trade union. Research has indicated that dual allegiance is possible where a co-operative industrial relations climate exists (Angle and Perry, 1986).

The Contingency School

Fombrun, Tichy and Devanna – The Michigan School

One of the earlier models was developed by Fombrun, Tichy and Devanna (1984) which introduced the concept of strategic human resource management (SHRM). In this model HRM policies are inextricably linked to the formulation and implementation of strategic corporate and/or business objectives. The model emphasizes the importance of a 'tight fit' between human resource strategy and business strategy. HRM has a key role in the formulation of organizational policies.

For Fombrun et al the personnel department was not merely an administrative support function with a lowly status; it should be a key part of the human resource management of the organization. To follow a strategic approach HRM has to include all the human resource areas of the organization and be practiced by all employees. The decentralization and development of responsibility is a key part of the HRM strategy as it facilitates communication, involvement and commitment of middle management's other employees. Organisational effectiveness is due to how the strategy and structure of the organization inter-related which implies a matching model based on the work of Alfred Chandler.

There are also a number of fundamental organizational policies which provide the context for considering HRM. These policies vary and may limit or constrain the actual designs of a human resource system. These are:

1. Management Philosophy

In this area are two key issues:

- The nature of the organisation's psychological contract with its employees and the extent to which the organization is "top down" or "bottom up" driven
- The degree of centralization

2. Reliance on development and selection:

Which factor is seen as important in performance?

3. Group versus individual performance

Which emphasis is followed or is there a mixture?

The Human Resource Cycle

Fombrun et al outlined four generic processes or functions that are performed by a human resource system:

1. Selection
2. Appraisal
3. Rewards
4. Development

These reflect sequential managerial tasks, which can be seen in terms of a human resource cycle. The dependent variable is performance. Performance is a function of all the human resource components.

These functions can be seen in terms of the three levels of managerial work – the strategic, managerial and operational.

Check Your Progress 5

1. The three levels of managerial work
 - a. strategic
 - b. managerial
 - c. operational
 - d. all of the above
2. Generic processes or functions that are performed by a human resource system:
 - a. Selection and Appraisal
 - b. Rewards and Development
 - c. Both a and b
 - d. Only a
3. According to Guests the HRM values are predominantly
 - a. individualist and unitarist
 - b. separatist and normative
 - c. both a and b
 - d. none of the above

2.7 Integration of HR Systems as Strategy

You have seen that dominant trends in HR include the move towards individualism in contracts and away from collectivity. If “controls” need to be in place for empowered staff managed remotely from the centre, then HR systems can themselves become part of strategy.

“The number and desire of HR executives is to design performance management systems to achieve business goals”.

- Currell, Elbert, Hatfield

We suggest that superior information systems can be identified as distinctive core competencies and the source of competitive advantage.

Changes to organizational structure create considerable stress on HR information systems. Mergers, downsizing acquisition all have implication for the HR systems of information maintained in each of the organizations. Managing change effectively and flexibly requires clear control of information which is itself accurate and up-to-date.

Since employees are normally the largest ‘corporate expense’ for employers, a computerized HR department may be crucial.

In 1992 Towers Perrin wrote a study for IBM “Priorities for Competitive Advantage”. 12 countries were surveyed, including 3,000 managers. This identified, amongst others, human resource information systems had three ‘top benefits’:

1. Better employee communication.
2. Greater information accuracy based on faster processing of information and
3. Improved planning and programme development.

Requirement varies between culture, but software and hardware needs to be able to provide management information supply.

In 1993 The Family and Medical Leave Act (FMLA) come into operation in the USA. This complex legislation requires a ‘rolling twelve month’ source of data for each employee. For example, if a part-time employee asks for family leave, they have to have worked at least 1,250 hours in the last twelve months and these needs to be monitored.

The range of information available as software is increasing all the time.

The following tables and diagrams illustrate ways in which HR can be integrated as part of the strategy for the organization as a whole.

Human Resources Strategy

Rhetoric	Reality
Customer first	Market forces supreme
Total quality management	Doing more with less
Lean production	Mean production
Flexibility	Management 'can do' what it wants
Core and periphery	Reducing the organizations' commitments
Devolution/delaying	Reducing the number of middle managers
Down-sizing/right-sizing	Redundancy
New working patterns	Part-time instead of full time jobs
Empowerment	Making someone else take the risk and responsibility
Training and development	Manipulation
Employability	No employment security
Recognizing contribution of the collective individual	Undermining the trade union and bargaining
Team-working	Reducing the individual's discretion

Human Resource Management Links to Strategy and Structure Human Resource Management

Strategy	Structure	Selection	Appraisal	Rewards	Development
1. Single product	Functional	Functionally oriented : subjective criteria used	Subjective measure via personal contact	Unsystematic and allocated in a paternalistic manner	Unsystematic largely job experience single function focus
2. Single product (vertically)	Functional	Functionally oriented : standardized criteria	Impersonal : based on cost and	Related to performance and	Functional specialists with some generalists :

integrated)		used	productivity	productivity	rotation
3. Growth by acquisition (holding company) of unrelated businesses	Separate self-contained businesses	Functionally oriented, but varies from business to business in terms of how systematic	Impersonal : based on return on investment and profitability	Formula – based includes return on investment and profitability	Cross-functional but not cross-business
4. Related diversification of product lines through internal growth and acquisition	Multi-divisional	Functionally and generalist oriented : systematic criteria used	Impersonal : based on return on investment, productivity , and subjective assessment of contribution to company	Large bonuses : based on profitability and subjective assessment of contribution to overall company	Cross-functional, cross-divisional, and cross corporate/divisional formal
5. Multiple products in multiple countries	Global organization (geographical centre and world-wide)	Functionally and generalists oriented systematic criteria used	Impersonal : based on multiple goals such as return on investment, profit tailored to product and country	Bonuses : based on multiple planned goals with moderate top management discretion	Cross-divisional and cross-subsidiary to corporate : formal and systematic

Exhibit 3, Business Strategies and Human Resources Management System

Organizational/ Managerial characteristics	Type A (Defender)	Type B (Prospector)	Type B (Analyser)
Product-market strategy	Limited, stable product line Predictable market	Broad, changing product line Changing markets	Stable and changing product line Predictable and

Organizational/ Managerial characteristics	Type A (Defender)	Type B (Prospector)	Type B (Analyser)
	Growth through market penetration Emphasis : ‘deep’	Growth through product development and market development Emphasis : ‘broad’	changing markets Growth mostly through market development Emphasis : ‘deep’ and ‘focused’
Research and development production	Limited mostly to product improvement High volume-low cost Emphasis on efficiency and process engineering	Extensive, emphasis on ‘first-to-market’ Customised and prototypical Emphasis on effectiveness and	Focused, emphasis on ‘second-to-market’ High volume, low cost some prototypical Emphasis on process engineering and product or brand management
Marketing Organisational structure	Limited mostly to sales Functional	Focused heavily on market research Divisional	Utilises extensive marketing campaigns Functional and matrix
Control process	Centralised	Decentralised	Mostly centralized but decentralized in marketing and brand management
Dominant coalition	CEO Production	CEO Product research and development	CEO Marketing

Organizational/ Managerial characteristics	Type A (Defender)	Type B (Prospector)	Type B (Analyser)
	Finance/accounting	Market research	Process engineering
Business planning sequence	Plan-Act-Evaluate	Plan-Act-Evaluate	Plan-Act-Evaluate
Basic strategy	Building human resources	Acquiring human resources	Allocating human resources
Recruitment, selection and placement	Emphasis : ‘make’ Little recruiting above entry level Selection based on weeding out undesirable employees	Emphasis : ‘buy’ Sophisticated recruiting at all levels Selection may involve pre-employment psychological testing	Emphasis : ‘make’ and ‘buy’ Mixed recruiting and selection approaches
Self-planning	Formal, extensive	Informal, limited	Formal, extensive
Training and development	Skill building Extensive training programs	Skill identification and acquisition Limited training programs	Skill building and acquisition Extensive training programs Limited outside recruitment
Performance appraisal	Process-oriented procedure (for example, based on critical incidents or production targets) Identification of training needs	Results-oriented, procedure (for example, management by objectives or profit targets) Identification of staffing needs	Mostly process- oriented procedure Identification of training and staffing needs Individual group/division performance evaluations

Organizational/ Managerial characteristics	Type A (Defender)	Type B (Prospector)	Type B (Analyser)
	Individual group performance evaluations Time-series comparisons (for example, previous years' performance)	Division/corporate performance evaluations Cross-sectional comparisons (for example, other companies during same period)	Mostly time-series, some cross – sectional comparisons
Compensation	Oriented toward positions in organization hierarchy Internal consistency Total compensation heavily oriented toward cash and driven by superior/subordinate differentials	Oriented toward performance External competitiveness Total compensation heavily oriented toward incentives and driven by recruitment needs	Mostly oriented toward hierarchy, some performance consideration Internal and consistency external competitiveness Cash and incentive compensation

Check Your Progress 6

1. Human resource information systems had three 'top benefits' :
 - a. Better employee communication
 - b. Greater information accuracy based on faster processing of information and
 - c. Improved planning and programme development
 - d. All of the above

2.8 Human Resource Strategy

Human resources then are critically important strategic resources. Successful organizations will be able to attract, motivate, develop, reward and keep competent employees through appropriate human resource practices. They will be able to create and implement strategic changes in an atmosphere of close cooperation and participation while trying to manage people, of course, there is no one best way of getting results. The human resource practices must be in tune with the expectations of employees and in line with industry norms. Employees, now a days, have become more knowledgeable and demanding. They want jobs with stretch, pull and challenge, Enriched jobs, performance based rewards, flexible working hours and autonomous work spots have changed the entire personnel scenario in the 21st century. Rapid changes in technology and competition have only complicated matters further. Under the circumstances, even the best-known employees are under constant pressure to retain their most precious assets, the employees, within their fold. Since all corporate strengths and dependant on people, successful companies generally focus more on good human resource practices. Corporates are increasingly discovering that their core abilities lie not in particular products or product categories, but in unique expertise or the knowledge pool and skills of their people. An effective human resource strategy aims at developing and executing policies, programmes and practices that align human activity to corporate objectives.

Check Your Progress 7

1. An effective human resource strategy aims at
 - a. developing and executing policies
 - b. programmes and practices that align human activity to corporate objectives
 - c. both a and b
 - d. only a

2.9 Role of HRM

Human resource management is the art of procuring, developing and maintaining competent workforce to achieve the goals of an organization in an effective and efficient manner. The biggest challenge for the HR managers, now a days, is to shift attention from current operation to developing strategies for the future. HRM is no longer a standalone staff function. It has to involve everyone to develop partnerships and programmes that permit the firm to succeed in a highly competitive environment. HRM would offer competitive advantages if (Towers Perrain):

- HR policies are jointly developed and implemented by HR and Operating managers.
- HRM puts focus on quality, customer service, employee involvement, teamwork and productivity.
- HRM strategies are in tune with changing competitive requirements (such as globalization, downsizing etc.)

Competitive Advantage through People:

Competitive advantage refers to the ability of an organization to formulate strategies to exploit profitable opportunities, thereby maximizing its return on investment. Competitive advantage occurs if customers perceive that they receive value from their transaction with an organization. This requires single minded focus on customer needs and expectations. To achieve this, the organization needs to tune its policies in line with changing customer requirements. The second principle of competitive advantage derives from offering a product or service that your competitor cannot easily imitate or copy. An organization should always try to be unique in its industry along dimensions that are widely valued by customers. In order to enjoy the competitive advantage, the firm should be a cost leader, delivering value for money. It must have a committed and competent workforce. Workers are most productive if they are loyal to the firm, informed about its mission, strategies and current levels of success; (i) involved in teams which collectively decide how things are to be done and (ii) are trusted to take the right decision rather than be controlled at every stage by managers above them. A good team of competent and committed employees will deliver the goods if they are involved in all important business activities and are encouraged to develop goals that they are supposed to achieve. In recent times a new line of thinking has emerged in support of this view known as strategic human resource management (SHRM). SHRM views HR managers as strategies partners both in the

formulation and implementation of the company's strategies in crucial areas such as recruitment, training, performance appraisal, wage and salary administration, industrial relations etc.

Personal Policies

A policy is a plan of action. Brewster and Richbell defined personnel policies as, "a set of proposals and actions that act as a reference point for managers in their dealings with employees. Personnel policies constitute guides to action. They furnish the general standards or bases on which decisions are reached. Their genesis lies in an organisation's values, philosophies, concepts and principles." Personnel policies guide the course of action intended to accomplish personnel objectives. For example, one of the personnel policies of Indian Railways is to provide equal employment opportunities to minorities.

Broadly speaking, policies are broad statements which express the organization's principles and philosophies towards its human resource group, intentionally broad, so that may be applied to various situations. Policies do not include detailed statements describing specifically how the policy is to be implemented. Policies are implemented by procedures. While developing sound personnel policies, management should pay attention to the following things:

- **Related to objectives:** Policies must be capable of relating objectives to functions, physical factors and company personnel.
- **Easy to understand:** Policies should be stated in definite, positive, clear and understandable language.
- **Precise:** Policies should be sufficiently comprehensive and prescribe limits and yardsticks for future action.
- **Stable as well as flexible:** Personnel policies should be stable enough to assure people that there will not be drastic overnight changes. They should be flexible enough to keep the organization in tune with the times.
- **Based on facts:** They should be built on the basis of facts and sound judgement and not on personal feelings or opportunistic decisions.
- **Appropriate number:** There should be as many personnel policies as necessary to cover conditions that can be anticipated, but not so many policies as to become confusing or meaningless.
- **Just, fair and equitable:** Personnel policies should be just, fair and equitable to internal as well as external groups. For example, a policy of recruitment from within may limit opportunities to bright candidates from

outside; and a policy of 'recruitment only' would limit promotional avenues to promising internal candidates. To ensure justice, it is necessary to pursue both the policies scrupulously and apply them carefully.

- **Reasonable:** Personnel policies must be reasonable and capable of being accomplished. To gain acceptance and commitment from employees, the policy should be 'conditioned by the suggestions and reactions of those who will be affected by the policy.
- **Review:** Periodic review of personnel policies is essential to keep in tune with changing times and to avoid organizational complacency or managerial stagnation. For instance, if the current thinking is in favour of workers' participation in management, the personnel policy should be suitably adjusted to accommodate the latest fad, accepted by many in the organization.

Personnel policies, to be sound, should also have broad coverage in addition to satisfying the above conditions.

Check your progress 8

1. HRM would offer competitive advantages if
 - a. HR policies are jointly developed and implemented by HR and Operating managers.
 - b. HRM puts focus on quality, customer service, employee involvement, teamwork and productivity.
 - c. HRM strategies are in tune with changing competitive requirements
 - d. All of the above
2. SHRM views HR managers as strategies partner in crucial areas such as
 - a. Recruitment and training
 - b. performance appraisal and wage
 - c. salary administration and industrial relations
 - d. all of the above

2.10 Human Resource Planning

Finding the right man for the right job and developing him into an effective team member is an important function of every manager. Human resources are alone capable of enlargement, i.e. capable of producing an output that is greater than the sum of inputs. In order to harness the human energies in the service of organizational goals, every manager is expected to pay proper attention to recruitment, selection and training activities in an organization. Proper promotional avenues must be created so as to motivate people to peak performance. All these things, however, do not come by easily. It requires through planning and a certain amount of zeal and commitment to convert to the rhetoric into concrete action (Walker).

Human resource planning is essentially the process of getting the right number of qualified people into the right job at the right time. It is a system of matching the supply of people (existing employees and those to be hired or searched for) with openings the organization expects over a given time frame.

Human resource planning (HRP) is a forward-looking function. It tries to assess manpower requirements in advance keeping the production schedules, market fluctuations, and demand tuned to the requirements of an organization from time to time. It is an integral part of the overall corporate plan and reflects the broad thinking of management about manpower needs within the organization. The focus of the plan is always on getting right number of qualified people into the organization at the right time. To this end, manpower plans are prepared for varying time periods, i.e. short term plans covering a time frame of 2 years and long term plans encompassing a period of 5 or more years.

The basic purpose of having a manpower plan is to have an accurate estimate of the number of employees required, with matching skills requirements to meet organizational objectives. It provides information about the manner in which existing personnel are employed, the kind of skills required from different categories of jobs and manpower needs over a period of time in relation to organizational objectives. It would also give an indication of the lead time that is available to select and train the required number of additional manpower.

There is no single right approach to HRP. As pointed out by Keith Davis, “all organizations should identify their short run and long run employee needs by examining their corporate strategies.” Short range plans point out job openings that must be filled over a one-year time frame and long range plans estimate HR

needs over a three-to-five year time period. Each organization must find a blend of practices that work within the company culture and the realities of business.

Check Your Progress 9

1. Human resource planning (HRP) is a forward-looking function as it tries to assess
 - a. manpower requirements in advance keeping the production schedules
 - b. market fluctuations
 - c. demand tuned to the requirements of an organization from time to time
 - d. all of the above

2.11 Recruitment

The human resources are the most important assets of an organization. The success or failure of an organization is largely dependent on the caliber of the people working therein. Without positive and creative contributions from people, organizations cannot progress and prosper. In order to achieve the goals or the activities of an organization, therefore, we need to recruit people with requisite skills, qualifications and experience. While doing so, we have to keep the present as well as the future requirements of the organization in mind. Recruitment is a linking function – joining together job seekers and the employer with a view to encourage the former to apply for a job with the latter. The basic purpose of recruiting is to develop a group of potentially qualified people. To this end, the organization must communicate the position in such a way that job seekers respond. To be cost effective, the recruitment process should attract qualified applicants and provide enough information for unqualified persons to self-select themselves out.

Recruitment, the Challenges

- Attract people with multidimensional experience and skills
- Infuse fresh blood at every level in the organization.
- Induct outsiders with a new perspective to lead the company.
- Developing a supportive culture that attracts competent people to the company.

- Locate people whose personalities match the company's values.
- Anticipate and find people for positions that do not exist yet.
- Search for talent globally, and not just within the country.

Selection

To select means to choose. Selection is the process of picking individuals who have relevant qualifications to fill jobs in an organization. The basic purpose is to choose the individual who can most successfully perform the job from the pool of qualified candidates.

The purpose of selection is to pick up the most suitable candidate who would meet the requirements of the job and suit the organization best. The company obtains and assesses information about the applicant in terms of age, qualifications, skills, experience etc. The needs of the job are, and then matched with the profile of candidates. The most suitable person is then picked up after eliminating the unsuitable applications through successive stages of selection process. How well an employee is matched to job is very important because it directly affects a great deal of money, time and trouble, especially, in terms of training and operating costs? In course of time, the employee may find the job distasteful and leave in frustration. He may even circulate 'hot news' and juicy bits of negative information about the company, causing incalculable harms in the long run. Effective selection therefore demands constant monitoring of the 'fit' between person and the job.

Selection usually is a series of hurdles or steps. Each one must be successfully cleared before the applicant proceeds to the next. The discrete selection process would normally include the following: initial screening interview, completion of the application form, employment tests, comprehensive interview, background investigation, conditional job offer, physical or medical examination, and the permanent job offer. The time and emphasis placed on each step will of course vary from one organization to another and indeed, from job to job within the same organization. Some organisations may give importance to testing, whereas others may emphasize interviews and reference checks. Similarly, a single brief selection interview might be enough for applicants for lower level positions, while applicants for managerial jobs might be interviewed by a number of people.

Placement

After selecting a candidate he should be placed on a suitable job. Placement is the actual posting of an employee to a specific job. It involves assigning a specific rank and responsibility to an employee. The line manager takes the placement decisions after matching the requirements of a job with the qualification of a candidate. Most organizations put new recruits on probation for a given period of time, after which their services are confirmed. During this period the performance of the probationer is closely monitored. If the new recruit fails to adjust himself to the job and returns out proper performance, the organization may consider his name for placement elsewhere. Such second placement is called 'differential placement'. Usually the employees' supervisor, in consultation with the higher levels of line management, takes decisions regarding the future placement of each employee.

Placement is an important human resource activity. If neglected, it may create employees adjustment problems leading to absenteeism, turnover, accidents, poor performance etc. The employee will also suffer seriously. He may quit the organization in frustration, complaining bitterly about everything. Proper placement is therefore, important to both the employee and the employer.

Induction/Orientation

Orientation of induction is the task of introducing the new employees to the organization and its policies, production and rules. A typical formal orientation programme may last a day or less in most organizations. During this time, the new employee is provided with information about the company, its current position, the benefits for which he is eligible leave rules, rest period etc. Also covered are the more routine things a newcomer must learn, such as the location of the rest rooms, break rooms, parking spaces, cafeteria, etc. In some organizations, all this is done informally by attaching new employees to their seniors, who provide guidance on the above matters. Lecturers, handbooks, films, groups, seminars are also provided to new employees so that they can settle down quickly and resume the work.

Orientation is a necessary part of the selection process. It is essential because the newcomer may feel insecure, shy, nervous and frustrated. Absence of information, lack of knowledge about new environment, behavioral variations complicate the matters further. Orientation helps the employee to gain acquaintance with his colleagues, imbibe the work culture and learn the work habits quickly. He can now start his work with confidence.

Check your progress 10

1. The basic purpose of recruiting is to develop
 - a. a group of potentially qualified people
 - b. select people
 - c. give them a job
 - d. none of the above
2. The purpose of selection is to pick up the most suitable candidate who would
 - a. meet the requirements of the job and suit the organization best
 - b. Get trained to deliver
 - c. Both a and b
 - d. Only b
3. Orientation of induction is the task of introducing the new employees to the
 - a. organization
 - b. policies
 - c. production and rules
 - d. all of the above

2.12 Training and Development

Training is the act of increasing g knowledge and skills of an employee for doing a particular job. The major outcome of training is learning. A trainee learns new habits, refined skills and useful knowledge during the training that helps him improve performance. Training enables an employee to do his present job more efficiently and prepare himself for a higher level job. Training, thus, may be defined as a planned programme designed to improve performance and bring about measurably changes in knowledge, skills, attitude and social behavior and employees.

Basically, it is a learning experience that is planned and carried out by the organization to enable more skilled task behaviour by the trainee. Training imparts the ability to detect and correct error. Furthermore, it provides skills and abilities that may be called on in the future to satisfy the organization's human

resources needs. Training may be carried out on the job or in the classroom and in the latter case, it may be on site or off site; perhaps in a motel or a training centre- or it may be in simulated environment that is thought to be acquire abilities and knowledge that will enable them to perform their jobs more effectively.

Development, in contrast, is considered to be more general than training and more oriented to individual needs in addition to organizational needs and it is most often aimed toward management people. There is more theory involved with such education and hence, less concern with specific behavior than is the case with training. Usually, the intent of development is to provide knowledge and understanding that will enable people to carry out non-technical organizational functions more effectively, such as problem solving, decision-making and relating to people.

A wide variety of training programmes are used in different organizations, depending upon requirements and size of their manpower. Some of the commonly used programmes may be listed thus:

- a. **Orientation Training:** Orientation or induction training tries to put the new recruits at ease. Each new employee is usually taken on a formal tour of the facilities, introduced to key personnel and informed about company policies, procedures and benefits. To be effective, orientation training should be well planned and conducted within the first week of employment. Such a pre-job training helps the recruit to familiarize himself with the job and its settings.
- b. **Job Instruction Training:** Job instruction training (JIT) was popular during World War II. JIT was offered to white-and-blue-collar employees and technicians, with a view to improve their job-specific skills. The approach basically consisted of four steps.
 - Orient trainees to the job situation by providing them with an overview of the job.
 - Demonstrate the entire job, using the services of experienced trainers.
 - Ask trainees to do the job as often as necessary until satisfactory performance is obtained.
 - Evaluate employee performance periodically and offer supplementary training, if necessary.
- c. **Refresher Training:** Rapid changes in technology may force companies to go in for this kind of training. By organizing short-term courses, which incorporate the latest developments in a particular field, the company may

keep its employees up-to-date and ready to take on emerging challenges. It is conducted at regular intervals by taking the help of outside consultants who specialize in a particular descriptive.

- d. **Apprenticeship Training:** Commonly found in industries such as carpentry and plumbing, apprentices are trainees here who spend a prescribed period of time working with an experienced, master worker.
- e. **Vestibule Training:** It is training offered on actual equipment used on the job but conducted away from the actual work setting in a simulated work situation.

Check Your Progress 11

1. Following things are learnt by a trainee during the training that helps him improve performance
 - a. new habits
 - b. refined skills
 - c. useful knowledge
 - d. all of the above
2. Job instruction training (JIT) approach basically consisted of four steps.
 - a. Orient trainees to the job situation by providing them with an overview of the job and demonstrate the entire job, using the services of experienced trainers.
 - b. Ask trainees to do the job as often as necessary until satisfactory performance is obtained.
 - c. Evaluate employee performance periodically and offer supplementary training
 - d. All of the above

2.13 Executive Development Programmes

Executive Development Programmes help in acquiring and developing different types of managerial skills and knowledge. Different types of techniques are used to acquire and develop various types of managerial skill and knowledge. They are explained below:

1. **Decision-making Skills:** The main job of a manager is to make both strategic and routine decisions. His ability to make decisions effectively can be enhanced by developing decision-making skills through various techniques, as explained below:
 - a) **In basket:** In this method, the participant is given a number of business papers such as memoranda, reports and telephone message that would typically come across a managers desk. The pepers, presented in no particular sequence, call for actions raging from urgent to routine handling. The participant is required to act on the information contained in these papers. Assigning a priority to each particular matter is initially required.
 - b) **Case Study:** This is a training method that employs simulated business problems for trainees to solve. The individual is expected to study the information given in the case and make decisions based on the situation. If the student is provided a case involving an actual company, he is expected to research the firm to gain a better appreciation of its financial condition and corporate culture. Typically, the case method is used in the classroom with an instructor who serves as a facilitator.
 - c) **Business Game:** Simulations that represent actual business situations are known as business games. These simulations attempt to duplicate selected factors in a specific situation, which are then manipulated by the participants. Business games involve two or more hypothetical organizations competing in a given product market. The participants are assigned such roles as Managing Director, General Manager, and Marketing Manager Etc. They make decisions affecting price levels, production volume and inventory levels. A computer programme manipulates the result of their decisions, with the results simulating those of an actual business situation. Participants are able to see how their decision affects the other groups and vice versa.

2. **Inter-personal Skills:** A manager can achieve results only when he is able to put individuals on the right track. He must interact people actively and make them work unitedly. Managerial skills in the area of inter-personal relations can be enhanced through various techniques, viz, Role Play and Sensitivity Training.
- a) **Role Play:** This is a technique in which some problem-real or imaginary-involving human interaction is presented and then spontaneously acted out. Participants may assume the role of specific organizational member in a given situation and then act out their roles. For example, a trainee might be asked to play the role of the employee. The individual playing the supervisory role would then proceed to take whatever action is deemed appropriate. This action then provides the basis for discussion and comments by the group.
 - b) **Sensitivity Training:** This is a method of changing behaviour through unstructured group interaction. Sensitivity training is sought to help individuals towards better relations with others. The primary focus is on reducing interpersonal friction.

In sensitivity training the actual technique employed is T-group (T stands for training). It is a small group of ten to twelve people assisted by a professional behavioural scientist who acts as a catalyst and trainee for the group. There is no specified agenda. He merely creates the opportunity for group members to express their ideas and feelings freely. Since the trainer has no leadership role to play, the group must work out its own methods of proceeding. A leaderless and agenda-free group session is on. They can discuss anything they like. Individuals are allowed to focus on behavioral rather than on duties. As members engage in the dialogue they are encouraged to learn about themselves as they interact with others.

Check your progress 12

1. The techniques of decision making skills are :
 - a. In basket
 - b. Case study
 - c. Business Game
 - d. All of the above

2. Inter-personal relations can be enhanced through various techniques like
 - a. Role Play
 - b. Sensitivity Training
 - c. Both a and b
 - d. Only a
3. Executive Development Programmes help in acquiring and developing different types of managerial skills and knowledge like :
 - a. Decision making skills
 - b. Interpersonal skills
 - c. Both a and b
 - d. Only b

2.14 Job Knowledge

In addition to decision-making skills, managers should also possess job knowledge to perform their jobs effectively. Trainees acquire job knowledge through on the job experience, coaching and understudy.

- a) **On-the-job experience:** On the-job techniques are most widely used. No other technique may interest the trainee so much as the location of the learner is not an artificial one in the classroom techniques. The success of these techniques depends on the immediate supervisor and his teaching abilities. On the job techniques are especially useful for certain groups like scientific and technical personnel.
- b) **Coaching:** In coaching, the trainee is placed under a particular supervisor who acts as an instructor and teaches job knowledge and skills to the trainee. He tells him what he wants him to do, how it can be done and follows up while it is being done and corrects errors.
- c) **Understudy:** An understudy is a person who is in training to assume at a future time, the full responsibility of the position currently held by his superior to fill his post which may fall vacant because of promotion, retirement or transfer.

Organizational Knowledge

Managers in addition to the job knowledge should also possess the knowledge of various jobs, products, markets, finances, creditors of the organisation. The techniques of imparting organizational knowledge are job rotation and multiple management.

- a) **Job Rotation:** The transferring of executives from job to job and from department in a systematic manner is called job rotation. The idea behind this is to give him the required diversified skills and an overall broader outlook, which are very important at the upper management levels. The management should provide a variety of job experiences for those judged to have the potential for higher ranks before they are promoted.
- b) **Multiple Management:** Multiple management is a system in which permanent advisory committees of managers study problems of the company and make recommendations to higher management. It is also called a junior-board of executives. These committees discuss the actual problems and different alternative solutions after which the decisions are taken.

General Knowledge

The managers in addition to job knowledge and organizational knowledge should possess general knowledge, as the external environment interacts with and influences the business. The general knowledge includes the knowledge about the economic conditions of the country, prices, GNP per capita income, various other industries, other sectors of the economy, political conditions, social factors, etc. General knowledge can be acquired through special courses, special meetings and specific readings.

- a) **Special Meetings:** Special courses like the workshops or executive development programmes organized by the institutes, universities and colleges help the trainees to acquire general knowledge.
- b) **Special Meetings:** Special meetings organized in consumer's forums, voluntary organizations help the trainees develop their general knowledge.
- c) **Specific Readings:** Specific articles published by various journals, specific portions of the books are provided to the trainees to improve their general knowledge.

Other Off-The-Job Methods

- a) **Conferences:** The conference method is another commonly used method of executive development. Topics such as human relations, safety education, customer relations, sales training are often discussed, debated, spoken about at conferences specially organized and designed for the purpose. A conference is a meeting of people to discuss a subject of common interest. The conference is structured around a small group meeting wherein a leader helps the group identify and define a problem, guides the discussion along desired lines and summarizes the views that represents the consensus of the group in dealing with the problem. The participants exchange notes, opinions, ideas on the subject in a systematic, planned way. A conference may be divided into small groups for focused discussions. Participants are expected to air their opinions and thoughts freely. In order to ensure its success,
- Participants are expected to come prepared for the conference,
 - The conference leader should conduct the sessions according to a plan, giving enough room for healthy interchange of different viewpoints,
 - The discussion should proceed along desired lines and
 - The size of the group should not be too large.
- b) **Lectures:** Lectures are formal presentations on a topic by an experienced and knowledgeable person. The presentation is generally supported by discussions, case studies, audio-visual aids and film shows. It is a simple and inexpensive way of imparting knowledge on a topic of special importance to a large audience. There could be a speedy interchange of ideas on a specific topic. The method may often degenerate into a kind of one-way traffic where the presenter tries to get ahead without paying attention to the reactions of audience. If the lecture is not interesting enough, the audience may not participate and offer any feedback. The listeners play a largely non-participatory role. They may ask questions but they never get the feel of what is being talked about. Moreover, participants do not share each other's experiences and hence the learning is confined to what the presenter has to say.
- c) **Groups Discussion:** In this method, papers are presented by two or three trainees on a selected topic, followed by stimulating discussions. The topics for discussion are selected in advance and the papers concerning the same, written by various participants, are printed and circulated beforehand. It is a

variant of the lecture method and is generally preferred where the intention is to give wide circulation and participation to a number of experts sharing their experiences with a fairly large group of individuals.

- d) **Programmed Instruction:** It is based on certain behavioural laws, particularly dealing with reinforcement. Reinforcement means rewarding a correct response and punishing a wrong one. A major feather of PI is that it offers immediate feedback on whether the trainee has answered question correctly or not. PI is a learner-oriented technique which presents subject matter to the trainees in small, sequential steps, requiring frequent responses from the trainee and immediately offering him of their accuracy or otherwise. If the response is accurate, he takes up the next level; if not, he is asked to go back and start again. The instructions are carefully planned moving from the simple to complex ones in a smooth way.

Check your Progress 13

1. Trainers acquire job knowledge through
 - a. on the job experience
 - b. coaching
 - c. understudy
 - d. all of the above
2. The techniques of imparting organizational knowledge are
 - a. job rotation
 - b. multiple management
 - c. both a and b
 - d. only a
3. General knowledge can be acquired through
 - a. special courses
 - b. special meetings
 - c. specific readings
 - d. all of the above

2.15 Performance Appraisal

After an employee has been selected for a job, has been trained to do it and has worked on it for a period of time, his performance should be evaluated. Performance evaluation or appraisal is the process of deciding how employees do their jobs. It is a method of evaluating the behaviour of employees in the work spot, normally including both the quantitative and qualitative aspects of job performance. It is a systematic and objective way of evaluating both work-related behaviour and potential of employees. It is a process that involves determining and communicating to an employee how he or she is performing the job and ideally, establishing a plan of improvement. The appraisal process actually consists of six steps : 1) establish performance standards with employees, 2) set measurable goals (manager and employee), 3) measure actual performance, 4) compare actual performance with standards, 5) discuss the appraisal with the employee and 6) if necessary, initiate corrective action.

There are three different approaches for carrying out appraisals. Employees can be appraised against i) absolute standards (where employee's performance is measure against some established standards; the subjects are compared against other individuals) and iii) objectives (here employees are evaluated by how will they accomplish a specific set of objectives that have been determined to be critical in the successful completion of their job). No one approach is always best; each has its strengths and weaknesses. Of course, a successful performance appraisal system requires more than good technique. It depends on a consistent approach for comparability of results, clear standards and measures, and bias-free ratings.

Check Your Progress 14

1. There are three different approaches for carrying out appraisals.
 - a. absolute standards
 - b. the subjects
 - c. objectives
 - d. All of the above

2. Performance appraisal is a method of evaluating the behavior of employees in the work spot
 - a. Quantitative and qualitative aspects of job performance.
 - b. It is a systematic and objective way of evaluating both work-related behavior and potential of employees
 - c. Both a and b
 - d. Only a

2.16 HR Strategy in a Dynamic Environment

A number of environmental factors influence the strategies pursued by a HR manager. He cannot perform his job in a vacuum. These factors influence the organisation through human resources. The term environment here refers to the “totality of all factors which influence both the organization and personnel sub-system”.

Internal and External Factors Influencing the Personnel Function

External Factors

Technological Factors

Economic challenges

Political factors

Social factors

Local and Governmental issues

Unions

Employees’ demands

Workforce diversity

Internal Factors

Mission

Policies

Organisational culture

Organization structure

HR systems

The external environment consists of those factors, which affect organizations human resources from outside the organization. Each of these external factors separately or in combination can influence the HR function of any organization. The job of HR manager is to balance the demands and expectations of the external groups with the internal requirements and achieve the assigned goals in an efficient and effective manner. Likewise, the internal environment also affects the job of HR manager. The functional areas, structural changes, specific cultural issues peculiar to a unit, HR systems, corporate policies and a lot of other

factors influence the way the HR function is carried out. The HR manager has to work closely with these constituent parts, understand the internal dynamics properly and devise ways and means to survive and progress.

Check your progress 15

1. Which one of the following is not an influencing factors External for personnel function are
 - a. Technological Factors
 - b. Organisational culture
 - c. Political factor
 - d. Economic challenges
2. Which one of the following is not an influencing factors Internal Factors for personnel function are
 - a. Mission
 - b. Workforce diversity
 - c. Policies
 - d. HR systems

2.17 Let Us Sum Up

In this unit we studied about the human resource strategy. It starts from the rise of HRM movement wherein Harvard and Michigan models are discussed. The issues of Strategic HRM are also outlined wherein integration of personnel practices with organizational goals is suggested.

The Business strategy is also explained wherein it has two routes: price and differentiation strategy. The Guest model is also explained with its four aspects of a specific set of HRM outcomes or HRM policy goals, set of HRM policies, Cement which binds the system together and number of organizational outcomes.

The organizational outcome is mentioned in detailed. The need for Integration of HR systems as a strategy is also emphasised.

Human resource strategy with respect to motivation, performance appraisal flexible working hours is also mentioned. The role of HRM in offering

competitive advantage is also given importance. The Human resource planning function is also given a position wherein it is mentioned that changing work environment is posing lot of challenges to design HR Policies.

The other HR functions like Recruitment, Selection, Placement, orientation, training and development. Performance appraisal is explained in detail. The need for conducting the executive development programme and having job knowledge is stated as necessary. The need for a changed strategy in dynamic environment of HR is also mentioned.

2.18 **Answers for Check Your Progress**

Check your progress 1

Answers: (1-c), (2-a), (3-d)

Check your progress 2

Answers: (1-d), (2-d), (3 -d)

Check your progress 3

Answers: (1-d), (2-c), (3-d)

Check your progress 4

Answers: (1-c), (2-d), (3-d)

Check your progress 5

Answers: (1-d), (2-c), (3-a)

Check your progress 6

Answers: (1-d)

Check your progress 7

Answers: (1-c)

Check your progress 8

Answers: (1-d), (2-d)

Check your progress 9

Answers: (1-d)

Check your progress 10

Answers: (1-a), (2-a), (3-d)

Check your progress 11

Answers: (1-d), (2-d)

Check your progress 12

Answers: (1-d), (2-c), (3-c)

Check your progress 13

Answers: (1-d), (2-c), (3-d)

Check your progress 14

Answers: (1-d), (2-c)

Check your progress 15

Answers: (1-b), (2-b)

2.19 Glossary

1. **Business Model** - A company's business model is management's storyline for how the strategy will be a money maker.
2. **Company Culture** - The mix of important assumptions shared by members of an organization; may be explicit or implicit, usually determined by the business environment of a firm's industry; the prior experience of employees in other firms, professions, communities, etc.; and the experiences that the employees share in their everyday work environment within the firm.
3. **Company Mission** - The unique purpose of a firm that sets it apart from firms of its type; identifies scope of operations including markets,

customers, products, distribution, technology, etc. in manner that reflects values and priorities of the firm's strategies.

4. **Competitive Advantage** - Advantages that a firm has over its competitors.

2.20 Assignment

1. Explain the various personnel policy issued that should be of great concern to management in strategy implementation.
2. Outline the important considerations that govern the recruitment and selection policy of a growth oriented modern organization.

2.21 Activities

Write short notes on:

- a) Training and development
- b) Appraisal system
- c) Competitive advantages through people
- d) Personnel policies
- e) Purpose of selection.

2.22 Case Study

The downfall of a promising employee

Reliable Courier's profits and reputation are at stake due to poor performance of its Chief Operations Manager and this sets Sumeet Sethi wondering about the result of his move to promote a promising employee

Sumit Sethi was tired and dejected. His company's reputation and profits were at stake. Sumit had believed Gopal to be a promising employee; so he had recently promoted him to the top position in operations but Gopal's apathetic behaviour had now resulted in a major crisis for Reliable Couriers.

Sumit was a bright student, topping his class in school. He always wanted to start his own business but unfortunately his father passed away in his last year of commerce graduation and Sumit was held back by family responsibilities. After his graduation he started his career as a Marketing Executive in a well-known

logistics company. His hard work, dedication and people skills led to quick promotions and within four years he rose to the position of Regional Manager. In the meantime he had taken good care of his family - his younger brother was now in a good engineering college and his only sister married and settled. Two years ago he saw a good business opportunity in courier services and started Reliable Courier. Besides Nationwide wide delivery services, Reliable Courier had same day intracity delivery services through bike messengers and scheduled pickup and delivery services for major clients. Sumit had recruited Gopal Verma a fresh graduate from a low income family, as his assistant to manage routine office work. Sumit found Gopal hardworking and enthusiastic, showing keen interest in learning other aspects of the business.

Sumit's business strategy was focused on institutional business and he impressed his corporate clients by excellent services. Reliable's core strength was its streamlined operations - the key person behind this was dynamic Chief Operations Manager Vineet Seth. Reliable had now become a well-known player in Courier services and had grown from a staff of twenty to three hundred. All the old employees were rewarded with promotions and Gopal was made the Assistant Operations Manager. Last month Reliable had won a major contract of servicing 500 branches of Indian National Bank (INB). This was a critical project. It would double Reliable's profit this year and if serviced well could lead to similar contracts with other major banks. Things were moving satisfactorily but just then a personal urgency required Vineet Seth to move to Australia and so he resigned . This came at a time when Sumit was extremely busy planning a new premium service called Next Flight Out which could be a first in India for achieving same day deliveries across India for important packages. Sumit was continuously travelling to meet and workout collaboration with a few airlines. Sumit promoted Gopal as Chief Operations Manager with a good raise and perks-Gopal had already worked as Assistant Manager Operations; Sumit also thought that instead of selecting an outside candidate for the top operations post , selecting Gopal would enthuse other employees as it supported the scope for good performers getting the top job.

Soon after the promotion, Gopal began having personal problems including financial ones. Sumit asked his Accountant to give Gopal a personal loan which he could pay back in instalments from his salary. Gopal was also lax in the operations reporting and sometimes Sumit was unaware of his whereabouts. Gopal had cited personal problems when Sumit had asked him. Yesterday Sumit had received a complaint from the Head Office of INB that an urgent packet was still undelivered and that there were many instances in the last month of important

packages not delivered on time and when contacted Gopal was not responding satisfactorily to their queries. Sumit was shocked but promised the INB officer that he would resolve their problems immediately. Sumit soon discovered that there were many other operations issues lying unattended. Sumit terminated Gopal's employment. As Sumit now tries to pacify his major client, he also wonders if he could have done anything earlier to help Gopal manage the responsibilities of his job and was it fair on his part to terminate someone who badly needed an income?

Case Study Questions

- Give three reasons for Gopal's failure as Chief Operations Manager?
- If you were in Sumit's place how you would deal with Gopal?

2.23 Further Readings

1. The resource-based view within the conversation of strategic management - all 2 versions »JT Mahoney, JR Pandian - Strategic Management Journal, 1992 – JSTOR.
2. Keith Davis” Organisational Behaviour ‘book by McGraw Hill.
3. Human Behavior at Work By keithdavis , John Newstrom book by Mcgraw Hill.
4. Transforming the Balanced Scorecard from Performance Measurement to Strategic Management: Part I. - all 8 versions » RS Kaplan, DP Norton - Accounting Horizons, 2001.
5. Strategic management of small firms in hostile and benign environments - all 2 versions » JG Covin, DP Slevin - Strategic Management Journal, 1989 – JSTOR ... In Kent, CA (ed.), The Environment for Entrepreneurship, Lexington.

Block Summary

This block deals with the leadership at strategic level and overall importance of Human Resources in the organisation. The concept of leadership is explained and how it influences and thoughts and actions of people is also mentioned.

The types of leadership power like reward, coercive, legitimate, expert and referent power are also given so is Type -I and Type -II leadership is discussed.

Leadership theories fall into three main categories like Leadership trait theories, Leadership skills and behaviour theories, Contingency theories of leadership

Blake's Grid and Contingency Theory of Leadership, Herseys situational Leadership model, McClellands Need for power has been explained in detail.

Organisational conflicts its sources, its politics has been discussed .Only improvement in technology is not going to help all the way as everything depends on the people in the organisation is the realisation to many companies so human resources and its development has been given importance.

The rise of HRM is attributed to Harvard and Michigan approaches of HRM. The contingency models are also discussed. The SHRM and its issues are also mentioned. Business strategy and its different elements are also stated.

The Guest model of HRM has four key aspects a specific set of HRM outcomes or HRM policy goals, set of HRM policies, 'Cement' which binds the system together and number of organizational outcomes. The issue of organisational outcome is also discussed.

The need for integration of HR systems into strategy is needed. The change of HR strategy with respect to flexible working hours and autonomous work spots needs a review and redesigning. The role of HRM in policy making is also given a lot of importance. The HRM planning process is also explained.

The HR functions of Recruitment, selection, placement and training, induction are also given in detail. The need for executive development programme is also given and having job knowledge is must is also mentioned. The importance of performance appraisal and dynamic nature of HR needs a periodic change according to situations is explained.

Block Assignment

Short Answer Questions

1. Explain HR strategy with respect to dynamic environment.
2. Why Job knowledge is important?
3. State importance of case study and role play.
4. What are the sources of organisational conflict?
5. Explain Herseys situational model in detail.

Long Answer Questions

1. How will you plan Human Resource while expanding your organization globally?
2. Explain links between differentiation, competition and strategic interaction. Describe the five elements of strategic interaction starting from timing.
3. Explain with the help of example how Managers would use of power in order to resolve wage related conflicts.
4. Why there is Need for power felt at the top management level.
5. Purpose of selection is rejection? if no, then explain.

Enrolment No.

1. How many hours did you need for studying the units?

Unit No	1	2	3	4
No of Hrs				

2. Please give your reactions to the following items based on your reading of the block:

Items	Excellent	Very Good	Good	Poor	Give specific example if any
Presentation Quality	☐	☐	☐	☐	_____
Language and Style	☐	☐	☐	☐	_____
Illustration used (Diagram, tables etc)	☐	☐	☐	☐	_____
Conceptual Clarity	☐	☐	☐	☐	_____
Check your progress Quest	☐	☐	☐	☐	_____
Feed back to CYP Question	☐	☐	☐	☐	_____

3. Any Other Comments

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“

*Education is something
which ought to be
brought within
the reach of every one.*

”

- Dr. B. R. Ambedkar



Dr. Babasaheb Ambedkar Open University

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